# Gokaldas Exports (GOKEX)

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# Call: Jun 2023

GEL/SEC/2023-24/22

June 05, 2023

Dear Sir / Madam,

Sub: Transcript of Q4 FY'23 earnings conference call

Pursuant to Regulation 30 and Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, plea se find enclosed the transcript of Q4 FY'23 earnings conference call held on May 29, 2023. The transcript is also available on the Company's website at https://www.gokaldasexports.com/investors/ .

This is for your information and records.

Thanking you,

Yours truly,
For Gokaldas Exports Limited

Gourish Hegde
Company Secretary & Compliance Officer

Encl: as above

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Scrip Code: GOKEX



"Gokaldas Exports Limited Q4 FY23 Earnings
Conference Call"

May 29, 2023

MANAGEMENT : MR. SIVARAMAKRISHNAN GANAPATHI – VICE
CHAIRMAN AND MANAGING DIRECTOR , GOKALDAS
EXPORTS LIMITED
MR. SATHYAMURTHY ANNAMALAI – CHIEF
FINANCIAL OFFICER , GOKALDAS EXPORTS LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Gokaldas Exports Q4 FY 23 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only-mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘ *’ and then ‘0’ on the touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Binay Sarda from Ernst & Young LLP. Thank you and over to you.
Binay Sarda: Thank you. Good afternoon to all the participants on this call.
Before we proceed to the call, let me remind you that the discussion may contain forward - looking statements that may involve known or unknown risks, uncertainties, and other factors. It must be viewed in conjunction with our business risks that could cause future results, performance or achievement to differ significantly fro m what is expressed or implied b y such forward -looking stat ements. Please note that we have mailed the results and the presentation and the same are available on the company's website. In case if you have not recei ved the same, you can write to us and we wi ll be happy to send the same over to you.
To take us through the res ults and answer your questions t oday we have the top manageme nt of Gokaldas Exports Limited r epresented by Mr. Sivaramakrishnan Ganapathi – Vice C hairman and Managing Director and Mr. Sathyamurthy Annamalai – Chief Financial Officer.
We will start the call with a brief overview of the quarter gone past and then conduct a Q& A session. With that said, I wi ll now hand over th e call to Mr. Siva. Over to you, Sir.
S. Ganapat hi: Thank you, B inay. Good morning, everyone. Happy to have you at our Earnings Call for the Financial Year of 2023.
Global markets continue to be volatile with Central Banks continuing to wage a war on high inflation by maintaining high interest rates. Post-COVID quantitative e asing followed by quantitative tightening in the United States has unleashed a whiplash in the economy. Th e supply chain disruption in CY 21 that is calendar ‘21 and early ‘22 co upled with robust post-COVID demand facilitated by governments pump -priming their economies resulted in brands ordering excess inventory. Higher inflation also mean t that prices of goods went up while volume growth was modest. Subsequent easing of the supply chain and the tight money supply led to a reversal of the situation. Brands were stuck with higher inventory and have been working on liquidating it over the last six to nine months.

For Gokaldas Exports this meant that the year started with strong revenue and profit growth resulting from a robust order book and effective sub c apacity utilization. The second half of the year saw muted volume in line with market conditions. Major customers were consciousl y liquidating excess inventory h olding and dealing with the sluggish retail market. We managed our operations very well consistently growing our operating margin s and delivered improved PAT quarter -on-quarter. Our ability to effectively balance capacity with orders on hand and execution excellence play ed very well in delivering 25% r evenue growth and 48% net profit growth year -on -year.
For context, the Indian apparel exports for FY23 grew by about 1%. Our EBITDA margin grew by 116 basis points over the previous year af ter pro viding Rs.23 crores for ESOP charges indicating superior operating performance. We generated cash from operations of about Rs. 296 crores during the year securing a healthy financial base for the company. The company continues to build on its financial str ength and currently has cash net of debt of 333 crores while part of the reduction

is due to business volume tight business management helps the company unlock working capital. Our ROCE remains high at 27%. We continue to closely monitor potential macroeco nomic risks and take measures to mitigate them by focusing on strengthening customer relationships and service excellence.
We are vigilant to concerns such as ongoing military conflicts, global monetary tightening, and China ’s economic trajectory. Our immediate f ocus is on maintaining exceptional service delivery while navigating p otential short -term challenges. We maintained a high on time and in full delivery metrics endearing ourselv es to customers. The long-term prospects for the industry remain intact with continuing shift of global sourcing away from China, supplier consolidation towards efficient and well capitalized players and supply side instabilities in several countries, favorable currency PLI and FTA's with key mar kets should drive the company to a strong future.
In these egregious times the company operated with a lot of determination while constantly assessing risks and above all showing courage. As an agile high performance and entrepreneurial

organization, we thrive on such disruptions takin g advantage of t he opportunity such challenges throw at us. Seizing new opportunities, grabbing market share, expanding our manufacturing footprint, investing in productivity improvements, staying razor sharp on customer delivery metrics we emerged as an i ndispensable part of the global value chain w hile the global e conomy is anemic at the moment. T he good news is it can only get better over a period of time. We expect the demand situ ation to improve in the second half of the year. W e are committed to gaini ng market share and preparing ourselves for business growth when market conditions turn more favorable. Our capacity addition is also in line with this.
As an organization, we are future ready. I thank you for listening and would be happy to address any q uestions that you may have.

Moderator: We will now begin the question -and-answer session. The first question comes from the line o f Gunjan Kabra from Niveshaay . Please go ahead.
Gunjan Kabra : Sir, I had a couple of questions for this like when we interact ed domestic players also here there is some slowdown and in the export market of course there is volatility and slow down there also. So, while you have always guided H2 to be demand starts picking up, s o how are you seeing the market right now in the near term say for one or two quarters a lso wanted to understand we have reported steady numb ers in terms of say the quarter -on-quarter, s o wanted to understand if we have added any new customers or are we in talks with any customer that c an also you know help increasing the revenue going forward and the business demand is a little slow?
S. Ganapat hi: We had always guided that the second half of FY23 would be somewhat muted over the last one year and I think it is played out as we had guide d. W e had also indicated that first half of the FY24 will also remain s omewhat similar in terms of the market demand condition with the second half of FY24 when w e expect growth to pick up a nd I think we are maintaining that situation at the moment. We see that the economic conditions have no t dramatically improved it has remained where they are . However, we feel that from calendar 2024 should start seeing an upward trajectory because most of the inventory woul d have been liquidated and year -on-year brands would see growth on a muted base of calendar 23 which itself means that they will start coming back to buying more from us. So, starting Q3 we should start seeing some upward trajectory and we are hoping that we will stay prepared for the incrementa l traction that we shall start seeing from then on. This is base d on what we see at the moment, how we read

the economy
at the moment. As for the next question on customer addition we have just re cently added two new customers one US based and one UK based and we are hoping that we shall be able to continue to grow with them. These are prestigious clients and clients with the good business potential going forward and we hope that we will be able to capitalize on this addition.
Gunjan Kabra : Sir for the reve nue from the new customers will start coming in from this quarter and it was not accounted in the previous quarter?
S. Ganapathi : That is correct. They have just been acquired so it will s tart playing out in FY24.
Gunjan Kabra : Also sir t here is i nventory getting depleted or it i s getting lower a little by the US, but anything from our customer specific point of view what are they guiding in terms of revenue growth to you I mean how is that scenario like we know the global data and everything, b ut according to that customer specific if we have any guidance that can maintain this growth rate how are they telling you in terms of inventory and is that the problem getting solved faster maybe because we supply to the bigger brands or something so w anted to have t hat perspective from our customers point of view?

S. Ganapat hi: So, it's a mixed bag we supply to a number of customers and different customers are at different stages in their own market handling situation, i nventory situation etcetera. So, there are some customers who have liquidated quite a bit and still have some residual inven tory to liquidate. Some of them h ave liquidated almost all of it and hopefully they will start buying more once they start seeing the demand pick up they a re not ordering at the moment. They are maintaining a lower inventory to s ales ratio at the moment. So, it is a mixed bag at the moment nobody is bullish , but I do not think they are very bearish either so we will hopefully see we will be able to read things better as a few more months pas s by as to how confidently they will come back buying. T he general trend seems to be that things a re seemi ngly bottoming out but let us see how it plays out.
Gunjan Kabra : And also this quarter we did higher EBITDA margin which is 13.4% arou nd, s o do you think we can stretch this to the entire year or is it just one quarter or is it sustainable?
S. Ganapat hi: Good question i t is not sustainable. What happened in Q4 was that we had made excessive

provisions on certain gratuity a nd employee related cost items this is based on certain assumptions. W e keep in mind that we are extremely conservative when it comes to taking up accounting provision. So, we had ov er provided in the first three quarters which we kind of wro te back after making an actuarial evaluation of the employee benefit costs. So, that i s why there may be a bit of a higher margin being indicated in Q4. You should take the average for the year as an indicator.
Moderator: Next question comes from the line of Abhineet from Emkay Global. Please go ahead.
Abhineet : If you can just highlight the status of various CAPEX that you ar e doing, are they on track and when do we see revenues coming from those ?
S. Ganapat hi: So, your voice faded out wa s your question when will the CAPEX star t playing out in revenue terms w as that the question?
Abhineet : Both for the Tamil Nadu and Madhya Pradesh?
S. Ganapat hi: So, the Madhya Pradesh unit we anticipate is to start commercial production star ting somewhere in June of 2023 so next mont h and we are hoping that it will clock about Rs.50 odd cro res in this financial year the o ther unit which is coming up in Tamil Nadu we anticipate it to go live somewhere in September which is the early 3rd Quarter and really it is bigger contribution to revenue shall come in FY25. So, in FY 25 both of them put together we should hopefully see about Rs

.300 crores of top line being contributed by both these projects.
Abhineet : And our thought of that Bangladesh JV where do we stand right now?

S. Ganapat hi: So, most of the work has been done t he site has been identified and everything. We are just holding in a holding pattern there waiting fo r signals of market turnaround b efore we start activating that capacity. So, we a re just waiting to see some improv ed traction before we start over there.
Abhineet : And l astly on the margin side you did indicate that FY23 is a better indicator, b ut over a two, three -year perspective our earlier typ e of indication that we should improve by 50 basis point every y ear that co ntinues for the next few years?
S. Ganapat hi: So, as I had indicated earlier that we probably have about 1% to 1.5% EBITDA improvement opportunity going forward in a two-to-three -year timeframe so I maintain that. I n the short term based on demand supply s ituations there may be some aberration especially when there are demand headwinds t here will be pricing pressures. There are short term impact like labour costs have gone up because minimum wages have gone up in Karnatak a where bulk of our operations are and the costs have gone up by 9% to 10 %. So, we are offsetting that a lso th rough improved productivity. So, there are those kind of short -term challenges, but the traj ectory that we mentioned about EBITDA improvement of about 1.5 % over a two-to-three -year time fra me will continue notwithstanding s hort term aberrations which we will anyway overcome.
Moderator: Thank you. N ext question co mes from the line of Nishid Shah from Amb ika Fincap Consultants Private Limited. Please go ahead.
Nishid Shah : My question is S iva on industry tailwinds is so positive and now that we are through with the so-called slowdown and all, can we expect over a normalized period or 20% g rowth for us now that you have capacity and all in place?
S. Ganapat hi: In the no rmal period a 20% growth is definitely possible and that i s definitely within the realm of what we will target. There will be short -term inability to do that over a few quarters because of demand -related headwinds, b ut in a normal period what you mentioned is absolutely correct that is what we are targeting. We will probably try to do better also but trying to do 20% is something which we will always endeavor to.
Nishid Shah : And secondly on the margins with rupee having depreciated, so where do you see our margins , is there a scope for improvement over the next 12 to 18 months?
S. Ganapat hi: So, in the next 12 months I would not be very sure given d emand situation at least for the next 6 month a nd whenever there is a demand headwind there will always be an inability to increase prices etcetera on the contrary there will be a pricing pressure. We are partially elevating that through better raw material prices and better production efficiencies at the moment. So, improving margins will certainly hap pen, but I would say if we take a three-year time frame I am confident that we have the ability to improve the EBITDA margin by 1% to 1.5%.

Nishid Shah : And these new plants at MP and your other initiatives at Bangladesh etcetera should als o help you improve margi ns, is no t it?
S. Ganapat hi: That is correct h owever the ir initial effect will be to drop the margins, but since they will be small in relation to the rest of the business it may not be very materials, but as these plants starts

ramping up the cost will be higher s o they may be negative for a little brief while till they reach their proficiency level a nd start yielding margin. At a steady state, those new units will be more margin friendly than o ur existing business given the c ost structures in those zones.
Moderator: Thank

you. Next question come s from the line of Rahul Misra from RTL Investments . Please go ahead.
Rahul Misra : I have two questions first and I a m not talking about anything short term I quite appreciate ther e are challenges in short term, b ut if I look at FY23 results as compared to FY22 our gross margins have actually seen a decline maybe als o on account of prices and all a nd we also had employee cost issue because of the ESOPs so that has also gone up and despite that we have seen 7 0 basis point improvement in margin, so if I look at this I mean if I look at efficiency which are there beyond the gross margin it is almost like 400 basis points or more than that, s o my question is that when things normalize can we actually look at much more margin expansion tha n what you are guiding at 1.5% over three years so that is question number one and question number two is finally when do you expect the tax rate actually to go up because tax rate was supposed to go up in FY 23 that i s a good news that it has not gone up, b ut should we expect normalization of tax rate in FY24?
S. Ganapat hi: So, as far as the gross margin is concerned it is a function of the product mix. So, product mix changes sometimes can have a gross margin change because gross margin is revenue minus the material cost. So, when we have high value products being produced quite often we may see a lower gross margin, but a superior EBITDA margin because the manufacturing effort for that may not be as high, but the gross margin numb er expressed as a percentage of sales w ould tend to fall because the raw mater ial cost seemingly are high. So, we are judicious, we try to maximize our bottom line rather than simply gross margins given our product mix b asket. A s far as your question on is there a potential to improve our EB ITDA margin more than what I have guided so there always exists opportunities and we will always be exploring those opportunities to go for it, let it play out there are s everal variables that we deal with including raw material prices, demand supply etcetera . So, what I ha ve given is an aggregate of various factors at play, but certainly we will endeavor to see if we can push the envelope more. As far as the tax impact is concerned from FY24 onwards we will be having the full impact of taxes. The tax percentage should be 25.1% from FY24 onwards.
Moderator: Thank you. N ext question comes from the line of Amar from Alfaccurate . Please go ahead.

Amar: Sir, largely wanted to understand if the market what I understand is that ours is a slightly premiu m products business versus the knitting business which is like at the low end of the pyramid and normally what we see even in the tough time the luxury or relatively ultra-luxury kind of business does not get impacted and it revives faster, so is t his a scenario for us also and that is why we were less impacted related t o the industry.
S. Ganapat hi: For example, our ASP will be in the range of $8, $1 0 so we are at certainly high value, but not ultra-high value. So , what happens is that commodi ty products like say Knitwear etcetera m ay see headwinds depending on the economic con ditions. Ultra-luxury products may not see any headwinds regardless o f market situations, but we do no t produce those Gucci and Armani all of that . We are in mass fashion premium product out there. So, we are in that sweet spot somewhere in between where volumes exist where we can produce cost effectively where we can drive production efficiencies . The demand for our products has not been as h it and I think the probability of it recovering a bit faster could be better.
Amar: As you are indicating that second half will be significantly better than for first half, but do we see that the revival should start from the let us say sequential revival should start from the s

eco nd
quarter onward?
S. Ganapat hi: It is very, very difficult to predict an ything for various reasons. One, nobody is any wiser on the economy. Seco nd brands on whom we are dependent on demand have also started ordering closer to date given that their ability t o predict demand has also been w eakened and they are unwilling to ramp up their inventory until they actually start seeing huge traction in ter ms of demand. So, my anticipation is that we should start seeing growth momentum pick u p from the 3rd Quarter . I do no t think it will come earlier than that, but it is very difficult to predict who knows if things start looking up, it may happen sooner, bu t I am not going out there predicting things happening sooner so 3rd Quarter is more likely.
Moderator: Thank you. Next question comes from the line of Pulkit Singhal from Dalmus Capital Management LLP. Please go ahead.
Pulkit Singhal : First question is just from the nature of conversations and the number of conversations you are now having with customers i f you could throw some light as to what is the texture of that now

versus how it was one year ago and two years ago and whether those conve rsations have
sudden ly picked up in terms of number?
S. Ganapat hi: The nature of conversations again, when I say two years ago during COVID was highl y uncertain post-COVID there were some buoyanc ies, but at the moment the way the nature of conversations vary from customer -to-customer. T here are some customers who have liquidated inventories who are quite hopeful of demand picking up from spring 24 and are hinting that they will come back and start buyin g from the 3rd Quarter onwards because in the 3rd Quarter we produced our

spring of 24 a nd 4th Quarter for summer of 24. T he general consensus of brand seems to be that by 4th Quarter there should be market should reasonably stabilize that summer of 24 so we will have to see that. In the interim brands a re playing it close to their chest, t hey are indicating that they will come closer to date to buy more based on demand traction and the good news is that some of the brands have actually come and followed th rough on it and have placed the near-term orders as well indicating that s ome amount of traction that th ey are seeing or that they are predicting. So, it is a bit all over the map, b ut that i s how it is happening in the US. UK based customers are actively talking waiting for the FT A to happen and many of them are waiting in the wings once the FT A happens , they woul d start taking advantage of it a nd with that in mind there are quite a few of them are having an aggressive conversations. The market conditions in UK als o seems to be similar, but duty delta plays a big role. So, it all depends on where the customers are located, but at the end of the day the mood I would say has it is not exuberant for sure. It was quite muted; it is slightly improving. There is a bit of optimism I would think, but it is yet to really translate into significant numbers at the moment.
Pulkit Singhal : So, are the re a lot more plant visits being done by various new customers now to kind of k eep the work ready and then press the trigger if they choose to do so later, is that how they are approaching it?
S. Ganapat hi: Yes, we have considerable number of visits to our factori es and our design showrooms .
Pulkit Singhal : Secondly, these two new customers that we added UK and US just trying to und erstand what was the individual thought process to give orders to you I mean is it more driven by China plus one a re they even willing to pay a premium to kind of source from India or they a re trying to get it cheaper, s o what was there individual thought process?
S. Ganapat hi: So, these two both of them are a bit f ashionable brand and a little premium in the market. S o, they have not see n a

s much of negative traction as many other mass market brands ha ve. The UK one is motivated by FTA. So, they a re clearly out here to take advantage of the situation. They like our ability to handle designs and our quality of production. The American one is clearly coming here because they like our quality and they have no t seen as much of a headwind in their sales. So, t hey are just adding quality vendors and we have become o ne of them.
Moderator: Thank you. Ne xt question comes from the line of Apurva from Phillip Capital. Please go ahead.
Apurva : So, my question is on the your commentary s o like as we understand the growth lever also comes from the wallets are i ncreasing from our clients and if I look at our clientele also like s of gaps, Zara or H&M so they are very significantly large clients and our contribution or our revenue to them would be hardly significant, so I a m just wondering why that part is not me ntioned in the commentary case w e are just focusing on the market outlook and like whatever is happening in the broader market, but not on the wallet share, can you throw some light on that part?

S. Ganapat hi: So, what happens is when we overall buy from a b rand comes down by say 25% or 30%. The higher quality producers may not see as much of a drop because we will be grabbing wallet share from weaker suppliers in the ecosystem. Having said all of that so wallet share may grow, but in absolute terms from our own base w e may not be able to grow because the volumes of buy from the brand have actually come down. So, it may be inappropriate for them to have certain vendors grow while othe r vendors take a deeper cut. So, while everybody will decline YoY t here may b e vast differential between declines across this segment, but it always accompanies with a wallet share gain and in such difficult market times wallet sha re gains are more easier for us to attain because if the demand is down they typically tend to shut do wn a few suppliers or significantly reduce the o utlay for certain suppliers. So, we have actually gained wallet shares in some of our larger customers.
Apurva : So, that was my point c urrently this might be a very favorable period for us, s o as a company what steps we are ta king to garner more wallets share and that could help us to sustain, s o without we are adding a customer or not, but at least that would the existing custo mer base would give us some set of a revenue visibility or g rowth because of increm ental wallet?

S. Ganapat hi: So, that is exactly the point I am saying that if y ou look at the bu y from brand they have fallen by about 20 % odd percent or 25% in many cases whereas our revenue let us take th e 4th Quarter as an example. F ourth quarter revenue has fallen by about 10%. So, our drop i f 10% in relation to the brand buying 25% less clearly indicates th at we are gaining wallet share. The specifics will depend on the individual brands, but across the board we have gained wallet share and the reason we have gained is because we have simply executed well. We have ensured on time delivery, we have ensured quality throughout the past period and b een very, very consistent in that. O nce we do that we automatically are in a position to grab incrementa l orders at the cost of other. We have taken or ders from China and Vietnam; we have taken orders which were hitherto being done by others i n India and so on and so forth. So, that endeavor continues and we have done that across most of the brands.

Apurva : Sir final thing on the Bangladesh so as you mentioned we are waiting for more c larity on the market condition, s o do we expect it to start this year or again it could be linked to the market condition only because Bang ladesh can open a route for UK or mayb e the entire Europe market. So, that i s why we were curious wheth er irrespective mark

et and it i s a very small CAPEX compared to your overall b alance sheet size, s o why we are slightly conservative on that Bangladesh part?

S. Ganapat hi: Keep in mind that B angladesh also has a lot of capacity. So, we want the market conditions to improve and time it appropriate . I believe that we should be doing that somewhere we sh ould initiate the work in FY24 and it is only a matter of taking a call on the timing. We are keeping a close watch on it and we are also talking to some customers basis that we will tak e a final call somewhere during the year.





Moderator: Thank you Next question comes from the line of Amruta from wealth managers India Private Limited. Please go ahead.

Amruta : So, I have two questions f irst is regarding the other i ncome, s o in the past three quarters it has increased like a lot, s o what is the reason behind that , is it the improvement in the cash balance that we have a nd my se cond question is reg arding the knitwear facility, s o how is our traction with our existing customers in the woven category like even they have knitwea r products, s o how are they taking our CAPEX and are we looking to add more customers there?

A. Sathyamurthy: : With reference to the other income, it is primarily on account of our investment income accruing from the mutual fund and the fixed deposit s on account of our cash surplus that had been deployed in the mutual fund and such income is reflected u nder the other income .

S. Ganapat hi: Coming to the knit versus open demand. I think the knitwear demand is a bit more muted than woven demand. I am speaking at a very macro level. A gain, the situation will change from brand -to-brand, but at a ma cro level that is the sit uation. F or our knitwear unit which is expected to come by Septe mber. We are hoping that the knit demand situation might improve by then and we are also in advanced discus sion with several customers to facilitate uptake of those products so all of that is going on as we speak, but at an overall level knit is going a bit slower than woven at the moment.

Amruta : How much time does it take fo r us to onboard a new customer f or the whole process and for them to actually start the ordering activity after they are onboarded?

S. Ganapat hi: So, it depends on the business situation. In a weak market situation, it could take up to a year sometimes it can take even two years depending on the cu stomer and their protocols and in a strong market condition when there is a g rowth many other customers may be under intense pressure to ramp up volumes and hence things may happen much sooner as well and it can happen in six months at least. As far as the ramp up goes it usually starts small in the first two, three quarters and it takes over a year before we can start really seeing meaningful revenue of anywhere between Rs.50 and Rs.100 crores. Again, in a strong market situation, things can happen faster depending on the customer.

Moderator: Thank you. Next question comes from the line of Abhineet from Emkay Global. Please go ahead.

Abhineet : You did indicate that there was an extra provision during 9 months which were written back now what is that number s o if you can qu antify?

A. Sathyamurthy: : It is about Rs.6 crores.





Abhineet : So, at the present raw material prices and w hat could be the maximum F24 rev enue that the company can clock?

S. Ganapat hi: F24 revenue is that your question ?

Abhineet : Yes.

S. Ganapat hi: I wish I have that crystal ball at the moment . Our endeavor is to see growth in financial year 24 over 23 for sure a nd we are working towards that, but to pin the number a t the moment maybe harder for me three months from now and may be in a slightly better situation to predict it i s a bit difficult for me to p ick a num

ber for now.
Abhineet : What I was trying to understand that what can be the max and not wanted to know exactly what you were guiding for '24, just trying to understand the current capacity that we have what can be the max revenue f or FY24?
S. Ganapat hi: So, I do no t want to confirm a number given the m arket dynamics and situation. Our endeavor would be to do as much as possible. R aw material prices are not the determinant at the mom ent while it helps us from a cost standpoint it is really market demand which is the factor a nd that in turn is a factor of economy and several other situations out there. My b est guess is that things should start looking up in the second half and we should start see ing good traction. The pace of growth etcetera will determine how much we can grow in FY 24. It is a bit hard at this moment at the start of FY 24 to pin a number on percentage growth. In a normal year, I would have been very confident to say that we will always do about 20%, but this year it is a bit h arder to pick a number given that most of our custome rs are a bit unsure of how they a re going to buy in the very short term.
Moderator: Thank you. N ext question comes from the line of Rahul Mis ra from RTL Investments. Please go ahead.
Rahul Misra : My question is one of the most important thing about Gokaldas Exports is ASPs is and kind of product mix we have a nd I mean we are primarily i n woven and most of the knits have lower ASP and product mix is really not that great, s o with addition of knits how would our product mix and ASPs would change and would it also make our margins or demand slightly more volatile as comp ared to where we are right now a nd once the full capacity ramp up happens whene ver in next '24, '25, '26 what w ould be the breakdown between kni t and woven in terms of revenues?
S. Ganapat hi: So, let me answer the seco nd question first. When the knits business fully ramps up, my expectation is knits will be anywhere between 10 % to 15% of total revenue. Woven will still constitute to be a majority of our revenue and hence the impact on overall ASP may not be as

much knits will have its own set of charac teristics a nd remember knits we are backward integrated as well into fabric. So, the EBITDA margin percentages may look different and may even be superior b ecause of backward integration, b ut that said I would think that knits ability to impact ASP may be lower b ecause of its lower contribution.
Rahul Misra : And I mean see in woven we have really high out erwear and probably higher end products, so in knit also there is higher end products or it is more about T -shirts and all those kind of things ?
S. Ganapat hi: So, of course there are higher end products in knit and those are more like the Athleisure products. Unfortunately, most people in India do not do that bec ause the fabric ecosystem does not exist, s ynthetic knits are not available in India and that i s why China, Vietnam and even Indonesia are the p roducers of those higher value knits . Since we will also be in cotton knit it is likely to be the regular product, within that segment w e will t ry to be as premium as possible given our customers basis .
Moderator: Thank you. N ext question c omes on the line of Manish Sehgal an Individual Investor. Please go ahead.
Manish Sehgal : Sir just wanted to understand the first dividend has been paid out after a long time, do you have any policy put in place for tha t given the cash fl ows have been quite decent and w e do plan to invest, but not that muc h in terms of capacity addition?
S. Ganapat hi: So, we did have a deliberation at the board about this and we thought that since we are generating adequate cash in the b usiness we would like to start by giving dividend. We would in a normal course we would like to maintain this trajectory. We will

l ook at the business conditions a s well
as our inv estments going forward, but that i s where we are at the moment.
Moderator: Thank you. Ladies and gentlemen we have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.
S. Ganapat hi: Thank you everyone for listening to us and asking questions. We are ha ppy to engage with our investors in full transparency and discuss our business prospect s and we continue to do that. While the market conditions are somewhat unknown at the moment given the macroeconomic situation we continue to explore ways to improve our operational efficiency and thereby hold on to our margins. There are certain headwinds which challenge us in terms of cost structures , in terms of pricing , etc., but we are doing our best to offset it. As I had mentioned, in a steady state we would like t o continue our 20% plus kind of growth trajectory a nd we would like to work on

a 1.5% EBITDA im provement. This road may take a little longer given the given the current market condition, but we will get back on the trajectory as soon as possible as soon as the market permits us to do so. We are cautiously optimistic about how the market situatio n will improve. I believe that from the 3rd Quarter which is when we will be produci ng for calendar '24 we



should start seeing improved traction. It i s also an election year in principle market both the US and UK. So, we should hopefully have the economy perform a bit better in an election year. W e will see how things evolve, but we are very opportunistic a nd we will work with our customers and not let go any opp ortunity to seek growth which become available to us. Thank you for your support to Gokaldas Exports . We will remain committed to driving business performance as we go forward. Thank you one and all.

Moderator: Thank you. O n behalf of Gokaldas Exports Limi ted that concludes this conference. Thank you for joining us. You may now disconnect your lines.

# Call: Aug 2023

GEL/SEC/2023-24/40

August 16, 2023

Dear Sir / Madam, Sub: Transcript of Q1 FY'24 earnings conference call

Pursuant to Regulation 30 and Regulation 46(2) (oa) of the SEBI (L isting Obligations and Disclosure Requirements) Regulations, 2015, plea se find enclosed the transcript of Q1 FY'24 earnings conference call held on August 08, 2023. The Transcript is also available on the Company's website at https://www.gokaldasexports.com/investors/ .

This is for your information and records.

Thanking you,

Yours truly,
For Gokaldas Exports Limited

Gourish Hegde
Company Secretary & Compliance Officer

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"Gokaldas Exports Limited
Q1 FY '24 Earnings Conference Call"
August 08, 2023

MANAGEMENT : M R. SIVARAMAKRISHNAN G. – VICE CHAIRMAN AND MANAGING DIRECTOR – GOKALDAS EXPORTS LIMITED
M R. A. SATHYAMURTHY – CHIEF FINANCIAL OFFICER – GOKALDAS EXPORTS LIMITED

MODERATOR : M R. BINAY SARDA – ERNST & YOUNG



Moderator: Ladies and gentlemen, greetings, and welcome to the Gokaldas Exports Limited Q1 FY '24 Earnings Conference Call. At this time all participant are in a listen-only mode. A brief question-and-answer session will follow formal presentati on. If anyone should require operator assistance during the conference, please press star and zero on your telephone keypad. As a reminder this

conference is being recorded.
It is now my pleasure to introduce your host, Binay Sarda from Ernst & Young. Please go ahead, sir.
Binay Sarda: Thank you, Ryan. Good evening to all the participants on this call. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause future result performance or achievement to differ significantly from what is expressed or implied by such forward-looking statements.
Please note that we have mailed the results and the presentation and the same are available on the company's website. In case if you have not received the same, you can write to us, and we'll be happy to send the same over to you.
To take us through the results and answer your questions today, we have the top management of Gokaldas Exports Limited, represented by Mr. Sivaramakrishnan Ganapathi, Vice Chairman and Managing Director; and Mr. Sathyamurthy, Chief Financial Officer. We'll start the call with a brief overview of the quarter 1 passed and then conduct Q&A session.
With that said, I'll no w hand over the call to Mr. Siva. Over to you, sir.
Sivaramakrishnan G.: Thank you, Binay. Good afternoon, everyone. Happy to have you at our earnings call for the first quarter of FY '24. Global retail offtake ha s been slow, resulting in overall imports of major consuming markets like the U.S., U.K. and EU, declining significantly in this period, primarily owing to inventory overhang with the customers. Apparel import data shows a Y-o-Y decline for April and May 2023 of 26% for U.S. and 20% for U.K. and Europe put together. Weak retail demand in autumn winter '22 due to inflationary trends, high interest rates and a mild winter contributed to excess inventory impacting offtake for this year.
Major brands are consciously liquidating excess inventory holdings and controlling their purchases. We continue to anticipate the demand to be sluggish for H1 FY'24 with momentum picking up subsequently. Our performance endorses the belief in our ability to sustain continued operating performance gains in a sluggish macroeconomic environment. A quick analysis of our revenue indicates that we continue to gain market share by building on our execution strength.


On the cost front, an increase in minimum wage and dearness allowance of factory work employees resulted in an impact of about 2% to the operating margin. With an extraordinary focus on operations excellence, we offset the additional cost through productivity improvements, generating an operating margin of 13% in Q1 FY '24 versus 12.1% in Q1 FY '23. We continue our trajectory of strong cash generation.
Our net cash stands at INR433 crores. We continue to invest in the business, incurring a capital expenditure of INR43 crores during the quarter, securing a healthy base for the growth of the company. Tight management of the business helped the company unlock working capital, though a part of the reduction is also due to reduced business volumes.
Our ROCE continues to remain high at 23.5%. The long-term prospect for the industry remain strong with the continuing shift of global sourcing away from China, supplier consolidation towards efficient and well-capitalized players and supply side instabilities in several countries.
Favourable curre

ncy, PLI, FTAs with key markets should drive the company to a strong future. The India-U.K. FTA negotiations have made good progress.
India is also negotiating FTA with Canada and EU. All of these moves has the potential to open up large markets for preferential trade. Our new manufacturing unit in Madhya Pradesh started commercial production, and we expect the production to ramp up in the next 9 months. The project work at our fabric processing unit in Tamil Nadu is in advanced stages. We are also progressing well on onboarding new customers. We continue to closely monitor macroeconomic risks and take measures focusing on customer relations and service excellence.
While the global economy is anaemic, the good news is that it can on ly get better. We are optimistic about revival of the business in H2 and are bullish on the long-term prospects of the company. We are committed to gaining market share and prep aring ourselves for business growth when market conditions turn more favourable. Our capacity addition is in line with this. As an organization, we are future-ready.
I thank you for listening, and we'll be happy to address questions that you may have. Moderator: Ladies and gentlemen, we will now begin the question-and-answer session. Our first question comes from the line of Gunjan Kabra with Niveshaay.
Gunjan Kabra: Okay. So I wanted to understand that it's very good to see that the team and you and the team has been able to post steady numbers quarter-on-quarter, considering a very, very slow business environment in domestic and export market. So what strategy are we following? Are the two new customers that we added in the last quarter from the U.S. and the U.K. has started to contribute or have we increased our wallet share in the existing customer in the current quarter?

Or are we looking forward to onboard any new customers as well which you initially were aiming for? So how is it?

Sivaramakrishnan G.: So the customers that we've onboarded, they will start ramping up shortly, and these relations take a while to mature. So the in itial interaction from them seems to be good and we hope that we will grow fast with them. So, so far, so good as far as the new customers are concerned, the



relationship is going very well . The relationship with the existing customers are also good. For the moment, if I look at Q-on-Q, linear Q-on-Q, we haven't grown much. It's been fairly flattish. So we have maintained most of the customer relationships, maintained the revenue from the respective customers. We intend to grow, particularly in the second half of the financial year with some of these customers. And we are reasonably confident that, that will happen based on all the discussions that we are having with the customers. So all of that is happening. We are also in advanced discus sions with several more customers. So some of those will take time to mature, but I believe that all that wi ll happen in this financial year.

Gunjan Kabra: Okay. Sir, secondly, like right now, we are in August, which is almost end of H1, so about to get over now. So how are we seeing the demand scenario like -- is it on track with what you were anticipating since last few quarters that H2 FY '24 will be much better than H1 FY '24. So what are your customers guiding now in terms of demand orders and inventory and how you and the team is planning to take on this demand revival be more aggressive or slowly ramp up the new capacity or how are you taking this scenario as a strategy going forward?

Sivaramakrishnan G.: Sure. So, we are in a fashion business, and customers placed orders closer to date. So at the moment, we are looking at third quarter bookings and we are very encouraged by the discussions that we are having with the customers and the orders that we are booking with the customers. So clearly, we are seeing a very good traction in the third quarter so

far, and we hope to keep up that momentum. Customers are coming and placing orders closer to date unlike the past. So they're waiting till the last moment and placing orders, thereby, they are minimizing their risk of calling out on certain styles and orders well in advance. But we are seeing a fairly good traction for the third quarter. And I think that momentum will be maintained or we can further build upon it for the fourth quarter. So when I look at the third quarter and compare it with the third quarter of previous year, we will see a reasonably good growth. As of now, that's the trajectory that we are on.

Gunjan Kabra: Okay. Sir, gross margins have improved to 50% this quarter. So do you think this is -- we'll be able to stress it for the next few quarters as well or you anticipate it to normalize with 46%, 47% or something?

Sivaramakrishnan G.: So, one of the reasons is that the raw material costs have slightly decreased. So that has helped us from a gross margin perspective. We've also had a minor shift in the product mix, particularly in the Q1. So that also helps. So from a very high outerwear, we have slightly increased the share of fashion wear and casual wear.
So that minor change has also partially contributed to the lower raw material costs and hence offered a little higher gross margin. So by and large, for the year, I am anticipating that the trajectory will remain more or less more or less a little better than last y ear. I would think that it will be 0.5% or 1% better than last year as far as the gross margins are concerned.

Gunjan Kabra: Okay. Sir just last question. If you can tell what volumes have we done in the current quarter of the total 36 million production capacity that we have. Of that, how much we have done in this quarter and the previous quarter Q-o-Q basis?



Sivaramakrishnan G.: One moment.

A. Sathyamurthy: One moment. In the current quarter, we have sold 5.62 million pieces. In the previous quarter, we have done 7 million pieces. As we have explained earlier, the pieces is not a right comparison because it again depends upon the product category we deal with. So in the quarter 4, it used to be mostly casual wear. An d so the numbers, it was 7 million vis-a- vis in terms of this quarter at 5.62 million., More or less, the capacity utilization has been in the same line, but because of the product mix, the pieces are less in the current quarter.

Sivaramakrishnan G.: So, in the first quarter, we do a lot more outerwear and hence, the number of pieces will be low, but the complexity of the pieces are high. The standard minutes taken for garment is much higher. So from an efforts perspective, it will be more or less the same. That's why the revenue is also similar Q-on-Q.

Gunjan Kabra: Sir. And Q1 FY '23, what was the number?

A. Sathyamurthy: In Q1 -- it was 6.66 million pieces.

Moderator: Our next question comes from the line of Atul Mehra with Motilal Oswal Asset Management.

Atul Mehra: So, just a couple of questions. Firstly, I think like you mentioned in your commentary and the

presentation, the bottoming out process will really begin from Q3. So Q2 also we would expect a little bit of a decline in business versus Q2 last year sir?
Sivaramakrishnan G.: That is correct.
Atul Mehra: Right. Sure, sir. And secondly, in terms of doi ng the cash balance that we're sitting on a more medium to long-term outlook for the company, any further finalization of capex either Bangladesh or any other business projects that we have in our mind. So maybe if you could elaborate more, sir, on the medium to long-term capex outlook on the company?
Sivaramakrishnan G.: Sure. So we're working on some of the capexes. So we are at the moment, we will be building out our second factory in Madhya Pradesh. The work is continuing in the fabric mills in Tamil Nadu, which we are setting up for our knit division. So t

hat's continuing. The Bangladesh unit, we deliberately put on a slower track or on hold to wait for the demand revival. And once that happens, we will start. So more likely, we will re visit that in the second half of this financial year when the business prospects are much better.
In the meanwhile, we are open to all other strategic options from foreign investment, so whether it is capex or some new product types or whatever else that we deem fit. So we are exploring several opportunities. It's too premature at this stage to -- because we haven't finalized anything. But we definitely intend to deploy some of these capital for growth purposes.
And if we start seeing market traction starting second half of this year, and if we anticipate that the next financial year is going to be strong, then we will have to time it also accordingly. So definitely, we will work on some of those areas. We have some plans, but none of them are at a stage where we are ready to implement.


Atul Mehra: Right. And sir, one final question in terms of because we have significant capacity expansions coming on stream for the next 12 to 24 months. In terms of conversations with potential new clients, how do they typically work because maybe some of them want your capacity to come on stream to commit large orders for you. So can you maybe spend a little bit of time explaining how this is really working?
Sivaramakrishnan G.: So, usually, for the new capacity, some of the existing customers who will take it up. The newer customers would want an older mature factory th at they feel a little more comfortable with.
When they start a new relationsh ip, they don't want a new relationship and a new factory. So that becomes too much of a complexity for a new customer. Having said that, whenever we plan a capacity, we have reasonably good indications from our existing customers that they will tend to utilize it and then only bring the capacities on stream. So that's how we plan.
Some of the relationships that we are, we have onboarded now over some of the customers that we are talking to, they are all very large customers with a good potential for future growth. And that's a large part of that will happen when the market traction also improv es for the end user demand goes up and they come in rows to buy. But these guys have a fairly good, solid potential to buy a lot more. So that gives me the confidence that whatever moves that we have made will augur well for us strongly in th e future. And the capacities that we are planning will get utilized as well.
Moderator: Our next question comes from the line of Kapil Jagasia with Nuvama Wealth Research.
Kapil Jagasia: Sir, what was the quantum of wage hike in Karnataka?
Sivaramakrishnan G.: There were two components to it. One was minimum wage went up, that went up somewhere towards the end of January. And then the dearness allowance went up from April -- by April 2023. So if I put both together and compare it to, say, the De cember wages, it has gone up by about 9%.
Kapil Jagasia: Okay. And is this rate hike over or will it flow through to next quarter too?
Sivaramakrishnan G.: No, no, now it's over. so the minimum wage usually is for 3 years or sometimes even longer. And the dearness allowance happens every year, wh ich is CPI-linked -- in flation linked. So the next dearness allowance increase will happen next April, which will not be very big, will be 3%, 4%. And minimum wage, which goes up in a chunk, that we hope that we will not see for another 3 years.
Kapil Jagasia: Okay. So reported employee expenses for coming quarters would be in INR140 crores, INR150 crores range because in this quarter, it is INR160 crores also this new plant has come up. So how do we pencil in?
A. Sathyamurthy: The employee cost currently, what we have indicated, is going to be in this range because as we ramp up the capacity, we

have also increased the headcount. So that –we are ready to handle with the volume increase in the quarters ahead.

Sivaramakrishnan G.: So, the employee cost has gone up for a few reasons: One, if you look at Q-over-Q, that is Q1 over Q4, we have -- in the fourth quarter, we had excess provision, which we took off. This was due to some gratuity related provisions. We had made -- we had overprovided for in the quarters
ahead, that's why we had to pay a lot less in the fourth quarter. So that impact was about 2% of
the revenue again. So if you look at between Q4 and Q1, my employee cost as a percentage of
revenue has gone up from 26% to 30.7%. So that's about around 5% increase.
So 1.3% is due to the baseline effect in in Q4 due to the gratuity-related provisioning. 1.5% -
2% is due to increase in wages that minimum wa ge that went up. And about 15% is because of
headcount increases. So what we had done till da te was we allowed natura l attrition to play. And
as the revenues were not so forthcoming, we allowed the attrition to play and let the headcount
slide down.
Now that we are seeing some traction ahead, we have started recruiting labor. So we have taken
up the labor count , we have started taking up the manpower in the factories, which is also resulting in a higher employee costs. This will continue in the second quarter and ahead as well.
Kapil Jagasia: Sure, sir. This helps. My next question is on th e margin front. Now for this quarter, the reported
EBITDA margins are around 12%. And as H2 would be better, how much improvement can be
seen in this fiscal year? Would 13% margins be a fair assumption?
Sivaramakrishnan G.: So the margin is a function of several things. Margin is a function of what kind of pricing we
get. Margin is a function of what is the raw material costs that we incur and also a function of
what are the wage, right? So wage cost has had a deleterious impact on our margins, but we are
offsetting it with better productivity.
I don't believe the material costs will go up signi ficantly. So it will remain more or less in line
with where we are at the moment. Pricing also, we don't anticipate much of a change. So our Q1
margins, whatever we say, I think, can be a reasonable representation for the year's margin at the moment.
Kapil Jagasia: Okay. But usually H2 being more of outerwear sales the margins would be slightly higher or am
I mistaken --
Sivaramakrishnan G.: So historically, we have seen, it's not because of outerwear. H2 because it's more cotton based
and the spring summer wear, and we use a lot of Indian fabric, we do tend to get some advantage.
So there's a possibility that in H2, we usually have some upside in margins that we get. I'm just being cautious because we don't know how the market conditions are, what is the demand supply
situation globally, etcetera, though we are getting good traction.
I'm not going to go out on a limb and claim that the global market conditions are in a great
situation. Gokaldas is getting a fairly good traction from its customers. I don't know how much of pricing power we will regain in the second half of the year. Usually, we do. Usually, we will
have a little better cost benefit. So your point is correct. We can try to get a better -- slightly
better margin in the second half, but we will have to actually see how it plays out going forward.
Kapil Jagasia: Sure, sir. And my final question --



Sivaramakrishnan G.: We will make every attempt to grow our margins. So we are extremely margin focused, and we
spare no effort to take up our margins if we can.
Kapil Jagasia: Great sir. And my final question is on the aver age realization. Considering 5.6 million volume
for this quarter, the realization comes to around 915 or so. So for the entire year in FY '23, we did around 744. So like how the realizat

ions would pan out for the rest of the year? I'm a bit
confused on this aspect.
Sivaramakrishnan G.: Good question. Realization per piece falls in the second half of the year. That's because we do a
lot more casual wear, fashion wear, other products. H1, we do a lot of outerwear. And the realization per garment will always be higher because it's a far more complex and larger garment.
So by the time we finish the year, we will average out to what you saw in the last year.
More of an outerwear jacket, the cold winter jacket that you wear, whereas in H2, we will do a
lot of spring wear with a light ladies' top and those kind of things. The pricing is very, very
different, right, pricing per garment. So it gets averaged out and reduces by the time the year goes through.
Kapil Jagasia: So Q1 is more of outerwear. Q2 would be a combination of outerwear and casual wear also?
Sivaramakrishnan G.: No. See Q1 we do autumn wear, Q2 we do winter wear. Q1 and Q2 is more of this outerwear.
And in the third and fourth quarte r, we do spring and summer wear.
Moderator: Our next question comes from the line of Rakesh Wadhwani with Monarch AIF.
Rakesh Wadhwani: I just wanted to understand the facets of buying, for example, customer comes to us with the
order. So how the cycle works? So we directly buy the fabric immediately or we buy the fabric when we actually need to dispatch the product? For example, if the customer gets an orders over
a period say 6 months. So we deliver the product every month or we deliver the product at one
time for all the quantity?

Sivaramakrishnan G.: Okay. So whenever a customer comes to us with an order, they come and ask us for a quotation. And they give all the technical specs of the ga rment that we have to manufacture. Once they give that, we do the costing for it. We estimate th e amount of fabric that is required amount of various trims, button places, etcetera, that are re quired. We get the quotations from our suppliers against all of these and then bake that into the pricing, and then we quote to our customers. Once we receive the order from the customer, we go back to back and secure the same pricing which we got from our fabric supplier and the trims supplier. So we lock that in, so that we don't have any variability in raw materials from the time we costed it to the time we took the order. And then the timeframe is also very short. We contractually we bind our suppliers also to it.

So that way, we protect ourselves from cost variances between the order negotiation stages and the order getting placed to us. As far as the order delivery is concerned, it depends. Smaller deliveries are one lot, but if there is a much bigg er order, then they will have multiple delivery drops which we will do on a month on basis based on the date that they give us.



Rakesh Wadhwani: So just discussing further on the same point. For example, if a customer comes to us and gives us the order like after 3 months, like the order has to be executed after 3 months but he has given us the purchase on the confirmation. So we go and buy all the fabric on all the components that are required today only. Is that understanding correct?

Sivaramakrishnan G.: No. So we place the order for the fabric today and the fabric people also take their time. So we give them the time indication, etcetera, when we want the fabric in. But we tend to lock the pricing as of today because the cost of the fabric, etcetera, also depends on what is the cost of cotton and the underlying commodities, etcetera, right? So we tend to lock-in the raw materials when we get the orders, and we tend to take delivery of raw material closer to when we actually want it in our factories.

Rakesh Wadhwani: Okay. So we actually buy the raw material when the actual production is supposed to happen. But before that, we book the prices so that we do not face raw material -- the movement in the prices of raw materials?

Sivaramakrishnan G.: Correct. Correct. We don't expose ourselves to volatility as a business rule.

Rakesh Wadhwani: So is that the reason in last few years, th e number of inventory days is coming down?

Sivaramakrishnan G.: So we try to work very, very hard to minimize the inventory. We have gotten significantly better at managing it, buying closer and closer to date, managing a very tight operation. So this is one reason. The inventory may go up as the business volumes return. So at the moment compared to, say, last year, our busine ss volumes are slightly low.

So the inventory is also a function of business volume. So from the third quarter, I'm anticipating that our inventory will start growing in line with the revenue. But whatever efficiencies we have brought in into our operations, that will remain. But the number of inventory days may slightly go up. We are at a really unrealistic level at the moment.

Rakesh Wadhwani: So what is the guidance on the inventory days for FY '24 or '25?

A. Sathyamurthy: It is around 60 days, –inventory alone is around 60 days.

Rakesh Wadhwani: Okay. And second question, regarding the Bangladesh currently, we have put on hold the plant because of the lukewarm demand. But if we -- the moment the demand picks up, do we have any strategy what we -- are we going to buy the plant there or setting up -- set up the things or we buy some plant which is already running and we just catch up the plant or we'll just take over the plant. What is the strategy on the Bangladesh side?

Sivaramakrishnan G.: So at the moment, we have identified a plant, which is under receivership. So we've identified that. We have not taken over the plant, but we have identified it. We know as and when the timing is right, we will go ahead and execute but for now, we have put it on hold.

Rakesh Wadhwani: So that plant is already running, it will be just a change of the management?

Sivaramakrishnan G.: No, no, it has gone into receivership, so banks own it. At the moment, it's not running.



Moderator: Our next question comes from the line of Jatin Chawla with RTL Investments.

Jatin Chawla: I have two questions. First question is, sir, I mean, we would assume that Gokaldas would be really doing much better than smaller mom-and-pop kind of shops in textile exports. Now when I look at your growth right now for the last 3 quarters versus the growth of apparel exports from India, the outperformance of Gokaldas is only 3% to 4%.

So despite being organized, despite being well capitalized and offering such a wide variety of apparel, do you think that is the right and that is the kind of outperformance vis-a-vis export market we should expect going forward? Or the last 3 quarters have been slightly on the lower side and probably we should see Gokaldas Exports growth significantly outperforming that of

India?
Sivaramakrishnan G.: See, we are also very margin conscious. If I want growth in top line, I can deliver growth. At a price, there's always business available. We are very, very conscious and clear in our strategy
that we will not pick up business at rock bottom prices. Even today, in the first quarter, in the fourth quarter, in the third quarter, even in the second quarter, we have walked away from
business, which we believe are very, very sharply priced. In a market where demand is far lower than supply or capacity, there is always bargain hunting that happens. It's a buyers' market.
We don't want to compromise our margins or signa l to the market that we are willing to take up
business at low price, which is also one of the reasons why we are not only prioritizing growth.
So when it comes to our growth, we are still performing well above the import that is happening
in the primary market. For example, the drop in im ports is to the tune of 26% in the U.S. market,
which is our primary ma

rket.
If you look at India's exports, that also is lower than our exports. So we have outperformed the
industry at an overall basis, but we are also conscious not to drop our margins and just drive top
line growth. If I wanted it, I could have outperformed even more. But then that's not the point that we want to achieve. I don't want to dilute my EBITDA margin. More or less, I don't want
to signal to my customers that I'm willing to operate at very low pricing as well.
Jatin Chawla: So sir, when do you -- I mean, is this scenario likely to change your probably there are so many
players in the industry that they would be always happy doing business at lower margin. And thereby --
Sivaramakrishnan G.: When the demand picks up, it will change. So it's only a current situation that we see at the moment. When we -- this is a peculiar situation where particularly in the U.S. market, where
they have excess inventory. And because of the excess inventory, they are buying less. Secondly, many of the brands have took a decision that they'll buy closer to date. They want to wait and
watch, play their strategies closer to their chest, etcetera. So that also resulted in them buying a
lot less and postponing their buying, thereby resulting in a missed season from a buying perspective.
Having said all of this, as the inventory is being paired down and the retail end user demand has
not really gone down that much. If you look at th e U.S. retail sales or European retail sales, Y-
o-Y it is slightly positive. So th e inventory position will turn pre tty quickly, they will come to


buy and the demand supply balance will get restored. So that's what we are hoping in the quarters
ahead, which will then restore the demand-supply balance and the pricing balance.
Jatin Chawla: Okay. Got it. Sir, second question is we don't know when -- whether there will be a recession or
when it will be. So at the point of time, recession was supposed to be in 2022, then in '23, now
people are talking over in '24. But finally, is there a -- see, if I look at the entire market of around
US$ 100 billion of exports to -- or imports by U.S. and look at our size, it's very small, India size also is very small.
So let's assume that if the U.S. economy does not improve and U.S. market remains in a weak
spot for a while. In that scenario, do you think that at some point of time, there could be
meaningful market share gains, which can drive the growth or probably the meaningful growth is only possible only once the market stabilizes. So what would be your take on that?
Sivaramakrishnan G.: See, whenever demand falls by 26% -- 25%-30%, it is not possible that there will be certain
vendors who will grow. Everybody will take some haircut. The be tter vendors will take lower
haircut, the weaker vendors will take 50%, 6 0% cut in their business as well. Some will be
removed from the supply chain also.
So when the growth comes back, that is when there will be a disproportionate growth, which
will happen to the better players or players who have seen only a smaller drop in share. So people like us who have seen a lower drop in our buy compared to the rest of the industry, we will stand
a better chance as the market gets restored. That's how it works.
Jatin Chawla: So I mean -- but for the jump in revenue growth, I mean, you would need market to really come
back in a reasonably good way.
Jatin Chawla: That is correct. As you know, who wants to cut a few suppliers and then overindulge in a few
suppliers. It doesn't work like that. So the market situation has to turn, which I believe will turn soon, and that will resu lt in the disproportionate impact coming to play.
Jatin Chawla: Sorry, if I just -- if I'm allowed to ask one more question. So what you are saying is that you are
kind of being very clear on pricing, and that is the reason why you're compromising on growth or comprom

ising on business. And as and when things turn better, so I would presume that pricing for the industry will improve. But since you are already, I mean, not getting into price
war or probably reducing prices, maybe your pric ing will remain relatively stable even then.
So when industry margins will improve, of course, when industry margins are lower, your
margins -- you have been able to preserve margins. But when industry margins improve, your
margins should remain in the similar range. We should not see any benefit on account of overall industry pricing improving, would that be correct?

Sivaramakrishnan G.: So margins are also a function of how you drive your productivity, how you -- and there are several factors, right, how you buy your raw materials, etcetera. So if you -- if some of those advantages you can lock in, you may be able to. Similarly growth, when you have growth, operating leverage kicks in, right? My overall margin and my factory EBITDA margins are different. So if I have higher revenue, the incremental revenue may be coming in at an



incrementally higher EBITDA margin. So when we start growing, we will also get those benefits come in.

Jatin Chawla: Congratulations again for a great performance.

Moderator: Our next question comes from the line of Amruta with Wealth Managers India Private Limited.

Amruta: I have two questions. First is regarding the capacity addition that we are doing. So how significant is it in terms of number of pieces?

A. Sathyamurthy: The new capacity is added in Bhopal. The factory commenced its commercial production during the month of June, and it is in the process of stabilizing the production. The revenue, which has come from this factory during the quarter is very, very less. It's about less than INR1 crores in the month of June. However, they are in the process of ramping up. In terms of the number of pieces it is less than 2 lakh pieces/month at this point of time. Regard ing the potential revenue increase, it can add to the revenue and when it comes in a steady state, up to INR150 crores in a year.

Amruta: This is regarding the Bhopal Unit . What about the Tamil Nadu unit?

A. Sathyamurthy: The Tamil Nadu unit is the fabr ic processing unit. The fabric processing unit will commence with production I mean trial production during the Q3 of this year and will be ready for a commercial production by the end of this financial year. In a steady state, that can also add up the revenue once it is fully operational and in a full conversion to the end garment basis, it should add at least about INR350 crores to the top line.

Amruta: Just one confirmation, the Bhopal unit you said INR150 crores that is for unit 1, right? So unit 2 will be additional.

A. Sathyamurthy: Unit 2 will be additional, correct.

Amruta: My second question is regarding our global competitors. As in, with our clients, like who do we compete against in terms of, say, wallets share and how big are the global competitors?

Sivaramakrishnasn G.: So there are very large global competitors. Th ey are billion-dollar players globally. There are large players in Bangladesh, there are large players in China. There are large players in Vietnam. So in India, we compete with the likes of Shahi, which are in to wovens, we compete with several other players, but Shahi will be a big competitor for us. Likewise, globally, there are players in Bangladesh, Vietnam, China with whom we compete. There are a lot of Korean players who operate out of China and Vietnam with whom we compete as well.

Amruta: So size wise, like what would be the differential?

Sivaramakrishnan G.: So there are players all the way from US$150 m illion to US$1 billion, US$1.5 billion as well in the market.

Moderator: Our next question comes from the lin e of Vikas Jain with Equirus.



Vikas Jain: Yes, si

r. So my first question is more of a w ith respect to a longer-term view and our strategy out. So while I compare the CAGR from '19 to '23, our sales volume has grown by around 4% to 5% CAGR, whereas our ASPs have grown by around 13% CAGR. So can we fairly say that our strategy will be majorly to wards improving the realizations or moving more and more towards the premiumizing the products where our focus would less be in terms of achieving volume growth?

Sivaramakrishnan G.: So I think the ASP growth will peak at a certain point in time. We are already near the peak. So incrementally, if you look -- if I take a longer-t erm view, right, that's what you mentioned at the start. If you look at a 5-year view, a larger proportion of the growth will come from volume growth going forward.

Vikas Jain: Understood. Understood. Whereas the realizations, again, will broadly be at a similar level or marginally improving, right?

Sivaramakrishnan G.: Correct. Correct. We won't have the scope to dramatically increase that because we have -- whatever increases we have driven, a large proportion of that we have already got.

Vikas Jain: Sure. Sure. And again, similar with the longer-term horizon only, where do you see our EBITDA margins probably 3 to 5 years down the line. Of course, we have taken a lot of initiatives where we have streamlined our operations. We have brought in more and more efficiencies into production and all other things. But do you see a similar kind of an expansion that we saw in like last 3 to 4 years --

Sivaramakrishnan G.: In a longer timeframe, I see a 1.5% improvement possibility in our EBITDA margin.
Vikas Jain: Understood. Understood. And sir, with respect to installed capacities, so just one sense, what was our realization for this qu arter? I missed that point.
A. Sathyamurthy: This quarter it's INR840.
Moderator: Our next question comes from the line of Chinmay Kabra with Emkay Global Financial Services.
Chinmay Kabra: Just wanted to know that Q1 has been a little soft. And I just wanted a little bit of number's perspective in terms of the entire year FY '24, if you could maybe give a guidance in term of revenue or the EBITDA margins, which we are planning to maintain?
Sivaramakrishnan G.: So we don't give guidance as a matter of principle. And we are in a market where the economics are as it is very difficult to predict. At the mo ment, we feel confident that we will see a strong growth in the second half of the year based on the conversations that we are having with the customers based on the macroeconomics that we are reading, but there are all kinds of events that may happen. You are as good in guessing how or in predicting the macroeconomic environment.
So at this point, I don't want to specifically in dicate the revenue that we will go. As far as margins are concerned, we will try to prot ect it at these levels. Our endeavour will be to do that. As far as revenue is concerned, we will try to see we meet the last year's revenue. Our aim will always



be to grow. We are very growth oriented in that sense, but at the moment, it's hard to predict anything.
Moderator: Our next question comes from the line of Pulkit Singhal with Dalmus Capital Management.
Pulkit Singhal: Congrats on a good set of numbers in trying times. First question is just trying to understand what percentage of this quarter's revenues are driven by orders that are placed during the quarter versus before the quarter begins?
Sivaramakrishnan G.: All the revenue will be based on orders placed before. We do not get orders in the quarter. We normally get some orders slightly before the star t of the quarter, that is inseason orders or something like that. But usually, all the orders are locked when the quarter starts. So the lead times of raw material purchase, etcetera, it takes a month, 1.5 month. So it will be very, very tiny proportionat

e.
Pulkit Singhal: Right. So I'm just trying to figure out that statement which you made that I mean, most people are placing orders end moment, how do we evaluate that from -- before the downturn started to now in terms of how that is happening in terms of numbers like they used to face --
Sivaramakrishnan G.: For example, if it was the past, now my third quarter orders would have been completely booked. It would have been locked seal by now. And the middle of August, at the moment or well into August, and we should have had this in place. However, we believe that for us to close the third quarter, it will take towards end of August. So th at's what I mean by either they're trying to push it as much as possible.
Pulkit Singhal: Okay. So almost 15 to 25 days kind of I mean --
Sivaramakrishnan G.: Yes, correct.
Pulkit Singhal: Okay. And also in terms of -- I mean kind of related to the previous question, I mean, if you were to double your revenues from here, can you do with at similar or higher ASPs or will it require you to go down the ASP curve?
Sivaramakrishnan G.: Our endeavour will be to maintain this. I'll tell you why, because the higher ASPs primarily because of the outerwear component and outerwear is countercyclical for our business. So if you look at the Indian apparel exporters, largely they play on the spring/summer, which is Q3, Q4 denominated where Indian fabric is used cotton viscose fabrics are used. So since we have to also have a balanced utilization of our capacity. So as we add our capacity, we may have to also do a lot more outerwear to keep the proportion of that, and hence, hold on to the ASPs as well because that's what drives the ASPs.
Moderator: Our next question comes from the line of Prolin Nandu with Goldfish Capital.
Prolin Nandu: I just have one question, and these are early days in our Bhopal fac ility. But in terms of productivity that we are able to get from that faci lity and in terms of scaling up, right? And when we compare that productivity with some of our older factories, I mean, how confident are we that we can replicate the model that we have, let's say, in our home state in some of the other



states as well, it could be MP right now, but in the future, there could be some other states also.
So what are the early kind of learnings that we have in terms of labor productivity and scalability in MP?
Sivaramakrishnan G.: Okay. Good question. See, before I go into labo r -- I mean scalability, productivity, etcetera, from a labor availability perspect ive, it has been a very refreshing change. In the south, we always struggled, especially when we start growing, we always struggle to get the full complement of labor and that becomes

a limiting factor for our growth.
So we always run about 10% short, which results in us having to deploy more of overtime, etcetera, which comes at double the gross labor cost that we need to incur. So from our perspective, labor availability is important, and that is available in abundance. We have never been short of labor. In fact, labor, attendance, absenteeism on all those parameters seem to be far superior to what we get in the south.
Now as far as the productivity is concerned, the product will be lower, but it was anticipated because they are new, they are going through a training and they have come up the curve. So again, here, I expect it in 2 parts. As far as qu ality is concerned, we fo und that the quality of garments produced by them is of an equivalent standard. So the labor has become proficient and is delivering at high quality. As far as the productivity is concerned, they are tracking at a slower pace. So I find an equivalent labor in our current location, they have a faster learning curve than what we have there. But I guess it's a matter of time. If you give them a month or so, I guess, they will also come up. For now, the productivity r

amp-up is running slower than expected. Quality is at an equivalent level. Availability is far superior to what we thought.
Prolin Nandu: Sure. And just a follow-up to that. Is the state helping in terms of making the labor available or is it just a pure -- I mean, purely our effort that is leading to availability not being a challenge?
Sivaramakrishnan G.: Our effort, our effort. So we're just in the right location. We are tapping the right communities. We are providing the necessary infrastructure support, etcetera, etcetera, for them to come to our factory and all of that. We don't expect the state government to do all of that.
Prolin Nandu: Sure. And have we identified some of the other pockets where we can probably -- I mean, in the future also see such opportunities in terms of right location and conducive labor environment? Have we already started.?
Sivaramakrishnan G.: Not only that, plus the right labor, right government incentives and all of that. Yes, we have identified. We have identif ied, we have offered it all in our strategy. So as and when we want to grow, we have a clear plan on where all we want to grow, etcetera.
Moderator: Our next question comes from the line of Anush Kumar with Spark Asia Impact Managers.
Anush Kumar: My question is on the demand sluggishness, which is persisting for probably the next quarter as well. So is there any chance that there might be any rollover of these capex plans which is going on?


Sivaramakrishnan G.: No, these capexes also takes time to fructify. And on top of it, we also, from a productivity learning curve perspective, it takes time. So for example, the Bhopal unit came online in June. But by the time it reaches its full complement of workers, will be end of this year. And by the time the workers become fully productive, it will be well into middle of next year. So it takes time.
So we don't want to stop capex growth as we believe that by come FY '25, we should start seeing business as usual, and we will need capacity for growth. Our utiliz ation has not fallen as much and when the -- as compared to the demand fall. So when the demand goes back up to even normal, we should not be in a position where we are caught with lesser capacity in hand. So from that perspective, I think timing is okay.
Anush Kumar: Perfect, sir. So if you could break down this INR114 crores of new capacity and new projects which was mentioned in the presentation between the 2 plants, if you could give that number, it would be helpful.
A. Sathyamurthy: So we have another INR30 crores to spend in Bhopal, about INR35 crores to INR40 crores investment in our fabric processing unit and then we have INR30 crores additionally going for further expansion of new plants and new additions.
Anush Kumar: How much is for the Perundurai one?
A. Sathyamurthy: For Perundurai, INR37 crores more to spend as of now.
Moderator: Our next question comes from the line of Ak shay Kothari with Envision Capital.
Akshay Kothari: So I just wanted to know how do you track the inventory movement at the customer shelf for? What sort of conversations are you having with the customers?
Sivaramakrishnan G.: It's very difficult. We let you some third-part y reports and all of that and it's out all from conversation with the customers. At the end of the day, inventory be what it is. It is the brand strategy as to when they want to buy, which really governs our order books. So this inventory is only a proxy and it's a reasonably good proxy.
So we do tend to track from whatever sources we have. It's very difficult to accurately obtain all of this data. We look at the statements given out by the brands, especially to their investors. We track all of those and any other publications, we track this inventory.
Akshay Kothari: Okay. And once we have sold garment to the customer you won't take it back even in case it is dead stock, ri

ght?
Sivaramakrishnan G.: Correct. Correct. The responsibility shifts immediat ely to the buyer. And wh ether it sells or not,

it is their lookout, it's no longer our problem.
Akshay Kothari: Understood. And all the sales are on FOB basis, right?
Sivaramakrishnan G.: Correct.


Akshay Kothari: Okay. Sir, lastly, it's a very in teresting decision to go in Bhopal because the textile parks, which government has outlaid is actually coming near Indore in the region called Dhar.
Sivaramakrishnan G.: Correct.
Akshay Kothari: Any specific reason because I think Bhopal is not that much, Indore is becoming the hub for MP for textile parks, yes.
Sivaramakrishnan G.: Correct. So Dhar is a little away from Indore by the way. And it's the -- by the time this textile par comes into working, which means the necessary infrastructure, water, power, etcetera, is pulled into that place and the land is developed, it will take another 2 to 3 years. We cannot wait that long for the textile part to come up. So as and when thes e textile parks come up, we may consider it.
But for now, we have to go with whatever location we want. This is one reason. So textile parks are not ready yet for us. Second, we would like to be a little away from other industries so that we don't end up competing for labor with other industries which may have the potential to pay more. So Indore is fa r more industrialized.
And if you look at Indore & Pithampur more belt, there are a lot of engineering industries or so on and so forth, where they may have a propensity to pay more, I don't want to compete with them for the labor, whereas Bhopal doesn't have any of that. So that's one of the reasons why we went there. And the fabric mills like Vardhaman, etcetera, are more closer to Bhopal than Indore.
So the access to raw materials is easier.
Moderator: Our next question comes from the line of Anurag Agarwal, an individual investor.
Anurag Agarwal: Sir, I just wanted to understand, let's say, India signs FTA with U.K. or any other such bigger countries, western countries, what kind of impact will it have on us like in terms of -- will it help us get more clients? And to what extent will that help us?
Sivaramakrishnan G.: See, U.K. imports about US$4 billion from Bangladesh and ab out US$5 billion from China per annum. Now they export both synthetics and cotton so let's assume that about US$1.5 billion from China has cotton. And almost all of Bangladesh products can be made in India as well, that's US$4 billion. So when India gets an FTA -- as and when India gets an FTA, we will be, A, be on par with Bangladesh, that 12% delta goes away.
And B we will be cheaper than China to that -- by that amount. So it's natural that a portion of that business will get diversified into India. Nobody in U.K. wants to put so much from Bangladesh. If they get duty free access from India, they would like to diversify their supply source to reduce risks. Moreover, fabric all goes from India, so they would also want to be closer to where fabrics are so that the lead times can be reduced.
So the opportunity size at a minimum, I would say, is about US$1 billion. It could be even more depending on how much Indian apparel makers are able to pull from Bangladesh plus China, since we are going to be significantly cheaper than China and at par with Bangladesh. So that's


the opportunity size. There you go. Bigger players can, of course, try to get a good share out of that.
Anurag Agarwal: Got it. One more question from my end. Sir, like as you mentioned, most of these customers are wanting to have just-in-time inventory, something like that. They want the apparel to reach closer to the sale. So are you also seeing nearshore or onshore opportunities like I have heard it from some of other competitors also setting up factories near sho

re? Is that the case which --
Sivaramakrishnan G.: The apparel value chain people would like closer today so that they can turn things around faster. But keep in mind that nearshore locations are also very expensive. So the labor cost in some of those regions are high. So there's always a balance between nearshore and offshore from a cost consideration perspective.
And so, while some very fashion-oriented brands may opt for a higher proportion of nearshore so that they don't have markdown challenges as much or they don't have stockout related issues, where either the fashion -- a particular style is selling well, but th ey have less stocks available just an opportunity loss. So to prevent that, we want to have some onshore capacities.
They are usually sewing capacities but smaller vol umes. It allows some of us to improve our relationship with customers, but near shore will not be the main state, offshore will be because the costs are lower. It will be a combination of these two that come to play. Some of the nearshore locations also, especially if you look at CAFTA, that is the Central American Free Trade zone,

are duty free zone. But despite duty-free locations, the cost could be very high because of the
higher labor costs that prevail there compared to Asia.
Anurag Agarwal: Got it. So we don't currently have any plans or you're not in discussions with any of our clients
for near-shore opportunities, right?
Sivaramakrishnan G.: See there are lots of discussions that are happening. It all depends on when and -- if and when
we decide to do something. So I won't rule out anything at the moment. As part of a larger
strategy, we will look at all possible options. But we will only exercise an option as and when
we feel a compelling long-term sustainable strategy by going there.
Moderator: As there are no further questions, I would now ha nd the conference over to the management for
closing comments.
Sivaramakrishnan G.: Thank you. Thank you all for going through the Q&A session. I'm happy to answer your -- I was
happy to answer your questions. As I said, the business was going through trying times and continues to go through trying
times, especially from a demand perspective. The encouraging
sign is that despite the interest rate hike, th e U.S. market has been quite reasonably resilient.
European markets have also showed a reasonable amount of traction.
So retail market has not fallen down as much as one would have thought it would. Having said
that, with high inventory overhang and a conservative approach of the brand, they have been
extremely cagey about buying products. But I think part of that is also because, at the moment,
they are buying for autumn winter. And since the last autumn winter was very mild, they would have had excess inventory
from that.


Going forward, once we entered into spring/summer, this is for Q3 and Q4 production, I guess
brands will start buying a bit more. They will be a lot more confident in coming and picking up
stocks and that's what we are seeing. So early sign s of revival are there. We have seen reasonable
traction from the customers as far as the third quarter bookings go and the traction or the dialogue
for the fourth quarter as well.
However, for the second quarter, it will continue to be sluggish as we have seen so far and the
prospects will improve going forward. I see that th e longer-term trend is very solid. If India goes
and concludes the FTA with U.K., Canada is also a fairly advanced stages and later on in the
EU. I think these have the potential to open up vast opportunities for the Indian apparel industry.
They will help in propelling the grow th of this sector here in India.
People, like us, who are professional, who are large organized players will have a better
opportunity -- better shot at that opportunity. So we look forward to those incremental
opportunities as well

as we keep gr owing and creating capacity for growth.
Thank you so much for listening to us and look forward to the next meeting.
Moderator: Thank you. The conference of Gokaldas Exports Limited has now concluded. Thank you for
your participation. You may now disconnect your lines.

# Call: Sep 2023

GEL/SEC/2023-24/54

September 05, 2023

Dear Sir / Madam,
Sub: Transcript of investors call
Pursuant to Regulation 30 and Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find en closed the transcript of investors call held on August 29, 2023. The Transcript is also available on the Co mpany's website at https://www.gokaldasexports.com/investors/ .

Please take this into your records.
Thanking you,
Yours truly, For Gokaldas Exports Limited

Gourish Hegde Company Secretary & Compliance Officer
Encl: as above

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th Floor, Dalal Street,
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Scrip Code - 532630 National Stock Exchange of India Limited
The Exchange Plaza Bandra-Kurla Complex, Bandra (E),
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Scrip Code: GOKEX
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"Gokaldas Exports Limited
Conference Call"

August 29, 2023

ANALYST : M R. BINAY SARDA – ERNST & YOUNG

MANAGEMENT : M R. SIVARAMAKRISHNAN GANAPATHI – VICE
CHAIRMAN & MANAGING DIRECTOR - GOKALDAS
EXPORTS LIMITED
MR. A. SATHYAMURTHY - CHIEF FINANCIAL OFFICER -
GOKALDAS EXPORTS LIMITED
Gokaldas Exports Limited
August 29, 2023

Page 2 of 30 Moderator: Ladies and gentlemen, good day and welcome to Gokaldas Exports conference call. As a reminder, all participants' lines will be in the listen only mode and there will be an opportunity for you to ask questions after th e presentation concludes. Should you need assistance during the conference call, please signal for an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Binay Sarda from Erns t & Young. Thank you and over to you Sir!
Binay Sarda: Thank you Nirav. Good morning to all the partic ipants on this call. Before we proceed to the call, let me remind you that the discussi on may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause future result performance of achievement to differ significantly from what is expressed or implied by such forward-
looking statements. To talk about the recent acquisitions and answer your questions today we have the top management of Gokald as Exports Limited represented by Mr. Sivaramakrishnan Ganapathi – Vice Chai rman and Managing Director and Mr.

Sathyamurthy – Chief Financial Officer. We will start the call with the brief overview of the acquisition and then conduct Q&A session. With that said, I will now hand over the call to Mr. Siva. Over to you Sir!

Sivaramakrishnan G: Thank you Binay. Good morning, everybody. Thank you for joining us at this extraordinary investor presentation. Last evening we conc luded definitive agreement with Atraco Group which has got manufacturing facilities in Afri ca and have operations in UAE, Kenya, and Ethiopia. They are head quartered in Dubai in United Arab Emirates where all the marketing, production coordination, the senior leadership team, thei r sourcing and finance functions are all located. While the manufactu ring happens out of four different units in Kenya and one unit in Ethiopia so that is the spr ead of the network of this particular asset. This company was setup in 1986, so it is a very well regarded, long established apparel manufacturing company with a solid reputation in the industry. They employ about 13,000 workers and have got fairly long-standing custom er relations. Bulk of the production of this company goes to United States, 95% of the out put is exported to the US and the reason fundamentally is that the acc ess to American market is facilitated by AGOA which is a special treaty w

hich allows Afri can countries to export duty fre e to United States so Kenya qualifies for AGOA, Ethiopia used to qualify but of late since the ci vil war two years ago the AGOA benefit has been suspended. Ethiopi a continues to access Europe through duty free arrangements and it is ex pected some time in the future th at the AGOA benefit for Ethiopia will also be restored but bulk of the output of this company goes duty free into United States. This is also a duty free access to the US. The pr oduct range includes products for men, women, and children. Products acro ss bottoms, tops, blouses , dresses etc in both woven and knit so the company has been adhere to privately help and post this transaction

 we intend acquiring 100% of the equity of the entire company. The key advantage that I see for Gokaldas Exports from this asset is one we get access to low cost locations namely Kenya, Ethiopia and maybe any other geographies like that in the future. A duty-free access to principal market which is going to be a ve ry big advantage. Duty free locations always gets priority in terms of sourcing allocation from large brand and that is why regardless of market volatility and fluctuat ions these countries do not see much drop in volumes. The production facilities that the company has are all exceptional. They are very well run and very efficiently managed. The company has got very good track record over the years. The relationship with the customers are solid so all of this gives us the confident that we have identified a great opportunity for partnering and growing and post this acquisition we will have one more region to leverage upon for fu ture growth. The company in 2022 calendar year delivered revenue of US$107 million and a PAT of about US$7.2 million. It had about a little over US$1 million of onetime cost that got baked into its calendar 2022 P&L on account of start up of a new unit that they set up. This will not be there going forward so to that extent their PAT has been under stated so the company has got reasonably good potential for growth as well with the new capacity that they recently put up. There is an opportunity to ramp that up going forward in calendar 2024 and the years ahead so we see a fairly good opportunity with Gokaldas and Atr aco coming together. The customer base that we have is largely mutually exclusive. Ther e is only one common customer that we have between us but otherwise we got access to new bunch of customers and hopefully we can even cross sell so overall I am enthused by th e fact that we get access to a new geography. I am enthused by the fact that we have the ability to grow in multiple geographies and service our customers better. I am enthused that we have got a fairly strong management team in Atraco which can continue to progress this co mpany forward. I am gl ad that we have done everything in our possibility to make sure that the acquisition was well thought out. We have a lot of cultural similarities between th e two companies as well as both of us are very conservative in our approach and I feel confid ent that once the acquisition closes which will happen sometime in October afte r receiving all regulatory approv als, we should be able to bring more cross functional capabilities to one another and drive up the synergies and hopefully if the demand in the market picks up then we will have fairly strong growth possible going forward. I will stop here and pause for any questions that you all may have. Thank you.

Moderator: Thank you very much. Ladies and gentleman, we will now begin the question-and-answer session. The first question is from the line of Kapil Jagasia from Nuvama Wealth. Please go ahead.

Kapil Jagasia : Good morning all of you. Thank you for taking my question. Sir my first question is on the timing of this acquisition. Now we already w itnessed a slow Q1 a

nd probably as per your
 commentary it would be slow Q2 as well and we are already on our max of capex plan so though this acquisition is at a very good value and the synergies are there for sure, but would not the timing would have been a little later when mo st of your capex plan would have been commissioned towards the Q3 or Q4 and probably there would have been some uptick in the exports because the exports month on month has been a decline so just wanted your comments on it.

Sivaramakrishnan G: Going forward starting third quarter I am seeing an upward trend in exports so I am not as particularly concerned about the timing at all. On contrary since this asset is based out of duty-free region there is a strong support from the customers as they get access to lower cost garments from these region. The order book for this company is also relatively strong from the latter half of this year onwards, so I do not see any challenges in acquiring this and being able to utilize their capacity. We do have strong tractions from our respective customers. As I said the customers are also fairly mutually exclusive and their customers are also giving them fairly good traction from a business stand point so our capacities which will come on board towards the latter half of this year and early FY2024, all the efforts that we have been doing to fill that continues and those are for businesses that are denominated out of this region which is India and South Asia where as the businesses that Atraco will do will be those which are denominated for middle east, Africa region and that is an incremental business that we will tap into an d there also we see strong traction from the customers so I do not see much of a problem from capacity utilization perspective going forward.

Kapil Jagasia : Sure, that helps. My next questions is coul d you help us with the split woven and knit wear because if I see 40 million pieces for this company so probably it would be a split of around say 60:40 for woven wear, knit wear ju st wanted the realization part.

Sivaramakrishnan G: So in the 40 million, capacity denominated in certain SAM values etc. They actual number of pieces may vary depending on what are the specific styles of the garment that we make so with that caveat having their woven to knit ra tio is 74:26 so almost 3/4 of their output is woven and quarter is knit.

Kapil Jagasia : Sure and Sir what could be the capacity utilization Atraco would be at currently?

Sivaramakrishnan G: Almost like a shade under 90%.

Kapil Jagasia : Okay great. That helps a lot Sir. Thank you I have no further questions.

 Moderator: Thank you. Next question is from the line of Bhavin Chheda from Enam Holdings. Please go ahead.

Bhavin Chheda: Yes congratulations on this acquisition. It l ooks attractive on the first glance. Sir few questions first on this AGOA treaty is due fo r renewal in December 2025 and currently I think the acquisition looks obviou sly there is a big duty advantage to US, 95% of the sales are to US and treaty is due for renewal next year so what would be your thought process on the same.

Sivaramakrishnan G: So we are reasonably confident that the AGOA benefit will get extended. Usually AGOA is given for a 10 year timeframe and that expire s in 2025. In the previous period also AGOA got extended. Kenya believes very strongly that AGOA will be extended. Kenya is also working on a FTA with the US. The relationshi p between America and Kenya is very, very strong. They have a very good relationship an d America is investing a lot in Kenya and strengthening the relationship becau se there is also a geo political move between China and America to come closer in Africa so from al l of those aspects and knowing that Kenya is one of the strongest allies in the African regi on for United States we

have a strong belief that Kenya will continue to have preferential access to US market that apart there is also a preferential access to European market so we take comfort from that. Not only all of this but fundamentally also the assets are very effici ently run and cost effective so even let us assume that entire re gion loses AGOA which I do not see as a possibility at all. The financial structures will be good enough to keep the businesses going.

Bhavin Chheda: Sure Sir. Second on the product segments, are there any products or segment which are common between you and them or this is co mpletely new segments which you are not doing, since you also said that the customers are not common so if you can give some idea are there any overlapping products or this is completely new segments which you were not there earlier.

Sivaramakrishnan G: So, we do largely woven. They are 75% woven and Knits is a product which is not overlapping between us and them. They also do about 40-50% of children garment which is a not a product category that we are present in. We do only men and women so from that perspective our overlap is restricted to wove n which is 75% of their revenue but only on

men and women which is again half of their re venue, the other half being children. It is a
new segment for us, knits is also a new segm ent for us that is 25% of their revenue.
Bhavin Chheda: Thanks a lot Sir.
 Moderator: Thank you very much. Next question is from the line of Sohini Andani from SBI Funds
Please go ahead.
Sohini Andani: So, I wanted to get some pers pective on the previous owners from whom we have acquired
this business and why were they looking to sell this and in terms of retaining the key people
in that geography what are our plans.
Sivaramakrishnan G: So, the previous owner he has aged and he wanted to pass on the legacy to somebody who
can take this asset and hopefully grow upon it , protect the legacy and probably further the
legacy so that was the intention. It was mo re of passing on the asset to someone who can
take care of it. They came from that perspective so there is going to be and holding that I
will seek from the existing owner for a period of one year or so and he has graciously
consented to that. The company itself is run by a management team. There is a CEO. There is a COO who is operating the
operations of the company and they are all very seasoned
professionals, very well respected in the i ndustry as well so from a continuance of
operational stability from a management perspective we are keeping all of them. We are
keeping the top management, the middle management, the factory management, and all of that. They are all solid,
professionals and there will be continuity in operation from their
perspective.
Sohini Andani: Sure, that is great to hear and also wanted to check that since you mentioned that the
operations are run almost at about 90% capacity utilization so when do you think would you
be investing further into that geographies and what will be the quantum how do we would
need to do that.
Sivaramakrishnan G: This will have to be worked out going forward, but I an ticipate that starting calendar 2024
we will probably start looki ng at planning the capacity expa nsion, so we should start really
investing in calendar 2025 in capacity expansion. The new unit that they have set up, there
is scope for additional lines to be set up in that unit as there is a space and region earmarked for further capacity expansion in
the in the fourth unit in Kenya. So we will be investing
going forward once the market conditions are also accessed and we get control over the
assets sometime toward the end of October this year. So, my expectation is towards end of
2024, we will be working on it and 2025 we s hould have the capacity enhancements in
place.
Sohini Andani: Sure. Thank you for your explanation.
Moderator: Tha

nk you. Next question is from the line of Reha n from Equitree Capital. Please go ahead.
 Rehan : Hi Sir, congrats on the acquisition. My fi rst question is when do you see the numbers
kicking on your P&L for the new acquisition?
Sivaramakrishnan G: So, we have entered into agreement and now these are subject to regulatory approvals from
respective countries. We anticipate that all of that will get concluded by end of October.
Now the usual caveat remains because we are expecting the approval from government and
there could be delays but our anticipation is end of October, so from November onwards,
we will start consolidating the numbers into our P&L.
Rehan : Okay and second question would be what is the amount of debt to equity you plan to use for
funding this acquisition.
Sivaramakrishnan G: So the total cost of acquisition is US$55 million for 100% of the equity. We intend using
US$15 million from our own cash on hand and US$40 million we plan to take debt. We
have already secured line of credit from ba nks and that US$40 million we will deploy for
the balance of acquisition cost.
Rehan : Thank you Sir.
Moderator: Thank you. Next question is from the line of Tejas Mehta from Max Li fe Insurance. Please
go ahead.
Tejas Mehta : Hi Siva, thanks for taking my question. Firs t of all, congrats on this good acquisition. If you
can share some basic number. You did mention that they do about US$7 million of profit
last year and in fact one number which you menti oned is one time cost other than that what
is the EBITDA percentage do they make, what sort of gross block does this entity have, what sort of debt this balanc e sheet
has, if you can throw some related numbers to us it
would be helpful.
Sivaramakrishnan G: See the number that I mentioned was a little over US$1 million which was a onetime cost
that they had in setting up the new unit so that they took a P&L hit in calendar 2022 which

we do not expect that to recur so the US$7.2 million of PAT is after taking that little over US$1 million of it in that onetime cost. As far as EBITDA margin is concerned, if I adjust
for the one time hit in calendar 2022, this asse t should have an EBITDA margin of a little
over 10.5% and I expect that as we invest in upgrade of plant and machinery etc and also
we expand the capacity there we should have operating leverage kick in. We should also
have some efficiencies coming th rough further investments coming in, all of that there is an
upside potential as usual of about 1.5 to 2% there and we will work towards that over the
next two to three years to rea lize that. So it will require some amount of investments, some
 amount of expansion. It is a ve ry wellrun company, so we will have to work on improving
the efficiency and hence the margins there going forward.
Tejas Mehta : Got it and any debt which is there in the balance sheet, what is the gross loss that they have
today.
Sivaramakrishnan G: They currently have a US$15 million working capital debt. There is no other term debt on
the books of the company.
Tejas Mehta : Okay and is it a similar model like how they have 4x, asset turns.
Sivaramakrishnan G: More or less similar model yes.
Tejas Mehta : Okay got it. Thank you so much.
Moderator: Thank you. Next question is from the line of Nishid Shah of Ambika Fincap. Please go
ahead.
Nishid Shah : Hi Siva congratulations. Siva additional capacity through the brown field expansion and
also the scope for cost reduction in terms of manufacturing, marketing because you have
marketing network here, you have a marketing network in this company so obviously there
will be some synergies coming in so basically are we saying that 1.5 to 2% efficiency
coming in EBITDA over the next one to two years would bring the EBITDA for the acquired unit also in line with what w

e are currently having right now.
Sivaramakrishnan G: I think so. Over that two to three year period we should be able to bring it more or less in
line with the EBITDA margins that we have here.
Nishid Shah : Superb that is very good and, on the custom ers, you said that it is complementing so we
also get a lot of new customers coming in th rough these acquisitions could you give some
more colour on that.
Sivaramakrishnan G: So these are all American customers that they have and they have had multi decadal
relations with. Those customers there are a po tential that we can ta ke our customer. We
have a much bigger customer base then they have in terms of sheer number of customers
and we can take our customers there over a peri od of time some of their customers also we
can work with so that potential exists is what I alluded to when I said that it is a
complimentary customer base where there is a possibility of cross fertilization of customers
going forward.
 Nishid Shah : Siva on the working capital, how much working capital do they have, are we paying also for
the working capital. What I am trying to say we are paying US$55 million for the
acquisition but how much is the working capital there or is line with the working capital
loan that they have.
A.Sathyamurthy: About US$15 million is the working capital debt they have as on date. Their working
capital cycle is a little longer than our Wo rking capital cycle. About 110 days is, the
working capital cycle because of the long l ead time they have, to import the material,
inventory holding is about 70 days and also the receivables is around 50 days, though there
is some inefficiency we will work on it bu t currently their operating cycle is about 110
days.
Nishid Shah : I am just trying to understand the numbers so working capital debt is how much and how
much is the working capital.
Sivaramakrishnan G: US$35 million is the working capital. They have a working capital debt of only US$15
million.
Nishid Shah : US$50 million is the debt.
Sivaramakrishnan G: Correct.
Nishid Shah : Five zero is the debt.
Sivaramakrishnan G: One five.
Nishid Shah : One five so if I adjust for it we are act ually enjoying US$15 million dollar coming out of
working capital is not it Siva you understood what I am asking. US$20 million actually is
the working capital I am gaining net of the work ing capital debt that I have. So then we are
actually getting it for a very reasonable valuation and Siva the last question from my side this makes us not just an India
centric globa l garment manufacturer we will now be truly

going global with Africa and also you have already a move onto Bangladesh, so are we
gearing up to become a truly global garment exporter?
Sivaramakrishnan G: The intention is that. That’s the mean to achieve an end, the real objective is to have a fairly
strong customer base a company that can provide extensive solutions to our customers and having global execution is one part of that equa tion. We should also ha ve a stronger design
capability. We should have a stronger marketing capability. So we will have to have front
end offices, more investments in design and all of that, so all of those parts also we need to
build out, but definitely this is a big step because setting up manufacturing unit globally is
 not easy and it takes a lot of time before they can mature to be very efficient. This
acquisition reduces the process, the time taken in the process and gives us a good asset to
start working with.
Nishid Shah : Thank you and I think this is a very good acquisition. All the very best. Thank you very
much.
Moderator: Thank you. Next question is from the line of Vikram Suryavanshi from PhillipCapital.
Please go ahead.
Vikram Suryavanshi : Good morning and congratulations Sir. Most of questions answere

d, but just to break up the
capacity between Kenya and Ethi opia can you share that number.
A. Sathyamurthy: 87% is Kenya in 2022 about 13% of the business came from Ethiopia unit. Because in
Ethiopia they have only one unit, a nd operate four units in Kenya.
Vikram Suryavanshi : Okay and is there material difference betw een these Ethiopia and Kenya products or more
or less similar.
Sivaramakrishnan G: Products are similar.
Vikram Suryavanshi : Okay so average realization wise there is not much difference.
Sivaramakrishnan G: Not much of a difference at all.
Vikram Suryavanshi : Okay in terms of labour efficiency or productivity, if you compare with the India how these
are the numbers in terms of cost advant ages if you can give some reference.
Sivaramakrishnan G: In terms of efficiencies they are very well efficiently run business and I see that the
efficiency of the labour force at least that I have seen in their unit are as good as India
maybe even a notch better so that goes as far as the efficiencies are concerned. As far as the labour costs are concerned Kenya the labour cost is approximately $190 to $210 odd dollars per month which is notch higher than that of India, but then obviously the efficiency
compensates for it and fall in Kenyan shilling also helps to reduce the cost. The Ethiopian
costs are a lot lower. The total cost come s to about $110 to $120 per month per labour.
They are much cheaper than India or Kenya for that matter.
Vikram Suryavanshi : Okay got it. Thank you Sir.
 Moderator: Thank you. Next question is from the line of Vi kas Jain from Equirus Securities. Please go ahead.
Vikas Jain : Thank you Sir. Thank you so much for the opportunity. First of all Sir congrats for a very
great acquisition. Sir my first question is with respect to operations at our both Kenya and
Ethiopia facility. As per your assessment how eas y or difficult is managing the labour there,
most importantly with respect to either bringing them to the factory or either handling the acquisition there or managing the productivity ther e. Any views to respect to that and major
that we are taking scale up or we have plans to scale up their efficiency there.
Sivaramakrishnan G: I could hear the question and I could fill in the gaps as well. So let me answer this question.
The Kenyan, the operations there are very efficient in fact manpower availability is also
good both in Kenya and in Ethiopia the new un its that got set up abundance of manpower
available. The attrition rates are slightly better than that of India, but not a whole lot better. The manpower productivity in both Kenya and Ethi opia is strong. I feel Kenya is a little
better than Ethiopia. Ethiopian culture being what it is, it is somewhat like India. So they
also take a lot of festival holidays and all of that stuff but by and large I think from a
manpower management perspective, I do not see any problem whatsoever because these
companies have been run there for years together . So whatever issues they have had, they
have ironed it out over a period of time, manage d to find the formula to run it so what we
are getting is a well oiled, well run, and we ll managed labour force so we do not see a
problem in managing the labour or even expandi ng for future growth because the ability to
manage the labour force in both these countries exist.
Vikas Jain : Got it Sir. Sir my second question is with respect to our clientele. While we also derive
almost 85% of our revenue from North America and they also have around 95% coming
from the America side but then you are saying that except for one retailer we do not have any overlap so can you like name

who are all the top four size retailer cl ient base for Atraco
group?
Sivaramakrishnan G: At this point I am not at liberty to name the customers. We need permission from the
customers. We concluded the deals yesterday so we hav

e not gone through all that process
so I will ask you to kindly bear with me on the names but then the fundamental factor is that
they go duty free into the US and that is the reason why they have American customers
largely. Going forward if FTA and all happens between India and UK we will try to balance
our customer base and take our business a litt le more and shift that towards Europe from a
very, very strong reliance on the US market so that will happen over a period of time on the
Gokaldas Exports side. The Africa n assets will at least for now continue to be facing United
States.
 Vikas Jain : Understood. Alright Sir. Thank y ou so much. Thank you for answering.
Moderator: Thank you. The next question is from the line of Hiren Dasani from Goldman Sachs. Please
go ahead.
Hiren Dasani: Congratulations on a great deal . I was just wondering like it is a well-managed operation
and reasonable profitable margin, labour productivity is not very different so the succession
was the only reason for the owners to sell out?
Sivaramakrishnan G: That is correct. Yes.
Hiren Dasani: Would you expand the capacities more in those geographies only where the current
management teams will have the expertis e to run the labour intensive operations?
Sivaramakrishnan G: The senior management sits ou t of Dubai so we probably can ta rget a larger region of East
Africa for now and while the initial focus will be on the two countries more so in Kenya than Ethiopia but still Kenya and
Ethiopia, we will also explore other opportunities going forward. The management team in the past has run operati ons in
Egypt, Madagascar, and all
these places. They used to have factories in those regions as well about 20 years ago or 25
years ago, in fact they started by having some units in UAE itself so this management has the ability to handle multiple units
in multiple geographies. The model allows us to do that
because all the businesses are booked in UAE and then manufactured in the respective
geographies so the way the operations are set up is they are scalable, we can also tap into
new counties, new geographies, se t up new units, and work with third party units if the need
arises even though I am very reluctant to go down that path as well. There are multiple
options for exploring other adjacent geographi es. We will be careful in entering newer
regions and we will do our strong due diligen ce before we commit to any geographies that
we were hitherto not present so even now we did a strong diligenc e on Kenya, we did a
diligence on Ethiopia, the factory that they have is present in Addis Ababa which is the
capital city and is well protected, so all of those diligences have been done. We have looked
at manpower linkages so all those diligences will continue when we look at future
expansions with this asset as well.
Hiren Dasani: Got it and you are reasonably locking in the se nior management with appropriate incentives
and all that?
Sivaramakrishnan G: Yes correct.
 Hiren Dasani: Finally just to clarify are you saying that Kenya labour cost even on a productivity adjusted
basis is slightly higher than India?
Sivaramakrishnan G: Productivity adjusted will be more or less at India level. Thankfully the Kenyan Shilling has
fallen which has helped India to that extent. So I would say they are coming at India cost
level, so my cost in Madhya Pradesh probably w ill be a shade cheaper but what we look at
is landed duty paid cost to the customer so the duty-free access the American duties can go as high as 28% for synthetics so
that is a huge play that exist there, so overall I think that
benefit more than offsets any other incremental cost so it is a slightly different value
proposition. By and large the labour cost is si milar to India, duty-free access is stronger.
There are re

gions within Kenya where the labour costs are lower as you go away from cities of Kenya, Nairobi and Mombasa so those are
all areas that we can tap into also going
forward.
Hiren Dasani: Great. Congratulations once agai n and thanks for the opportunity.
Moderator: Thank you. The next question is from the line of Niraj Mansi ngka from White Pine
Investment Management Privat e Limited. Please go ahead.
Niraj Mansingka: Sir thank you. I have only two questions one was on the revenue growth you had said that
the Kenya figure US$30 million growth potential can you elaborate on that?

Sivaramakrishnan G: The new factory that has been set up by th em in Kenya there is an expansion potential available there so we can add extra lines there going forward in the future once we take control over the asset and we will probably plan that sometime in the next calendar year that is 2024 so we do have the opportunity to ta ke the revenue up by US$20 million or even probably more.
Niraj Mansingka: The time to bring into revenue will be how many months?
Sivaramakrishnan G: I think this would probably be clos er to 2025 or so in calendar year.
Niraj Mansingka: So basically, the growth in Kenya will only come in FY2025 because you are running in almost 90% utilizati on in that or you can see some more utilization growth?
Sivaramakrishnan G: So we will have to add that machinery, then recruit the workers; train them, so there is a process of six months to one year which we go through to deliver all of that.
Niraj Mansingka: How is easy or difficult to hire people in that location?
 Sivaramakrishnan G: Not at all difficult, there were abundance of people available, the reputation of the company is good so people would like to join them and work, the track record of treating people well and paying them salaries, etc., is strong so not at all difficult.
Niraj Mansingka: Last question is on EBITDA you said that EBITDA margin is accretive the company is only doing 10.5% so is there some immediate term margin growth that you will see coming in or just two years period or that you are talking of one-and-a-half years?
Sivaramakrishnan G: We need the twoyear period to do that.
Niraj Mansingka: Great. Thank you.
Moderator: Thank you. The next question is from the lin e of Kaustubh Pawaskar from Sharekhan by BNP Paribas. Please go ahead.
Kaustubh Pawaskar: Thanks for giving the opportunity. Most of my questions have been answered. Sir on the margin front again I just want to understand the African asset margins are slightly lower than what we have currently around 11.5% to 12% is it mainly because of the lower realization what we are getting over there because as you said that labour cost or operating efficiencies are similar to what the Indian assets currently have so is it more to deal with the product profile what they are curre ntly selling to the US market?
Sivaramakrishnan G: It is product profile, regional profile and custom er profile; there is a lot of all that going on there, so it is a bit of combination of all of those. There is also a factor that not too much of investments in plant and machinery over the period has happened which also will drive some incremental productivity improvement and which can then help shore up the EBITDA so all of that may happen going forward but it is largely and currently a result of the product and customer profile.
Kaustubh Pawaskar: Right Sir so any kind of investment or thoughts you have that you are planning to go beyond the capacity addition what you are planning to do for that?
Sivaramakrishnan G: I do not intend doing anything immediately at least for the next one year except for absolutely critical capexes which are in the nature of replacement capexes or improvement capexes but we will do the plan sometime in 2024 and then probably 2025 we may want to do some upgrade capexes.
K

austubh Pawaskar: Right and last one for the debt part of US$40 million you are planning to take for the acquisition so what will be the cost?
 A. Sathyamurthy: It is in the range of around 250 basi s points over SOFR all inclusive costs.
Kaustubh Pawaskar: 250 basis points over?
Sivaramakrishnan G: Over SOFR.
Kaustubh Pawaskar: Tax benefits?
Sivaramakrishnan G: Yes, we do have. So, in Kenya we are setting it up as an EPZ. So, we will enjoy a 10-year tax holiday and the business is largely denomin ated in UAE so all the revenues are booked in UAE and then the manufacturing operations are done in the respective entities in respective countries and those entities are paid certain transfer prices for carrying out the manufacturing, so the working capital is also held in the UAE entity. So the profits are largely booked there and UAE being a tax efficient region there will be tax benefits.
Kaustubh Pawaskar: Thank you and all the best.
Moderator: Thank you. The next question is from the line of Varun Gajaria from Omkara Capital Private Limited. Please go ahead.
Varun Gajaria: Congratulations on the acquisition. Sir you ju st mentioned that we could add another incremental US$20 million in terms of revenue over the next two years from the acquisition what is the capex that you are looking at an d what is the capacity addition that you are

looking at there in that particular region?
Sivaramakrishnan G: The capex in my opinion will be about US$4 million in that region and there will be some incremental working capital as well which will be required for delivering the incremental US$20 million revenue?
Varun Gajaria: Right and four times asset turn?
Sivaramakrishnan G: That is correct.
Varun Gajaria: Just a small clarification Sir.
Sivaramakrishnan G: We will have a little higher capex productiv ity this expansion will happen in an existing facility so incremental cost of building out the facility and all will be not there as far as this particular asset is concerned so there may be a little more efficiency in the revenue to capex.
 Varun Gajaria: Right so probably towards the end of FY2025 what will our cash or debt position look like, post completing all your capexes and everything else?
A. Sathyamurthy: At the group level you are talking about or at the Gokaldas Exports on a standalone basis?
Varun Gajaria: At a group level.
A. Sathyamurthy: We anticipate net debt including all th is around Rs.150 Crores to Rs.200 Crores.
Varun Gajaria: Right okay so this particular debt position will be post the capex that you will be doing right?
A. Sathyamurthy: Yes Atraco capex mostly will happen in Q4 of this financial year or later part of Q1 next year however that will not be significant. What we talked about Gokaldas Group level debt is after taking care of the expa nsion activities happening in India as well as the investments what we are intending to do and the working cap ital funding for the same. All put together at the net level we anticipate about Rs.150 Cr ores to Rs 200 Crores is the estimated debt after completing the acquisition and the expans ion plan for the financial year of FY2024.
Moderator: Thank you. The next question is from th e line of Arvind Kothari from Niveshaay Investment Advisory. Please go ahead.
Arvind Kothari: Congratulations on a great acquisition. I wanted to understand that we also wanted to expand in Bangladesh as well so what are our plans going forward now with this acquisition will we go ahead with that because there is also a talk of the Bangladesh minimum wages going up by 70% to 80% by the year end so wanted to understand on that part?
Sivaramakrishnan G: Good question. We had suspended the Bangladesh expansion till we had a better read on the market conditions from a demand pe rceptive. Now with these asse

ts in place we still have the opportunity to invest in Bangladesh. We will continue to be open minded about it and if the opportunity exists and if there is consumer traction for it we will look at it but we will review the decisions and take a decision closer to date. When we took the Bangladesh decision obviously this asset was not in play. No w that this asset is in play we can take a look at it. We are not ruling it out at all. In fact Banglades h attractiveness thanks to duty-free access to Europe continues and having said that their cost structures are also going up and there is a mood amongst buyers to diversify out of Bangladesh but despite all this talk you should realize that Bangladesh exports about US$42 billion compared to India US$16 billion so Bangladesh over the last few years have continued to grow and that is the region
 which is still favored by the brand so we are not rolling that place out at all. We will keep that in play for the foreseeable future.
Arvind Kothari: So in that context I just wanted to understand if the minimum wage bill were to be passed in Bangladesh have we made some assessment of how it will affect the business volumes in India because that will do away the tax advantage that they might have right?
Sivaramakrishnan G: So if the minimum wage goes up by 40% to 50% which is also a good likelihood and Bangladesh does this once every five years or so after that this minimum wage will just stay put so first we will have to assess the quant um of minimum wage increase. You should also keep in mind that Bangladeshi Taka in the la st one year depreciated by 13% whereas Indian Rupee depreciated by 3%. So there is an incr emental depreciation of Bangladeshi Taka by 10%, so that also has got a countervailing impact on all of these. So let us say a 40% increase in wages translates to about 10% decrease in EBITDA margin assuming wage is 25% but a 10% relative depreciation offset that so we will have to keep all of these factors in mind when we do the calculation.
Arvind Kothari: Got it and Sir finally can you name some clients or the large top five clients that the new entity would be having to just understand their relationship with them?
Sivaramakrishnan G: We just had an agreement with the sellers ye sterday. We have not really sought permission from the clients at the moment, it is a bit too premature and we have not had the time to seek the necessary permission to disclose their na mes and I want to respect this asset is still

not in our hands, all this is subject to clos ing, so I do not want to speak out anything in
public till we have the clearances for that.
Arvind Kothari: Perfect Sir but in our due diligence have we made an analysis of what is the contribution of
the largest buyers in their sale?
Sivaramakrishnan G: So our top three customers collectively have contributed to about 65% of the revenue, so
they do have a significant concentration of customers.
Arvind Kothari: Got it Sir. Helps a lot. Thank you so much and all the best.
Moderator: Thank you. The next question is from the line of Apurva Shah from PhillipCapital. Please
go ahead.
Apurva Shah: Thank you so much and congratulations to you and your entire team for the fantastic
acquisition. Just continuing with the last que stion so just wanted to understand the thought
process is there any change in the strategy be cause in the last conve rsation if I remember
 clearly we have never spoken ab out Kenya or Ethiopia, but we were more focused towards
Bangladesh, so what has changed your thought process or strategy which has led to a
sudden acquisition which seems to be a prima facie seems to be very good acquisition for
you as well so what has changed in the thought process or strategy?
Sivaramakrishnan G: Strategy remains the same. The reason for cho

osing Bangladesh because it had a duty-free
access to the Western market which is Europe, Kenya has a duty-free access to US market. It is always looking at low cost region for ma nufacturing because my belief is if you are in a
low-cost region your sustainability of the busine ss is much longer. So we will continue to
explore low-cost region. We got an opportunity to tap this region by acquiring a very well
run company, there was meeting of minds, etc ., that happened here it could have happened
in Bangladesh for all we care. At this point in time if the opportunity presented itself in
another geography but the attraction of the geog raphy was fairly simila r that is the reason
why we chose this one.
Apurva Shah: Got it and Sir in Bangladesh we have finali zed some JV partner and we were in advanced
discussion as well so based on your statement I think that JV is no more at a progressing
level or what is the current st atus of that JV and what could be your plan for Bangladesh
over the next two years?
Sivaramakrishnan G: The JV is intact. The relationship is inta ct. We just decided that we will time it
appropriately when the market conditions impr ove. Last six months or nine months the
markets were not that great that both of us were not very comfortable going ahead and
putting in capex and building capacity. We were taking over an existing capacity through
which was under receivership with the banks . So the capacity would have come up on
screen pretty quickly and then ramping up in Ba ngladesh also does not ta ke time as the need
of talented labour is availabl e. So we did not want to make huge investments till we were
sure of the market that is why we have been put that on hold and it continues to be on hold
and we will review it and take a call going forward.
Apurva Shah: Got it and Sir just last question on the capex side, so except this change in some Bangladesh
because of the ongoing situation there is no ch ange in the capex front for the domestic
operation so whatever we have done that is ju st top up of your domestic expansion is that
clear understanding Sir?
Sivaramakrishnan G: Correct.
Apurva Shah: Great Sir. Thank you very much and all the best.
 Moderator: Thank you. The next question is from the line of Gaurav Sud from Kanav Capital Advisors
Private Limited. Please go ahead.
Gaurav Sud: Thanks for the opportunity and congratulations for a great acquisition. One thing I wanted
to know was in terms of the product breakup fo r the new company, what is the breakup
between synthetic and cotton yarn?
Sivaramakrishnan G: I think it is about 50:50 between synthetic and cotton, probably a little higher on synthetic,
maybe even 60:40 it is a little more synthetic weighted.
Gaurav Sud: Where is the fabric sourced from?
Sivaramakrishnan G: Largely China. Synthetic fabric s are mostly sourced from China.
Gaurav Sud: Cotton part?
Sivaramakrishnan G: The cotton from China, India, Pakistan, and all these regions.
Gaurav Sud: So would there be an opportunity for you to be sourcing came to India and you could use
the scale economies in order to reduce the procurement cost?
Sivaramakrishnan G: We will explore all of that. Being a standal one region if they have a superior sourcing
ability from China or some other regions if the pricing is better we will continue to explore

all those options. For synthetic anyway we will continue to focus on China.
Gaurav Sud: Last question from mine on a year-on-year ba sis do you expect the revenues to grow there or they will be stagnant or degrow where is the current run rate headed?
Sivaramakrishnan G: They are currently on a calendar year book closing, so I do not expect much growth in calendar 2023 given the global market conditio n, but calendar 2024 onwards we anticipate good growth.
Gaurav Sud: Thank you Sir.
Moderator: Thank you. The next question is

from the line of Priyadarshee Dasmohapatra from Fidelity International. Please go ahead.
Priyadarshee D: Thank you for taking my question and congrat ulations. My question was more around the risks behind this acquisition, so we are entering a different territory and some of the Indian players have had problems in Ethiopia in the pa st, so I would like to understand the political
 stability and business environment in these places that we are getting into and what gives us the confidence that there would never be disruption in these places?
Sivaramakrishnan G: Sure. The difference is that we are not setting up a new unit we are buying a well run continuing operations in that region. 87% of the revenue comes from Kenya and 13% comes from Ethiopia. There was civil war in Ethiopia which ran between October 2021 and November 2022 I think during that timeframe and during that pe riod some of the operators in Ethiopia saw some disturbance to their busin ess. These were people who were located in far-flung regions of Ethiopia closer to Tigray or in other parts of Ethiopia where there were troubles. The unit of this particular company is located in Addis Ababa, the capital where there were no problems and that was a well prot ected area. So it continued to run through all the civil war problems as well during that period. We went and due diligence that as well. There are other units running in the same industrial park where they are located and
they are also running quite well in that partic ular region. So I do not see any problem in an ongoing continuing operation. There the Ethiopian operations are old and are very well run and have no disruption whatsoever. The other challenges of having ac cess to ports, etc., continues to remain the same for all Ethiopian operators as Ethiopia is landlocked and they have to access Djibouti Port. The AGOA benefit has been susp ended for Ethiopia since the civil war. There is a talk that AGOA could be restored sometime next year but we will have to wait and watch how and when it will happen. In the meanwhile, Ethiopia continues to have duty-free access to Europe. The cost of labour in Ethiopia is much lower and it continues to be very attractive. So there are pluses and minuses for Ethiopia, which is 13% of the overall volume and I think at the moment while all the minuses have played out pluses are yet to play out, so I feel that it is not a bad option given all the circumstances that
have played out in Ethiopia.
Priyadarshee D: Thanks a lot and second question was more around how much of EPS accretion do you expect from this if you could revise the interest cost increase once again and also give us a sense of how much EPS accretion w ould come in a couple of years?
Sivaramakrishnan G: We did that analysis on calendar 2022 numbers of the company and put that in the presentation which is available on our we bsite where we are showing based on 2022 numbers itself an EPS accretion of about Rs.4.6 /share, but anyway I think going forward we anticipate that the performance of the company should be even stronger and the accretion to our EPS be stronger as well.
Priyadarshee D: Roughly Rs.5/share EPS accretion next year right so FY2025 for us?
 A. Sathyamurthy: No it is based on FY2022 numbers, but FY2025 numbers is what Mr. Shiva has explained that it is based on the margin increase and volume increase we anticipate much better EPS accretive.
Sivaramakrishnan G: W hatever I said was based on CY2022 numb er, hopefully with the performance improvement it should be better.
Priyadarshee D: That is excellent. Thanks a lot. That is all from my side.
Moderator: Thank you. The next question is from the lin e of Mithun Aswath from Kivah Advisors LLP. Please go ahead.
Mithun Aswath: My question was on the AGOA benefits in Ethio

p ia, there has been talk that from 2024 this would be renewed, if that was to be renewe d what could the addition to profitability be?
Sivaramakrishnan G: So obviously there is a positive impact. Whil e it will not be substantial because Ethiopia’s contribution to overall revenue is only 13%, so on that 13% we may see some incremental margin of 2% to 3% or even higher

in my opinion, it depends on how the pricing is struck,
etc., etc., and how much of it the company has taken versus the buyer on account of lots of
Ethiopian duty-free access, so le t us say take 5% as the advantage and then take 13% of 5%
you can do the math that is the only improveme nt in EBITDA margin that can be possible
so it will be about 0.6% to 0.7% improvement.
Mithun Aswath: Right and I just wanted to understand since those benefits in Ethiopia went away in 2022
has there been utilization which has dropped in CY2023, so I just wanted to understand for
the company CY2022 the revenue has moved up from $86 million to $107 million on an overall entity and how is CY2023
looking, ha s there been some impact because of the
Ethiopian issue and what about the Kenyan ope ration so just want to get a sense on how
CY2023 is looking so far?
Sivaramakrishnan G: CY2023 so far in the first half we have been running more or less on track with the last
year's revenue run rate given the adverse ma rket conditions which is a global phenomenon.
The Ethiopian operations have been scaled back slightly more than that of Kenya simply
because Kenya enjoys duty-free advantage whereas Ethiopia does not so it has made logical
sense for both the customer and operator to prefer Kenya over Ethiopia so relatively speaking Ethiopia got scaled back
slightly more but as we speak since the volumes we
anticipate the volumes to come back both the regions are being scaled up.
 Mithun Aswath: Can you give us some sort of guidance in terms of revenues for CY2023, should we get to
the similar $107 million or it will be a tad lower than that?
Sivaramakrishnan G: I cannot predict the number given all the market c onditions that we are. It is safer to assume
a tad lower than that. Our hope is that we will come at par.
Mithun Aswath: Right and just one last one if I can squeeze in just wanted to understand since Gokaldas is a
much bigger company than this company are there any sourcing benefits in terms of raw
materials that you could help this company with just wanted to get a sense on that as well?
Sivaramakrishnan G: Yes to an extent, to the extent that they play in synthetics and they have access to other
regions to buy, there is no fabric ecosystem or no significant fabric ecosystem in Kenya
unlike India, so in India we prefer more of Indian sourcing simply because the transportation costs and duty and all those
benefi ts start kicking in and the lead time taken
to our advantage sourcing from India. Being in Africa you again have the opportunity to
source from the lowest cost sources in the world, so to the extent there are synergies in suppliers. Definitely there will be a
buying strength that we can demonstrate and take
advantage of, but to the extent that they are buying from China we may not have as much of
an advantage, the current sourcing which they are doing may just continue.
Moderator : Thank you. Mithun sorry to interrupt you. I request you join the queue again for a followup
question. The next question is from the line of Abhineet Anand from Emkay Global. Please
go ahead.
Abhineet Anand: Just wanted to know CY2022 numbers we have put in press release and you have also
stated from medium term perspective let us sa y over the past three years how has sales and
margin behaved for the company?
Sivaramakrishnan G: Past three years?
Abhineet Anand: Yes.
Sivaramakrishnan G: In CY2022 the company did 107 million revenu e, in 2021 it did 86 million and in 2020 the
company

did 70 million in topline revenue. So 70, 86, 107 that is how they have grown, remember 2020 calendar year was impacted by
COVID, so if you go back to 2019 there were 78, so 78, 70, 86, 107 you get the numbe rs right, that is how they have grown.
EBITDA margins have been in the range of about 9, 10% during this period.
 Abhineet Anand: You talked about working capital of around US$35 million on the books of the company
and US$15 million as the debt so there is a US$20 million working capital that is there on
the books and we are paying US$55 million for the whole entity?
Sivaramakrishnan G: Correct.
Abhineet Anand: So indirectly adjusted for the working capital it is US$55 minus US$20 only US$$35
million?
A.Sathyamurthy: Correct and we also get the assets, the movable assets in the respective factories and we get
a land in Kenya about 13 acres plot and a buildi ng that is valued all put together is about
US$11 million .
Abhineet Anand: Just last one was what is the exact US benefit that Kenya gets?
Sivaramakrishnan G: They get duty-free access to US market.
Abhineet Anand: What is that number in terms of, lets us a ssume you make a margin of 10% and what is that
benefit?
Sivaramakrishnan G: That margin is subject to negotiation betwee n buyer and seller, what I have been assuming

that, just take a worst-case assumption which is not necessarily true that all the benefits and
the duty extends from say 16% to almost 28% in the case of synthetic so the synthetics have
got a higher duty entering US so that is the reason why the company prefers product in the synthetic part of the value chain. Now assuming all the benefits of duty are taken by the buyer, you still will have the benefit of being a low cost supplier for the buyer because
landed duty paid these units will be the lowest and will get preferential allocation in case of
any business volatility. So any reduction in buyi ng may have a much lower impact when it
comes to souring from duty free region, now that is again is never zero and 100% in favor of buyer, some amount of benefit can be nego tiated back from the buyer so that all depends
on how the operator conducts the brand and what kind of competitive dynamics exists in
that region.
Abhineet Anand: What I was trying to understand was that if the benefits go away where can this 10%
margin go?
Sivaramakrishnan G: I do not anticipate the benefit going away as I said earlier Kenya ha s a special relationship
with US that special relationship Kenya is ge opolitically is very very important for United
States and they have co-operations across wide range of subjects which is why we believe
that even hypothetically for AGOA goes at th e end of 2025 that is from 2026 onwards
 Kenya will still get an FTA benefit when they are ente ring US. We do no t anticipate AGOA
going away. We have had multip le conversations with various stakeholders and we are
reasonably confident that AGOA will be cont inued going forward post 2025 the renewal
will happen only somewhere during 2025 because as it stands it is currently valid until
December 2025. In case it goes away, standalone business itself is still cost effective and
quite comparable to India and still the customer will have to bear the incremental duty in
spite of all that event happen and they may lose access to an ultra low-cost region, US does
not have access to low cost regions much. They are not very many, many regions world
over which goes duty-free to US, CAFTA is one area which was Central America but the
cost of labour is ridiculously high so about $700, $800 a month compared to say $200 or thereabouts in Kenya, so the competitiveness whic h is so heavily weighted in favor of this
region may come down, but I do not think th e region will go away, the margins are a
function of how you negotiate,

I feel we can st ill defend the margin that should not be a
problem, but coming back to AGOA itself I fo r now do not see any logic for AGOA to be
pulled out after 2025.
Abhineet Anand: Thanks a lot.
Moderator : Thank you. The next question is from the line of Achal Phade from ICICI Prudential Life
Insurance Co. Ltd. Please go ahead.
Achal Phade: Thank you for the opportunity Sir. Sir my question was while you ac quired this asset can
you throw some light on who are all the competit ors, bidders or was there any bidding at all
happening in the first place or how did we scout this asset, some color on that?
Sivaramakrishnan G: There was no process or it was not done thr ough a bidding process. We knew the promoters
well and it was mainly a succession planning and the promoters felt confident that with
Gokaldas the legacy can be preserved and we respect the promoter very, very much. I have
a personal regard and very high respect for th e individual which is why we intent to make
sure that the legacy of the promoter over the last 35 years will be continued and we will
protect that, so we will make sure that th e business is well run and we will expand upon
whatever he has built. So it is not through a competitive bidding process long story short.
Achal Phade: Sure. Thanks. My other questions have been answered. Thank you.
Moderator : Thank you. The next question is from the lin e of Prolin Nandu from Goldfish Capital
Advisors Pvt. Ltd. Please go ahead.
 Prolin Nandu: Shiva thanks a lot for giving me this opportunity. Just to conclude right and sometimes you talked about one of the reason for acquisition was duty benefit, but that is essentially what is passed on to the customer right, it depe nds on negotiation the customer also knows that
the company is operating from a duty-free zone so accordingly pricing will be negotiated so
are we then essentially buying growth at a ve ry low valuation because like say for example
if you talk about 2023 also it has been a very volatile year?
Sivaramakrishnan G: That is only one part buying growth at low va luation right. The fundamental part is if your
manufacturing exists in low-cost region you are less susceptible to volatility in business
volumes. Some of the regions will face the axe firs t and the low-cost regions will be the last
one to stand. We will not have any problems in terms of access to business, so it is really
positive from a volatility perspective. Business volatility will be minimal there.

Prolin Nandu: Sure, but so in that context 2023 has been a very volatile year and you mentioned that 2023
will be largely flat for this company in so metime and for company like us who is operating
out of India who does not have any duty benefi t who have a higher margin we are probably
aiming at a growth, so that also in terms of this tough market condition they should have
grown and we should have so much decline right I am just trying to figure out how should one gauge less volatility during tough market condition given the fact that FY2023 despite
the capacity expansion that they are doing?
Sivaramakrishnan G: A lot depends on the individual company as well, right. We are a much bigger company and
we are force to reckon with in India as having sa id all of that we also face the brunt despite
a huge growth last year we also could not gr ow much given the dema nd volatility this year.
We did face severe headwind. Then being a smaller company in a region which is not as big
as India at the moment the fact that they have weathered this storm very well, they have a
fairly robust order book which carries forward well into early 2024 indicates that they are enjoying the benefit of being in a duty free region and low cost region so as of now when I
look at their order book they seem to have a fairly good order book all the way through to
April 2024 now that is something whi

ch says a lot about how customers view such assets
and customers view the benefits of being in a duty free region, so going forward is when we
combine with them we should be hopefully able to bring a little more thrust to growth with
the right investments in that region.
Prolin Nandu: Let us have an example, from here on if I were to ask you that out of Rs .100 of capex in that
we were to allocate between three regions, ri ght which we have talk ed about India, Kenya
and then Bangladesh right and sometimes how will that allocation look like hypothetically going forward in the next five to ten years give n the fact that again we are competing with
in the same geography earning higher margins than them despite not having duty benefit
 and you have talked about the potential that I ndia itself has right, there are lot many within
the country we can control lots of things ri ght versus sitting out of UAE and controlling a
unit in Kenya so in terms of capital allocation going forward how will things look like
between these three geographies going forward?
Sivaramakrishnan G: So I will not bring Bangladesh into the this as of yet because we s till have to decide on
Bangladesh at the moment. There are a few variables there which is how does the minimum wage play out and all of those will get factored into the equation and we will wait to see
now what is the percentage of minimum wage hi ke, etc., that happens in Bangladesh, so I
will pause that for a moment. Between India and Kenya I would say both of these regions
are attractive. It will all depend on what kind of traction we get from customer. For synthetic I will continue to play Kenya because the duties for synthetic are well in excess of 20% and goes as high as 25%, 26% so synthe tic production focusing on Kenya makes more
sense as there is a massive arbitrage available. In India our growth will continue in lower
cost region, so when I look at Madhya Pradesh, etc., the cost structures are low, and we will
have the benefit of managing it here so it will be more ba lanced. I would not say I will go
India weighted, I would not say I will go Kenya weighted, probably the weightage will be
in the ratio of revenue between these two regi ons so going forward they will be about 40%
of the combined company and I think about 35% , 40% that is the ratio in which the capex
will grow. I do not want to under invest in one region or the other. I still see a lot of
potential in that region particul arly from a synthetic standpoint.
Moderator : Thank you. Prolin I will request you to come back in the question queue for a followup
question. The next question is from the line of Vishal Gajwani from Aditya Birla Mutual
fund. Please go ahead.
Vishal Gajwani: My question is on the electricity cost in Kenya, which seems to 2X of the cost in India or
China, so trying to understand what is elec tricity as a percentage of total cost?
Sivaramakrishnan G: Our electricity cost is about 1.5% so it is really insignificant.
Vishal Gajwani: Got it, that is all. Thank you.
Moderator : Thank you. The next question is from the line of Naveen Vijay from NS Capital Ltd. Please
go ahead.
Naveen Vijay: Thank you for the opportunity and congrats on a great deal. Just wanted to check on the
clients without giving the names what are the client profiles like, are they big box retailers
like how we do or they predominantly working through importers?
 Sivaramakrishnan G: The primary relationship almost 75, 80% of the revenue are directly through big box retailers, about 15% to 20% will be through some importers and others, and usually our
intention is to expand it all to big box retailers.

Naveen Vijay: In terms of the product capability are they predominantly an undergarments player or denims player or if you could give some color on that, th

at will be helpful?
Sivaramakrishnan G: 50% is children, and the balance are men and women top, a little more weighted to bottom, so almost like 70%, 80% of the men and wome n will be bottom orient ed trousers, chinos, shorts, etc.
Naveen Vijay: Thank you Sir. Thanks once again.
Moderator : Thank you. The next question is from the line of Siddharth Purohit from InvesQ Investment Advisors Pvt. Ltd. Please go ahead.
Siddharth Purohit: Yes Sir. Most of the questions have been an swered. Just one clarification Sir. Based on the EBITDA margins and the PAT margins of the acquired company you have given and if I assume normal depreciation, you ar e paying a low single digit effe ctive tax rate, it is correct guessing?
Sivaramakrishnan G: You are talking of tax rate for that asset?
Siddharth Purohit: Yes Sir.
Sivaramakrishnan G: It is in no tax zone. It is based out of UAE , so at the moment, they enjoy tax-free earning.
A Sathyamurthy: Tax free earnings on offshore earnings because this entity is in the free zone area and the business is generated outside UAE, so any pr ofit earned out of that business as per the current tax laws, is not taxable.
Siddharth Purohit: Sir one more clarification in the PPT you ha ve mentioned that US$15 million that is to be paid from internal accruals as part of the e quity, so there will be no equity dilution from our end as such?
Sivaramakrishnan G: Yes that is correct.
Siddharth Purohit: Thank you Sir.
 Moderator : Thank you. The next question is from the line of Jignesh Kamani from GMO & Co. LLC. Please go ahead.
Jignesh Kamani: Just wanted to understand it is close to around 20% kind of ROCE business like US$35 million working capital, assuming 1:4 asset-turns and so, US$100 million should have a plant and machinery of US$20 odd million so capital wise close to $50-$55 million on EBITDA of US$11 million?
A Sathyamurthy: You are talking about 4X for the revenue working?
Jignesh Kamani: Yes.
A Sathyamurthy: No, currently the working capital is little high, this is about US$35 million at this point that is because they are the importing the goods. Th ey are at 110 days working capital cycle as we explained, whereas we operate almost at 60 to 65 days. So, the sa me yardstick cannot be applied in terms of the revenue projections. So, you will have to reduce at least 1X because of higher working capital. In terms of the assets, it is about US$11 million, so US$11 plus US$35 is the total capital employed and you can apply the relevant multiple. The working capital is higher because of the business structure as every material has to be imported and so they hold higher inventory as well as on the receivables management they do not have the arrangement of early payment options like in our case and so there are some inefficiencies and hence the 4X application is not right.
Jignesh Kamani: Understood. So, US$45 million capital employed is earning US$11 million of EBITDA?
A Sathyamurthy: Yes.
Jignesh Kamani: Understood. Thanks a lot.
Moderator : Thank you. The next question is from the line of Harsh Mittal from ICICI Securities Ltd. Please go ahead.
Harsh Mittal: Thank you for taking my question. Most of my questions have been answered. Just one query is it possible to share th e half yearly numbers of CY2023?
Sivaramakrishnan G: It is unaudited, so at this poi nt I am not sure it makes sense.
Harsh Mittal: Sure. Thank you Sir.
Sivaramakrishnan G: They have been at least for the first half; th ey have been tracking to last year's numbers.
 Harsh Mittal: Thank you.
Moderator : Thank you. The next question is from the line of Aman from Goldman Sachs Asset Management. Please go ahead.
Aman : Just wanted to understand if presentation say that there are some tax benefits for Europe as well as for the both oper

ations, but we have very minimum business from Europe, so what is the reason for that and could that be an opportunity going forward?
Sivaramakrishnan G: Yes, it is an opportunity going forward. Hi storically since both Kenya and Ethiopia had

duty-free access to US, the company had focuse d almost entirely on the US market and
remember a larger part of their capacity is in Kenya which continues to enjoy the US duty-free access. So even for Ethiopia they were focusing on US market. Going forward there is an opportunity to also target European market an d Ethiopia does have that benefit. There is
a discussion going on in that direction, so definitely it is an area of focus.
Aman : You also said we are well run operations so fo r the next let us say af ter the acquisition next
18 to 24 months what is the focus when you drive margin growth, drive working capital
efficiency in the first 2-3 focus areas?
Sivaramakrishnan G: The focus will be actually to drive up the production efficiency even more and that will
require some investment in automation, etc., in the factory. So, some amount of capex will
go in that and I really prefer that kind of capexes because the pay offs coming from that is
very, very high as productivity improvements immediately falls to the bottomline, these investments can start yielding benefits right as opposed to setting up a Greenfield unit. So
we intend to deliver at least a percent and a half or two over the next two to three years
through incremental revenues as well as unlocki ng some extra efficienci es in the existing
operations through investment in automation so that is how we look at it. As far as the
growth is concerned, we are hoping that we should drive about 20% odd growth in calendar
2024 which will be our FY2025 let us see how that pans out. We will have a better handle
over all these things once we get control over the operations.
Aman : Got it. Thanks a lot.
Moderator : Thank you very much. Ladies and gentlemen that was the last question for today. I now
hand the conference over to the management for closing comments.
Sivaramakrishnan G: Thank you so much for all the questions that yo u had and please feel free to reach out to us
in case you have any further questions on our acquisition. We continue to remain focused
 on delivering exceptional performance and we are execution oriented when it comes to
running businesses. We are very conservative in how we approach business and how we
take over assets and run them. We have done our fair amount of diligence on this company.
We have drawn enough comfort through due diligen ces by our business partners. So we got
BDO to do due diligence on accounting taxati on side. We had Khaitan and Company which
did legal due diligence and we had JM supporting us through the transaction, so with all of
this external scrutiny we have gone ahead and c oncluded this transaction. This is subject to
regulatory approvals and the regulatory approvals we are anticipating will happen by end of
October, so really the assets will come through our control only from November onwards
that the earliest we anticipate, if there are any delays then it may go further. We will continue to engage with the company and work on a smooth transition. The management
team is well aligned and it has got a very good team there. So we hope that we can build up
on it and hopefully together Gokaldas and Atra co can have a great future. Thank you so
much for your understanding. Thank you so much for all the questions and we remain
available for any clarifications that you may need going forward. Thank you so much.
Moderator : Thank you very much. On behalf of Gokald as Exports that concludes this conference.
Thank you for joining us. You may now disconnect your lines.

# Call: Nov 2023

GEL/SEC/2023-24/73

November 07, 2023

Dear Sir / Madam,

Sub: Transcript of Q2 FY'24 earnings conference call

Pursuant to Regulation 30 and Regulation 46(2) ( o a ) o f t h e S E B I ( L i s t i n g O b l i g a t i o n s a n d Disclosure Requirements) Regula tions, 2015, please find enclosed the transcript of Q2 FY'24 earnings conference call held on October 31, 2023. The Transcript is also available on the Company’s website at https://www.gokaldasexports.com/in vestor-and-shareholder-relations/

This is for your information and records.

Thanking you,

Yours truly,
For Gokaldas Exports Limited

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Company Secretary & Compliance Officer

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“Gokaldas Exports Limited Q2 FY-24 Earnings
Conference Call”

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Moderator : Ladies and gentlemen good day and welcome to Gokaldas Exports Limited Q2 FY24 Earnings Conference Call .
As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Binay Sarda from E&Y . Thank you and over to you sir.
Binay Sarda : Thank you, Lizann . Good evening to all the participants on this call.
Before we proceed to the call let me remind you that the discussion may contain forward -looking statements that may involve known or unknown risks , uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause future results, performance or achievement to differ significantly from what is expressed or implied by such forward -looking statements.
Please note that we have mailed the "Results and the Presentation " and the same are available on the company's website. In case you have not received the same you can write to us, and we'll be happy to send the same over to you .
To take us through the results and answer your questions today , we have the top management of Gokaldas Exports Limited represented by Mr. Sivaramakrishnan Ganapathi – Vice Chairman & Managing Director and Mr. Sat hyamurthy – Chief Financial Officer.
We'll start the call with a brief overview of the quarter gone pass and then conduct Q&A session.
With that said I'll now hand over the call to Mr. Si va. Over to you sir.
Sivaramakrishnan G. Thank you B inay. Good afternoon , everyone. Happy to have you at our earnings call for the second quarter of FY24 .
Retail sales have been resilient and maintained gains year to date 2023. Brands have been able to sell their products at full price reducing the need for discounts which has contributed to growth primarily in terms of price rather than volume. However , this has not translated into a higher demand for apparel manufacturers. US apparel imports for the year to date fell by 23% while EU fell by 13%. Major brands were consciously liquidating excess inventory holdings and controlling their purchases.



During the quarter our performance remained subdued, which was in line with the market condition. This is a period when we manufacture for the holiday season , weak retail demand in autumn winter 2022 due to high inflation, high interest rates and a mild winter contributed to excess inventory impacting offtake for this period . Our revenue for the quarter came in lower by 11.7% due to lower demand . In this quarter we incurred certain one-time expenses of Rs.5.2 crores of which Rs.1.6 crores was for acquisitio n led expense and Rs.3.6 crores was for the startup of our MP plant. As you know when we start up a factory, we have to ramp up our manpower and put a lot of people through training and there's a lot of startup expenses that we incur which will probably continue for a quarter or two more .
On the acquisition Led expense as well , there may be some additional bookings of acquisition led expense in the next quarter too. This Rs.5.2 crores of one-time expense impacted our operating margin by 1% adjusting for which our EBITDA margin in Q2 FY24 stands at 12% compared to 12.5% in Q2 FY23. We also ramped up our labor force in Q2 in preparation for third quarter business volume , resulting in an increase in wage cost of about Rs.5 crores. Further our operating margin was impacted by an increase in stat utory wages for factory employees. We continued to offset some of the cost decreases through superior operational performance. In the first ha

lf of the year , we generated Rs.113 crores in cash from operations and covered our capital expenditure of Rs.70 crores. We plan to incur another Rs.75 crores of capital expenditure in the second half of the year to continue to build up our capacity as we plan for future growth.
Our new manufacturing unit in Madhya Pradesh is on track and we expect production to increase in the coming quarters. The fabric processing unit in Tamil Nadu is in advanced stages of completion as well. We are making good progress with our acquisition of Atraco. We are awaiting regulatory approvals from different jurisdictions and anticipate the process to be completed by the end of Q3 FY24. We are expecting the momentum to pick up in the second half of the year , particularly with Q3 production for spring '24 as brands have more or less destocked their inventory and are increasing their order placement s. This is also a period of increased sourcing from India. We anticipate sequential growth to trend up in the next two quarters.
We believe that the strategic moves that we are taking will allow us to continue to grow the business going forward. We continue to closely monitor potential macroeconomic situations and take measures , focusing on customer relationships and service excellence. We are confident of

the medium to long term prospects of the company. I thank you for listening and would be happy to address questions that you may have.
Moderator: Thank you. L adies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Jatin Ch awla from RTL Investments.



Jatin Chawla: My question was when I compare Gok aldas Exports and India's overall a pparel exports , it seems the performance is largely in line. I would have expected that in this kind of weak scenario , the stronger larger players would probably do better. So just wanted to understand why is that not panning out?
Sivaramakrishnan G. Good question. So , there are several reasons for it. One of the reasons is that the primary reason is that we are a very outerwear focused company and in the second quarter we do a lot of products which are meant for holiday season for cold weather purposes. That's a core product for us. Last winter was a very mild winter and coupled with a very high degree of inventory stocking on the brand side , resulted in the brands placing very low orders for outerwear products for this coming winte r. That is winter of 2023 , holiday season 2023. So , this resulted in our Q2 volumes being more impacted as we don't do as much fashion wear and other lightweight products or commodity products. So we had to switch to many other product types for this Q2 to offset this peculiar situation of higher inventory stocking of the product types that we tend to specialize in. So that's one of the reasons for our decline in growth which came certainly in line with India's exports. Number two , we are US heavy and as yo u're aware that US imports have fallen much more than European imports. So that also impacted us a bit more in Q2. And number three , was if you look at our last year Q2 , we had a very strong performance much higher than the rest of the industry. So , there is also a base effect which resulted in us coming more or less in line with the industry decline. So , if you adjust for all of this actually , we have performed well. But that said if you seek an explanation this is what I have .
Jatin Chawla: Clearly, I understand the pro duct type dependency . Overall , you would think that in the market the larger players would still be doing better than the smaller players and hence once this anomaly kind of adjusts , we should expect to do better .
Sivaramakrishnan G. Always, absolutely .
Jatin Chawla: And given that how small India is as a part of the overall global pie , is it a little bit surprisin

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that Indian exports are not doing better than —I understand that overall conditions are tougher and India is doing —slightly better. But would you have expected India to do slightly better than what you have done in the last couple of months?
Sivaramakrishnan G. Again , Q1 and Q2 is not India's strength. Gokald as is different. We do a lot of synthetics and outerwear and all of that. But typically , India plays to its strengths in the third and 4th Quarter s when more and more spring and summer wear comes into play if they use cotton and viscose based fabrics. So typically , you will see a little bit of a surge in the third and 4th Quarter for India as such. And in a situation where the brands are buying a lot less then it's a question of relative im pact. Globally all the regions have seen considerable slowdown. So , when I talk to operators in Bangladesh , Vietnam , China they've all seen a much higher degree of slowdown.



So, in such a situation it's hard for anybody to outperform. The fact that India has dropped only 12% is a good sign I would say.
Jatin Chawla: And would you expect these markets share gains for India then to accelerate a little bit once the overall market picks up given that then the guy who's sourcing would not be cutting volumes from somebody and gaining it but rather incremental volumes would be guaranteed?
Sivaramakrishnan G. It should , some degree of the bounce back will benefit at least the stronger players from India for sure and we will have to build upon it going forward.
Moderator: The next question is from the line of G unjan Kabra from N iveshaay.
Gunjan Kabra: Wanted to understand that home textiles in the US have showing a sign of pickup. At least some companies are showing a sign of a pickup in their numbers. So , do you think that same is the inventory has decreased now for the apparel segment also? And how do you see this for the next Q3 and Q 4 and going forward for Gokaldas E xport s?
Sivaramakrishnan G. I think the inventory issues going forward is a lot lower because many of the brands have managed to destock well. And it is also evidenced by the fact that our order book is pretty good for the third and the 4th Quarter . So, we are seeing traction coming back. If you see the US retail market that has been reasonably resilient, and I hope that it stays resilient through 2024 . So that depends on a lot of macroeconomic factors. But as far as the brand is concerned , all the buyers are concerned, and their inventory issues are concerned . I think we have seen some de -stocking

that more or less happened. So , it will help us grow going forward .
Gunjan Kabra: So, also wanted to understand your view in short term and long term. Initially like 1.5 year back at least there was like a tailwind in the sector where India was gaining market share and because of the China ban and China Plus One . So right now , because of the slowdown in the US and Europe and everything , so we have acquired Atraco also and we are in expansionary phase also. I wanted to understand what's your vision is for the short term. What are the factors that can maybe hinder growth or settle in short term and maybe the long-term vision for Goka ldas in say next 2 to 3 years , 4 years? What kind of growth or what kind of perspective do you see with the acquisition going forward?
Sivaramakrishnan G. So, I don't see too many short -term issues barring macroeconomic factors and that's anybody's guess. You can also judge on how that is going to pan out. If you look at the US interest rates have been kept high and the re may be some impact on consumer sentiment going forward. So far, the US market has bucked all the trends and consumer demand has been reasonably resilient in that market. We'll have to see how that pans out going forward. There are elections in several jurisdictions U

S, Mexico, UK, India so on and so forth. We'll have to see how all of that pans out. But by and large I think global demand doesn't have such wild oscillation . My sense is that





the excess of inventory which happened when the supply chain s tightened up and then eased out all of that is more or less wearing off. So , we're back to catering to the usual demand growth that will happen going forward. Some degree of normalcy will return to the market. Now in such a scenario , stronger players will have the ability to win more market share and continue to grow. So going forward there'll be a bit of a steadying of the volatile fluctuations is what I guess. Again , everything caveated to some major geopolitical crisis. I feel that China Plus One will c ontinue to play out. It's already playing out on the cotton sector but it'll slowly start happening in the other synthetics as well. It will take a few years but that also will move as India's cost structures are far superior and we are exploring newer low er cost locations. We're also looking at a possible FTA with UK and if that happens that will be a great benefit for India. If EU FTA comes which will take some time that also will be a major shot in the arm for Indian manufacturers. I think that for a goo d solid manufacturer who can compete and hold themselves at a global level , the opportunity is very strong. That's the reason why we are investing in capacity. We are making sure that the capacities that we are investing in are low cost. We're investing in relationships with new customers. So , there's several discussions that are happening with customers. I feel confident that in the next 2 to 3 years the prospect s should be good for Gok aldas. Our Atraco acquisition will also come into play most likely from 4th Quarter of the current financial year. The order book for that entity is also pretty good going forward. I'm taking comfort from all of these strengths and saying that we should be on a good growth path going forward subject to no major macroeconomic cris is.
Moderator: The next question is in the line of Anush Kumar from Spark Asia Impact Managers Private Limited.
Anush Kumar: I have two questions. My first question is on the export incentive part where the RoSCTL I think the extension is till March ‘24. What is your take on that? Will there be any further extension on that and if there is not any extension and what would be the impact? Because considering the fact that we have put in lot of money what would be the margin and revenue impact for that? Second question can you also throw some ballpark growth for the second half? Will the subdued first half be compensate d by the second half performance both on revenue and margin front? Are you seeing that type of growth ?
Sivaramakrishnan G. Coming to Ro SCTL , your first question ; at the moment Ro SCTL is applicable till FY24. That is March 31st, 2024. The government of India is aware and there have been discussions going on for continued extension of Ro SCTL . We will have to wait for directions from the government on RoSCTL . Since it's an industry -wide situation , the impact will be uniform for all the industry, and we will have to play it accordingly. We will also have to see how much of it we can price it into the customers. Eventually , it will a ll get priced in as far as the customers are concerned since it is not impacting one player negatively. There are also several other things going on globally. For instance , even in Bangladesh , there is expected to be a sharp wage increase by end of this





year. So , all of these do impact regional competitiveness and I guess we will have to take in stride . Our best hope is that the Ro SCTL gets extended beyond FY24. All efforts are being made by the industry to secure this. So , we will

have to wait and watch but we feel that the government
may listen to us , listen to the industry favorably given that this industry also employs a lot of
people and it is important to preserve the competitive economics of this industry. So , there is a
likelihood that this may get extended.
As far as your second question is concerned regarding the prognosis for the second half , our
endeavor is for us to recover the revenue growth in the second half and try to come to at least
last year's revenue level this year. So , if you look at our last year , we had a strong H 1 and after
that when the world went into a tailspin thanks to high inventory etc ., we started dropping our
revenues to about Rs.525 crore s level from Q3 onwards. I think we will see a reversal of the
trend in this year and Q3 and Q 4 we will see an upward growth such that by and large we will
try to cover up and get back to the revenue level of last year. I anticipate us getting closer to
Rs.2,200 odd crore s in the current financial year. On top of it there will be Atraco contributing
to incremental revenue in the 4th Quarter . So overall we will have a growth Y OY for Gokaldas.
Does that answer your question?
Anush Kumar: Yes sir. One more question , on this second half I think it is more of cotton -based products , can
we see margin expansion as well? Is my assump tion right on that?
Sivaramakrishnan G. Yes, I think our endeavor is to work towards a margin of 12 %-12.5% EBITDA margin for the
year.
Moderator: The next question is on the line of Vikas from Equirus S ecurities .
Vikas: My first question is with respect to our employee cost. Of course, you mentioned that we did
increase our labor to prepare for the 3Q but can we go ahead and estimate that Rs.180 crores per
quarter would be a sustainable run rate or it could be somewhere even inch up higher going
ahead in next quarter?
Sivaramakrishnan G. No, I think that Rs.180-Rs.190 crores will be the rate at which labor cost will trend in the quarter s
ahead .
Vikas: Secondly , would you like to throw some light on how was Atraco's performance in the quarter?
Sivaramakrishnan G. We have not concluded the acquisition of Atrac o, so Aatraco still remains a separate entity and
we anticipate that with regulatory approvals coming in sometime in the near future , we should
be able to conclude the acquisition by end of this current quarter. That is Q3. So as of now the
company is tracking to its performance and it's more or less tracking to last year's performance

level despite market headwinds. But we are still not in control of the assets since we have not
yet got the regulatory approvals.
Moderator: The next question is on the line of VP Raj esh from Banyan Capital Advisors .
V.P. Rajesh: First question is regarding UK F TA, what's the timing on that ? Has it been pushed out and what's
your sense that when will it come through?
Sivaramakrishnan G. Rajesh, I wish I knew that. And we're all eagerly awaiting for UK FTA to happen. Obviously
FTA for textiles is just one of the agenda in the India UK trade relations. So , Government of
India and the UK Government are working on it. We are hoping that it should happen sometime
soon. We are eagerly awaiting it but it's hard to put a timeline on it. I guess a lot of those
discussions have already happened. That's what I'm given to understand. But as far as t he timing
is concerned it's anybo dy's guess. Government of India has its own set of priorities and there are
a lot of discussions going on between the two countries and discussions are at a fairly advanced
and concluding stages is what I understand.
V.P. Rajesh: And then similarly for the Kenya renewal for its US F TA, what's the timeline on that?
When do you think that will come through ?
Sivaramakrishnan G. You're talking of US FTA?
Sivaramakrishnan G. Okay I go

t it. AGOA is valid till December 2025. So that discussion will come up only in 2025.
So, there is some time for it. Last time it was extended from 2015 to 2025. The expectation
which I hear from Kenya and other markets are that it will get extended by another 10 years. So
far it has been going in line. Kenya is also working on an F TA with US because geopolitically
Kenya is very closely aligned with the US , regardless of AGOA I think Kenya is expected to
enjoy preferential access to US market. But there is a lot of t ime before we can talk about AGOA
exten sion.
V.P. Rajesh: And then on the MP plant if you can talk about when does it gets to 100% capacity and how that
ramps up in the coming financial year ?
Sivaramakrishnan G. I think to reach 100% capacity utilization we are talking of almost like Q2 of next year , they will
continue to ramp up. Our endeavor will be to ramp it up as soon as possible. It all is a function
of how fast we can get the people trained and deployed on the floor and they reach their peak
productivity level. It's not just about putting the m anpower in the floor or to the production floor
but also getting their productivity up and that also takes another 6 months. I anticipate that we
are talking about somewhere like by end of Q2 by which time we will have the productivity
levels and the full manpower complement to be playing out.

Moderator: The next question is from the line of Varun Gajaria from Omkara Capital .
Varun Gajaria: I just had a question on this on FY24. So earlier today I thought in one of the interviews you mentioned that , there is already the 10% to 12% growth YOY in FY24 , am I getting that wrong ? If the revenues are going to be flat, then how will that work out?
Sivaramakrishnan G. You are talking about FY24 , right?
Varun Gajaria: Yes.
Sivaramakrishnan G. That is the expectation. As I mentioned a little while earlier our endeavor is to come as close to last year's revenue based on our current performance which is about Rs.2200+ crores and then we expect that Atraco should contribute incremental revenue in the 4th Quarter , so that will give us an incremental revenue in the 4th Quarter too. So overall we can expect about a 10% kind of revenue growth in ‘24 over ‘23, FY24.
Varun Gajaria: So that will be on consolidated basis.
Sivaramakrishnan G. Yes of course.
Moderator: The next question is from the line of Vikas from Equir us.
Vikas: What are the volumes and the ASPs for the quarter?
Sathyamurthy A: We have done 7.77 million and the ASP per piece is around Rs . 610.
Sivaramakrishnan G. For the quarter.
Vikas: Going ahead since in H 2 we generally do cotton based products. So , this ASP generally drops for the H 2 quarter , right?
Sivaramakrishnan G. That is correct. So , as I had mentioned earlier , the outerwear business was a bit slow because of the weather -related issues and excess inventory from last year. We have produced a lot more non outerwear products in Q2 which otherwise would have been an outerwear heavy season for us. All of that contributed to slightly lower ASP in the quarter.
Vikas: I just wanted to confirm that last that is 2Q of 23 our unit sales volume was 6.7 million pieces with an ASP of Rs.850, is that correct?
Sathyamurthy A: You're right.
Moderator: The next question is in the line of Pulkit Singhal from Dalm us Capital Management.

Pulkit Singhal: My first question is just on the kind of engagements you're having with clients . Now that the US inventory collection is behind , what is the level of new client engagement? How is that picking up quarter -on-quarter? And how is your conversation with some of the existing clients as they're looking to diversify the supply chains? Are they saying that why don't you just go ahead and set up

capacity? So , some softer discussions around the same.
Sivaramakrishnan G. The discussions with existing clients ha ve been going strong and we have actually been engaging with them on starting new product lines or product types , expanding relationships with other sub-brands. Many of these retailers have several brands that they carry and we may be supplying two to three brands so we can add incremental businesses. All of those discussions are going on based on our track record our relationships and the fact that they tend to see that the inventory levels are no w coming back to some degree of normalcy going forward. So , all of that is going on, it's encouraging. I'm picking up encouraging signals as I see going forward. The only caveat that I have is I don't know how the stubbornly high -interest rates will pan out going forward in the US from a retail demand perspective because retail demand despite everything has kept on growing albeit at a lower rate but it's still positive for the calendar year 2023 till date. I hope that the retail demand stays going forward. But the dialogue with the brands has always been encouraging. On top of it if FTA and all happens, I think there will be further additional growth from Europe that will be a positive for us. I ncrementally our customers are talking about expanding their relationships with us , so we seem to be drawing comfort from all of that.
Pulkit Singhal: The second question is on the gross margin front ; you're clearly taking a call of working only on slightly higher margin profile at the cost of revenue growth. Now as growth is coming back , how is the pricing environment now? Do you have to sacrifice some bit of margins to get that growth or are you seeing a good margin at a gross margin level also considering ?
Sivaramakrishnan G. There is a tight pricing regime going on. As long as the buys are less than in the past , there will always be a pricing pressure. So , if demand is less than supply , we will always have this issue. Buyers have choices. There are players in other global markets as well who are willing to compromise on their margins and bid. So , while we try to hold on to our margins to the best extent possible it's an uphill battle until there is a degree of normalcy from a demand perspective. So as the demand climbs up , some of these pressures will yield or will reduce. But I don't anticipate that happening anytime soon. We will see how FY25 plays out. I'm hoping that

sometime during that period , we will see some degree of pricing power come back. But in the meanwhile , we do not drop prices and chase revenues. That's not in our DNA. We will try to hold on to our margins to the extent possible.

Moderator: The next question is from the line of Anurag Ag rawal from Ag rawal Analytical Investments.



Anurag Agrawal: I noticed that in our presentation were focused towards Europe and the US for our export related business. I just wanted to understand in future do we also aim to target other geographies like probably Canada , Australia or MENA region ?

Sivaramakrishnan G. Globally US , Europe and China are the top markets from an apparel demand perspective . Lot of China's demand is fulfilled by China based players , so China produces for China. So that really leaves US and Europe for players like us from a demand catering perspective . We have been US centric in our approach , so 75% to 80% of what we produce goes to the US market. Europe is much smaller in our portfolio. We intend to increase our exposure to Europe as we go forward to balance the revenue mix and in anticipation of an FTA w ith the UK . As far as Australia , MENA and others are concerned they are much smaller markets and if it suits us, we will go for those markets. But at the moment the overheads of a relationship and to cultivate those markets are much higher to warrant

efforts in that region .

Anurag Agrawal: My question was in this particular region due to the fact or that we are seeing some kind of an economic risk out there in US, since recently I also read that credit card delinquencies have increased to 60% . So, this could have a potential impact on us in the coming time. So that's why I thought if our company was trying to diversify the geography base.

Sivaramakrishnan G. The only issue is that the other markets are so much smaller. If you look at population of Australia , it's a tiny fraction of the United States population. The problem with all of these markets that you mentioned are way too small. So , we have to make sure that we secure ourselves with the larger markets and make sure that we work with the right set of customers so that we minimize our impact.

Moderator: The next question is from the line of Rehan from Equit ree Capital.

Rehan: As an earlier participant asked about Ro SCTL and you mentioned that it will be till it's currently till the 31st of March 2024 . Assuming the government doesn't carry forward that what kind of margin impact do you seem to face in the industry if you can shed some light on the same?

Sivaramakrishnan G. So, it's a bit difficult to estimate at this moment. We are hoping that it should get extended but, in the event, it doesn't happen it is not that we will take a 3.5% or whatever we are getting as RoSCTL . That level of hit maybe we will have to take hit at 50% of that level till we try to recover that back going forward. So , the recovery of that will happen by pushing back on pricing and all of that , it'll take about two to four quarters before we recover it all back. But in the meanwhil e, we may have to take about half of that as a hit I presume.

Rehan: So, basically not some concrete level of margin impact we can see?



Sivaramakrishnan G. No, RoSCTL amounts to about 3.5% of the export turnover which is bulk of our turnover. So that's the 3.5% EBITDA margin sitting there. But my sense is that it's a transparent thing. The brands also know that RoSCTL is available to all the suppliers and to that extent it gets factored in the pricing. So , for whatever reason Ro SCTL goes away , there is a possibility of pushing that back into the pricing when we do our calculations going forward. So , our endeavor would be to claw back most of it. But I'm presuming that in the interim for a short period , we may have to eat half of it and till we fully plow back all of it.

Rehan: One more question would be on the UK FTA. If you can even share some light on the volume, you expect that could India generate because of the UK FTA versus the global competitors we have any like 10% -15% you see as a ballpark figure ?

Sivaramakrishnan G. I anticipate it to be about a billion -dollar opportunity. It's again anybody's guess but this is my assessment. If you look at Bangladesh , they export almost US$4 billion to UK and China exports about US$5 billion to UK. Once we get a level playing field with Bangladesh and India exports to UK about a billion or something like that. So , a portion of it at least three out of 4 billion which Bangladesh exports , if we get half a billion and China exports about US$5 billion. And I'm presumin g that at least US$2 billion out of that will be cotton based and there we will be 12% cheaper than China because of duty free access. Another half a billion coming out of it. Conservatively we can talk of about a billion -dollar opportunity. It can be even more. All depends on how well positioned Indian suppliers are to take advantage of the FTA. Economics will drive it and economic rationale is very compelling. I feel even a billion dollar is conservative estimate.

Moderator: The next question is on the line of R uchit Shah , an individual investor .
Ruchit Shah: I've already had two questio

ns. The first one was the challenges that were highlighted , majorly
seen external from inflation , brands destocking and US and Euro regions wise having economic
challenges and so on. I just wanted to ask is there anything specific that we see which could be
related to Gok aldas either from execution perspective or anything that is company specific to us
that we are working on?
Sivaramakrishnan G. I'm not sure I fully got your question but if you're asking if there are any challenges that you see
comp any is facing.
Ruchit Shah: Yes correct.
Sivaramakrishnan G. I don't see anything directly or immediately impacting Gokaldas specific ally from a challenge
perspective. We have a fairly stable set of operations , a stable set of customers. I don't see any
risk from that standpoint. It's just that we have a little higher presence in the south of India where
costs are high and labor costs slowly will keep inching up. So , over a period of time , we will

have to diversify our manufacturing operations to access other lower cost labor pool, so it’s only
to that extent. The good news is that the labor costs are only increasing in China , in Vietnam and
even in Bangladesh going forward. So , from that perspective while there are certain challenges
of labor availability and labor costs in south of India , I don't see any other big challenge that are
confronting us at the sure.
Ruchit Shah: The second question is related to the brands right now have gotten majority of their benefits due
to price increase versus volume as a contribution. So , from what I understand that means that
the brands are increasing their prices. So , is there any scope for us also to be looking at increasing
the average selling prices that we sell to the brands?
Sivaramakrishnan G. I wish we could do that. I don't think that is feasible because this is all based on demand and
supply and most of the brands are buying far less than what supply ecosystem is. So , at the
moment in the market there is a bit of price pressure on account of demand supply consideration.
So, at the moment I don't foresee us being able to push up our selling prices.
Moderator: The next question is from the line of Vikas from Equi rus S ecurities .
Vikas: In one of the comments , you mentioned about that Bangladesh is also expected to take wage
hike. Can you elaborate on this point? What are you hearing and what could be the extent of
wage hike that they could take?
Sivaramakrishnan G. The issue is Bangladesh has seen a very high degree of inflation and that's because their currency
has dropped sharply. And most of the consumable products that Bangladesh consumes is all
imported into Bangladesh. So, they have seen cost of living go up and there is an election coming
up in Bangladesh too. So , there is a bit of pressure to offset some of that through wage hikes.
The unions are negotiating with the government to reset the minimum wages. My sense is that
it may be even be as high as 35 %-40% w age increase in that country. The last wage hike which
happened in Bangladesh happened I guess in 2018 or early 2019. So , it's been a while since
wages have gone up and inflation has eaten into real income. So , it will be high , pretty high
35%-40% at the leas t I suspect.
Vikas: My second question is with respect to the one -off expenses that you mentioned . Can you broadly
quantify how much it could be going ahead?
Sivaramakrishnan G. My sense is in third quarter we will have about Rs.8 crore s of one -off expense. Largely it will
because of the payments to the lawyers and the accountants and the bankers for all the due
diligence and acquisition of Atrac o. The smaller component of that will be for the Madhya
Pradesh startup cost , I think that it would conclude by Q3. But we will have approximately Rs.8
crores worth of one -off cost in Q3. And I don't anticipate thi

s continuing in Q 4. If the acquisition

is delayed a nd some of the bookings gets spread out and in this Rs.8 crores will get split between
Q3 and Q 4. So, it depends on the timing of closure of the acquisition.
Vikas: But as on that you are not expecting any delays in the progress , right?
Sivaramakrishnan G. No, we are not expecting any delays but it's all procedural. So , all the regulatory appro vals there
are a lot of paperwork required and submissions required. So , we're doing all of those and it is
going as per schedule.
Vikas: About our MP plant , of course we have commenced the operations in Phase -1. When do we
expect the Phase-2 of the plant or any broad guidelines of that to commence or to …?
Sivaramakrishnan G. We've already released plant drawings for Phase 2 and we will soon commence construction.

So, my expectation is that Phase 2 will start production sometime in FY25 , in the later half of FY25.
Vikas: And this Tamil Nadu plant , I believe that will also happen phases or it is like a one go we are doing it by the end of this year.
Sivaramakrishnan G. It is a fabric mill , so it'll happen in one go. There was a slight delay in the construction part of it as we had to change the configuration a bit and all of that for technical reasons . We are anticipating that instead of end of Q3 we may have to start that in early Q 4 this year.
Vikas: And the ramp up of that will happen over a period of one year.
Sivaramakrishnan G. That will be a bout a 1-1.5 year, y es it will ramp up .
Moderator: The next question is from the line of Pr erna Jhunjhunwala from Elara Capital .
Prerna Jhunjhunwala: Just wanted to understand what could be the potential revenue for the MP plants , Phase -1 and Phase 2?
Sivaramakrishnan G. When it fully ramps up we expect each phase to be about Rs.170 to Rs.175 crore s.
Prerna Jhunjhunwala: You mentioned that there are wage hikes visible in China , Vietnam , Bangladesh but at the same time you were also looking at setting up or tying up with some facility in Bangladesh. Could you highlight what are your plans now given the increasing cost structure in these economies?
Sivaramakrishnan G. So, we have not invested in Bangladesh as yet. We have identified some assets but we have not gone ahead. We will look at all the cost elements and then take a final call on investments. I still believe that Bangladesh will not lose its potential as a great g armenting destination because it



continues to enjoy duty free access to Europe. It will have abundance of labor and the ability to quickly ramp up. So , there is the advantages which that location enjoys cannot be taken away from it. Also keep in mind that Bangladeshi taka has considerably declined vis-à-vis dollar. It's fallen much more than INR. So , their cost competitiveness will continue to remain going forward. We will take a call. The wage increase data will come in a month or so , so accordingly we'll do. But we're still committed to Bangladesh subject to the big cost factors remaining reasonably good even after the wage hike .
Prerna Jhunjhunwala: Which other geographies are you looking at or at this point in time just focus on Atr aco and India expansion?
Sivaramakrishnan G. Correct. At the moment it's only Atr aco and expansion further in India.
Moderator: The next question is from the line of Nikhil Ag rawal from VT Capital .
Nikhil Agrawal: So just wanted to understand where do we procure our raw materials from and what has been the price trend of the raw materials of late?
Sivaramakrishnan G. We buy our fabrics from various mills , so we buy from large mills like Ar vind, Va rdhaman so on and so forth. A lot of the mills are also dictated to by the brand. Some of them are nominated fabric supply sources . Depending on the p

roduct type we make , so for outerwear we even import fabrics from far east. The fabric sources , the raw material sources are all different for different products. From a cost standpoint, compared to last year , there has been a slight reduction in the raw materi al cost. But at the end of the day all of these are passed through and effectively the customer takes away the cost or gives in if the costs go up.
Nikhil Agrawal: If your raw material prices increase after you've agreed on an order with the customer you can easily pass that on to the client.
Sivaramakrishnan G. That is correct.
Nikhil Agrawal: If you could highlight what our major clients across globally ?
Sivaramakrishnan G. So, we work with a lot of customers . At this point we have customers like G AP, we have customers like Columbia , we have customers like Adidas, Puma, Walmart. All these are our customers that we work with.
Nikhil Agrawal: And we are mostly into cotton products or are we into nylon and other manmade fibers as well?
Sivaramakrishnan G. When we do outerwear , we work with polyester nylon and all those synthetic fibers too.



Nikhil Agrawal: And what would be the mix?
Sivaramakrishnan G. Mix as in ?
Nikhil Agrawal: What percentage of cotton ?
Sivaramakrishnan G. Historically we have worked with about 40% of our out er wear. If you look at pure synthetics , the synthetic contribution to our fabrics would be about 25% to 30%.
Nikhil Agrawal: Do we plan to take this increase given that there are many brands which are pledging to get into completely polyester or move away from cotton completely? So , are we planning to increase this going forward?
Sivaramakrishnan G. It all depends on the fabric availability in India. So synthetic ecosystem is not fully evolved in

our country and no brand moves away from one fiber to another. There'll be demand for all of these fibers . Typically cotton and viscose demand comes to India and polyester and nylon and all these products are usually made out of the Far-east. So that's how historically it has played. We are an exception. We do synthetic products too but by buying the fabric from Far-east. So , it all depends on the product , customer and the type of business that we go after.
Moderator: The next question is from the line of Bijal Shah from RTL Investments .
Bijal Shah: My question is the trade in apparel is almost like US$500 billion . However , I have not come across even a single company which has revenue of even US$5 billion. So , the question is , is there some natural limit to which an apparel manufacturer can grow or probably there are some other models which can be experimented with and probably US$5 billion or so kind of revenue, if possible , in long term ?
Sivaramakrishnan G. Since it's manpower intensive since it has got a very low capital investment , especially in apparel you will find that the industry has a tendency to fragment. So , when you reach a billion 2 billion etc. you will find that there will be other players who are coming up , making the investments , competing on cost etc. So , for example , Shenzhou, which is a large player is about US$3-US$3.5 billion in revenue and almost US$10 billion in market cap. So , they're big ones , they have fabric and they're very technically savvy and compet ent players. But yes , you're right you don't see a US$5 billion player simply because the industry will fragment at that stage at that level. Now can somebody consolidate it , perhaps . So, we will have to see how that evolves.
Bijal Shah: The second one question is , you answered that some of the other markets outside US are small . But if I see some of the Taiwanese players are really doing good business in Japan, so beyond US and maybe let's say if U K FTA happens , isn't there any market or isn't there any customer with whom we can really

engage ?



Sivaramakrishnan G. We look at any engagement at scale. So , if we get a customer , a large customer in some other geography who have the scale then we would like to engage. So , we are not a verse to any market . The Japanese market has a very different set of protocols and requirements to satisfy, and we have served the Japanese market in the past and we continue to engage with potential customers in all geographies including Japan. So , it all depends on the opportunity. If an opportunity makes financial sense to us , we will go ahead with that.
Moderator: The next question is from the line of Harsh Mit tal from IC ICI Securities .
Harsh Mittal: I have one small question. I just wanted to know what would be our annual garmenting capacity in FY24 and ‘25 from 36 million pieces in FY2 3?
Sivaramakrishnan G. In capacity in pieces or what are you asking?
Harsh Mittal: In pieces.
Sathyamurthy A: Capacity in pieces i s 30 million considering our product mix at this point of time.
Harsh Mittal: So that is 30 million as on FY23 , right?
Sathyamurthy A: Correct.
Harsh Mittal: In FY24 ?
Sathyamurthy A: FY24 also remains the same except for another 5% you can add for the new capacity which has come up in Bhopal.
Moderator: The next question is on the line of Anush Kumar from Spark Asia Impact Managers Private Limited.
Anush Kumar: My question is on the PM MITRA Park, like how beneficial are we as a player like a pure play garment exporter when you compare it with a player who's present across the value chain? So , what sort of benefits we get when you compare it with a player who's already there across the value chain?
Sivaramakrishnan G. PM MITRA P arks are very large parks and situated in remote regions because of the requirement for a very large land bank. These parks are about 1000 acres in size and require water availability and all of that. Largely it is meant for fabric processing and some of t hose related areas. Garment manufacturing requires access to people or availability of people , so if we go and put up a factory in one of those PM M ITRA P arks, then we will have to also house people in dormitories because the areas where the parks are may not have access to a lot of people . So, at this moment from a



garment industry standpoint , I think we will continue to expand in regions wherever people are available at low cost and in abundance and not necessarily go after PM M ITRA unless there are some compelling advantages. Having said that PM M ITRA P arks also needs to be infrastructurally developed. It'll take a couple of years before the infrastructure in those parks are fully developed. So , the land has been acquired but the land has to be developed. The internal

roads have to be put in , power , water infrastruc ture has to be brought in. So once those things come , we will also evaluate setting up units in P M MITRA if we still have access to people. Does that clarify?
Anush Kumar: Yes sir .
Moderator: Ladies and gentlemen that was the last question. I now hand the conference over to the management for the closing comments.
Sivaramakrishnan G. Thank you so much. We at Gokaldas are always focused on ensuring execution excellence and we are working hard towards combating any of the market -related challenges. We continue to look at global events and what impacts retail purchases from suppliers like us. We would work towards staying competitive. We are working towards improving our product portfolio so that we always stay ahead of the supplier base and always should be able to grow at a much faster pace than the rest of the industry. We will focus on this. We will focus on ramping u p the newer capacities that will come up and we are razor -sharp focused on securing our margins and protecting it.

As usual , we will continue to work towards strong growth. Our acquisition of Atraco which once it comes into play will also require us to integrate and grow. We're confident that we should be able to do it. We have done a lot of background work already in anticipation of the approvals that we will get and we are confident that we should be able to integrate that very comfortably into our operat ions so that will also yield growth going forward into the future. Thank you so much for asking the questions and supporting Gokal das Exports.
Moderator: Thank you, members of the management team . Ladies and gentlemen, on behalf of G okald as Exports Limited , that concludes this conference call. We thank you for joining us and you may now disconnect your lines.

## Call: Feb 2024

GEL/SEC/2023-24/93

February 09, 2024

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers The Exchange Plaza
25th Floor, Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code – 532630 Scrip Code: GOKEX

Dear Sir / Madam,

Sub: Transcript of Q3 FY'24 earnings conference call
Pursuant to Regulation 30 and Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, plea se find enclosed the transcript of Q3 FY'24 earnings conference call held on February 02, 2024. The Transcript is also available on the Company's website at www.gokaldasexports.com .

This is for your information and records.

Thanking you,
Yours truly, For Gokaldas Exports Limited

Gourish Hegde
Company Secretary & Compliance Officer

Encl: as above



"Gokaldas Exports Limited
Q3 FY24 Earnings Conference Call"
February 02, 2024

MANAGEMENT : M R. SIVARAMAKRISHNAN GANAPATHI – VICE CHAIRMAN AND MANAGING DIRECTOR – GOKALDAS EXPORTS LIMITED
MR. SATHYAMURTHY – CHIEF FINANCIAL OFFICER – GOKALDAS EXPORTS LIMITED

MODERATOR : M R. BINAY SARDA – ERNST AND YOUNG



Moderator: Ladies and gentlemen, good day and welcome to Gokaldas Exports Limited Q3, FY24 Earning Conference Call. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Binay Sarda from E&Y. Thank you, and over to you, sir.
Binay Sarda: Thank you, Riya. Good morning to all the participants on this call. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may

involve known or unknown risks, uncertainties and other factors. It was reviewed in conjunction with our business risks that could cause future result performance or achievement to differ
significantly from what is expressed or implied by such forward-looking statements.
Please note that we have mailed the results and the presentation. and the same are available on
the company's website. In case if you have not received the same, you can write to us, and we'll
be happy to send the same over to you.
To take us through the results and answer your questions today, we have the top management of
Gokaldas Exports Limited represented by Mr. Sivaramakrishnan Ganapathi, Vice Chairman and
Managing Director; and Mr. Sathyamurthy, Chief Fi nancial Officer. We will start the call with
a brief overview of the quarter gone past and then conduct the Q&A session. With that said, I'll now hand over the call to Mr. Siva. Over to you, sir.
S. Ganapathi: Thank you, Binay. Good morning, everyone. Happy to have you at our earnings call for the third
quarter of FY24. Our company, Gokaldas Exports is one of the India's largest apparel
manufacturer exporting 50+ countries. We currently employ about 33,000+ people, a large proportion of whom are women -- this is a sector that employs over one crore people, has the
potential to industria lize small towns, create more jobs pe r unit investment as compared to any
other industry and has a high share of revenue disbursed as wages.
In short, a highly desirable industry for social upliftment. In this quarter, the revenue grew by
6% Y-o-Y and 10% sequentially. Just for the cont ext, Indian apparel exports in this quarter
witnessed a decline of 12% Y-o-Y and remained flat se quentially. This indi cates the resilience
of the company in the face of adversity. I'm given to understand that in December 2023, US monthly apparel store sales are estimated to be about $29 billion, which is 9% more than
December '22.
Retail sales in '23 has been higher than in '22. However, when on e looks at the import statistics,
the data for Jan to November 2023 indicates that all major markets have imported substantially less. US imports were lower by 21%, UK by 17%, EU by 5% and Japan was less by 4%, these
markets collectively imported 16% less during this period as compared to the previous period.
However, improving supply chain trend and either inventory positions with retailer are helping
facilitate a return to a more normalized planni ng and ordering time line, bringing in greater


predictability for manufacturers like us. It has taken almost 12 to 18 months for retailers to
unwind a lot of the excess inventory positions that were built up in early 2022, when inflation and global turbulence began to impact customer demand.
Sales growth is now outpacing inventories for many brands, which is a welcome sign. We are
expecting a positive momentum for us in the cale ndar year 2024 and expect sequential growth
to pick up slowly over the next few quarters. In this quarter, our EBITDA margin stood at 12.6%, improving Q-o-Q by 16

3 basis points, due to better operating leverage. However, despite an
increase in statutory minimum wages in Karnataka, employee ramp up in anticipation of volume
growth in Q4, start-up costs at our MP unit and certain one-off expenses, the company managed
to contain the margin decline to 112 basis points on a Y-o-Y basis.
In the nine months of the financial year, the company generated INR141 crores in cash from
operations and covered the capital expenditure of about INR102 crores. Our new manufacturing
unit in Madhya Pradesh is expected to turn profitable in the next forthcoming financial year, while offsetting the initial operating costs incurred in training the large number of employees
and bringing them to productive levels.
Fabric processing unit in Tamil Nadu is an advanced stages of completion, and we expect trial
production to commence sometime in Q4FY24 or maybe early Q1FY25. We have completed our acquisition of Atraco in January 2024 and are in early stages of integrating the operations.
We will be consolidating Atraco numbers from the next quarter, while Atraco's order book looks
good, the initial quarter of Atraco may be impacted by some delivery challenges brought about
by lost production people days on account of rebadging the employees consequent to asset
purchase in Kenya.
We will view the long-term macroeconomic factors as favourable for growth of the business.
With this in view, we signed a definitive agreem ent to acquire Matrix Clothing we feel that
Matrix with a strong track record of performance expands the company's offering brings in a
stronger position in the knits category, introduces new customers, improved geographical spread
to Europe and complements our investment in fabric processing. We are confident that our
growth strategy will lay a solid foundation for a strong and sustainable future.
I wish you all a Happy New Year, and thank you for listening. I will be happy to address any
questions that you may have.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is
from the line of Shagun Lalwani from HDFC. Please go ahead.
Shagun Lalwani: Hi. Sir I just wanted to ask, is there -- if you could provide any details on the PLI scheme that

the company is receiving and what details will be there? How will you proceed with that? How will you envisage that?
S. Ganapathi: So there were -- the first PLI scheme, we had ap plied for PLI scheme, and we are a recipient of the award from the government, the factory in Madhya Pradesh qualified for that PLI scheme, that's the earlier one, which came two years back , which incentivizes production of apparel using fabrics with synthetic content. For the moment, looking at the product profile, etcetera, we are


not very hopeful of taking advantage of the PLI. And this is a general issu e with the industry as such.
The industry is also discussing with the government on other PLI, which is not product restrictive but having said that, there is no clarity on when -- if or when that will be announced. So at the moment, as I have maintained in the past, we are not banking on PLI as a scheme to support.
However, if we are able to pick up our synthetic products, exports, we may be able to avail of PLI benefit sometime in the future. We do qualify through our manufacturing unit in Madhya Pradesh.
Shagun Lalwani: All, right. Thank you.
S. Ganapathi: You're welcome.
Moderator: Thank you. Next question is from the line of Akshay Kothari from JHP Secu rities. Please go ahead.
Akshay Kothari: Yes. Thanks for the opportunity sir. Sir, what is the price to book we have paid for Matrix?
S. Ganapathi: We will get back to you on that. Let's carry on wi th the questions. I will come back to you, our CFO will just...
Akshay Kothari: Alternatively, if you can tell me what would be the goodwill amount recognized on Matrix a

cquisition either of both? Yes.
A. Sathyamurthy: The share purchase value is i.e equity value is INR334 crores. The book value in Matrix design is about INR155 crores. That is represented by the equivalent amount of debt. So the net assets, being acquired s about INR155 crores. The remaining amount that will be recognised as goodwill in Gokaldas books when we consolidate the financials will be around INR332 crores.
Akshay Kothari: That is actually huge. Okay, sir. That’s it from my side. Thanks.
Moderator: Thank you. Next question is from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.
Prerna Jhunjhunwala: Hi. Thank you for the opportunity. Congratulations on this acquisition. I just wanted to understand what made the promoters exit this business and sell this because I saw the numbers that have been released in the press release, the company has been growing in top line.
S. Ganapathi: So, this is again -- it's a personal decision of th e promoters. And obviously, they are looking at succession and many other issues that they may have to deal with. So I don't want to speculate on that. But at the moment, it looks like they want someone to take over the assets, who can protect the asset in the long run, and grow with it.
And the existing promoter is also supportive of the company under Gokaldas. So that that understanding is clear between both of us. And he wanted to see someone take over the assets in the long run as he wants to retire and pursue ot her things in life. So it's a combination of all


of these factors, which has really led to the existing promoter to look at an eventual exit from Matrix.
Prerna Jhunjhunwala: To follow-up on this, the existing promoter will also be managing the factories and the business post-acquisition and how long?
S. Ganapathi: So he will be available for as long as we need initially, definitely for a year and even longer.
Remember, he will also have a stake in Gokaldas, post the stock swap. So in that sense, there is some degree of continui ty for him as well. And there will be a long enough transition period.
He is quite active in the Indian apparel industry, having served the industry for over 40 years, and still believes that he will have the energy to go support the growth of the business. So I count on his support and on his goodwill to continue to run not just the Matrix business also, but even advise us on Gokaldas Exports business. So he will be available for long enough.
Prerna Jhunjhunwala: That's great. Sir, what -- who will be the top clients of Matrix, if -- I'm just trying to understand the client mix?
S. Ganapathi: So we may have some disclosure related problems as far as the customers are concerned. We have not talked to their customers at the moment from the perspective that can be disclosed their names in public. But suffice to say that these are top-notch customers, customers who buy high-quality knit wears. These are very good brands. And in due course, when we have the

permissions, we will let you know.
Prerna Jhunjhunwala: Okay. How would be the mutually exclusive? I mean, do we serve those customers, the top customers existing or I mean they are build ing new acquisition for Gokaldas as well?
S. Ganapathi: So if I look at the top three, four customers, we don't serve them. So it is a mutually complementary set of customers. There are tw o customers, who are common, but those two customers for them are absolutely negligible in their revenue. So by and large, there is a customer complementarity between ourselves and Matrix.
Prerna Jhunjhunwala: That's helpful, sir. Sir, going on to our Gokald as numbers. Just wanted to understand how is the demand scenario shaping for future? We understand the December quarter has not been that great, but how are the order books and customer inquiries and other things shaping up for the next few quarters and t

he year , how the customer is behaving in current price deflation kind of scenario?
S. Ganapathi: So many of the customers are indicating that the excess inventory that they were having has come down. But this is not a uniform story. There are some customers, who are still grappling with high inventory, but many of them, especially in the fashion segment, have managed to liquidate a substantial portion of their inventory. So many of them are now coming back and are restoring their purchases because most of last year's retail sales were catered to from the excess inventory that they have built up.
Keep in mind that if I look at the US market last year, the retail sales were up by almost like 4%.
When I say last year, I'm talking on calendar year '23. So the retail sales has been fairly good. It


was just the inventory, which was preventing the brands from buying more. As they have liquidated the inventories or in the last stages of liquidating their inventories, they are coming back to buy more.
So when I look at the prospects for the company in the quarters ahead, we see that there is a reasonably good pickup. And we had indicated about this much earlier, right, even in the early part of this year. And you saw that in Q3, we've seen this pick up. And that's the reason why revenue Y-o-Y is up 6% in this Q3. And I think th is trajectory will continue going forward. My sense is that the customers are coming back for more, albeit not all customers, but many customers. And we will see at least year-on- year, quarter-on-quarter growth going forward.
Prerna Jhunjhunwala: Is there any pricing pressure also that we are facing because we hear that so many factories are still underutilized and demand has been weak and stuff. So is there any pricing pressure also? Or it's not there?
S. Ganapathi: Yes, it is there. If you look at India's exports also in the third quarter was 12% lower than previous year. So obviously, there is a capaci ty demand supply mismatch. And whenever there is a demand-supply mismatch, it goes against the suppliers like us. So there is pricing pressure. And the only offset to pricin g pressure is becoming more and more efficient in how we manufacture and try to get as much advantage in sourcing of raw materials in your own manufacturing costs and managing your cost.
So we're doing everything in our power to hold EBITDA margins to realistic -- to strong levels.
And I think the pricing pressure will continue for a few more quarters till the situation changes to where the buyers come back asking for more products. So until then, I anticipate the pricing pressure to remain till at least next stage, which is the next Q3. We may see some easing of as we go forward, but it will still be there.
Prerna Jhunjhunwala: Thank you so much. Last question on volume growth. How much was the volume growth this quarter and in nine months?
A. Sathyamurthy: In nine months for FY24, the volume growth is almost nil during this nine-month period.
Prerna Jhunjhunwala: In Q3?
A. Sathyamurthy: In Q3, the volume growth is close to 15%.
Prerna Jhunjhunwala: That's fantastic. Okay. Thank you for detailed answers sir. Thank you much. And all the best.
A. Sathyamurthy: Thanks, Prerna.
Moderator: Thank you. Next question is fro m the line of Saransh Sethi from Samar Wealth. Please go ahead.
Saransh Sethi: Sir, do you see Bangladesh as any potential threat in export business?
S. Ganapathi: Is the question -- is there a potential threat from Bangladesh. Is that the question?
Saransh Sethi: Yes, sir.


S. Ganapathi: Okay, yes and no. So Bangladesh has always been a threat in the past because of their low cost of labour and a fairly robust availability of manpower for ma nufacturing. We found that in December 2023, Bangladesh's wage costs went up by almost 50%, and that has red

uced the delta
of wages between India and Bangladesh. So for instance, we are currently at about $190 for our labour and Bangladesh is operating almost at $150. So the gap has come down substantially. .
Secondly, Bangladesh also has had some social unrest problems in the run-up to the election. So brands are also wary of having too much of their capacity being sourced from Bangladesh that they are looking at alternative locations. India is also emerging as a competitor, particularly in certain pockets. For example, in Madhya Pradesh, in Jharkhand in Orissa. Some of these untapped states from an apparel manufacturing, the cost of operations are comparable to Bangladesh. So we would see, going fo rward, more competition from India to Bangladesh as well.
So I -- while I feel that Bangladesh continues to remain competitive, the competitive edge, which Bangladesh had over us is actually reducing. Secondly, if India gets into an FTA with UK, and that's been on the anvil for some time, though we haven't seen the light of the day, as yet, then we get a level playing field as far as that country is concerned.
So currently, India goes with 12% duty into UK versus Bangladesh, which goes with 0% duty.
So if that level playing field happens, it will also be an advantage to India. There is also a threat of Bangladesh losing the LDC status, which is the low-cost country status, which confers on them the duty-free access into Europe. But there is a likelihood that they may enter into an FTA and offset this and sti ll retain that benefit.
So when India gets an FTA, maybe the differential between India and Bangladesh will more or less vanish. Until then, two countries like United States, where both of us do not have any --both of us have parity and no differe ntial treatment as far as imports are concerned, while Bangladesh does enjoy some cost benefit, it is -- we are as competitive as they are in many products. I hope this clarifies.
Saransh Sethi: Yes, sir. Thank you. That's all from my side.
Moderator: Thank you. Next question is from the line of Bijal Shah from RTL Investments. Please go ahead.
Bijal Shah: Thanks for the opportunity and congratulations on good set of numbers as well as acquisition on Matrix. So my first question is with respect to equity dilution. You a ll considering for INR6 billion of equity dilution. Could you give us some more colour on the same?
S. Ganapathi: So this is just an enabling reso lution to potentially raise capital in any form in the year ahead.
We will discuss internally and with the Board to see how and when to go about raising this capital. At the moment, we are only seeking an en abling resolution, which will permit us to have funds for future growth.
Keep in mind that we are generating cash every quarter, and we will continue to do so going forward as well, and with some of these acquisitions, our cash generation will increase. But having said all of that, we are also conscious of tapping the market -- tapping the opportunities


in the market for growth . So we will look at all of these possibilities and take an appropriate decision going forward.
Bijal Shah: I understand that, but just -- see, if I look at all th e debt and all, it will hardly be INR3 billion to INR4 billion. And both your cash flow and the kind of, I mean, debt equity you have, I'm slightly surprised that why you need even an enabling resolution?
S. Ganapathi: So we are equally conscious of that. And we will do what is right for the company for sure. And there, it all depends on how the opportunity landscape evolves for us. The way we see it, we are at a very interesting time, where we see that the most of the challenges for the industry is behind us. And in the next one year to two years, there should be a lot of growth opportunities. We have to prepare ourselves to be ready to take on some of those challenges and press

ahead with growth, if we want to. So some of these resolutions are with that in mind.
Bijal Shah: Got it, sir. And sir, second question is -- as sh areholder, we are extremely excited and what you have done is really incredible. But if I step back and see the three things, there are a lot of things happening. You are ramping up MP, you are having a fabric processing plant, then you have acquired capacity in Africa, you are going to Ranchi and all with the new acquisition. And I mean that probably you might even think of Bangladesh
I don't know whether that is on table right now or not. So there are really so many things happening at some point of time. So do you see any challenges coming up in terms of managing this entire probably scale up, which you are doing right now? Can we see some hiccups during the time or I think during the time we really integrate everything efficiently?
S. Ganapathi: So it's a very good question and a very pertinent question. Obviously, when we do some of these things, we would have thought of it -- and I've thought through most of the issues that you are raising. We will clearly need a strong manageme nt bandwidth to run al l of these operations, integrate them and take advantage of some of these acquisitions.
One of the principles that we've used for some of these acquisitions are that they are all well-run companies, and they're all profitable. And they all come with good management to start with. So in many ways, we are adding to the management talent pool of the company through these

acquisition as well.
So that is not understood very well when we only talk about numbers. So I'm glad that you asked
this question. And it's -- how do we align all of these management team members to deliver even if I don't do any mergers, integration, drive synergies, etcetera, all of them are profitable. They're
all able to grow on their own. But clearly, we have a plan to bring all of this together.
Most of the plans will be set in motion as we speak. And over the next year, we will not be in a
terrible hurry, but we will ensure that there is a uniformity in the approach as far as operations are concerned. A single point of connections with all the customers and the shared sense of
purpose across all of these units.
So I don't see that as impeding our ability in any which way. It just it's -- on the contrary, it will
allow us to propel ourselves forward as we will also be acquiring a lot more bandwidth in the


company through management that we will get from those companies. In addition to that, we
are also recruiting and adding management team members at our company level at very senior levels.
This will also be able to help us address some of these acquisition-related management issues.
So by and large, it's all going well and going as planned, and we are comfortable and with what
we are doing. Keep in mind also that we are acquiring companies which are smaller than us, so which -- and we have studied these companies for a fairly good amount of time.
So it's not -- while the acquisition has happened now, we've been engaging with this company
for a long time. So we have a fairly good understanding of how are they run, what are the issues,
what are the challenges. So we're not going in trying to discover something new where we have a fairly good idea between ourselves and the new managements to as far as the way forward
etcetera.
Bijal Shah: Okay. Sir, got it. Sir, one last question, if I can squeeze in. Sir, you have talked about that F24
revenue, you'll try to meet what you have done in F23. Now only one quarter is left. Do you
think that is possible?
S. Ganapathi: So again, with the acquisition that we made is Atraco, definitely on a stand-alone basis, we may
be slightly short of F23 revenue. But with the acquisition at a combined company level or certainly.
Bijal Shah: Sure. Thanks and all the best.
S.

Ganapathi: Thank you.
Moderator: Thank you. Next question is from the line of Anand S from Avendus Spark. Please go ahead.
Sundar Praveen: Sir, this is [Sundar Praveen, Avendus Spark] -- Sir, congrats on your acquisition. Just a few
doubts here is that I believe going by the numbers that you've published on Matrix, there is no
volume growth left in terms of capability. Because I understand that they have a capacity or
about close to 13 million pieces, and they're already about 11 million.
So what's the growth plan going ahead? Because what -- do we have any capex in mind? Because
this question, I would like to extend to Atraco also because in both these places, I find growth to be challenging especially from a volume perspective. Now what's your take on that, sir?
S. Ganapathi: Okay. So answering as far as Atraco is concerned, and then I'll come to Matrix. There is a new
unit in Atraco, which has got huge capacity to expand and we built. So we are -- we have a fairly
good ability in Atraco to expand our capacity wi thin our existing set of units by about 25%. So
I don't see growth in Atraco as a challenge, if the business is there and the business volumes also
are going forward will be there.
We won't see -- we won't have a problem as far as expanding the capacity as the capability to
expand capacity exists. As far as Matrix is concerned, while there is some headroom for growth,


in my opinion, 10%, 15% headroom for growth is there in existing factories. There is also a
possibility of expanding in Jharkhand in new factory.
So by putting up a new factory, they already have 1 unit operational there and additional units
can be set up in that region, since the management has got the -- has got a good understanding of operating in that region.
So th at possibility -- incremental to th at 10%, 15%, we will have the
ability by putting up new units.
Sundar Praveen: And just a continuation to this is th at what is the kind of capex, sir. They wouldn't be very similar
asset terms to the existing business? And what's the kind of gestation period that we should factor in for this expansion to be coming into numbers?
S. Ganapathi: So all of the -- for Atraco's incremental expe nse in the asset terms are similar. Atraco's
expansions, most of it, since they are in existing fa ctories, the gestation period will be fairly low.
And even for Matrix, the first blush will be at low gestation period. New factories will have a
strong time line, it will take at least 1.5 years or maybe even two years before it can really start

meaningfully contributing to the bottom line.
Sundar Praveen: Right. Fair enough. Sir, one last question just in terms of Matrix, there's two numbers that I would want a clarification on is that the kind of average realization per piece that you see is on the higher side, considering with the knit business. And two, the margin profile seems we are the lower side considering to be at 12% margin.
We'd indicated that even for our - at presently we can do about 16% to 18%. So where am I missing those numbers or was the dichotomy in terms of the margin as well as in terms of realization. What categories with it early handy with, which gives them a higher realization compared to average knit realization from India?
S. Ganapathi: So Matrix's products ar e large embellished. So obviously, thos e kind of products have a better realization. They have worked with also premium customers. And that's the reason why they have a much higher FOB value as compared to most of the list manufacturers. When it comes to EBITDA margins, I feel that EBITDA margins, there is further improvement possibility in EBITDA margins there given the product profile th at exists. And it is our endeavour to further take it up.
With our knit fabric mill, there is again a complementarity where some of the fabric output of our knit mill can be utilized as

a good portion of it can be utilized for Matrix's own consumption. So there will be an added synergy, and that will also help in not only capacity utilization on 1
end at the fabric mills, but also help Matrix with access to in-house fabric. So there are a lot of other benefits that we see in this to even help drive up margins.
Sundar Praveen: So it would be happy to take the top line. But 1 last before I leave is that can you give your comments on the Red Sea issue and what sort of impact that we should envision for Gokaldas on this, either in terms of inventory turn becoming lower or in terms of buyers becoming more cautious, we understand predominant FOB, but is there a slowdown in terms of inventory ordering or how is that taking place, sir?


S. Ganapathi: No. On the contrary, they are hustling up to send the good sooner simply because the shipping right around Africa is taking longer. So in order to meet the in DC time lines, they will want us to deliver it sooner, right? So I don't see Red Sea st ill at this moment as a negative. The cost of
-- increased cost of logistics is being borne by the customers, and it will continue to be borne by the customers.
So the real issue is the demand scenario in the best and how do the brands cope with that. But as far as logistics is concerned, our incremental insurance costs are concerned, many of them are offsetting by talking to their logis tics player. Some of them are also addressing it by air freighting it, so that they can short-circuit the time line. But as far as demand is concerned or time lines are concerned, so far, we have not had any effect.
Sundar Praveen: Thanks for your prospect, sir. And all the best.
S. Ganapathi: Thank you.
Moderator: Thank you. Next question is from the line of Anushkumar from Spark Asia Impact Managers Private Limited. Please go ahead.
Anushkumar: Sir good afternoon. Thank you for the opportunity. So I just wanted to know what would be the Wovens v/s knits net proporti on post all the acquisitions?
S. Ganapathi: Knit will be 30%.
Anushkumar: 30%. Okay and so once all this -- in terms of cost synergies, are you seeing anything like negative post these acquisitions?
S. Ganapathi: Can you repeat it? What do I see as negative, sorry?
Anushkumar: In terms of cost synergies, post all these acquisitions -- is there anything negative with respect to EBITDA?
S. Ganapathi: No. In fact, I don't see of course, Atraco has a slightly lower EBITDA compared to the Indian units, both ourselves as well as Matrix. But then Atraco also has the offsetting benefit of being located in a tax zone. So at the PAT level, they are in fact better. So net-net, I don't see a problem
from an EBITDA perspective. Now if we are able to synergize somewhat in sourcing of fabrics, etcetera, we may see some accretion but that's for the future. So we will let it happen when it happens.
Anushkumar: Okay. Also on FTA, are you seeing anything like from the government whether it be materialize before the end of the financial year?
S. Ganapathi: Well, this is anybody's guess. We can't speculate on it. What we've heard last is that both the governments are sincerely working on it. We do not know, if and when it will happen because it's been taking a long time -- and both the governments will have to comprehensively negotiate all the little, little aspects which form part of the FTA. So really, we are not in control of it. We don't -- we are not fully privy to all the goings on. We are hopeful that it will happen, but we'll have to leave it at that for now.

Anushkumar: Thank you, sir. Thank you for the opportunity.
S. Ganapathi: Sure.
Moderator: Thank you. Next question is from the line of Nishid Shah from Ambika Fincap Consultant Private Limited. Please go ahead.
Nishid Shah: Well, most of my questions hav

e been answered, but congratulations on a very good set of numbers and a very good acquisition Shiva and your team.
S. Ganapathi: Thank you, Nishid.
Nishid Shah: Thank you very much. And all the best.
S. Ganapathi: Thank you.
Moderator: Next question is from the line of Vikas Jain from Equirus. Please go ahead.
Vikas Jain: Yes. Thank you, sir, for the opportunity. Sir, in your opening remarks, you mentioned comments with respect to the near-term working on the Atraco. Can you just repeat that, please?
S. Ganapathi: So when we acquired Atraco, which happened in January, we did an asset purchase in Kenya. So when you do an asset purchase, all the existing employees of the entity had to resign from the erstwhile company. And then re-join us as a new entity, which we had created. So during that period, there was a disruption to production because there was a time period between these two. So there were some lost production days, lost production mandates. And because of this, and the unit has -- all the Atraco units are runn ing at peak Chock-a-block capacity utilization, the lost capacity resulted in some degree of air freighting.
So we are always estimating the cost because the buyer delivery rates don't change, but this has to be done as a onetime consequent to asset purchase model that we chose to implement there rather than buy it as a going concern. We didn't want any previous liabilities to be inherited. So is this a onetime acquisition-related challenge that we consciously chose to adopt, lost some production days, significant number of production days at that point in time. It's behind us. But nevertheless, it will have some degree of impact, but it will be restricted to this 1 quarter.
Vikas Jain: So that impact will be limited to this quarter itself, right, it would be carried our further?
S. Ganapathi: Correct. Correct.
Vikas Jain: Sir, my second question is with respect to the MP unit. I believe that we started that MP -- the production in the MP appeared in last quarter. Can you state wh at are the current utilization levels there?
S. Ganapathi: Okay. So, utilization has 2 parts to it. One is utilization with respect to the current manpower of utilization with respect to the factory's potential capacity. If I look at u tilization with respect to the factory's potential capacity. We are about 35% of the factory's full potential capacity.


So that is because the manpower is still being added and the manpower productivity is also growing. So from this 35-odd percent cap utilization with respect to it's full potential, we will be reaching that full potential in the next 3 or 4 quarters -- hopefully soon. As we are working on that. And the productivity also has to catch up. So somewhere in FY'25, we should be accomplishing all of this and the factory should really be working towards full capacity, full potential by the last qu arter of FY'25 for sure.
Vikas Jain: So on a year-on-year comparison of our revenue s, even, if we exclude the MP unit contribution the performance looks broadly weak in terms of the existing installed capacities. This is predominant with respect to the weak -- or there are some softness in the demand? Is that the correct understanding?
S. Ganapathi: So there are a few things here. If you look at the current performance versus last year's performing, and if you remove MP, then it's comi ng slightly lower in terms of EBITDA margins.
And one of the reasons is that we've had a fairly substantial growth in minimum wage in Karnataka, where bulk of our operations are.
So the wages have gone up this year versus last year was 9%. So that itself has a 2%, 2%-odd impact as a percentage of revenue. A good portion of that, we have offset it by improved productivity, but we have not recovered all of that. One of the reasons is because we are also facing enormous price pressure from the brand given tha

t there is a demand supply mismatch.
So we are not able to offset it by pushing back on pricing. That's one aspect.
Second, because of the particularly low demand situation that we are in, we are not able to get all the product types that we want -- so sometimes we like to adjust it to what is the product types that are available in the market to continue to grow. So the product mix changes are very, very frequent these days in the units, which also impacts the efficiency growth that we are

driving. So there is a lot of operating level issues that we are contending with, given the current market situation.
I expect this to stabilize in the quarters ahead. But while it is going on, we can't let a new sites
of growth or new sites of opportunities. And we will had to deal with some of these operating
challenges in the interest -- in the larger interest of growth of the company. And we have been doing an admirable job given all of this that we have not dropped the ball as far as the
profitability is concerned.
Vikas Jain: One last question. In one of the participants an swer, you mentioned the amount of goodwill. Can
you please reiterate how the calculation for that amount, please, for the Matrix acquisition?
A. Sathyamurthy: For Matrix, the equity value is INR334 crores. This payment will go to the shareholders of
Matrix Designs India Private Limited. We also need to make a payment of INR 155 crores to
clear the debt in MDPL. So technically, when we consolidated the books of accounts, we will get INR155 crores worth of asset. Whereas as ag ainst equity value that is getting paid, except
for the share capital value, which is a very low value about INR1 crore, the balance amount
INR333 crores will be treated as a goodwill in the books of Gokaldas when we are consolidating
the books of accounts.


Vikas Jain: And 1 last question. You mentioned we have a brownfield capacity expansion possibilities at
the Matrix plant. Can you elaborate as in -- do we have an excess land bank or some lines of -- that we can add in the existing units? And what can be the growth potential there in probably
the next 1 or 2 years?
S. Ganapathi: So as I mentioned earlier, within the existing units, the growth potential is only to the extent of
10%, 15%, but the company does has some land in Ranchi. And that plant could be developed. And as and when that is developed, we have the potential to increase capacity. They are already
operating 1 unit out of a leased facility in Ranchi. So the company does have a management
team on the ground, so which can be extended to the newer facility as and when that is built out.
Vikas Jain: Sure, sir. And then that Ranchi facility is operating on 2 shifts basis, these aren't headcount,
right?
S. Ganapathi: The existing Ranchi facility is working on that 2 shifts, yes, correct.
Moderator: Thank you. Next question is from the line of Kaustubh Pawaskar from Sharekhan By BNP
Paribas. Please go ahead.
Kaustubh Pawaskar: Sir, my question again is on th e EBITDA margins. So you just mentioned that currently, there
are some operational hindrances, which is likely to put pressure on the margins. But if your production capacity in Madhya Pradesh utilization rate improves, I think that might offset
whatever the risk currently you're facing th rough. So it is the right understanding?
S. Ganapathi: That is correct.
Kaustubh Pawaskar: So should we expect EBITDA margins to be marginally lower in the quarters ahead? And once
the situation improves in terms of the pricing also in term s of -- in terms of the supply issues
currently we are facing because of the Red Sea issue. If all these issues gets sold out, then your
margins will improve with better mix?
S. Ganapathi: So my sense is that -- keep in mind that Madhya Pradesh is just at the moment only 1 unit. So
its ability to influence the overa ll EBITDA will be marginal, given

that there are -- the rest of
the company is much, much bigger in proportion, correct?
Having said all of this, my sense is that towards the latter half of next financial year, we will see
the demand supply improve a bit. And hence, it may have -- it may have a positive impact as far
as the margins are concerned, because some amount of pricing power can return. I mean that's the expectation. We'll like to see how all of these pan out.
But given how things are unfolding as we speak, it looks reasonably likely. So that's what I
would characterize that. Keep in mind that Atraco is operating at about 10%, 10.5% EBITDA
margin. So when Atraco start integrating, the EBITDA margin at a collective level will come
down because their own EBITDA margin is lower. We will have to work with that to improve
it to our levels going forward, and that is a 2-year journey that we will have to go through a 2,
3-year journey.


But however, as I said earlier and clarified earlier because they are in a tax free location, their
PAT levels will be pretty strong given that they won't have taxes. So this is how it looks like. Plus if there are some other synergies that we can drive, then that also will hopefully help us the
margins.
Kaustubh Pawaskar: And one, last one on Matrix. So like Atraco, do we expect Matrix also to be earning accretive
from FY2025? Or you have to work on the fundamentals of the Matrix to see margin improvement coming in the years ahead?

S. Ganapathi: No. Matrix will also be margin -- EPS accretive from year FY'25. So it will benefit us. And I think just like Atraco, Matrix also, we have ensured that the acquisitions are all accretive almost from the start.
Kaustubh Pawaskar: And one last one, if I can. What is the EBITDA margin for Matrix? What are the EBITDA margins, the Matrix?
S. Ganapathi: About 12.5%.
Moderator: Thank you. Next question is fro m the line of Vishal Saraf fro m SBI Funds Management. Please go ahead.
Vishal Saraf: Sorry, if I missed out, what is the revenue potential from Matrix, say, 1, 2 years down the line both with existing assets and po tential revenue if you do, if you have some plans to debottleneck or do that?
S. Ganapathi: So as I said about, if you look at the long-term revenue potential, it all depends on how much of capacity we put up in Ranchi and other places, right? And at the moment, 10% to 15%, we can unlock out of Matrix right off the bat. I mean, when I say right on the bat in a year or 2. But beyond that, if we can add more capacity, for exam ple, if we had a capacity in Ranchi that itself will add another 20% incremental capacity. So there is no end to how much more capacity we can drive out there.
Vishal Saraf: And this 10%, 15% over the last year number that has published, is it?
S. Ganapathi: No. So 10%, 15% -- so this year, their revenue has dropped. When I say this year, I'm talking of FY'24 their revenue is lower than that of last year. So they have maintained -- they've improved their margins a bit this year compared to last y ear -- profit margins. So I'm looking at it from current levels. But I think by and large, that 10%, 15% when I'm talking about it may be 10% over last year or so.
Moderator: Thank you. Next question is from the line of Akshay Chheda from Canara Robeco Mutual Fund. Please go ahead.
Akshay Chheda: Sir, 1 question again on this Matrix. Apologies if you have already answered. Just wanted to understand the thought process behind Matrix. Is it that we are looking for geography expertise because after Matrix, besides Karnataka and Madhya Pradesh, we have two more geographies.


That is, say, Haryana, Jharkhand. So are we looking at geography expertise? Or are we looking to fill in product gaps or is it that we are speed fasting our customer acquisition?
I mean just trying to understand,

I mean, if we had to do it on our own versus what Matrix helps us because at least in Atraco it was clear that you had to add that duty benefits, but what is that we are looking for Matrix? So if you can, so yes.
S. Ganapathi: Okay. So in Matrix, the advantage is that it gives us access to mix as a business vertical. If you look at Gokaldas per se, our net exposure is low single digits as a percentage. And Matrix is predominantly a knits niche business. It's also an embellished, which gives it a degree of competitive advantage over many other knit produ cers, who are commodity knits producers. So they have a well-protected business in that sense.
And apart from that, it gives us a new geography to work with. It also provides us the ability to acquire new customers because the larger customer s that they work with are not our customers and vice versa. So we have some cross-selling opportunity.
And over and above, it is complementary to our knits mill that we have set up. So the fabric mill that we have set out, the output can be consumed by Matrix. So from all of these perspectives, whether it is a new manufacturing location, complementarity to ou r fabric mill, new customers, new product category, which is mix and new market geography, which is EU and the U.K., it adds value to us.
So for instance, Gokaldas is largely weighted towards United States as the market. Matrix is -- has got a higher exposure to Europe. And with FDA and other things being discussed, we thought that having a little Europe-centric business may also help in the future if they do come. But even otherwise, Matrix as an asset, has got several other complementarities to Gokaldas.
Moderator: Thank you. Next question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead.
Palash Kawale: Congratulations on the good acquisition, sir. So most of my questions are answered. But sir, any thought on Bangladesh capacity? Is it still on cards or -- you're not looking at the...
S. Ganapathi: The opportunity is on cards. We have to take a call. We've been working on other opportunities as we speak. And I had deprioritized Bangladesh simply because there were too many things going on there. There was an election going on, and there were a lot of civil unrest there. On top of it, the minimum wages, which got firmed up only in December. So we wanted to see how that plays out. What is the impact of all of that on competitiveness at Bangladesh. .
So while Bangladesh remains competitive and rema ins an attractive destination, the level of attractiveness has diminished from its past. So we have to take a call. And I think over the next 6 months, we will take a call on whether we want to go to Bangladesh, we do have the option, we do have an identified factory location, we do have an understanding of the market having done, enough and more work there, but these are calls that we will take as we go forward on --

with our strategy.


Palash Kawale: So you are looking for more opportunities in India right now, as you said.
S. Ganapathi: So obviously, that's the reason why we have done this acquisition. So we're not averse to any geography for that matter. As a company, we are global, or the customers that we cater to are global, and we will go and produce from where it makes the most sense. So we're not wedded to any 1 particular location. Whatever makes business sense and financial sense, we will do that.
Palash Kawale: And just one more question. What were the average realization for the quarter?
A. Sathyamurthy: Product realization, right? It is the 689
Palash Kawale: 689?
A. Sathyamurthy: Its 689.
Palash Kawale: Okay. For 9 months?
A. Sathyamurthy: For 9 months, it is 689. For 3 months it is 673.
Moderator: Thank you. Next question is from the line of Amay Chedda from Balvan Capital. Please go ahead.
Amay Chedda: Just a couple of questions. So firstly, o

n Matrix, -- so Mr. Gautam Nair and the Bhargava will be continuing for at least for another 2, 3 years. Is that understanding correct?
S. Ganapathi: So Mr. Gautam Nair will definitely be involved wi th us for 1 year. He will be involved with us for longer as well. He's a well-wisher of the company. And as a gentleman he has confirmed that he will be supportive of the company. He will ensure that Matrix continues to perform well, and he will be available for the long term.
So we have not put any particular time line around it. And I would welcome Mr. Gautam Nair's presence for the long-term in the company. We do have a fairly great understanding between ourselves and he will be asset for the company. So at the moment, we're all thinking long term.
As far as the business set and all are concerned, they will be there -- because they will continue to be in the business as operating members for the long run.
Amay Chedda: Okay. The next question is, what are the capex plans for Q4 and FY'25?
A. Sathyamurthy: FY '25 capex plan is around INR75 crores towards normal capex. Other than that, specific capex expansion plan -Phase 2 expansion capex at Bhopal unit, another INR40 crores will be incurred.
S. Ganapathi: So I anticipate it to be about INR100 crores or maybe even less, we may go careful with our capex plan, since a lot of capex has already gone in. Our endeavour will be to now maximize the utilization of our existing capex. Of course, modern ization capex will happen. So that is -- that goes without saying that is routine in capex -- but other than that, adding new factories, etcetera, we will go -- we will be going slow on it because we will have enough capacity to work with as we speak.


Amay Chedda: Okay. So INR40 crores for Bhopal and another maybe INR55 crores, INR60 crores for normal continuous capex of approximately INR100 crores.
A. Sathyamurthy: Correct. Yes.
Amay Chedda: And for H2 of this year because first half is around INR70 crores, INR75 crores, sir.
A. Sathyamurthy: Already we had spent INR102 crores up to 9 months. We are planning to spend another INR43 crores of which around INR30 crores are committed already.
Amay Chedda: Okay, understood. And the last question is the increase in other expenses in this quarter was mainly because of Atraco, right?
A. Sathyamurthy: Partially Atraco and partially, on account of pr ovisioning for receivables, which are not realised beyond 1 year, we had to provide as per our accounting policy. We provided about INR2.7 crores as a provision. As and when it is realized, it will be accounted as income.
This receivable is towards sale of the surplus garments, which has been sold to the one of the customer nominated vendor. There has been a delay in realisation because the vendor is not able to liquidate it and he is seeking some more time to settle the dues . So, as per our policy we have provided for this, which is also the reason for increase in the other expenses.
S. Ganapathi: So some of which is on acquisition-related legal expenses, INR2.7 crores is provisioned for doubtful debt. We have also seen electricity charges grow in Karnataka -- recently, there was a steep price in electricity bill. So a portion of that is there. So I think the INR2.7 crores is one-off, barring that, it's normal.
Amay Chedda: So can you quantify what was the increase in electricity charges and the expenses relating to Atraco?
A. Sathyamurthy: Yes. The Atraco expenses is about INR1.5 crores, approximately. And the increase in power cost is 5%. That's close to about INR1 crores.
Moderator: Thank you. Next question is fro m the line of Pulkit Singhal fro m Dalmus Capital Management.

Please go ahead.
Pulkit Singhal: My question is largely in relation to your acquisit ion strategy. I mean, if I look at it over the next
3 years, the first part is how re gular will be acquisitions given that yo

u're also looking for a QIP
of almost INR600 crores. So is this going to be now a more regular feature? And therefore, is it fair to assume that a larger chunk of incremental capex, that is augmenting of capacity will
happen through the acquisition route, while the existing growth can happen to the extent of 10%,
15%, but a larger chunk of augmenting of capacities will be processed. That is the first part.
S. Ganapathi: Okay. So very difficult to answer this, Pulkit. We are open minded about means of growth. What
we are clear is that we would look at the best possible way to grow. So to grow, we need a few
things. One, we need good customer base, solid large customers. And if we can acquire them
organically, all power to us, and we will try all of that.


Otherwise, we will also acquire them inorganically. If we need new product categories, it's better
done through an inorganic means that it's faster, shorter learning curve, etcetera. If we want geographic expansion, we would prefer in organic ways, and that's what we have done so far.
So we're not deprioritizing organic growth. I'm a much larger believer in organic growth over
inorganic growth. Having said that, inorganic growth are also opportunistic, and we will be
careful in what we will acquire. Keep in mind that for these 2 acquisitions that we have announced, we have not proceeded with several other acquisitions. So we're being very selective
about it. And that selective filter will continue to be applied.
So if we -- only if we are 100% convinced that this is value adding to us, accretive from a
financial standpoint, etcete ra, that we will go ahead with acquis ition. So to generalize thing that
will acquisition be a routine feature, don't know because it's a function of the quality of the
opportunities that could come in front of us. Bu t will we be open-minded about it, answer is,
yes.
Pulkit Singhal: Okay. So the second subpart is, I mean, in this pursuit and however things proceed, what are the
kind of guardrails you are having in mind in terms of the financial metrics of the firm? And secondly, in terms of the size of the acquisition, how do you ensure that you're not going
overboard as well as a management team at some point. So if you could share with us some of that?
S. Ganapathi: Good point. So, our laterals are that, a, we should be able to have a fairly good understanding of
the business that we are acquiring even before we acquire. Second, the acquired entity should
be profitable, so that we are not looking at turning them around. Maybe we can improve their
profitability, but to begin with, they should be profitable.
Third, they should have good quality and pedigree of customers. Fourth, they should be in the
business for a reasonable length of time. They're not one of those new start-ups who have bulked up and not selling. Fifth, it should add either a new geography, new customers or new product
type to us so that it becomes complementary. And preferably 2 out of the 3 has to be obtained through that.
Next, it has to have a good management team, so that we are not -- we're not looking at changing
people and completely reorienting their strategy in order to deliver the financial numbers. So the
filters are pretty strong. And lastly, we also should have the bandwidth to acquire. And that's
why we have so far stuff on companies, which are smaller than us, much smaller than us rather
than even someone at our level.
So we're being conscious about the size of the acquisition also. So there are all these guardrails
that we have put. And these are all very sensible guardrails that we have at the moment. There's
another area that we may want to look at from an acquisition standpoint is not maybe verticals. So those are things, which who knows, right? We will all look at as and when the future comes.
But for now, these guardrails and these kind of acquisition p

arameters that we have set for
ourselves that is apparel company, smaller insights, well-run, profitable, complementary
customer base, complementary geography, etcetera , etcetera, are the kind of parameters that we


have defined for ourselves. And above all, what we can manage through our management
bandwidth being available.
Pulkit Singhal: Understood. Just the last part is the revise space is still that exists, you obviously alluded to some
of it. I mean I'm thinking maybe you mentioned about Bangladesh, vertical integration is probably something you're hinting at. And is near shoring also something that you're looking at?
S. Ganapathi: Near-shoring new product categories. All of these are open, right? It can be anything. I mean,
either at the moment, there is nothing on the table or on the annual -- but as and when

opportunities come our way in any of these spaces. So for example, a new product like, right, there could be any kind of product, we're not doing all the product types even in the current
scheme of things. So we can go to anything, which can add to our portfolio of products.
Moderator: Thank you. Next question is from the line of Harsh Jhawar from Avendus PMS. Please go ahead.
Harsh Jhawar: Congratulations on good ac quisition. All my questions have be en answered, but I just want to
know about the ESOP cost. So it's supposed to be INR24 crores for FY'25 I want to know the
trajectory going forward, since we are hiring a lo t of senior members, senior management team
also. So how would this expense move from FY'26 onwards?
A. Sathyamurthy: As of now, as per the scheme, whatever ESOPs had been granted, it gets amortized till FY'25.
Whenever any new ESOP grant, as and when it happens, it will be amortized over the vesting
period in future. New grants whenever it happens, it will cover over a period of say, for the 3
years or 4 years, as may be decided by the Board in future for such grants.
But for now, we are proposing to take the approval from our sh areholders to increase the ESOP
pool to the extent of the 15 lakh options.
As and when the shareholders approves and then subsequently when the Board and the
committee approves, the ESOP grants to new empl oyees, then cost for such grants will be
amortized over the vesting period. And as you know, it has to be calculated at the fair value
options and will get amortized over the period.
S. Ganapathi: So long answer short, we don't have a number for you at the moment because it depends on how
many options are granted and how many and what is the period for which we are going to grant. So some of the new options will be directed towards the new people, the new management team
members that we will be bringing on board and that's the reason why we are seeking an approval
for ESOPs for the new team, new senior team me mbers, and I think that will only help the
company for its growth.
The exact cost will be done thro ugh Black Scholes, maybe it will take some time. Immediately,
I don't see an impact. There may be some increm ental impact in FY'25 yet to be quantified,
maybe we will have a better se nse angle in the next 3 months. And as and when we have a
handle, we will let you know.
Moderator: Thank you. Next question is from the line of Varun Gajaria from Omkara Capital. Please go
ahead.


Varun Gajaria: Most of my questions have already been answer ed. I just had one question on the Matrix. So
what is the premature 9-month revenue at Matrix at this point? And how is it deferring y-o-y?
S. Ganapathi: What's the 9-month revenue of Matrix? I think that's the question.
A. Sathyamurthy: It's about INR390 crores, but this is an unaudited number because we go by what is the audited
number available to us, and that is what is give n in investor presentation. I would request you to
restrict to the

numbers what is given in our presentation.
Varun Gajaria: Okay. And from when will you start integrating Matrix numbers are...
S. Ganapathi: As in when we get our shareholders' approval, then it will start integrating. So meaningfully, it
will be integrated only from the next financial year.
Moderator: Thank you. Next question is from the line of Anil from SMIFS. Please go ahead.
Anil: Sir, just one number, if you can repeat, what was the volume number for this quarter?
A. Sathyamurthy: The volume growth du ring this quarter.
S. Ganapathi: Volume for this quarter.
A. Sathyamurthy: Volume is 7.48 million. Yes.
Anil: So that amounts to basically 17%, 18% growth, right y-o-y? Quarter 1?
A. Sathyamurthy: Sorry, 7.58 million, yes.
Anil: 7.58, right?
A. Sathyamurthy: Yes.
Anil: Okay. And last year, this was, I think, 6.35 million, right?
A. Sathyamurthy: 6.3 million.
Anil: So that amounts to basically 19% kind of volume growth. I think in the earlier comments, you
said some 15% kind of growth?
A. Sathyamurthy: Yes, because we do not really compare only on pieces basis. If we compare at no of pieces basis,
it is around 19%, but we compare actually the number of minutes, that's a real volume because the actual minutes taken for different products vary. So that's why I said 15% based on the actual
minutes, the real volume increase during this period.
Moderator: Thank you. Next question is from the line of Vikas Jain from Equirus. Please go ahead.
Vikas Jain: My question is with respect to Atraco, since now we have completed the acquisition, can you
throw some light on what are the top 3 customers? And how is it that despite operating the same
economy. We have only 1 mutual customers?

S. Ganapathi: So we have 1 mutual customer -- 1 customer and the rest are Atraco's customers. I mean there is no common customer barring 1 customer between us and Atraco. That's correct. And as far as Atraco's customers are concerned, all the customers are showing growth, which is why we are seeing a fairly well loaded factory capacity at the moment. I didn't understand your question in specifics -- if you specifically...

Vikas Jain: In that case, sir, could you name a top 3 customers of Atraco and probably that could help?

S. Ganapathi: Let us -- the acquisition just go t completed. I would like explicit permission from the customers to name them. We haven' t really followed thr ough on that and got the permission from those customers. So I will have to hold back on it until we get so.

Moderator: Thank you. Next question is from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.

Prerna Jhunjhunwala: I missed the part of what -- why other expenses are up this quarter? And what is the increase in the wages that you've been talking about in both in Bangalore or Karnataka?

S. Ganapathi: So other expenses, the principal increases have been INR2.7 crores for provision for doubtful debt, some surplus garments that we sold to a party in the U.S. They have not been able to liquidate and hence, they have not been able to pay us back the amount. And because our provisioning norms indicate certain provisioning rules we have gone ahead and provided.

We don't believe that this money won't come. It will come with some delay. But prudent routing principles indicate that we better provide. So we have gone ahead and provided for that. So there's INR2.7 crores of provision for doubtful debts.

There is an increase in electricity charge by IN R1 crores. So that's increased our other expenses.

And there were some legal and professional expe nses pertaining to some of these acquisitions.

That is about INR1.5 crores. That's 1 time. It may not be there in the long run once all these acquisitions are completed.

So that's the composition of incremental other expenses. So INR2.7 crores plus INR2.7 crores doubtful debt plus INR1.5 crores of legal exp

enses are one-off expenses. So about INR4.2 crores is incremental one-off expenses in this quarter.

Prerna Jhunjhunwala: Okay. And wage inflation, how will that hit?

S. Ganapathi: So wage inflation hits us in terms of employee expenses. And we've had -- we've had about 9% wage increase in Karnataka this year over last year. And that's not fully -- it won't fully hit us because a portion of it -- we will recover base d on our productivity improvements, etcetera. But yes, that wage increase is here to stay.

Moderator: Thank you. The next question is from the line of Bijal Shah from RTL Investments. Please go ahead.

Bijal Shah: During the discussion, you mentioned that Bangladesh will lead developed countries, you said. So is that a certainty or it can change. And if it does do good then only UK would be an issue



for Bangladesh or even in Europe, we will not be able to export duty free and that will open up a market or probably we'll get a level playing field in Europe also?

S. Ganapathi: So that it is speculative. At the end, I think th at status, they have till 2026, if I'm not mistaken, but this needs to be confirmed. And by then, there is a possibility that it may -- they may extend it for a few more years or Bangladesh may enter into an FTA.

And if they enter into an FTA, they may or may not have the full benefits as of now. So there are a lot of eventualities that can happen out there. So as of now, there is no FTA, but Bangladesh can get in an FTA. Their have low cost of manpower is still an attraction over us. But increasingly, brands are finding that their overexposure to Bangladesh is -- their exposure to Bangladesh is high and hence, they need to diversify. So that compelling pressure does exist.

Moderator: Thank you. Next question is from the line of Ankit Tatiya from Ladderup Wealth Management. Please go ahead.

Ankit Tatiya: Sir. I just have a couple of questions.

Moderator: We got disconnected from the line of Ankit. As that was the last question of today. I would now like to hand the conference over to management for closing comments.

S. Ganapathi: Thank you all for patiently listening to us as we talk about our business. We are working with the full intention of leveraging growth opportunit ies that come our way, while we work a lot on organic growth, and we continue to believe strongly in organic growth, we will look at all opportunities and avenues for growth.

We will be opportunistic, when it comes to inorganic growth. And when a good opportunity presents itself to us, we will go for them. And with that in mind, we went ahead with the acquisition that we recently disclosed. We are mindful of the need for managing those acquisitions well and integrating them well with our company. We'll work -- we are working on those areas. We will ensure

that we are margin focused, when it comes to operating the business,
and we'll do everything in our power to improve our margins.
At the moment, given the demand-su pply mismatch, we find that th e ability to nudge up pricing
is very, very limited. Costs are going up. So we have to continuously work on newer and newer ways of improving operating margins, and we are doing all of that in our power.
We have a fairly good risk management template for ourselves. So we are constantly evaluating
any challenges that may come our way and proactively try to address them. That said, in our
global business, which is expose d to all kinds of geopolitical ri sks, there could be many that
come our way. And we are equipped to tackle with them from time to time.
As a business, I feel that the opportunity for growth out of India, out of Africa continues to be
high, and we will see more such opportunities as China becomes expensive and we will take
advantage of all of those through our benefit. We will keep focused on delivering strong results
and focusing on our financials as we g

o forward. Thank you for all your support, and look forward to talking to you all soon.


Moderator: Thank you. On behalf of Gokaldas Exports Limited, that concludes this conference. Thank you
for joining us, and you may now disconnect your lines.

# Call: Feb 2024

*(no extractable text — likely a scanned image PDF)*

## Call: Jun 2024

GEL/SEC/2024-25/20

June 04, 2024

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers The Exchange Plaza
25th Floor, Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code – 532630 Scrip Code: GOKEX
Dear Sir / Madam,

Sub: Transcript of Q4 FY'24 earnings conference call Pursuant to Regulation 30 and Regulation 46(2) (oa) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, plea se find enclosed the transcript of Q4 FY'24
earnings conference call held on May 28, 20 24. The Transcript is also available on the
Company's website at www.gokaldasexports.com .

Kindly take this into your records.

Thanking you, Yours truly,
For Gokaldas Exports Limited

Gourish Hegde
Company Secretary & Compliance Officer

Encl: as above


"Gokaldas Exports Limited
Q4 & FY '24 Earnings Conference Call "
May 28, 202 4

MANAGEMENT : MR. SIVARAMAKRISHNAN GANPATHI – VICE
CHAIRMAN AND MANAGING DIRECTOR – GOKALDAS
EXPORTS LIMITED
MR. A. SATHYAMURTHY – CHIEF FINANCIAL OFFICER
– GOKALDAS EXPORTS LIMITED

MODERATOR : MR. BINAY SARDA – ERNST & YOUNG



Moderator: Ladies and gentlemen, good day, and welcome to Gokaldas Exports Limited Q4 and FY '24 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Binay Sarda from EY LLC. Thank you, and over to you, sir.
Binay Sarda : Thank you, Sejal. Good morning to all the participants on this call. Before we proceed to the call, let me remind you that the discussion may contain forward -looking statements that may

involve known or unknown risks, uncertainties and other factors. It mu st be viewed in conjunction with our business risk that could cause future result performance or achievement to differ significantly from what is expressed or implied by such forward -looking statements.
Please note that we have mailed the resu lts and the presentation, and same are available on the company's website. In case, if you have not received the same, you can write to us, and we'll be happy to send the same over to you.
To take us through the results and answer your questions today, we have the top management of Gokaldas Exports Limited represented by : Mr. Sivaramakrishnan Ganapathi, Vice Chairman and Managing Director; and Mr. Sathyamurthy, Chief Financial Officer. We'll start the call with a brief overview of the quarter gone past and then conduct Q&A session. With that said, I'll now hand over the ca ll to Mr. Siva. Over to you, sir.
Sivaramakrishnan G: Thank you so much. Good morning, everyone. Happy to have you at our earnings call for financial year FY '24. In the financial year, the consolidated revenue of the company grew by 7.2% to INR2,409 crores as against INR2,247 crores in the previous year. In Q4 FY '24, the company delivered a consolidated revenue of INR818 crores against INR530 crores in the previous year.
However, if you look at growth, excluding acquired entities, the revenue in Q4 grew by 13.9% year-on-year to INR604 crores. The company delivered an EBITDA margin of 11.8% for the year as the newly acquired entities pulled down the margin. The company continued to deliver exceptional performance in the existing business and is working towards continuous performance improvement of the acquired entities.
For most part of FY '24, the retail industry continued to be in an inventory overstock position resulting in brands reducing their apparel purchases by 20% in the U.S., 19% in EU and 28% in U.K. The inventory destocking cycle is now coming to an end with m any fashion brands showing reduced inventory, improved financial performance and the renewed appetite to buy.
In such a challenging environment, such as last year, your company's like -for-like revenue dropped by 2.3% Y -o-Y compared to a 10% drop in Indian exports in the same period, indicating the resilience of the company in face of adversity. Sensing an opportun ity to further consolidate its position in the apparel industry, the company completed the acquisition of Atraco and Matrix,

enabling the addition of new product offerings, such as high -value knitwear, access to low -cost locations, along with clear access to mutually exclusive new customers. The company invested INR934 crores for the purpose of these acquisitions.
After the acquisition of these 2 companies through a combination of debt and equity, the company had a net debt of INR336 crores as of March 31, 2024. Subsequently, the company raised equity capital of INR600 crores through qualified institutional placement in April 2024, which has helped the company to turn net cash

positive.
On the cost front, the company faced several headwinds, including increase in statutory minimum wages, ramping up employees in anticipation of volume growth in the second half of the year, start -up costs at our new unit and one -off expenses related to the two acquisitions. Further, the tepid demand from major buying region last year led to price pressures impacting margins. The company generated cash from operations before working capital adjustments to the extent of INR266 crores. The company continues to seek further integration of the acquired entities over the next 4 to 6 quarters. We see strong demand traction for the existing entity while the newly acquired entities will require handholding for over 2 to 3 quarters to ramp up the demand from existing levels . This will help improve operating margins of those entities.
The newly acquired entities expand the product category, adds low -cost manufacturing locations, gives access to new markets and brings new customer relations. Effort has been initiated to leverage all these advantages. To prepare for the next phase of grow th, the company has added talent to its management bandwidth and at multiple levels. The long -term prospects for the industry remain intact with the continuing shift of global sourcing away from China, supplier consolidation towards efficient and well -capitalized players and supply -side instabilities in several countries.
Favorable currency, PLI and FTAs with key markets should drive the company forward towards a strong future. Our company, Gokaldas Exports is one of the India's largest apparel makers exporting to over 50 countries. We employ about 50,000 people, a large pr oportion of who are women. This is a sector that employs over a crore of people has the potential to industrialize small town, creates more jobs for unit investment compared to any other industry and has a high share of revenue disbursed as wages.
In short, a highly desirable industry for social upliftment. We, at Gokaldas Exports remain focused on strong operating performance and we'll continue to deliver with all the capabilities that we have. I thank you for listening, and I will be happy to address any questions that you

have.
Moderator: The first question is from the line of Romil Jain from Electrum PMS.
Romil Jain: Yes. Sir, first question is on the margin side. So I think when we acquired the entities, the presentation showed that they are decent in terms of margins, more than 10% odd. And in this quarter, we have seen some impact, right? I think if I just subtract the consolidated from the like - to-like that we have given, I think we are at 3%, 3.5% margins. So you mentioned about some one-off cost. And also, can you just explain if you exclude these costs, what can be the


normalized margins that we can expect and with the efficiencies where we can reach maybe in 2 quarters or 3 quarters or so?
Sivaramakrishnan G : So as far as the acquired entities go, we have 2 of them Atraco and Matrix. I think in a normalized operations, Atraco should be over 10% to 10.5% EBITDA margin and Matrix should be at about 11% odd EBITDA margin on an ongoing basis. What we had -- and this is -- this will happen in a few quarters. And beyond which our endeavor would be to take their EBITDA margins to Gokaldas Exports ' level, which itself in my opinion, will at least take 4 to 6 quarters before we can get to that level.
In the fourth quarter of last year, when we acquired Atraco sometime in January, we had taken over Kenya's operations as an asset purchase basis and this resulted in us having to terminate all the employees, the workers. And then we asked them to rejoin the Gokaldas entity, which is the new asset that we put in place. So on the same terms and conditions.
Unfortunately, in the process, there were unions which came into play sensing an opp

ortunity to
demand a higher pay from the new entity because there was a process involved of termination and rejoining, which resulted in some sort of industrial action by t he employees. And we had lost some bit of production in the transition.
We also had to deal with the rebadging changeover of employees, which resulted in quite a bit of lost production. We almost lost 2 to 3 weeks of production. And to make up for that, we had to incur over time, we had to incur some airing of goods, et cetera, which impacted profitability in that quarter, which some of the residual air lifting may have to happen in Q1 as well. But since then the production has stabilized, the rhythm in the operations has come back more or less.
So we went through that change, but we thought it was a desirable one rather than given at this point in time to industrial action, and that is the reason why we had a little bit of setback in terms of margins with Atraco. This is, I would say, an initial teething trouble. Most of it is behind us already. And in the quarters ahead, that should take care of itself.
As far as Matrix is concerned, what we have is only 19 days of overlap in that quarter. So the margins, which come from there is hardly significant. It was very, very insignificant. Going forward, as I said, we anticipate an EBITDA margin from these 2 enti ties at the level of about 10.5% and 11 -odd percent on an ongoing basis. And our endeavor, as I said earlier, would be to take it up to GE levels of EBITDA margins in 1 year, 1.5 years, more likely a 1 year, 1.5 years.
Romil Jain: Okay. Okay. Got it, sir. And what would be the utilization in both these entities presently or maybe you know by FY 25 what we expect.
Sivaramakrishnan G : So utilization in both these entities, I would say, is around 80%, 85% at the moment of their capacity. I anticipate based on -- and this is a bit early for me to say, because orders for H2 will come only somewhere in Q2, so full visibility will come. But our expectation is that by second half of the year, both of them should go to at least close to 100% capacity utilization based on early indications from the market from a demand perspective. We're working on those.


Romil Jain: Do we have capex plans for those then?
Sivaramakrishnan G : No. So capex plans will kick in as and when the capacity reaches full utilization levels, we will push in more capex for expansion of those units as well. We are fully committed to expanding both of these operations and as and when in the second half when -- for those entities we start seeing traction reaching to full capacity utilization , we will initiate more machinery purchases etc. I believe that you know for Atraco there is a possibility of 20 -25% capacity expansion possible and we will work towards it.
Most of that revenue from that capacity expansion should play out in the subsequent year, FY26.
In FY25, we will start seeing traction starting from second half. But really, it will play out in the FY26 timeframe.
Romil Jain: Thank you so much. I'll join back in the queue.
Moderator: Thank you. The next question is from the line of Kaustubh Pawaskar from Sharekhan By BNP

Paribas .
Kaustubh Pawaskar: Yes, thanks for giving me the opportunity and congrats for good set of numbers. Sir, I just want to understand on both the acquisitions for Atraco and Matrix. This year if you can give us the proforma numbers for both the acquisitions in terms of revenues and EBITDA margins that will help us from the modeling purpose ? And second question is with this capacity addition what you are doing at Gokladas Exports front currently you have around 30 million pieces of capacity. Where do you see this capacity going up over the next maybe two years? So, 39 million pieces. We have current capacity for gokex where we can see this capacity going up by F Y26?
Sivara

makrishnan G : We don't give projections for the years ahead, and it would be unfair for me to go out and change a certain number. Our endeavor would be to grow as fast as possible. And we generally tend to focus on a 15 -odd-percent Y -o-Y growth every year. Of course, th ere will be periods when we will take advantage, take the opportunity to grow even faster and that is the trend that we will maintain over the next several years.
Having said that, we -- for this year, you talked about Atraco and Matrix. I think we should see at least them trying to do their revenues that they did last year or more, and we will ensure that we will focus on delivering those. Atraco last year did abou t USD 90 -odd million. And we are hoping that we should be able to do that and if not even better if the trends have to be seen. And similarly, Matrix, which did about INR450 crores, INR500-odd crores, our aim will be try to see those numbers are met or if not, we even better it. So efforts will be going on in that direction. Gokaldas itself as an erstwhile entity will continue to grow aggressively because we have a well -developed platform and a strong customer traction. So we should see strong growth in the base business as well.
So overall, I would think that our growth trajectory is more or less in the region, which I mentioned. And we will continue to focus on avenues where we can extract more growth as and when impossible. The new capacity additions that we have had will always support us in this direction in terms of me able to deliver the revenues.


As far as capacity in a number of pieces are concerned, it depends on the product mix. Over the last year, we have had seen a little drop in outerwears business as a proportion of overall business. And there, the number of pieces are low, but the revenue p er piece is high. And the reason is that, A, there was an inventory overhang, particularly in outerwear. And B, exceptionally mild winters in the West resulted in an exceptionally high outerwear inventory. So it took a little longer to clear the inventory overhang in that product category, resulting in lower demand.
So then we pivoted more to regular products where number of pieces went up. So if you look at this financial year, our number of pieces shipped went up pretty significantly. And this will keep shifting depending on the market conditions.
So for FY '24, we shipped about 29 million pieces and my hope is in FY '25, even if the product mix changes to a little more outerwear, I believe we should still be able to do this or even better in terms of number of pieces shifted, which gives you a sens e on where we are heading as far as revenues concerned.
Kaustubh Pawaskar: Right. Sir, my next question is on the demand environment and how -- if that is improving, can you see any improvement in the realization? I can understand about the mix. But overall, on the realization front, if demand improves from the current level, sho uld -- can we expect some kind of improvement in the realization as well?
Sivaramakrishnan G : So if the demand improves, realization will improve, and that is the logical way of looking at it. Last year, we were hit considerably from a demand perspective, global demand or imports by key regions fell by almost 20%. And when you have a 20% reduction in demand, you can see the mayhem that is created in the supply chain. It was almost as if COVID hit us again.
During COVID, the demand fell by over 25%. So we faced the 20% hit. So we weathered that storm fairly well despite global headwinds. So obviously, it had an impact on the margins because if all the supply chain was impacted and demand falls, clearly, brand s or buyers get an opportunity to get some price savings by getting people to compete with one another.
As the situation improves going forward and the demand is coming back, the pricing po

wer will
come back. But my sense is the pricing power will take some more time before it reaches because the full demand situation has not been restored. Even in Q4, there was lower inputs compared to the Q4 of previous year. So it will change, it will slowly turn. But I suspect over the next 3 to 4 quarters, the full power of pricing will not return back. We could see that in FY '26 more than in FY '25.
Yes, having said all of this, from a margin perspective, while there is new pricing pressure, there

will be cost pressure, like last year, we had wage costs go up almost by 9% in FY '24 over FY '23 because minimum wages went up, DA went up, et cetera. We t end to overcome that with better and better productivity through automation and higher efficiencies in performance itself. So the productivity per employee going up, more automation, helping in us delivering more garments per machine kind of effort. So th at effort will continue to offset some of the margin



pressure that we see. This endeavor will continue. And we continue to look for opportunities to improve our operating performance.

Kaustubh Pawaskar: Sir, the integration will also maybe in the next 4 to 5 quarters once integration of both the acquisition happens, I think that should also help you to add to your efficiencies and margins maybe in FY '26.

Sivaramakrishnan G : 100%. 100%. In fact, integration efforts are fully on. And there's a lot of work that is going on. Keep in mind that Atraco was acquired only in January and Matrix was acquired in the late, in almost end of March, so the end of that quarter. So it's only a few months since we have acquired now and integration efforts are fully on.

We are seeing a lot of green shoots in that effort. So far, the integration is going very well as planned. And we are slightly ahead of the plan so far, but then these are very, very early days, so I wouldn't read too much into it. As I said earlier, 4 to 6 quarters, we should have most of the integration plus margin improvement efforts underway, and we should start seeing strong benefits flowing from there.

Moderator: The next question is from the line of Anush Kumar from Spark Asia Impact Managers Ltd

Anush Kumar: So my first question is on the employee cost. Can you give an outlook on that? And also in Kenya, the rebadging of employees is that done with that quarter alone or it will continue for the next quarter? And also on the increase in wage in Bangalore, Karna taka. So how long it will persist? And what is the outlook for FY '25 on employee cost, one.

Question number two, can you give -- this is a bookkeeping question on revenue. What is the revenue of Atraco for Q4, which is with respect to Atraco's first quarter for the calendar year and the margin.

Sivaramakrishnan G: Okay. As far as the employee cost question is concerned, the issue of employee rebadging, et cetera, is over as far as Atraco is concerned. So there is no more employee cost -related problem which will come in the quarters ahead. Having said that, the lost production in Q4 will have a continuing impact in Q1 as well as we're still behind schedule as far as the deliveries are concerned to customers.

Having lost production, we can't overcome overnight. So it takes time for the production to normalize. So because we're still catching up on delivery, the factories are chock -a-block with orders, and we have to clear the backlog. So there will be some airfreight related costs, et cetera, because of delayed delivery, which is a flow through from Q4 into Q1. So there will be some amount of financial impact, but normal and that shou ld get cleared out in Q2. So that's as far as the rebadging and the acquisition -related issues as far as Atraco is concerned.

As far as the employee costs are concerned in India, this year, we have had a 5% growth in employee cost, 4.5% or 5% growth in e

mployee costs because of DA increases which we had to absorb. The immediate impact will be, of course, rising costs overall. Emp loyee costs are almost 25%. I mean, labor cost is almost 25% of revenue. If labor cost increases by 5%, it impacts



margins by 1.25%. We then start working towards offsetting it to buy further productivity gains. So that effort will be on and it should start percolating in the quarters ahead.

So we are working on it. But immediately from April, we saw a 5% growth in employee costs, particularly in Karnataka, but this was also seen in other states where we operate, namely Madhya Pradesh, Andhra Pradesh and Tamil Nadu as well. All these states pr ior to elections, some of the states have also gone ahead and increase in the minimum wages. So all of that we are absorbing as we speak.

But by and large, we still hope that we should be able to offset that through productivity improvements as the year progresses. In terms of very specific employee costs and trends, I would defer to Sathya. Sathya, do you want to add some more color there?

A. Sathyamurthy: Yes. I would urge you to really look at th e employee cost and the material cost together. The employees cost completely depends upon the product mix that we operate. Subject to the product mix, the ratio will vary between the material cost and the labor cost , depending upon the labor component of the product category . During the last year, when you compare FY '24 with FY '23 for Gokaldas on a standalone basis, the employee cost is slightly higher compared to the previous

year.
The product mix change is also the factor for the increase in labour cost . Higher the casual wear, the labor component is more. But overall, when you compare , both material cost and labor cost together , it is in the range of 79% to 80%. So , for the last year, for the given product mix, the employee cost in Gokaldas standalone company was around 32% as against 28% in the previous year.
The product mix also contributed to the increase in employee cost apart from 9% wage increase, what Mr. Siva had talked about. Compared to that, in Atraco, the employee cost was in the range of 25% to 26% of the revenue. And in Matrix it is around 28%. Hope it is clear .
Anush Kumar: It is for the quarter, sir?
A. Sathyamurthy: It is a trend what I'm talking about as far as Gokaldas is concerned. For Atraco , it is for the quarter. For matrix, it is based on the last financial year figures, since we have only 19 days of operation reported in our financials.
Anush Kumar: Have you budgeted this number, like what would be the proportion of revenue which would come from Atraco and Matrix once the full consolidation happens for FY '25?
A. Sathyamurthy: Okay. First, you had asked about Atraco. For the last quarter , Atraco achieved a revenue of INR201 crores . At the operating EBITDA level, we did almost 5.7%. That is before the onetime cost adjustments what we referred. So at the operating level, they've got 5.7%.
Anush Kumar: Yes. Sir, also on the -- for FY '25, like what would be the revenue mix, which would come from Atraco and Matrix, if you could bifurcate that and tell it would be helpful, like the budgeted numbers.


A. Sathyamurthy: We do not really see any change in the product mix of Atraco . 75% is coming from the bottom wear and 14% is from sportswear and about 11% only casual wear. We do not foresee much of the mix change for the current year.
Similarly for Matrix, Matrix is with 80% casual wear and 14% outerwear. So given that mix, only in H2, if there is any change in the mix , there may be a slight change in the cost , but we tend to measure total material and labor cost components together, and we will be able to operate at the same level as we had done in the last year.
Anush Kumar: S

ir, can you give an outlook on cotton. Now that 1/3 of our business will be on knit. What is the cotton outlook for FY '25 -- cotton price outlook for FY '25?
Sivaramakrishnan G : See, we don't -- we really are not very dependent on cotton prices. We buy fabric. Fabric is our raw material. And by the time, cotton prices get impact , cotton gets converted into fabric.
Cottons component in fabric is low. And we tend to have fabric price as a pass -through when we tend to price our contract. So unlike any other company where we have -- which are vertically integrated, we don't have a hu ge dependence on cotton volatility.
Of course, when cotton prices go up significantly, which happened about 2 years ago, where cotton prices almost at one point reached about INR1 lakh per candy , doubling from INR50,000.
The impact on fabric pricing at that point was 10% to 15% only. So for us, it is not a major cost component in that sense. We tend to, as far as possible, pass it back to the customer. So we are not exposed to volatility of basic raw material prici ng.
Anush Kumar: Sir, one last question. Can you throw some guidance on revenue for FY '25, considering the fact that there will be full consolidation of Matrix and Atraco.
Sivaramakrishnan G: As I said, we don't give revenue projections. You have fairly good amount of data from whatever information that we have provided. And as I continue to maintain, we will seek growth as well in our business. On an overall basis, we try to grow at a minimum of 15%. So basis that, it's easy to project. I don't want to give up a number at this moment because there's a lot of moving parts, and our endeavor will be to even better some of these numbers. So please bear with us.
Moderator: The next question is from the line of Gautam Trivedi from Nepean Capital LLP.
Gautam Trivedi: The question I have is with respect to this whole China plus 1. I was in the States just 2 weeks ago, and I went to Costco, for example. I saw products being made in garments I'm talking about.
In various countries from Nicaragua to Mexico, China, of course, and Guatemala, and some even in Thailand. So I'm trying to figure out how successful is this China plus 1 strategy from India and how much are we benefiting from that?
Sivaramakrishnan G: Okay. Great question. Thank you Gautam. The China plus 1 is playing out more and more. I spent a lot of time with customers in the last 15, 20 days. And across the board, everyone is under pressure to shift their supply chains away from China. And when I s ay shift the supply chain away from China, even there is a pressure on Vietnam because Vietnam, which also produces a lot of garments and most of the Vietnamese garment players are China -based

companies, their supply chain in turn is linked to China. So their raw material which is fabric, trims, et cetera, come from China.

And many of the brands have a stated intent of reducing their dependence on China because of geopolitical pressures that are being exerted on U.S. companies. And regardless of which parties in power, the dynamics are such that the effort to peel away from China continues, which really augurs well for us. In fact, we are seeing fairly strong traction coming from brands seeking incremental growth over the next 3 to 5 years.

Remember, moving supply chain is not an easy task for any brand or anybody as it takes years for all of the capacities to come up. Even if we want to add capacity, it takes -- there is a certain timeline to add it, if they put a new factory, et cetera, et cetera, get the raw material capacity up and so on and so forth. So all those will take about 3 to 5 years to pan out. But the directional trust is so that most of them would like to buy more from India.

Now there is also a component of season. So if you grow in the winter, you will see a lot more products coming in from Chin

a, Vietnam and those areas because winter products are more synthetic dominated and India does not have an adequate synthetic fabric ecosystem. But if you go in spring and summer, you will find products in the market, which are a lot more India denominated because the fabrics are cotton and viscose and those kind of fabric.

So it depends on when you went shopping in some of those markets that you will see Indian products or non -Indian products. Having said all of that, overall, in every season, you will find that Made in India will increase going forward. Last year was exceptional as most brands had excess inventory overhang.

So they were also selling goods from previous year. This should change as we see -- as we move forward. We ourselves from all the brands, I am not talking of one single brand, all the brands are seeing an upward pressure in demand. So there's a lot of posi tivity going on. And many of this is not because they're selling more garments than they sold in the previous year, it's just that they want to buy more from India as compared to the previous year.

Gautam Trivedi: Understood. That's good news. Did I hear you right earlier in the -- on the call saying that the overall demand last year was down 20% year -on-year, is that right?

Sivaramakrishnan G : Yes. So overall demand from the United States was down 20% in FY '24. And that is a 12 -month up to March '24. Overall imports, U.S. imports of garments was down 20%. If you look at EU, it was 19% down and U.K. was 28% down. So this is all because in the ye ar before, they went on a binge, stacking up products. They also had -- we had supply chain problems, shipping - related constraints, et cetera. So a lot of inventory got stuck in the high seas, which all finally when it got cleared, landed up in the -- with the retailers in their DC, and they got stuck with excess inventory, which they were clearing last year.

Moderator: The next question is from the line of Shoumik Ganguli from Aditya Birla.

Shoumik Ganguli : Atraco and Matrix EBITDA projection, could you please give us?



Sivaramakrishnan G : I had indicated earlier that the long -term projection -- I mean, the medium term projection is about 10.5% and 11%. And long term, we would like them to come closer to GE's own EBITDA margins, which will take at least 2 years.

Shoumik Ganguli : Okay. Okay, sir. And are there any expansions happening in the future coming years?

Sivaramakrishnan G : Expansion in the company?

Shoumik Ganguli : Yes, expansion in Atraco or Matrix.

Sivaramakrishnan G : So if I have to split it across the three, in GE standalone itself, there will be expansion. So our current unit in Madhya Pradesh is ramping up. And I can see, based on the order flow, et cetera, we should ramp up through the year. And we may also look at adding additional units in some low-cost regions within India. So we will have factory expansions coming up in India.

In Atraco, it may come most likely towards the end of this year when we will probably start looking at further expansions of capacity in Atraco, but not right away, it is a 9 months away from now. Matrix will also take some time. If all of these more likel y will happen towards the back end of FY '25 and early FY '26.

Sorry, before we continue, the other aim is also to make sure that the operational improvements, profitability, all of that is always high on our agenda to get all of that done and then push through more expansion so that even the expansion becomes much mo re profitable. So current focus is to get the margins up. If I have to prioritize one over the other, I will prioritize that.

Moderator: The next question is from the line of Palash Kawale from Nuvama Wealth.

Palash Kawale: Sir, my question is on working capital. So there is a significant increase in debtor from creditor as compared to last year. Even if I look

at inventory, there's an increase. So how do you see
debtor inventory and creditor base panning out for FY '25 and FY '26?
Sivaramakrishnan G : Sathya, do you want to talk about it?
A. Sathyamurthy: Yes. I will split it into the 3 entities. As far as Gex is concerned, we are back to normal working capital cycle of 70 days. The receivables is currently at 36 days , it again depends upon the despatch pattern what we follow with our customers. This time, m ost of them were skewed closer to the second fortnight of March and they were subsequently collected. But otherwise, the receivables is at 36 days. Our target is around 30 to 35 days and we are well within the target.
For the working capital cycle for Gokaldas, our inventory is at 61 days, receivables at 36 days and payables at 24 days. We are there with the 70 days target , while we tend to operate between 70 to 75 days, and we believe that is the same level we will continue in the current year also .
As far as Atraco is concerned, Atraco's working capital number of days is a little higher because they have to import all the raw materials and stock it well in advance in Kenya and Ethiopia and then execute the order. And their inventory holding is in the range of 100 days. As of 31st March, we were at 91 days. Our intention is to operate around that level. We would like to improve it further with respect to receivables management . In Atraco, the inventory holding is 90 days and


30 days of receivable s and payables is around 30 days. So , we operate with around 90 days working capital cycle in Atraco.
Matrix, is again a similar model of our India operations , but at least there is a better efficiency in inventory management because they have back -to-back tie-up with the fabric processing house. So , they operate with a lower inventory. However, the ir receivables is on a higher side.
In Matrix, the inventory is about 50 days, receivable also 50 days and payables are around 25 days. They are operating at 75 days. Our focus is to really work on receivables. Inventory number of days may go up, but there also we target to operate between 70 to 75 days. That's the target for the current year.
Palash Kawale: Sir, my next question is on Atraco volume. So could you give the volume for Atraco for Q4?
A. Sathyamurthy: Atraco, they have done 7.9 million pieces . The realization is lower. That's the reason , for such a high volume, while Gokaldas achieved ~Rs 600 Cr with almost a similar volume, it's 3x of turnover because of the higher realizatio n in Gokaldas standalone company .
Palash Kawale: Sir, if you could give a realization number for Gokaldas and Atraco as well for Q4, it would be great ?
A. Sathyamurthy: Gokaldas is @ INR 677, with 29 million pcs for the full year , last year. As far as Atraco is concerned, we did 7.9 million pcs at INR 254. Matrix is very negligible because it's only for 19 days. We sold around 215,000 pcs and the realisation is about INR 540.
Moderator: The next question is from the line of Chirag Jain from Yogya Capital.
Chirag Jain: My question was more on the U.S. side. We have seen that the U.S. market is growing at low single digits in the current -- for the current past 2 to 3 years. So what is the key driver would be for us, except for China plus 1? Because China plus 1 has seen Bangladesh and Vietnam gaining more share on back of lower duties and higher subsidies. So what's the main differentiator that would be for us to grow in U.S. or with the clients? So that was my question was.
Sivaramakrishnan G : So there are a few parts to it, right? I mean, when U.S. itself had an inventory overhang, so did most of the major Western countries. So coming out of that, the base effect itself should propel incremental volumes going forward. People when they drop buyi ng because they have excess inventory. If you look at the

end user market or retail sales last year, it was up 3% last financial year.
So if retail sales continues in value terms that is, if retail sales continues to be reasonably good, people, once they clear their inventory, they will have to come back to buy more. So having many brands having cleared most of their inventory, we come ba ck to buy. So that effect we have seen already. And as we go forward and when I'm talking of a 3 - to 5-year kind of time frame, the move is to source more from India.
So many of the regions, if you look at Vietnam, the cost of Vietnam have actually gone through the roof, and there is a saturation that the region has reached. Vietnam also depends very highly


on China supply chain. So there is a move to move away from Vietnam because it's very expensive. And if you look at Bangladesh, there also the costs have gone up, starting late December, early January, the minimum wages in Bangladesh have gone up by 50% ov er the previous year.
Bangladesh had not changed it for several years and they came under political pressure to yield to the workers. Also Bangladesh is taking extremely high inflation given their balance of

payment issues. And hence, you know they have to increase workers' wages. So Bangladesh's costs are also coming closer and closer to India. In fact, if you look at many players, they are actually actively looking at diversifying away as well.
So there are opportunities coming in India's way, and there are opportunities because a, India is at least in cotton and viscose is self -sufficient in fabric. So on fast fashion, we think to do very well. In summer, we do very well. Most of the brands are also now after having burned their finger with excess inventory are seeking , faster and faster response from their supply chain. So they're placing orders closer to date rather than planned long term ahead. Given all of that, those having fabrics will be into a stronger position. And India again, scores well, particularly on cotton -based fabrics. And we are seeing that traction to. So my sense is that in the next 3 to 5 years, you will find a lot more growth in our region, and that is given.
People like Walmart have taken a strategic call to source a lot more from India, and they have made announcements to that effect. And this is -- this usually will get followed up by many others who will look up to some companies take the lead in making ann ouncements. So we will see a lot more India traction if the fabric ecosystem keeps pace with the business requirements and we have fairly strong geopolitical situation favoring India, I think we will see the impact, positive impact in the next 2, 3, 4 yea rs. And it will be seen every year going forward in terms of demand pool.
Chirag Jain: Okay. Fair enough. Second question was on the 15% guidance you gave. So I was trying to understand how much would be the volume growth? And how much would be the price growth? So could you give us some color on that?
Sivaramakrishnan G : See it's always difficult to -- it will still be largely volume growth. Price growth don't happen at such staggering pace. So in my opinion, pricing being where it is, I don't believe that at least for the next 1 year, we will see some -- Okay. My apologies. I'm dialing internationally, I'm not in India and calls generally get cut -off after one hour. So I think it's a setting in the international dial in. So my apologies for that. I'm back on track.
Chirag Jain: Yes. So sir, last question before I get back into the queue. What is the capacity utilization for the Gokaldas standalone entity?
Sivaramakrishnan G : Standalone entity, as we speak in the current state, we are at 100% in fact we are -- from a delivery standpoint, we have chock -a-block with orders. We are not able to take any more. So we are at 100%. We are trying to add more people and more capaci

ty to cater to our requirements.
That is as we speak.


Moderator: The next question is from the line of Vikas Jain from Equirus Securities.
Vikas Jain: Sir, continuing from the last question itself, the MP, would you like break that up into what is the utilization between your MP facility and if at all, Tamil Nadu facility also, what is the stage there?
Sivaramakrishnan G : So MP facility is a greenfield new facility. It will take time to ramp up. The capacity there is about 1,100 machines. We have ramped it up to about 500 -odd machines. So it's about 50% of the manpower is already in. And starting this month, we will again -- we had put a halt on ramping up manpower until the productivity comes to our desired level. And then again, we start the manpower growth.
So I think we are in that phase. My sense is that we will go to a full complement of capacity utilization by early Q2 or mid Q2. And then for the productivity to level -- to reach the full capacity level because currently, the productivity levels are low a s most of the manpower are fairly new.
And they need time before they reach suitable high productivity level. So that will -- we will see closer to end of this financial year. So that's how MP is tracking. It's as of now tracking well in terms of its growth and productivity improvement. In term s of quality, et cetera, they are delivering very well. So we feel that by the end of this year, we should have MP reach its full capacity utilization level.
Vikas Jain: Sure. And then with respect to the Tamil Nadu facility, what is the stage right now there?
Sivaramakrishnan G : So Tamil Nadu is a fabric unit. The trial productions are going on. The early signs of trial production is very encouraging. It's high quality from a fabric standpoint. We are continuing to run -- ramp up the production and doing some more trials. By this quarter, all the trials will be completed and commercial production should start early next quarter from the Tamil Nadu unit. We are also simultaneously aligning demand for those units, both internal and external. So that work is also going on. It is also -- we had slowed it down looking at the overall demand traction from the Western market, now that traction is coming back, we are going back aggressively and ramping it up.
Vikas Jain: Got it. Got it. And sir, just on similar lines, I mean, since we have Matrix also with us, so is there any thoughts where the Tamil Nadu fabric production will be utilized in the Matrix? And if that

is the case, then how much that would be?
Sivaramakrishnan G : Certainly, that is the endeavor. And at least I think eventually, half or more of Tamil Nadu's production can just be consumed by Matrix itself. So there is a lot of work going on in that direction. Trials, when I say trial, we are also doing trials there, and we are confident that a significant quantum of their production can be consumed in -house between Gokaldas and Matrix, more so by Matrix.
Vikas Jain: Can you please illustrate that you've outlined of around INR100 crores. Can you like broadly give which areas this will be spent at for FY '25?


Sivaramakrishnan G : Are you talking about capex outlook?
Vikas Jain: Yes. For FY '25, the INR100 crores that you mentioned, this would be spent at?
Sivaramakrishnan G : Yes, Okay. Go ahead Sathya.
A. Sathyamurthy: For the Bhopal new unit, we allocated around INR 40 crores. For the normal capex , what Mr. Siva talked about, we will be investing in improving the efficiency parameters, that is the profitability improvement capex are the key focus area. We allocate d almost INR50 crores during the year for this purpose . INR25 crores for the existing units , about INR10 crores in Matrix and INR15 crores for Atraco. So that's about INR50 crores.
INR10 crores the residua

l amount will be invested in the fabric processing unit, So that adds up to INR100 crores.
Moderator: The next question is from the line of Jatin Chawla from RTL Investments .
Jatin Chawla: So on this Tamil Nadu fabric unit, this will largely show up as incremental margins for us given that eventually more than half of it will be consumed internally?
Sivaramakrishnan G : That is correct.
Jatin Chawla: Okay. Got it. And when I kind of tying in your comments on the U.S. market, given that retails were up 3% and still we had a 20% decline in sourcing. This year, if retails were to be up similar 2%, 3%, would you expect sourcing to be up 20% or the previous year, FY '23 had some higher base because of all the disruptions that we had in that year and since we should not expect that kind of improvement on overall U.S. sourcing.
Sivaramakrishnan G : No, we should not expect that kind of improvement in U.S. sourcing simply because brands have also started to learn to live with lower inventory than they normally carry. So their inventory to sales ratio, they are also tuning it down if they see a strong demand environment set in place. As you can see, most brands are nervous about high interest rates.
And the good news is that many of them are now factoring in the fence aims to reduce interest rate by the end of this year and early next year. So they are anticipating certain rate cuts which will spur further demand. When those happen, they will also take encouragement from there.
Keep in mind that clothing is consumed by all strata of society. And the lower strata of society, which are in high number, are very sensitive to interest rates.
So as the interest rates come down, there will be a significant uptick in garment consumption.
And once that happens, the demand will start coming in back, which will offset the 20% drop.
Until then, I think that there will be a little muted buying. Defini tely, the base effect will kick in, which means having bought 20% less, they have to buy more. So that growth will happen.
But will the growth be 20%? The answer is no. It will be more like 10% or thereabouts as everybody is cautious till they see long -term traction in interest rates and, hence, demand outlook.


Jatin Chawla: And in that 10%, you would expect India to do better and within the Indian Gokaldas to do better.
Sivaramakrishnan G : That goes without saying. Absolutely.
Moderator: The next question is from the line of Siddharth Purohit from InvesQ Investment Advisors Private Limited.
Siddharth Purohit: Sir, just one clarification. The 15% growth like that we're expecting is even on the individually the acquired companies also can grow by 15%, that is an assumption or...
Sivaramakrishnan G : Yes. So as I said, in the first year, we may not just push growth there. Our endeavor would be to push growth there from FY '26 onwards. In the first year, the effort will be to reach to full capacity utilization, margin improvement and impeccable delivery . There is no point in simply ramping up and driving growth.
Having said all of this, if we start seeing traction in terms of operational improvements, we may start driving it sooner. So we may start driving it in FY '25 itself. So all options are open, but I would rather count on that kind of growth in the next yea r over -- FY '26 over FY '25 in both

entities. And the base entity or the current Gokaldas entity will continue to grow in the meanwhile.

Siddharth Purohit: Okay. Sir, one more clarification. Is there any customer overlap between the acquired companies and existing one that we are already supplying for?

Sivaramakrishnan G : There is only one customer overlap in all seriousness. And that customer, we are doing very well on both sides between Atraco and Gokaldas. As far as Atraco and Gokaldas and Matrix or Atraco and Matrix are concerned, there are no custom

er overlap. In fact, there is an endeavor to start looking at cross -selling. So we are trying to talk to our customers and seeing if some of the production can be shifted to those entities and vice a versa. So those discussions are also on. But as far as c ustomer overlap is concerned, there is only one.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Sivaramakrishnan G : So thank you so much for listening to us. We believe that there is a lot of growth coming the garment industry way. And there is a considerable amount of capacity growth that we need to look at both within Gokaldas on an immediate basis. And in a short -term, near -term basis in Matrix as well as Atraco. The demand traction is strong. We are seeing considerable demand favoring us particularly in Gokaldas in the quarters ahead and hope that the India story will be strong going forward.

The effort on margin improvement is high on our agenda and we are continuing to work on it. While Gokaldas standalone, we feel a lot more confident about pushing back on cost increase through productivity improvements, et cetera. On the other one, we have got a fairly strong grip on the levers to improve the margins further from where we are with the operating improvement efforts will happen over the next several quarters to improve their margins as well.



So overall, we feel confident that revenue growth story is very strongly intact and margin improvements will happen as we go forward. And if the demand environment improves, there could be a little easing of pricing pressure, which will also help us going forward. So that's how we see the macro environment as we speak. Thank you so mu ch for understanding us, and we continue to work towards a better and better performance going forward.

Moderator: On behalf of Gokaldas Exports Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Aug 2024

GEL/SEC/2024-25/38

August 16, 2024

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers The Exchange Plaza
25th Floor, Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code – 532630 Scrip Code: GOKEX
Dear Sir / Madam,

Sub: Transcript of Q1 FY'25 earnings conference call Pursuant to Regulation 30 and Regulation 46(2) (oa) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, plea se find enclosed the transcript of Q1 FY'25
earnings conference call held on August 08, 2024. The Transcript is also available on the
Company's website at www.gokaldasexports.com .

Please take this in to your records.

Thanking you, Yours truly,
For Gokaldas Exports Limited

Gourish Hegde
Company Secretary & Compliance Officer

Encl: as above



"Gokaldas Exports Limited Q1 FY '25 Earnings
Conference Call"

August 08, 2024

MANAGEMENT : M R. SIVARAMAKRISHNAN GANAPATHI – VICE
CHAIRMAN AND MANAGING DIRECTOR , GOKALDAS
EXPORTS LIMITED
MR. A. SATHYAMURTHY – CHIEF FINANCIAL OFFICER ,
GOKALDAS EXPORTS LIMITED


Moderator: Ladies and gentlemen, good day, and welcome to Gokaldas Exports Limited Q1 FY '25 Earnings
Conference Call.
As a reminder, all participant lines will be in the listen-only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing the "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Binay Sarda from Ernst & Young. Thank you, and over
to you, sir.

Binay Sarda: Thank you, Steve. Good morning to all the participants on this call.
Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risk that could cause future result performance or achievement to differ significantly from what is expressed or implied by such forward-looking statements.
Please note that we have mailed the Results and the Presentation, and the same are available on the Company's website. In case, if you have not received the same, you can write to us, and we will be happy to send the same over to you.
To take us through the Results and answer your questions today, we have the top management of Gokaldas Exports Limited represented by, Mr. Sivaramakrishnan Ganapathi – Vice Chairman and Managing Director and Mr. Sathyamurthy – Chief Financial Officer.
We will start the call with a brief "Overview" of the Quarter gone past and then conduct a Q&A session.
With that said, I will now hand over the call to Mr. Siva. Over to you, sir.
Sivaramakrishnan G: Thank you, Binay. Good morning, everyone. Happy to have you at our Earnings Call for the 1st Quarter of FY '25.
This was the 1st Quarter where the full Results of our newly acquired entities were included. In the 1st Quarter, the consolidated revenue grew by 80% Y-o-Y to Rs.940 crores. Revenue excluding the acquired entities grew by 11.2% y ear-on-year, indicating a recovery in demand from the customers.



During this period, India's exports grew by 4.2%, implying a market share gain for the Company.
While the revenue growth has been strong, we experienced a series of foreseeable but unavoidable headwinds.
The U.S. retail market remained resilient in the first half of '24. During this period, retail sales in the U.S. continued to grow Y-o-Y by about 3%. Most of the growth has been price-led, while volume has been flat. Retailers have optimized their inventory holding levels with early signs of recovery as the decline in imports subsided for the U.S., EU and UK in recent months. Retailers are still cautious as they align their inventories to a volatile market in the near future. We continue to anticipate the industry demand to be sluggish for H1 FY '24 with momentum picking up subsequently.
We witnessed several challenges, starting from a disruption of production, leading to delays in shipment, huge ramp-up of employees in anticipation of volume growth, slower ramp-up of our new units and continuing airfreight costs at Atraco, the recently acquired entity in Africa. Some of these impacts will be offs et in the quarters ahead.
The business in the Comp any, excluding acquisitions, that is the standalone entity of Gokaldas Exports was severely impacted in April and May this year. Th ere was a huge shortfall in manpower availability, an d this resulted in production re scheduling, overtime work, delayed shipments, order cancellation and airfreight to comp ensate the customers. The impact of this on EBITDA was to the extent of Rs. 12.6 crores. Some of it was on account of air freight, some of it was on account of lost production, as well as o

vertime charges.
Atraco also had a continuing impact from Q4 of FY '24 resulting in a non-recurring air freight cost of Rs.8.6 crores. The Company is seeing strong traction for business volume in the coming quarters and expects the capacity across all acquired and expanded apparel units to be fully utilized for the year ahead.
Our new manufacturing unit in Madhya Pradesh is ramping up to full capacity and will reach optimal levels by Q3, FY '25. The fabric processing unit in Tamil Nadu will start commercial production sometime soon in this quarter in Q2, FY '25. The results of trial production is encouraging and we are hopeful of this unit ramping up by Q4, FY '25.
We are making good progress towards integrating the operations of our newly acquired entities to secure better operating leverage. Our strategic investment in BTPL, the fabric processing unit, allows us to derive utmost benefit through vertical integration into critical raw materials, adding an edge in terms of speed, qua lity and cost. After completing a ll the acquisitions, the Company is currently at a net cash of Rs.58 crores as of June 30, 2024.



With several investments underway, there has been an impact on the ROCE as many of the investments are yet to yield their full pay off. The standalone business excluding acquisitions and new business is operating at about 25% ROCE. It is the endeavor of the Company to strengthen the ROCE of the consolidated Company over the next two years.
To prepare for the next phase of growth, the Company has strengthened its management talent

at multiple levels. Our performan ce endorses the belief in ou r ability to sustain continued
operating performance gains in a sluggish macroeconomic environment.
A quick analysis of our revenue indicators indicate that we continue to gain market share by
building on our execution strength. The Company is hopeful of achieving strong improvement in the quarters ahead, particularly in the second half of the current year and continuing into the
next financial year.
I thank you for listening and would be happy to address any questions that you may have.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question
is from the line of Aayush Dandiya from Dandiya Trading. Please go ahead.
Aayush Dandiya: Sir, given the recent developments in Bangladesh, do we expect any business to come to India
and can we capitalize on that opportunity? Or is it that Bangladesh's competitive edge is a lot
given their lower export duty, sorry, lower import duty in developed countries? Can we capitalize on that?
Sivaramakrishnan G: Simple answer is yes. However, it's a long-term structural adjustment. If you look at the
problems in Bangladesh, this has been growing for quite some time and it reached a flashpoint a week ago. So, we have been anticipating this and have been also shying away from creating
capacities in Bangladesh, worrying about the safety and security and the business environment
there.
Having said all of this, th e cost economics as well as duty-free access to Europe makes
Bangladesh a continuing attractive region. The ga rment industry in Bangladesh is a significant
industry and the government will do everything in their power to make sure that the garment industry functions well. I have a lot of contacts in Bangladesh, and we have checked with them.
Most of the factories have come back into operation, but they did suffer over the last 7 to 10
days. And the whole country is not out of the woods yet.
So, given all of this, most of the brands will try to not put too many eggs in the Bangladesh
basket so to speak, and would look at diversification as long as it doesn't increase their costs too
much. I think this trend has started almost a year, year-and-a-half back. Probably it will accelerate going forward.

As far as Gokaldas is concerned, our order book is pretty much full for the quarters ahead that
we may not stand to benefit too much immediately as we don't have any more capacity to accept orders within our system.
Having said that, a directional shift to more sourcing from India will definitely happen and that
augurs well for us from a capacity creation standpoint. So, we are open-minded about it. We are also looking at adding capacity in low-cost regions.
As you are aware, we have a factory in operation in Madhya Pradesh and through our Matrix
acquisition, we have a factory in operation in Ranchi and Jharkhand. Both of these are low cost
locations, and it is our endeavor to expand in these areas. In fact, those areas can probably
compete well with Bangladesh as well.
So, to give you a long answer to your question, I think the long-term prospects was good and it
has become slightly better. And India can take some of the incremental growth if it comes our
way.
Stronger players will always tend to benefit more as the volumes in Bangladesh are high,
volumes in China are high and stronger players will be in a much better position to leverage the
benefits coming out of this.
Moderator: Thank you. The next question is from the line of Aashish Upganlawar from InvesQ PMS. Please
go ahead.
Aashish Upganlawar: A couple of questions. One is, sir, what I was trying to understand is there are again kind of
noises of maybe recession or maybe unemployment rising in the U.S. and stuff. So, what are you
kind of anticipating or hearing from the customers?
And secondly, the freight cost increase that you have also highlighted in your presentation, is
the curve still looking steep upwards or is it flattening or going down as such? These two things
I wanted to understand.
Sivaramakrishnan G: So, to answer your first question most of the brands have mentally prepared for some sort of a
slow market uptake. So, I don't see us having too much of a problem unless the recession is very
sharp and deep and all of that. So, none of us can be prepared for all the economic possibilities
that may arise in the future.
But as far as Gokaldas is concerned, we have diversified our customer base very, very
significantly unless there is a secular global tren d of recession and all re tailers are significantly
impacted, I don't forese e a big problem hitting us. When I lo ok at our own order book well into
Q3 and early Q4, it seems to be pretty strong for us and we are working at full capacity utilization.

Having said that, we are always open to any potential risk in the horizon, and we will take appropriate actions as and when we see some of those coming up. For now, all my discussions with my customers, especially when I look at fast fashion customers or even outerwear customers, seem to be operating at fairly low inventories and are indicating a robust order placement season going forward.

We are also diversifying into Europe as a precautionary measure and have started pulling more business from that region. In fact, two of our European customers are expanding sharply as we speak.

So, we are reasonably diversified, well poised to handle any demand fluctuations barring some major economic meltdown which affects the entire market secularly. So, that is as far as your first question is concerned. I am happy to elaborate if you want any more clarity on the first question.

Regarding your logistics question, so logistics co sts went up in recent times particularly because there was a lot of logis tics between China and the U.S. in anticipation of a duty increase. So, there was a shortfall of containers, shortfall of shipping and logistics costs in general rose up. I think that will settle do wn as we go forward.

Most of the logistics costs are borne by our customers. So, we sell FOB. We don't sell CIF. So, in

our case, we don't pay for logistics except fo r incoming logistics for fabrics that we import.

And to that extent, we have had some increase in cost, but they are all pass through for us. So, we have been able to push it back to the customers. So, I don't see logistics impacting us but industry as a whole, the retailers are paying a higher price for logistics.

Aashish Upganlawar: Sir, in the slides that you have given in the presentation, I could understand that there are certain one-off items in the current quarter, which you have shown adjusted EBITDA. So, how is the integration going on? And should we see normalization to maybe 10%-11% margins, maybe going into maybe Q3 type of scenario? Is that more reasonable? And are there any teething issues or something which is glaring in the integration overall? If you could highlight that, and so are we smoothly going to see Gokaldas integrating these or are there any issues as such?

Sivaramakrishnan G: So, let me give you a detailed answer. When we acquired the Atraco entity we had some worker unrest in the early part of acquisition. We had bought the Company on an asset transfer basis.

So, when the employees got rebadged to us, there were some demand for incremental wages, etc. Anyway, those resulted in production disruption, which we have now come out of. So, there is a consequent air freighting, which happened because of a massive delay in production and consequently air shipments impacted us and that, in fact, continued in Q1 of FY '25. I don't foresee that happen ing in Q2 or from Q2 onwards.



As far as all other aspects of integration is concerned, it is going very well. In fact, we have integrated the finance function. We have integrated the sourcing function. We are working with both Atraco and Matrix, and we are also worki ng on integrating operational best practices and last but not the least, we are working on marketing integration as well.

So, every aspect is being worked on. The integration in my mind is going ahead of schedule, not behind schedule. And whatever problems that we have had, consequent to some strong decisions that we took, so that we secure the long-term future of the Company and not cave into some unreasonable demands will pay off in the quarters ahead.

As far as India is concerned, we had a disruption in April and May when we lost a lot of productive manpower on account of the elections in India, etc. which resulted in people getting paid well for participating in campaigns and rallies and all of that. So, we lost a lot of production capacity during that period of time. This was an unusually high impact that we faced at that point in time. We have since recovered, but we did pay a huge penalty on account of that lost production.

In fact, just in GE, the cost of overtime plus ai r freight plus loss of production itself in the quarter came to about Rs.12.6 crores. So, it was a massive hit as a onetime hit, but I guess most of it will be behind us. And when I look at the quarters ahead with both Atraco and Matrix kicking in strongly in the second half, I am very confident that our margins will go to double digits and not just 10% but even higher from the second half onwards. And I can literally see it because the order books are all full, the production is reachi ng that rhythm and things are falling in place very strongly.

Aashish Upganlawar: Sir, you used to give some guidance on what we are targeting in terms of sales, if everything is normal, and also some guidance on the margins. Are we looking at, as you said, the 12% kind of a normalized margin, or would it be higher than that? Maybe FY '26 would be a better idea to give some guidance.

Sivaramakrishnan G: Historically, we don't give guidance, but as a general term, if we talk of FY '26, I am very confident that the margins will come back up very, very strongly. In fact, I see that com

ing up
in H2 itself, but in FY '26, we should start seeing overall margins go to the region that you
indicated.
Moderator: The next question is from the line of Pulkit Singhal from Dalmus Capital Management. Please
go ahead.
Pulkit Singhal: The first question was the kind of arrangement we have with Bombay Rayon. Can you elaborate
as to the amount of funds we are paying, and what kind of financials one can expect from this?

Because looking at the past history doesn't seem that great. So, if you could just elaborate a bit
on that.
Sivaramakrishnan G: So, the strategic rationale for that investment was to make sure that as we grow, and we have
grown considerably, and as we star t talking at strategic level to ou r customers, most of them are
seeking a stronger relationship than hitherto you send me the garments that I need.
So, we are working with them on reducing lead times. We are working with them on much
stronger partnerships, multi-geographic delivery, etc. And for that, I think, one important
component that we felt was missing in our portfolio was the access to fabrics at a short lead time
and also access to a lot of fabric development.
In fact, on the garment side, we have started engaging with many customers on lot of co-
creations. So, we are doing a lot of design and development for our customers and now seeing,
having fabric development will be the next step in that direction. So, we felt the need given our size and scale, given the
customer requirements and given the strength of the engagement that
we are having with the customers.
So, Bombay Rayon is a unit which has got a very large capacity. It's one of the finest in terms
of the quality of machines that it has. Most of them European machines of a very high quality
and have got a generally good reputation as far as its production quality. The Company itself
went into difficult times because of its financial challenges and management challenges. We thought that after doing enough
due diligence that that is something which is rectifiable. The
machines are of good quality and if we handhold it by making investments and supporting it, we
should be able to get what we want out of that.
So, with that in mind, we entered into an agreement with the Company to invest up to Rs.350
crores. Our intention is to only invest what is really required for its capital expenditure
requirement for some working capital etc., etc. And that investment has gone through an OCD
structure. So, the OCD itself carries an interest coupon of about 20% and we will have the ability
to work closely with the unit.
The intention is, if all things go well and we feel comfortable, we will initiate a merger sometime
in the next financial year, culminating into a proper merger by FY '27. So, the effective merger
through an NCLT process may take a year. So, it will happen sometime two years from now,
say June, July, August 2026. So, that's the proces s if all goes well and if we intend to go down
that path of having a full-blown acquisition or merger of that entity with ours.
So, the strategic rationale is strong. We also feel confident that we ourselves can buy a lot of
fabric given our huge fabric consumption between all our units from BRFL. So, we should be able to at least secure 15% to
25% of BRFL's production through demand generated by

ourselves. So, there are a lot of compelling strategic reasons. Of course, it depend s on how soon
we can get the unit back on track. It would involve getting the machinery up and running to full capacity, building up an order
book, strengthening the management, etc.
It's all work in progress as we continue to hand hold and work with the management team there.
We feel confident in this relationship allowing us to punch way above our weight in the market.
And when I have talked to mo

st of our large customers, they have endorsed it fully. They have
been very supportive of this. So, that gives me an added confidence that we are on right track.
Pulkit Singhal: In case of this acquisition, how much is the peak investment for us in terms of to be able to
acquire, what is the broad range? And what is the peak turnover that this entity can do if everything was to be externally sold
and not to Gokaldas? So, just to get a sense of how much
we are paying and what we are getting?
Sivaramakrishnan G: Are you saying what is the peak revenue from this asset if we acquire? Is that the question?
Pulkit Singhal: Yes, that is one. And how much are we paying for that, overall, if we were to acquire?
Sivaramakrishnan G: So, this is all speculative as we speak because we don't know whether we will acquire them. We
have invested as in an OCD in them, and this allows us to work closely with them and also place orders on them to secure our
supplies.
Having said that, if we do acquire them, the acquisition price is about Rs.580 odd crores, which

we had mentioned in the filing at that point in time, about Rs.585 crores. In addition to that, we had indicated that we will ourselves through OCD invest about up to Rs.350 crores, but I don't
anticipate it going all the way to that level. It will be somewhere in between, anywhere up to Rs.200-Rs.250 crores. Maybe even less if we can tight ly optimally, if that unit can manage itself.
So, that's the kind of investment we are looking at, and the Company itself has a debt of currently about Rs.100 crores to Rs.150 crores. So, that's the nature of that entity. If and when we acquire, we will have all these investments going in which means Rs.585 crores, say, Rs.600 crores plus a debt of Rs.150 crores, which is Rs.750 crores, and then we ourselves would have invested through OCD and an additional debt of about say Rs.200 crores.
I am just giving you a very, very macro number. These numbers can change by Rs.50-Rs.100 crores here or there. So, that itself makes it Rs.750 crores plus Rs.200 crores, Rs.950 crores, a ballpark Rs.1,000 crores. That will be the enterprise value of the entity if and when we acquire it and merge with it 2 years from now.
So, this gives an optionality for us to go down that path and have a fairly large fabric capacity in our portfolio. The revenue itself at its peak could be about Rs.1,800 crores if all goes well and it works at full capacity. And it sh ould work at an EBITDA margin of, say, the industry level,

which is about 12% for the fabric companies. May be given the specialty fabrics that it produces, it should even probably do better than that. But that's the kind of expectation that we have.
Pulkit Singhal: Next question is just on the Ba ngladesh situation. They just s eem too big to fail in the overall garmenting sourcing piece globally, right? But at the same time, I am just wondering whether customers are already talking to you about having to diversify a bit and how sustainable is that? Is it possible for us to at this point secure long-term contracts with some customers rather than some knee-jerk order for just one or two quarters and then going back to Bangladesh?
Sivaramakrishnan G: So, customers are very, very smart and they have been sensing this for almost a year, year-and-a-half. In fact, many of the customers have talked to us almost a year back saying that we want to diversify away from Bangladesh. So, customers who are, let's say, heavily weighted towards Bangladesh have had come to us and talked about incremental capacity here. So, all of that
encouraged us to set up new capacities and I think that customers will diversify.
You know, I don't foresee any short-term knee-jerk reaction. First of all, for short-term movements, you need capacities in Bangladesh to be shut for a lo nger time. That's not the case. They have mostly ope

ned up. Secondly, we should have capacity in the short term. And I don't think we look at business in the short-term either.
If you ask me, medium to long-term, I think people would have found that their hypothesis that Bangladesh is risky is getting more and more confirmed. And hence, they would try to incrementally allocate more growth to other regions. So, I think in the longer run, it is good for
us. In the short run, to expect any major knee-jerk reaction probably is super ambitious. You know, always somebody, especially in fast fashion, who has got a major delivery problem will
automatically ask us for some support. And we will extend that from time to time.
But I am more keen on the long-term movement. And I believe that in the long-term, with so much going on in Bangladesh, Sri Lanka, etc., th ere is a little more comf ort in sourcing out of India. If we are able to develop lower cost locations in India, which is the endeavor that we have embarked on, I think that will accelerate and support this trend.
Pulkit Singhal: But can the reverse happen? If the Bangladesh currency, given that situation, were to appreciate by a sudden 15%-20%, in fact, it will just become even more attractive. So, can the reverse trend actually happen? And it would make sense to be present there.
Sivaramakrishnan G: I think that is a very theoretical thing. And when I talk to customers, nobody is going in there just because there is going to be a massive currency arbitrage that is available to them because there are also risks ahead. I have talked to one large customer, a fairly large customer with whom we still don't work, and they are knocking on the doors. They want us to start, but we don't have

the capacity to see if they can move some things out of Bangladesh to India. So, I don't see people taking such very, very short-term view.
Secondly, I am also not so sure that Bangladesh can afford to weaken their currency that much and I am not an economist. But keep in mind, Bangladesh imports most of their goods and a lot of consumable goods and the FMCG goods ,etc., go from India. So, if the currency depreciates, their cost of living, which is already high in Taka terms will just shoot through the roof creating more unrest in that economy.
One of the biggest challenges that Bangladesh faces is that the restless population is impacted by high inflation. So, if they depreciate th eir currency sharply, there could be even bigger

problem. I am not so sure that that's what has b een expected for that economy, but then that is
for an economist to answer.
Moderator: The next question is from the line of Jignesh Kamani from Nippon Mutual Fund. Please go
ahead.
Jignesh Kamani: Just on the Bombay Rayon, you mentioned that we have to acquire if we want to through NCLT.
So, in that case, NCLT has a power to decide, you can say, whom with they want to sell, and in
that case, we have to bid it again or there is a po ssibility that it may be an other bidder instead of
us. And if yes, then what will happen to our investment of Rs.200 crore which we made? And
in case we don't want to acquire it, then what is the recourse, or you can say Rs.200 crore investment of NCD which we are planning to make right now?
Sivaramakrishnan G: Good question. Just to clarify, this is not an asset under NCLT. So, this unit is not part of BRFL.
This is called BRFL Textile Private Limited, whic h is outside of NCLT. When we talk of NCLT,
it is just the merger process which will be passed through NCLT because any merger in India
goes through an NCLT driven process for concluding the merger. So, we are only talking about
that.
The principal shareholders in this case, in this entity are JM Financials plus a clutch of various
other investors who total the 100% of the Company and we have an agreement with all of them
so that in case we decide to go ahead, they will se

ll the shares at such and such price which we had indicated. So, the merger will go through an NCLT route for consummating the merger, but
it is not an NCLT process where NCLT is calling in bidders and investors and all of that. I hope
that clarifies.
As far as your second part of the question, which is in the event we don't like this asset, now we
have done enormous amount of due diligence, checked with our customers, seen what kind of
fabrics that we are placing orders on, what is th e future trend ,etc., and done all the due diligence
before entering into this arrangement.

In the rarest of rare event, we don't want to go ahead we will have to deal with that process. We
will probably stay invested with the OCD structure and continue to get dividend etc. But we will
deal with that situation as appropriate at that po int in time. We have a feeling that there is a high
likelihood that we may take a call on going ahead if all goes well. But then that is something I will reserve for a year from now.
Jignesh Kamani: And the follow-up question on that, as you mentioned close to around Rs.800 crore kind of
revenue they do at peak. So, what would be our fabric requirement out of this Rs.800 crore? And second thing, are we planning to appoint any Board member, or you can say, as of now, or that we will take a call only once you decide to go ahead with the merger?
Sivaramakrishnan G: So, it is not Rs.800 crores, it is Rs.1,800 crores. As far as if we take a call, then obviously, the
unit gets into a merger with the parent Company with Gokaldas. So, then there is no question of
a new Board etc., etc. We will just merge into us. At that point in time, we may decide if we
want to stuff the board with our people or whatever, but we have not taken those calls.
Jignesh Kamani: And out of this Rs.1,800 crore, what is kept for your unit as of now?
Sivaramakrishnan G: So, let me give you in terms of meters of production, right? So, for example, the units at full
capacity and today it is by no means operating at full capacity because several machines are not
in a state of production. We need to put in CAPEX to restore them back to full capacity. But its
full capacity is about 4 lakh meters a day which translates to about 1 crore meter a month. Our own fabric consumption in Gokaldas is 55 lakh meters a month. If I add Atraco to it, it will add
to another 15 to 20 lakh meters a month. So, that is about 75 lakh meters a month. Whereas its
capacity is 1 crore.
Now, not all of what we buy can be made by BRFL because we buy a wide variety of fabrics
including synthetics etc., some of which are impo rted. But that's why I said I am very confident
that at its peak, we can at least meet 25% of the 1 crore meters per month demand. Maybe more. Our endeavor is we need to do as much as we possibly can. But that itself gives a huge amount
of security in terms of demand for that entity.
Moderator: The next question is from the line of Monish Ghodke from HDFC Mutual Funds. Please go
ahead.
Monish Ghodke: So, out of our total capacity of 87 million pieces, what is the split between GOKEX, Atraco and
Matrix? And could you also share average realization per piece for these three entities as well
as average utilization levels?
A. Sathyamurthy : At Gokaldas it is about 36 million pieces and Atraco can pr oduce about anot her 40 million
pieces. another 11 million pieces can come from Matrix.

Monish Ghodke: And sir, what are the utilization levels currently?
A. Sathyamurthy : Currently I can give you the number of pieces for you to get some understanding. Gokaldas has done 6.6 million pieces at an average realization of Rs. 781. 8.78 million pieces in Atraco at Rs. 285. Matrix we have done about 1.7 million pieces at about Rs. 618 is average realization. In total, we have sold 17 mill

ion pieces during the quarter at an average price of Rs. 510. Again, the pieces measure is quite a misnomer, becaus e, depending upon the product mix, the number of pieces can vary.
Sivaramakrishnan G: Come down or go up accordingly
A. Sathyamurthy : Depending upon the complexity of the garment.
Monish Ghodke: And sir, could you also share in this pieces, what is the mix of, let's say, co-creation versus customer-given designs?
Sivaramakrishnan G: So, it varies from customer to customer. For certain customers, our co-creation is almost going up to 60%, and on average across all customers, we are operating at about 15% to 17%.
Monish Ghodke: And sir, these realizations also include our duty advantages, right, duty drawback, which we get?
A. Sathyamurthy: No, this is our net realization at our ex-factory level.
Monish Ghodke: And typically, what percent of, like, let's say our realization is 100. What percent do we get as a duty drawback or incentives?
A. Sathyamurthy: Just to clarify the realization, what we said, is at an FOB level, it does not include all the incentives and other stuff.
Monish Ghodke: No, no, I am saying, when I am seeing EBITDA margin, it would be including incentives, right?
A. Sathyamurthy: Correct.
Monish Ghodke: So, typically, what percent of our sales are our incentives?
Sivaramakrishnan G: Oh, what percent? So, we have duty drawback, which amounts to about 1.5% or 1.3%, somewhere in that ballpark, and RoSCTL, which is the refund of state and central levies, which work between 3%, 3.5% level, again, depending on the product type, etc. And this is available for whatever our sales from India. For overseas entities, it is not applicable. Keep in mind that the brands also know these are available. So, all these get factored into the pricing.
Moderator: The next question is from the line of Bijal Shah from RTL Investments. Please go ahead.

Bijal Shah: Thanks a lot for explaining BTPL, but I am still not able to understand strategic rational as well as financial rationale for this. So, if you can elaborate on a couple of points. Number one, so you are saying that eventually whenever everything is at the best performance level, you will be taking maybe 25% or maybe 30% of total output of BTPL.
So, just to understand that what is the reason for 30% of your requirement, you want to buy something which is like 3 to 4x your size and which will put you in a position where you have to sell another 75% of the output to outside world, and that is very different from your existing business. I mean, the investors are investing in you because of China plus One story, not that 70% of fabric you go and sell in the market. So, that is one thing which I am unable to understand.
And within that last call, you talked about the guardrails for acquisition that we will not be looking at companies which are not making profit, we will be looking at companies which are occasionally amazingly run. So, how do you reconcile that with your potential acquisition in which you made it clear that in th e rarest of the rare occasion, this acquisition will not go through. So, how do you reconcile that with your previous commentary?
The second question is that even if I look at the numbers at Rs.1,800 crores and you get 12% margin on that, so maybe somewhere around Rs. 210 crores of EBITDA and that would translate into roughly 21% pre-tax ROCE. So, in terms of retu rn profile also, this is pre-tax, and there will be tax on that. So, of course, interest depreciation. So, in terms of return profile also, it looks not really that great. So, how do you think that financially it would make lot of sense for Gokaldas to invest in it?
Sivaramakrishnan G: So, there are several questions. Let me try to answer all of them. And if I missed something, please remind me and I will address that. So, the first part is you ind

ica ted that 75% of it will have to be sold outside. Now, what I said was, that's the worst case.
I had indicated to you that we ourselves buy 55 million and Atraco will add another 15 to 20 million. So, that itself will make it about 75 mi llion meters out of, say, 1 crore meters that the Company produces. Over a period of time, this 25% I said is the worst case, not the best case. So, the worst case is we cater to 25% of the demand, 15% to 25%, initially starting 15%, ramping it up to 25%. And our endeavor will be to buy as much in-house. Why will I buy outside? And if I start buying in-house, my margins will go up, right? Even though the revenues may get knocked off in consolidation, my margins will go up.
But the key point here is that, in our garment business, we will continue to grow. So, this is our

current situation. Fabric unit capacity is what it is. And if the garment unit continues to grow at 15%, 20% year-on-year, the fabric demand will also go up in proportion. So, on an incremental go-forward basis, we will continue to take on more and more from that unit. This is number one.



Number two, we can orient that unit to produce more and more garments for our requirements. That's a possibility wh ich will also help us to respond faster to customers. So, one of the things that's going on in the market is, how do you reduce the lead time of delivery? And if I have to do that, then I need to have fabrics coming in at a faster pace.
I need to be able to work with customers on orders which hitherto, let's assume that somebody is making something out of Bangladesh and their fabric lead time is very, very long. I can combat it with saying that, look, I can turn things around in three weeks shorter, but you have to work at a price I dictate.
These are new possibilities which will open up for us. And keep in mind that as we approach larger and larger size, and as we approach a billion-dollar kind of revenue, we will need to be a little more vertically integrated to take comm and and control over ou r destiny, our own raw material sources, so that we are not denied raw materials or we struggle with raw material product development.
Fabric is an important component of a garment. So, if there is a garm ent development that we do, fabric development is an integral portion of it. And that's the reason why we are not saying we want to go into spinning and weaving and all of that because that on that end, we believe it's all commodity.
But we want to be in fabric processing, because that also is made to order, not made to stock and we will be working with the customers. Being a major garment producer, we are very close to our customers. We know exactly what they are seeking and what is it that they are looking for, which will allow us to st eer the fabric Company to be responsi ve to the customer , as opposed to a standalone fabric Company.
So, we see a lot of strategic advantages, a lot of advantages that a garment Company is running a fabric unit as opposed to a fabric Company standing alone on its own. So, our DNA will be garment first. So, that's the strate gic rationale clarified for you.
As far as your next question, what was that again? I am sorry. You had said what is the price? Why are we paid this kind of a price or something to th at effect, right?
Bijal Shah: See, you had outlined guardrail s that you will not go and acquir e a Company which is already….
Sivaramakrishnan G: Yes, I thought I will come to that last, but since you have brought it up, look, the reason…
Bijal Shah: Second question is that if I look at ROCE on Rs.1,000 crores, in EBITDA, if I work out EBITDA, it will be around Rs.210 crores on the numbers you selected. And that is the best case, and your capital investment would be Rs.1,000 crores. So, it is like translating into kind of 21% on a pre-tax basis, pre-depreciation, pre-i

nterest. So, that is much lower than the return profile which you



have for your Company. It will bring down return overall and your total capital employed is right now Rs.1,000 crores will be going into this . So, it will be a very substantial portion. So, how do you think about the returns from this investment?
Sivaramakrishnan G: Let me explain that. So, some of it has to be also taken in the ri ght spirit. So, if we look at the amount that we will pay, if we go down the acquisition path, the amount of the payout that we said which is under Rs.600 crores is to be paid 2 years from now, not now. There is a time value of money for that and if I apply some reasonable interest rate and look at that Rs.600 crores in today's value, it will be probably 500 crores or even less. So, that is something for you to keep in mind that the actual investment has to be considered appropriately.
Also, this Company has accumulated losses to the tune of Rs.400 crores. So, that also brings, in the event we merge finally and go ahead with the transaction, we may stand to gain from accumulated losses in that entity which will help Gokaldas. So, there are other mitigating factors as well, which I am sure you can do the math and understand that the final effective capital employed will be very different given some of these extra bene fits that come with it.
But it is not just about ROCE. See, what happens is I can be a very high ROCE and small and not grow. If I have to balance growth with ROCE, then I need to compromise on ROCE at the initial phase and then catch up on ROCE. I cannot just grow fast while holding on to my ROCE. So, if I want to grow at 15%-20% and remember, I mean, look at the revenue this year, right? Through the acquisitions, we have grown even faster.
So, if I want to grow and have a dominant presence in the industry, I may have to compromise on ROCE, but it is definitely not for the long term. We are extremely conscious of margins and

we are extremely conscious of ROCE.
That is why all the internal discussions are ho w do we get it back? How do we get our margins back? How do we leverage our position so that we are able to recover some of these? And it will happen in the next several quarters.
A lot of things are happening well for India as well, even the geo-political situation. And the fact that we are a little more vertically integrated means we are attracting customers which were hitherto not really work ing with us. Our entry into low-cost geography is also being supported by some of these fabric investments. All of this will support the growth, and we have to now improve profitability, which will help us in ROCE improvement.
Bijal Shah: And the last, I mean…
Sivaramakrishnan G: So, let me come to that part, which is, we are very clear that we will only acquire companies which are profitable. We don't want to acquire companies which are loss making. That's the reason why we invested in BTPL and not go into an acquisition upfront, we could have done

that as well. But we did not want to do that because that's against our philosophy. So, if we feel that this Company can turn around financially in a year is then when we do what we do. Otherwise, I would not be so keen. And again, based on the diligence that we have done, we feel reasonably confident that we can turn this around, especially given that we know the business, we are a big consumer ourselves, and we know the quality of the asset that exists there. So, given all of this, I believe that we ca n turn this around in a year. And that's the endeavor. And that's the reason why this acquisition if it goes through will happen in 2026 and not 2024. Because by then it should be well way, way profitable from the current situation where it's bleeding or loss making.
Bijal Shah: And just if it is poss

ible, I am not sure. But if it is possible, if you can share their revenue or some details on their performan ce in the upcoming quarter, it will be really helpful.
Sivaramakrishnan G: Yes, we will see how much we can share and keep you posted. But you know, that's a separate entity where we just have mere investment. So, I am not sure how much we can talk about that, but let me see.
Moderator: Thank you. The next question is from the line of Vivan Mathreja from PH Finance Limited. Please go ahead.
Vivan Mathreja: I have just one quick question. So, recently, last week, there was a report that came in The Times of India about the textile industry and foreign companies investing in Tiruppur and using the suppliers from Tiruppur. The top companies include Primark, GAP and many more. And also, there are quite a lot of government incentives towards Tiruppur in terms of developing infrastructure and giving companies loans at a lower interest rate an d also simultaneously.
countries like the U.S. and majority of the European countries are divesting from China and plan on investing in India specifically with respect to the textile industry. So. I would like to know the benefit that a Company like Gokaldas would get through this incredible opportunity of investing in Tiruppur and taking advantage of this.
Sivaramakrishnan G: So, there is nothing specific for Tiruppur. It's a ll for India and there are certain low-cost regions in India, especially if you look at states like Madhya Pradesh, Jharkhand, Orissa etc., which are giving special incentives to set up more ca pacities in their area to create jobs.
If you look at the labor force in India, most of them if you look at Tirupur, if you look at Bangalore, if you look at NCR, which are all major garment manufacturing clusters in India, the labor force is all coming from outside. Even in Bangalore, we struggle for labor force and a lot of incremental labor force is coming from the eastern part of India and northern part of India. So, that is where the industry will gravitate towards. Even Tirupur has got a large labor force coming from east and north of India rather than from the local region.

So, as far as incentives are concerned, the go vernment incentives are there. For MSMEs, there are extra incentives. So, regardless of where you are, you get your incentives. Whatever else you said about units, companies from who are sourcing from China, looking to India, we have sourced a large order, which were hitherto being destined in that region. We keep getting that and we keep doing that all the time. So, that's a secular trend, which will come towards India.
No doubt about it. But I am not sure if there is anything very specific about Tiruppur. We ourselves are not in Tiruppur. And we find that going into Northern India or those regions make more sense.
The only unit that we have, which is a knit fabric unit, which is in a place called Perundurai in Erode District, which is near Tiruppur, but that's a fabric processing unit that we have. This is our own greenfield fabric processing for knit fabric. And that's closer to that region. But we are

not really dependent on Tiruppur, or we don't intend going further there.
Moderator: Thank you. The next question is from the line of Vikas Jain from Equirus. Please go ahead.
Vikas Jain: Sir, my first question is with respect to the Tamil Nadu facility. Sir, what are the plans with respect to, are you planning to use the fabric internally only or if the plan remains the same where you sell it out initially to other units and then add garmenting units aside and then probably book it? Want your comment as to what is the view for the output that comes from this Tamil Nadu facility?
Sivaramakrishnan G: We probably will need about 50% of that output, at least in th e near term. We will consume in-house because we have both in Gokaldas and

in Matrix. Matrix is 100% knit and Gokaldas also does some amount of knit. The capacity there is approximately 400 tons a month, and I think
more than half of it we can consume internally. We are working towards that. We are getting all the buyer approvals for that factory's output to be confirmed. All of that is work in progress, and we are very confident because all the initia l trials have gone ou t very, very well.
We are currently doing trial productions, and we will be starting job work and all of that soon.
All the indications are it's going well, and by, let's assume that end of this year, we should have a substantial part of that output being consumed internally and then as we grow, we will start
consuming even more. But rest of it anyway, we will sell in the market because we can't capacities come in step curves and as we continue to grow, setting up more and more knit
business.
In fact, there are a lot of requirement or request from customers to expand our knit business.
And we are not as largely exposed in that area. But with this fabric unit, we may be able to accelerate that as well. So, it's a step in the righ t direction. Assumption or the intention will be
to try to consume as much in house.

Vikas Jain: Secondly, with respect to our MP facility, can you give some comments with respect to how is the ramp up? You did ment ion the utilization rate, but the ramp up expected, when do we expect the full ramp up of Phase-1 and the commencement of or the investments in Phase-2 of the facility?
Sivaramakrishnan G: Good question. So, MP, this takes some time. We, in fact, started MP last June. So, it's been a little over a year. We started production with domestic customers just to set the factory, the lines, the quality, the standards and compliances, etc.
We have now had two international customers already place orders on MP such that the full capacity will be taken up by these two international customers. Both of them will ramp to full capacity by Q3, which is another 2 months, 1.5 months from now. So, the orders are there. We are working on ramping them up to full capacity level.
So, the current unit is fully booked, which is Unit-1. And we have already done the work for Unit-2. So, all the planning is ready. Post monsoon, we will start construction. So, vendors are being finalized and all of that. We will be starti ng construction of Unit-2, which is in the same campus in adjacent land. So, that will start.
We are confident that with these two customers and some more in the pipeline, we should be able to quickly fill up Unit-2 as well. The time taken to ramp up Unit-2 will be a lot less because the ecosystem is already set. So, we have entire compliances, which we have got. When I say compliance, it's not just social compliance or environmental compliance. Even technical quality compliances, quality approvals, all of those have been secured in place.
Now it's only a question of training the manpower and ramping. And with this first experience of the first unit, the second unit should go through on a pretty straight line, quick basis. So, construction will commence post monsoon. We are hoping that the construction will take anywhere up to nine months. Post that, we will start ramping that unit as well.
So, overall, MP unit took a little longer, but I th ink when I look at the cost structures, when I look at the availability of manpower, and when I look at how it has worked so far, I am very confident that we have found th e right location where manpower av ailability is still good, and costs are moderate or low relative to where we are. So, that's the commentary for MP.
Vikas Jain: And just if you could comment on the capacity wise, Unit-1 and Unit-2, what is the installed capacity in each unit?
A. Sathyamurthy: Each unit at a peak revenue will be Rs.175 crores annually.
Moderator: Thank you.

The next question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead.

Palash Kawale: Sir, my question is related to, you mentioned that there was a price-led growth in the U.S. So, do you foresee any gross margin benefits on account of that for the full year?
Sivaramakrishnan G: I am sorry, what growth in the US?
Sivaramakrishnan G: Price-led growth.
Palash Kawale: Price-led.
Sivaramakrishnan G: So, price-led growth is for retail. So, retail co nsumers, when I said that 3% of U.S., in CY '24 versus the same period CY '23, U.S. retail sales, apparel sales have grown by 3%. I am saying the volume stagnated. All the 3% was price-led. That is retail as far as that is concerned.
As far as the orders that we are getting, there is a huge amount of price pressure because unlike the rest of the industry, if you look at U.S. import s, it is still negative 6% for CY. And so, this is true for UK and Europe as well. So, the larger industry is not ou t of the woods yet. And there is a demand supply mismatch.
We are seeing strong demand ourselves and that's helping us to fill up our incremental capacity as well. But the pricing power has not really come back. I anticipate that coming, sometimes starting next year. So, for now, the pricing rema ins sharp as usual, because there are other suppliers in the rest of the world who are willing to operate at sharp prices as well because of the demand-supply mismatch.
Palash Kawale: And sir, related to Bangladesh issue, so which country do you think gets to benefit more? Is it India or the countries like Vietnam or other woul d benefit more in the diversification of supplies in essence?
Sivaramakrishnan G: So, first is, we should not bank too much on things moving out of Bangladesh. Bangladesh has enormous resilience, and they will find a way out b ecause this is too critical an industry for that country for them to let go. So, we should look at it more as a secular long-term trend where businesses will try to diversify away from a risky hotspot area.
Now, having said this, where will they go to? A high likelihood is India. I don't know whether Pakistan still falls in that bracket where capac ities can go there because that's another country which is low cost and goes duty-free into Europe an d all of that. But I think the larger opportunity for moving export sourcing out of should come to India rather than a Vietnam or China. Those regions have really maxed out their potential. There is no more scope to grow there.
Palash Kawale: And sir, I missed on the volume and the realization trend. So, could you just mention the numbers again?

A. Sathyamurthy: We have done 17 million pieces at an average re alization of Rs. 510 at the consolidated level. At Gokaldas, it is 6.6 million pieces, @ Rs. 781, Atraco is 8.78 million pieces at the rate of Rs. 285. Matrix is at 1.68 million pieces with an average realization of Rs. 618.
Sivaramakrishnan G: This is for Q1.
A. Sathyamurthy: This is for Q1.
Moderator: Thank you. The next question is from the line of Cheragh Sidhwa from Bajaj Finserv. Please go ahead.
Cheragh Sidhwa: Just one question. In the second half, when we say that our order book is pretty much at full capacity utilization, do we mean across all the three divisions, that is GokEx standalone, Atraco and Matrix?
Sivaramakrishnan G: Yes.
Cheragh Sidhwa: And at the current gross block, what would be the peak quarterly run rate? So, this quarter we did close to around Rs.940 odd crores. So, it is fair to assume close to around quarterly run rate in second half should be close to around Rs.1,000-Rs.1,100 crores?
Sivaramakrishnan G: Yes, I think we should be topping up Rs.1,000 crores.
Cheragh Sidhwa: Topping up Rs.1,000 crores, okay.
Sivaramakrishnan G: We are already at near full c

apacity.
Cheragh Sidhwa: So, for the full year one could expect close to around Rs.3,900-Rs.4,000 crores kind of top line, given the current order book status.
Sivaramakrishnan G: We can do the math here.
Cheragh Sidhwa: And sir, for the next financial year then, given that we are already at optimum levels, apart from the MP Phase-2, which would yield another Rs.175 crores odd kind of incremental revenue, what would be the other key triggers for the revenue growth for say FY '26 on the basis of FY '25?
Sivaramakrishnan G: We will continuously look to debottleneck our current facility. Number one. Second, we will look at increasing productivity an d productivity itself should give us a few percentage points in capacity on the existing base.

Third, we are looking at an incremental expansion in Ranchi in Jharkhand because that's again a low-cost region. So, that's work in progress, and we will take a decision sometime soon, but we are now more and more inclined to go into these areas.
Third, we are looking at some incremental expansion in Africa as well in Mombasa where we have the ability to expand capacity, fair amount of capacity there. So, we will be triggering all of these sometime during the second half of this year which will help us in the next year.
Plus, as I had mentioned earlier that we will also be starting wo rk on Bhopal Unit-2, which will probably start contributing from the later part of next financial year.
Moderator: Thank you. The next question is from the line of Mithun Aswata. Please go ahead. The current participant has been disconnected. We will move on to the next question. It's from the line of Bijal Shah from RTL Investments. Please go ahead.
Bijal Shah: So, my question is, you are saying that order book is full, but you are very categorical in guiding in second half, things will improve. So, is it that in second quarter also there are some issues which will persist?
Sivaramakrishnan G: No, so the second half, I don't think from a capacity standpoint, usually it's a weak quarter for the industry per se in the second half because we usually ramp down on fall winter and ramp up on spring so that this shift in seasons happen in second half, sorry, in second quarter, So, usually there is a bit of a gap and while Gokaldas itself doesn't have an issue, this second quarter gap is a little more pronounced in Atraco and Matrix.
But I don't see that as much of a problem because the transition is, we have kind of worked a lot to offset that the way we did it in Gokaldas a few years ago. And I don't see this as a problem from next year onwards. But that's why I am saying from Q3 onwards, we will be powering away with full capacity utilization. In Q2 for a very brief short period, there may be that seasonal change.
The other part is from a margin perspective also, as we enter spring summer, we should be able to pick up some streams. Because lot of these businesses that we have even in Q2 which is for fall winter, because of exceptionally warm winters over the last several years and excess inventory, we have had a situation where we had to go and get business at somewhat more sharper prices than otherwise. So, all of that will also wear off in the second quarter.
But you know, by and large, revenue trajectory will be maintained. Capacity utiliza tions are near full in Gokaldas and near full in others as we speak. But all of them are ramping up to full utilization in the month ahead.



Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to the management for their closing comments.
Sivaramakrishnan G: Thank you. So, we are very conscious from a financial standpoint about running the business. We are also conscious that the growt

h imperative is very important, and we need to handle both growth as well as margins. And sometimes one leads to compromising the other, but we have now in the last 1-1.5 years, despite extreme headwinds from business, challenges, global volatility and all of that, we have focused on growth.
We also took the opportunity to acquire some entities, which we are in the process of stabilizing.
We are confident that some of those strategic deci sions will pay off in the quarters and the year ahead. We feel confident that all the decisions that we took are decisions in the right direction and a lot of work is going on to make sure that the Company's strength will fully come out in the years ahead. We are very well poised in that sense.
We are also having a strong relationship with most of the customers and that's evident in the way we are seeing our order and evident in the way we are working with customers, whether it is on co-creation, whether it is in fabric deve lopment, in garment development, etc.
So, I feel that directionally we are on the right track. I am hoping that the demand supply at an industry level will become more or less even as we go forward. But there are enough volatilities, particularly the Western world is still not complete ly out of their economic situation and if there are some soft economic challenges or softness in demand, there could be some volatility.
But we have worked hard to make sure that we are reasonably insulated from it. We are also very well safeguarded against any of those challenges, which is why some of this vertical integration moves as well, which strengthens our offering considerably.
So, strategic calls, I believe, are al l in the right directio n. Executions are falling in place and that will help us improve our margins, sharpen our margins as we go forward. Hopefully, demand supply at an industry level will also help us in that. Thank you. We remain quite confident about our future and we are working ha rd to make sure that we will deliver stronger results going forward.
Moderator: On behalf of Gokaldas Exports Limited, that concludes this conference. Thank you for joining

us, and you may now disconnect your lines. Thank you.

# Call: Nov 2024

GEL/SEC/2024-25/64

November 22, 2024

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers The Exchange Plaza
25th Floor, Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code – 532630 Scrip Code: GOKEX
Dear Sir / Madam,

Sub: Transcript of Q2 FY'25 earnings conference call Pursuant to Regulation 30 and Regulation 46(2) (oa) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, plea se find enclosed the transcript of Q2 FY'25
earnings conference call held on November 13, 2024. The Transcript is also available on the
Company's website at www.gokaldasexports.com .

Please take this in to your records.

Thanking you, Yours truly,
For Gokaldas Exports Limited

Gourish Hegde
Company Secretary & Compliance Officer

Encl: as above



"Gokaldas Exports Limited 2Q FY '25 Investor
Conference Call"

November 13, 2024

MANAGEMENT : M R. SIVARAMAKRISHNAN GANAPATHI – VICE
CHAIRMAN AND MANAGING DIRECTOR , GOKALDAS
EXPORTS LIMITED
MR. SATHYAMURTHY A. - CHIEF FINANCIAL OFFICER ,
GOKALDAS EXPORTS LIMITED





Moderator: Ladies and gentlemen, good day and welcome to Gokaldas Exports Limited 2Q FY '25 Earnings
Conference Call. As a reminder, all participants' lin es will be in the listen-only mode and there
will be an opportunity for you to ask question after the presentation concludes.
Should you need any assistance during the confer ence call, please signal an operator by pressing
"*", then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Binay Sarda from E&Y Investor Relations. Thank you and over to you, sir.
Binay Sarda: Thank you, Zico. Good afternoon to all the participants on this Call.
Before we proceed to the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risk that could cause future result performance or achievement to differ significantly from what is expressed or implied by such forward-looking statements.
Please note that we have mailed the "Results" and the "Presentation", and the same are available on the company's website. In case, if you have not received the same, you can write to us, and we will be happy to send the same over to you.
To take us through the Results and answer your questions today, we have the top Management of Gokaldas Exports Limited represented by, Mr. Sivaramakrishnan Ganapathi – Vice Chairman and Managing Director, and Mr. Sathyamurthy – Chief Financial Officer.
We will start the call with a brief "Overview" of the quarter gone past and then conduct Q&A session. With that said, I will now hand over the call to Mr. Siva. Over to you, sir.
Sivaramakrishnan G.: Thank you, Binay. Good afternoon, everyone. I am happy to have you at our Earnings Call for the second quarter of FY '25.
Retail sales have been resilient and maintained gains year to-date. In fact, if I look at the current year-to-date, retail sales in the US have been +3% over the same period last year. Brands have been able to sell their products at full price, reducing the need for discounts which has contributed to growth primarily in terms of price and a little bit on account of volumes. US apparel imports are now trending up over the previous year. After major period of excess inventory, which the brands were consciously trying to liquidate, inventory holdings have reached a low level and have started purchasing again.
During this quarter, our revenue performance has been robust thanks to a strong tailwind that we have started seeing from the brands. This will start accumulating more and more as we move in the quarters ahead.


Our consolidated revenue for the quarter grew by 85%, which is the reflection of some of the acquired entities contributing to revenue. If you look at growth without the acquired entities, our revenue growth was 28% year-on-year. And if I look at, specifically export revenue of Gokaldas Exports without the acquired entities, our growth was 33% against India's export growth of 13.5%. This is the tailwind that I was talking about. And I can see this only intensifying in the quarters ahead.
Our consolidated EBITDA grew by 48%, while EBITDA without acquired entities grew by 28%.
EBITDA margin was impacted and there were several reasons for it. The underperformance of acquired entities happened in the second quarter primarily because these were seasonally weak quarters for the industry as a whole and both Atraco and Matrix had a lower revenue than their usual quarterly run rate. So, this impacted the margin. In addition in Atraco we also had the Kenyan Shillings, which was at an all time high . It moved from ksh 160 to ksh129 against US $, it's moving in that range. So, when Kenyan Shillings went up sharply,

our cost in dollar terms went up, so that also impacted our margins there.
In India as well, we had some one-time air freighting because of spillover from Q1 when we had some production loss, for production outage on account of heavy absenteeism in Q1 due to elections. So, all of that is behind us. But thes e were some of the reasons why, our costs trended up more than planned and that is why our marg ins were slightly lowe r. However, Gokaldas export standalone has pe rformed very strongly, a nd we believe that all th e three entities Gokaldas Exports and the acquired entities will start performing even better in the quarters ahead. Integration of the newly acquired entities has prog ressed well and we ar e poised to gain from operating leverage in the future. Most of the headwinds in the acquired entities are behind us now.
Our strategic investment in BTL, the fabric proces sing unit that we inve sted in, strengthens our vertical integration into critical raw materials. And this will enable us to deliver high quality, cost-effective solutions faster to our customers. In the first-half of the year, we generated about Rs. 155 crores in cash from operations. Our new manufacturing unit in Madhya Pradesh has fully ramped up and is working for two major in ternational customers. And we are planning to expand in Madhya Pradesh further. So, we are planning to commence work on the second unit, which will happen in this quarter and hopefull y, the work will get comp leted in nine months.
Monsoons are over and the physical construction work will start soon.
We are finding a strong tailwind for business in India and Africa now. And hence, we are looking at expanding capacity across our system. So, we are looking at additional capacities in our existing units and looking at l easing some capacities as well in th e South of India to allow for quick expansion. Apart from Bhopal and South India, we may also look at incremental capacity

in Ranchi, in Jharkhand. The company's order book remains strong, securing robust near-term prospects. The long-term outlook is also very favo rable, supported by a continued shift in global
sourcing away from China, Vietnam, even Bangladesh, where there is turmoil at the moment.



And there is also a trend towards supplier consolidation among efficient and well capitalized players. And the ongoing supply side instabilities across the South Asian region is also helping us.

We are expecting the momentum to pick up in the second-half of the year. Particularly with Q3 production for spring 2025, brands are pushing incremental business to suppliers like us. And are promising good set of quarters ahead. This is also a period of increased sourcing from India. So, we anticipate sequential growth to trend up from now. We believe that the strategic boost that we are taking will allow us to continue to grow the business going forward. We continue to closely monitor any potential macroeconomic situation and will take measures focusing on customer relations and service excellence. With the macroeconomic situation becoming more favorable for outsourcing from India., we only hope that the tailwinds will intensify. We are confident in the strong medium to long-term prospects for the company.

I will pause here. Thank you for listening and would be happy to address any questions that you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question from the line of Kaustubh Pawaskar from Sharekhan by BNP Paribas. Please proceed.

Kaustubh Pawaskar: So, my first question is on EBITDA margin. So, at consol level, the EBITDA margins, including the acquisition is around 7%. If you look into like-for-like EBIT DA margins, it is around 11%.

So, as you said, in your initial commentary that, now things are looking good, acquisitions have been integrated, the airfreight cost is also

reduced, and the second half will be good for the
acquired entities. You are seeing good momentum in the garment exports as well. So, considering that, should we expect this gap between the consolidated and the like-for-like EBITDA margins to reduce? Or also would like to understand whether ther e is a further upside in the like-for-like EBITDA margins which are currently 11% to improve to around 12% what was historically high for us.

Sivaramakrishnan G.: So, I believe that the like-for-like will defin itely go up. I think your commentary on like-for-like, can it go to 12%? I feel conf ident about it. When you say like-for-like it is the old Gokaldas organizations without the acquired entities. So, yes, that will happen. because that is the trajectory in which we are trending towards. Our production efficiencies are going up, we are seeing a robust order traction as well, not only for Q3, Q4, but also for the quarters ahead. And I believe that some of those one-time impacts and all are all behind us. So, we should be trending towards that number, definitely. As far as the consolidated EBITDA is concerned there also I feel that at a consol level we, should be seei ng a 1.5% improvement in EBITDA margin. That is 150 that bps.



Kaustubh Pawaskar: Sir my second question is on the capacity utilization for our standalone entity in quarter two and what was the volume growth because the revenue growth on like-for-like basis was 28%. So, what was the volume growth in this quarter?

Sivaramakrishnan G.: Sathya, would you like to answer the volume growth?

Sathyamurthy: The total volume what we have done is. 14.95 million at a consolidated level. The realization is at Rs. 580.

Kaustubh Pawaskar: So, sir consolidated level, you mean including the acquired entity or this is only for that?

Sathyamurthy: Yes, including the acquired entities.

Kaustubh Pawaskar: Can you help me with the standalone entity volume figures as well?

Sathyamurthy: Standalone, we have done 8.1 million. And at the acquire d entities, we have done around the 6.89 million.

Kaustubh Pawaskar: And sir, what would be the utilization level and what do you expect in the second-half?

Sivaramakrishnan G.: So, if I can answer directionally and neither Sathya can probably give the number of pieces, though we do not look at the business from that perspective given that we make a very wide variety of garments. If I look at the capacity util ization in the second-half, we are running full capacity utilization. In fact, our Bhopal unit has reached its full utilization of 1,100 machines as we speak and although it is also running at full capacity. We are actually capacity starved, and we have business for another 1.5 factories. Actually, so we are looking at expanding our

capacities in the system. So, at the moment, we are running at full capacity, which is higher than
of course what the levels we were in Q2. Given that the Bhopal unit was fully ramped up only in Q3. So, I would imagine that we would be at an incrementally another 5%-7% higher than the
quarter that went by.
Kaustubh Pawaskar: So, my follow-up question would be you mentioned about capacity expansion in your initial commentary. So, what would be the CAPEX? Is it going to be anything above what you have mentioned in the presentation or most of it is covered in the presentation, whatever the number?
Sivaramakrishnan G.: Most of it is covered in the presentation. We had planned for it and it is ju st that we will just be implementing it now. I thin k out of Rs. 100 crore that we planned for this year, I think we have
already incurred Rs. 55 odd crores. I think the rest of Rs. 45 crores which will go in will help in
taking our capacities up. Most of these incremen tal capacities we are work ing on will yield fruit
only in the next financial year. CAPEX will be spread between this year and next financial

year
for that. And one more point is similarly capacity utilization in Atraco and Matrix will also go up in Q3 as we have a fairly good order book for both of those entities. In fact, in Atraco we are


looking at expanding the capacity by another. 900 machines, we have already gone ahead, and
that work is going on in full swing.
Moderator: Thank you. The next question is from the line of Bhavya Gandhi with Dalal & Broacha Stock
Broking. Please go ahead.
Bhavya Gandhi: Just wanted to understand, I mean a freight cost is a part of our expenditure because most of the
other peers, they sell it on FOB basis. So, why is this different, if you can help me understand?
Sivaramakrishnan G.: So, we also sell it on FOB basis. Our CIF revenue is very, very small, it is almost negligible
under 1%. So, it is all FOB. However, freight co st comes into play, when we look at inbound
logistics. Since we do a lot of synthetic outerwear, etc. in India and we are one of the market
leaders in that, especially in Q1 and Q2 when we do a lot of fall winter programs, we do have a
significant component of our raw materials coming from the far East. So, we do have freight
component loaded in inbound logistics, raw materials coming in. Secondly, for Atraco also there is a big component of freight, because all the raw materials for Africa come s from Asia, so either
India or China or Vietnam and some of these countries.
Bhavya Gandhi: Let me just ask you in another way, what is th e total raw material which we import, across all?
Sivaramakrishnan G.: So, if I look at the standalone entity, 25% of the raw material on a annual basis gets imported or
Atraco 100% gets imported. So, Atraco's quarterly revenue is say between Rs. 200 crores to Rs.
250 crores. Raw material cost will be about 60% there, almost 100% of that gets imported. For GE Rs. 650 crores revenue. The raw material component will be about Rs. 300 crores, Rs. 350
crores of which 25% gets imported, if I take on a quarterly basis. But in second and first quarter,
we usually have a higher proportion of imported. And in the third and fourth quarter a much lower proportion of imported comp onents in its raw material.
Bhavya Gandhi: Another question with respect to the steady st ate, what would be the ROCE and ROE because
there are couple of acquisitions, there are few other cost elements and also it is very difficult to
find out the implied steady state ROCE and ROE. So, what would be the number that we are targeting?
Sivaramakrishnan G.: Sathya, you want to answer this?
Sathyamurthy: Yes, the current level is we are trending around 15% to 16%. In a steady state our endeavor is to
reach over 20%, that is our plan over a period of time, over next two to three years. But because
all the new investments will take time to reach steady state level . Our CAPEX approval is always
with the assumption of average ROCE at the rate of 20%.
Sivaramakrishnan G.: So, I would not like to work at below 20% at any cost. So, at this moment if you look at the
standalone entity, it is ROCE is high, it is almo st approaching 25%. However, on a consol basis,
the ROCE is operating at around 15%, because the acquired entities are yet to reach the level of


performance that we want. And that will happen by the end of this year. So, we are working
towards them and working towards improving the performance of these entities and we will start
seeing some of those benefits. Keep in mind that these acquired entities have come into the fold
only at the start of this financial year. So, there is a lot of work that is going on in integrating in
also changing the customer profile there and all of that. And that will be work in progress for a
year. We are also dealing with a fairly large volume and business growth, but we are very confident that the performan

ce of those entities will also come up very strongly by the end of
the year.
Bhavya Gandhi: So, you are expecting by the end of the year only we will be touching on a consol level 20%
ROCE, that is what you are trying to say?
Sivaramakrishnan G.: No. So, that means all the inputs to correct that will happen. So, we will start seeing an
improvement from the next financial year onwards. I refer to Sathya to see what will be the
ROCE hopefully next year. But if you ask me the year after, we should be hitting closer to 20%
or even exceeding 20% rather.
Sathyamurthy: FY27 by then, all the new invest ments, will start yielding the resu lts, only then we will realise
that.
Bhavya Gandhi: And just one more question, if I can squeeze in, any progress on the UK India FTA agreement?
And do we see any significant benefit out there?
Sivaramakrishnan G.: So, there has not been much progress. There is an intent on both sides, but there has not been
much progress on the UK India FTA. So, we do no t know what will happen or what will be the
eventual outcome. Having said that, if it happens, the outcome is going to be very positive. And it is positive, definitely more
positive for me because we already are working with some UK
based clients in anticipation and they will only increase their sourcing. But regardless of that, I am seeing that, with problems
in Bangladesh, I am finding even UK based customers who
currently enjoy a 12% delta in import duty between India and Bangladesh because Bangladesh
goes duty free are looking at outsourcing more from India. So, we are seeing traction coming
from there which will only accelerate if the FTA happens.
Bhavya Gandhi: And is it possible to give us the share between brands versus retailers? What will the contribution
be on a full year basis?
Sivaramakrishnan G.: I think we only directly work with brands. I do not know what you mean by retailers. Retailers
are retail brands we work with. We do not work wi th intermediaries or importers at all. We only
work with direct brands.
Bhavya Gandhi: No, I meant do we work with any large size retailers?


Sivaramakrishnan G.: All the brands are retailers, so we work with GAP, we work with Carhartt, all these customers
are retailers, JCPenney, all these are retailers for us. So, I do not know if these are retail brands.
So, when I say brands or when I say retailers, we are using them interchangeably for our
customers.
Moderator: Thank you. The next question is from the line of Sundar from Avendus Spark. Please go ahead.
Sundar: First, I just want to have a clarity in terms of what you had mentioned in terms of capacity and
utilization, so not going through the volume numbers given the price mix impact. If I were to
just look at it in terms of the potential that we have got today, that is we did roughly about Rs. 650 crores this particular
quarter. And you said there is about, 6%, 7% percent upside to that
particular number. One, have I got this number right? And two, does this include the entire
Bhopal expansion or does it include only Phase-1?
Sivaramakrishnan G.: No, there is only Phase-1 of Bhopal expansion as of now. Phase-2 of Bhopal expansion, the
work will commence from Q3 and hopefully, we will get done by Q1 of next year. So, effectively
it will come into play only in the second-half of next year. Then we should start training people
etc. So, at the moment, the expansion will star t contributing in Q3 an d likewise, whatever
incremental expansions that we have done in the South, in our debottlenecking of existing
factories, that will also start contributing to our revenue growth in Q3 . So, this is one part.
Secondly, Matrix and Atraco, which have a seasonally low quarters in Q2 will also start showing
some incremental growth in Q3. So, that is how we are seeing growth in the 3rd Quarter.
Sundar: No, if I were to just talk in terms of nu

mbers, we believe we can do Rs. 700 crores per quarter
on the standalone numbers, sir, as per the current capacity that we have?
Sivaramakrishnan G.: Say that again, you talking of standalone?
Sundar: Standalone, sir.
Sivaramakrishnan G.: Standalone, currently we are at, I think this quart er we were at Rs. 650 crores or thereabouts.
And I think in the quarter ahead, we should be closer to about Rs. 670 crores, Rs. 680 crores in that region. And at a consol
basis we should probably cross Rs. 1000 crores.
Sundar: The Rs. 680 crores here presumes a full utilization?
Sivaramakrishnan G.: Say that again, please.
Sundar: The Rs. 680 crores presume full utilizations? At full utilization, we can do Rs. 680 crores per
quarter, is my understanding right?
Sivaramakrishnan G.: No, I think it could be more. I will tell you why I am saying that, because what happens is
revenue is based on not on production, but revenue is based on dispatches. And in December,

especially during the last week, dispatches slowdow n. That is because of Christmas and all those holiday season and all of that. So, it may not be fully characteristics of the revenue, revenue may not be fully reflecting the production capacity increase. So, this is factoring in all of this.

Sundar: I am just trying to come in from the view set on, one side, we see US inventory levels going down. US imports from India has also increased. There is a possibility with the new government coming in place in US that the tariff rates on China could go up. I am saying what are the production capability that we would have, because on the one side demand seems to be a lot more of tailwinds are coming through from that front . So, I just want to se e, what is the maximum revenue that we can do with the current capacity and with the extended capacity that comes in terms of Madhya Pradesh Unit-2, that is from 2H of even FY ‘26. So, what is the maximum run rate that we can get to in terms of revenues discounting for volumes and price mix?

Sivaramakrishnan G.: If you ask me, if you talk about max revenue, our current footprint should yield approximately Rs. 700 crore. And if you look at Unit-2 of Madhya Pradesh that will on an annual basis yield another Rs. 175 crores of revenue. And then we are looking at more capacities going forward, those are all work in progress. If we are able to lease some factories, we will do that as well. And incrementally in Atraco and Matrix also, we are looking. For example, we are looking at another 500 workstations increase in Atraco, so that should hopefully bring in an incremental 10% capacity increase. So, that is about Rs. 70 crores-Rs. 85 crores plus we are looking at an incremental capacity in Matrix also, which should yield Rs. 100 crores. But some of those capacities will, matrix capacity and Bhopal Unit-2 capacity all will start playing up somewhere in the second-half of next year.

Sundar: So, should I presume that Matrix the current capacity allows us to do about Rs. 600 crores per year?

Sivaramakrishnan G.: About Rs. 500 crores, Rs. 550 crores per year.

Sundar: And Atraco?

Sivaramakrishnan G.: Atraco will be about Rs. 900 crores.

Sundar: Rs. 900 crores. With the increased capacity, increased by about another Rs. 100 crores given that.

Sivaramakrishnan G.: So, you said current capacity. So, that is why I said increased capacity will bring in another 10% or thereabout.

Sundar: Now just the other angle in terms of just the margins out there, this quarter has been weak for various other reasons. But what we should we look at it on a sustainable basis on these standalone numbers?





Sivaramakrishnan G.: On the standalone, right?

Sundar: Yes, sir.

Sivaramakrishnan G.: See, I will tell you what has happened is, we have not seen the pricing power come back yet. If you recal

l, last year all the customers had dropped their purchasing by a very significant amount, 20%, 25%. Even if you look at YTD, you will find that the imports for this year CYTD compared to the previous year, is actually lower, US im ports and European imports. But it has started picking up from July onwards. So, the quarter from July, we have seen that imports for July, August, and September this period has trended above the same period last year. So, we have started seeing the curve turn from Q2 onwards, the import increase. So, I am seeing that when that starts picking up pretty significantly that is when some pricing power will return, and which will really happen in the next financial year. So, at the moment, when we are trying to ask for increased pricing for increased cost, that is not on the cards, especially for this financial year. Because there is enough, enough capacity going up again, and competing with us. But I am presuming and I am reasonably confident that we will be able to price in better going forward in the year ahead. So, that will also improve margins. I am presuming that it will help us take the standalone next year to close to 13%.

Sundar: And in terms of the other acquired entities sort of margins, I believe Atraco has been the big pull down this quarter?

Sivaramakrishnan G.: Yes.

Sundar: Were there any one-off say for any work strike or anything of that nature or this is all be one time effect that we are seeing in 2Q?

Sivaramakrishnan G.: No. So, Atraco, you remember there was a strike early on when we had acquired and there were some continued air freights, which happened until August of this year. So, from September onwards, that one-off has gone. The other one-off is the Kenyan Shillings going up against US

dollar, which was not anticipated by us. That was the last currency we thought would go so strong vis à vis US dollars appreciating from 160 to 128 or 129. So, it is almost 20%, 25%
appreciation of the currency which had happened. The effect of that should also, in my opinion, wear off. I am not saying the currency will weaken again, if that happens, that is good. But we
have started pricing it in into our contracts going forward. So, that effect will start happening
from partly in Q4 and from Q1 onwards. So, we are mitigating the pricing and factoring in a
stronger currency. But the impact will come in later.
Sundar: So, when would be the target quarter be, when we say we go back to that 10% margins on the
acquired entity, sir.
Sivaramakrishnan G.: Target quarter, I am very confident that target quarter will be Q1 of next year. We will make
every attempts to see if we can do that in Q4.


Sundar: And just a continuation to that is that I presume you started booking orders, the orders have been
booked by Gokaldas from 3rd Quarter on the acquired entities also?
Sivaramakrishnan G.: Gokaldas has been booking orders now for all these entities from 3rd Quarter onwards. Of
course, the existing customers of theirs are contributing. But we are playing a role in pricing and
all of that, so all that will start from 3rd Quarter onwards. All the orders that we booked in Q2,
which will be executed in Q3 were all under our us.
Sundar: That should also be a margin driver.
Sivaramakrishnan G.: Partially, as I said, the impact of the ability to raise prices in an environment where there is still
a supply exceeding demand is not very high. Now we will start seeing the situation because there
is an incremental demand coming in from the US as they have completely worked out their inventory and everybody is coming in and buying more. As I said, the trend reversed from Q2
onwards. If you look at the impo rt stat and that is what will he lp drive the pricing up. Until then,
the demand supply mismatch would not help in pricing. However, India sourcing is growing.
So, even if they are not buying so much more,

they are buying much more from India relatively
speaking. So, they are reallocating from other regions to India. So, that is helping us, even that
will help us negotiate be tter. But all of that will happen, in my opinion, from the next year
onwards. So, we are seeing a volume tailwind in H2, and I hope that it will be augmented by some bit of pricing power also from H1 next year.
Sundar: And any update on BRFL also, where are we currently?
Sivaramakrishnan G.: So, what whatever support that needs to be made, we are doing. In fact we have started placing orders on BRFLs for fabric sourcing as well and we are pushing a significant amount of our purchasing to that unit. Simultane ously, with the money that we have invested, they are also
incurring CAPEX to improve its machinery and improve its productivity and all of that. We are also seeing BRFLs product quality improve. Re jections come down and also those are all
positive signs, which gives us confidence that they will be able to service our requirements well.
So, it is going in the right direction. It has been only a quarter since our investment, but all the
operational metrics are trending up.
Sundar: An infusement into th at entity until now has b een just Rs. 50 crores?
Sivaramakrishnan G.: Until the end of Q2, it has been Rs. 60 crores. And I think in October we have infused another
Rs. 20 crores. So, it is about Rs. 80 crores.
Sundar: And one more question, just the last one on the balance sheet itself, why specifically you said
that the debts have not been repaid and we continue to hold cash?
Sathyamurthy: The debt is in Atraco books in Dubai. It was done from a tax-efficiency point of view. So, about
US$30 million debt we are carrying in Dubai books. Otherwise in Indian entities the debt is nil


Sundar: So, any part to repatriate this back and have it paid out, given that cash is also there on books?
Sathyamurthy: We are exploring, but the only challenge is that repatriation at a later point of time, there could
be a challenge. We are working on. Our intention is to reduce at least about 10 million in Atraco.
Moderator: Thank you. The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock
Broking. Please go ahead.
Bhavya Gandhi: Sir, can you just help me understand what would be your top five customer revenue contribution
and is it possible to name them? After the merger of acquired entities, I believe that one new acquired entity does not have overlap of customers.
Sivaramakrishnan G.: With Matrix we do not have an overlap of customers. With Atraco we have an overlap of the
customer which is JCPenney. Our top five customers are GAP, Carhartt, Columbia and JCPenney, which will be the fifth one I

think it is Abercrombie & Fitch. So, these are some of
the customers. The combined contribution of the top five customers to our total revenue will be approximately 65% to 70%, it will vary from quarter-to-quarter. But that is the range it affiliates.
Bhavya Gandhi: So, as a top customer, how much revenue contribution would it be somewhere in the range of?
Sivaramakrishnan G.: The top customer is close to 27%.
Bhavya Gandhi: 27%. And what would be as a percentage of their total procurement, because I believe GAP does not allow more than single digit procurement from one vendor?
Sivaramakrishnan G.: Peanuts. We will be peanuts. The GAP itself will be buying close to US$ 4 billion and our revenue will be single digit percentage, very low single digit percentage.
Bhavya Gandhi: So, basically I am trying to look for without adding new customer also there is significant runway to penetrate deeper in the existing customers?
Sivaramakrishnan G.: 100% yes. But what happens is we will have to decide, which kind of programs we want to go to. So, we tend to remain in th e highly profitable women's fashion business, etc. We tend to stay

away from men's, kids we use, because their the pricing will be sharper. Secondly, we also stay away from core program businesses except in places like Africa or in Madhya Pradesh or some of these low-cost regions. That is because again the margins will be sharper in some of those programs. So, say, if we start opening up our opportunity landscape, opportunity space in those programs, it is very-very large. You know core programs will be large. If I look at just the bottoms, so its pants or shorts or shirts, there is a huge opportunity there. We really do not do that, not because we cannot do it. In fact, we can do it very well, very efficiently, etc. But it is just lower margin and we have to effectively use the capacities that we have for the best of the products.


Bhavya Gandhi: So, between knit and woven, which would be a better margin provided to us?
Sivaramakrishnan G.: So, it depends. So, the knit that we do in India are high value adds out of Matrix and out of the Erstwhile GE we do sportswear knit, both of them are very high margin programs, relatively speaking, but also complex. Whereas in general, if you look at knit which are the regular T-shirts and jerseys and the leggings, etc. The woven margins will always be higher. For us, we are in high margin knits and high margin wovens.
Bhavya Gandhi: So, it is possible to share roughly what would be the margin differential between the two?
Sivaramakrishnan G.: Again, depends on which knits. If you look at ours, we do not see much of a delta between knits and woven for the business that we are in. Again, if you look at the commodity knits, if you are vertical player, you will have good margin, beca use you will enjoy the benefit of verticality. But if you are a pure garment player in commodity knits, you will have to offset it with high productivity. So, there are lots of variability there. I think the ne t margin delta will be between knits and wovens, commodity knits and wovens will be about 1% or so, 1%-1.5%. If you look at the business that we have more or less at par.
Bhavya Gandhi: And would you like to give any guidance for the next 3-4 years on the revenue and EBITDA front, because all these acquired entities and everything is there, so if you can just give a small guidance on console level.
Sivaramakrishnan G.: So, you know our current quarterly run rate. On a consol basis, our endeavor will be to grow at a minimum of 15% and if we are able to grow ev en faster, there is nothing stopping us because there is a lot of business tailwind, and I am seeing this business tailwind at least for India. It all depends on what policies the new government in the US comes up with. But I feel that whatever they come up with is only goin g to be helpful, incrementally helpful. If they go more against China, that is going to add to our business prospects, things in Bangladesh will take time to settle, anyway Bangladesh capacity at the moment fully being utilized. But incremental capacity could come to India. Most of the brands are looking at more India sourcing and they are all capacity starved. So, there is a good amount of tailwind. So, our endeavor will be to add capacity at an even faster rate in a country so that we can capitalize on it. So, 15% is the min growth rate, I believe.
Bhavya Gandhi: 15% revenue growth, not volume growth, you are saying, right?
Sivaramakrishnan G.: Yes.
Bhavya Gandhi: Around 2% 3% realization growth will be there?
Sivaramakrishnan G.: Could be there, that is the endeavor. I mean, that is one crystal ball, I refuse to get down to going forward, because there is a lot of factors which come into play there. If US tariffs go up then would there be a pressure on pricing? I do not know. There is a lot of ifs and buts going on there,


so we do not know. Because any such mo

ves will be inflationary, and I do not know if the
customer will have the ability to bear all those costs. But that is going to have universal impact.
So, that is something which I do not have a sense on, but our endeavor will be to definitely
realization go up by a 1% or 2% definitely, our endeavor will be that and we will push towards
that. Volume gr owth will definitely happen.
Bhavya Gandhi: And on the EBITDA margin, if you would like to guide anything, a steady state EBITDA margin
considering the consolidation and all that?
Sivaramakrishnan G.: As I said, the steady state, our immediate endeavor is to take the console EBITDA to over 10%
pretty quickly, very, very quickly and that should happen this year itself, very soon hopefully in
the quarter ahead itself. And after that, we are looking at the steady state EBITDA of at least
12% for the consolidated entity.
Bhavya Gandhi: And beyond 12%, I believe we will have to change the product mix only, because even with
operating leverage and because you will be addi ng capacities also, so there would be significant
operating leverage or is the understanding wrong?
Sivaramakrishnan G.: Whenever new capacities come there will be a de leterious impact on th e EBITDA margin for
the component of new capacity. It takes two years before that starts kicking in incremental. Having said that, some of our
newer capacities are in regions whic h are low-cost and which will
contribute positively going forward, like our Bhopal unit, etc. So, there are going to be some
positives as well, and depending on the product mix, depending on the automation, because we are also assuring in a lot of
automation etc. in our production unit, which will also yield
incremental productivity. Our aim will be to take the EBITDA margin up through those means.
Bhavya Gandhi: And just one last thing on the, we have an FTA, India has an FTA with Japan. I mean, I do not
see lot of Indian companies capitalizing on this. What is your take on this and are you looking
any opportunities in that front?
Sivaramakrishnan G.: So, we are and we are not. In the sense that we do have an opportunity in Japan, but we are
capacity starved at the moment. So, we are not actively pursuing to add a new customer from
that perspective. And it also takes a couple of years before we can orient our production to the Japanese market
requirements because that market and its standards are very different from rest
of the world. So, we have enough business opportunities in other regions that we have to take a
strategic call. But having said that, Japan today imports a lot fro m the Far East. They are also
looking at incremental sourcing from India. That opportunity does exist. We will have to take a
call going forward.
Moderator: Thank you. Our next question is from the line of Varun Gajaria from Omkara Capital. Please
go. Ahead.


Varun Gajaria: Just wanted a little bit clarity, how is Bangladesh exports and has there been any capacity
closures in Bangladesh, the existing capacity closure has there been such?
Sivaramakrishnan G.: So, the reality is that Bangladesh needs garment industry badly. So, no matter who is in power,
the garment industry in Bangladesh will function and it is vital for the economic survival. So,
this industry is protected. So, there is no capacity outage in Bangladesh. Having said that, there
is a lot of customer lack of confidence in Bangladesh. So, most of the customers think that there
is going to be incremental volatility, the relationship of Bangladesh with India is not great. And
Bangladesh depends on India for a lot of things, including day-to-day consumption items. So, food, cooking oil, everything
goes from India, cement and all of that. So, any friction in our
relationship increases that cost and increases their inflation, which adds to instability in that
region.
Secondly, an election is due in Ban

gladesh because currently you have an interim government
and when that election happens, there is going to be another round of instability during that
process. So, there is a lot of these uncertainties which people are looking at and saying that look,
we do not want to do incremental growth in Bangladesh anymore. We want to in fact look at
diversification out of Bangladesh to India. So, much so that even European players are talking
about it. So, that is the fascinating part, where th ey are willing to forgo that duty arbitrage that
they get from Bangladesh and look at alternate locations. So, I feel that there will come a time,
the time has come where people are really looking at alternatives to Bangladesh. But
Bangladeshi's exis ting volumes will not come down. The country as well as the world will need
Bangladesh.
Varun Gajaria: And are we witnessing any other countries or companies from any other countries probably
taking up tie-ups with vendors in Bangladesh? Has that been the trend so far? Let us say Chinese
players or Taiwanese players or even Indonesian?
Sivaramakrishnan G.: No, no, so you are saying that brand retail ers in China, Taiwan etc. are sourcing from
Bangladesh, is that what you are asking?
Varun Gajaria: No, manufacturers. Probably international.

Sivaramakrishnan G.: So, say at the end of the day, this is driven by the customers, where do they want to source from? So, customers incrementally are looking at other regions. Incrementally, they will not look at the additional sourcing from Banglad esh. Customers are looking, if they look at China, many of the customers are seriously considering for a mo re rapid descaling from China. Customers are looking at Vietnam and seeing that the costs have risen up so high in Vietnam and Indonesia that they are alternate options. So, all of them are pointing towards India, pointing towards other regions in South Asia, some people are even looking at Pakistan again, because their currency is cheaper. There is a fabric ecosystem there and all of that. Some people are looking at Africa



again and we have seen some renewed traction for that region also. So, the world is exploring other options. I think India stands a good chance to profit from it.

Varun Gajaria: Right. But Pakistan will be more in the home textile space, right? I do not think it has much game in the garment space.

Sivaramakrishnan G.: It is increasing.

Moderator: Thank you. Our next question is from the line of Bijal Shah from RTL Investments. Please go ahead.

Bijal Shah: My question is with regard to your standalone margins. So, now, if I look at your standalone margins, it is around 9.5% for last two quarters. And I am looking at the margin without including other income. So, can you give us some idea where this margin, what kind of margin we should build in for FY ‘26 and FY ’27? And I am specifically asking question for the margin without the other income, because your other income because of your treasury and investment in BRFL will actually push your other income significantly higher. So, can you tell us that operating level, what kind of margin you are expecting?

Sivaramakrishnan G.: Operating level for standalone entity, I am expecting one percentage up in the next financial year that is FY ‘26 and one more percentage up in FY ‘27.

Bijal Shah: Around 10% kind of margin we should expect next year at operating level.

Sivaramakrishnan G.: Yes. So, +1% for whatever, so whichever way you calculate. I am talking only from an operating perspective. A safer assumption would be take 1% and 0.75% in the year after, because the cost will also go up.

Bijal Shah: Second question is on the tax rate has been pretty low for domestic business. Is there anything which we should extrapolat e into future or this is something, which will trade away and you will go back to 25% kind of tax rate?

Sivar

amakrishnan G.: I think there is some as we grow and as we add more people, there is some 80JJA benefit or something. Right, Sathya, which it also gives.

Sathyamurthy: That is why the blended rate you see is almost around 22% for both Gokaldas Exports as well as for Matrix. But for the new entities when the Bhopal units are profitable, the will get taxed at a lower tax rate of 17% to 18%.

Bijal Shah: So, overall, the tax rate will be lower than 25%.

Sathyamurthy: Atraco is tax free, For other companies at consolidated level without Atraco you can assume it around 22%.



Bijal Shah: 22%, yes, that is very helpfu l. Now secondly, I mean, see I unde rstand that the market is in turmoil right now and I am not questioning that there will be an improvement. But I am just trying to understand that, how the pricing power when we will get pricing power because on one side what we hear and what you are also mentioning is that, customers do not want to procure from the existing location, be it Vietnam be China or Bangladesh. And I would assume that a good part of that, I mean there are hardly any other large country which can replace other than India. And they are coming to India, you are seeing 26% kind of growth in your revenue this quarter. So, despite that Indians, I mean I would logically think that Indians should have lot of pricing power in this context and which you are saying not there. So, what is the reason for that?

Sivaramakrishnan G.: The only reason is this is a global business. So, if let us say, we extract or we demand a higher price immediately the business can go to Indonesia, business can go to wherever location, because commercial considerations will trump everything else. So, today our aim is, if there is a business coming our way, let us take it rather than just go for a kill on pricing because there are certain things which you canno t obtain. So, today, incrementally if you look at globally, till June, July, the buying was only falling YoY. After that, slowly the curve has turned, they have started increasing. So, at this po int, the demand supply mismatch still exists at a global level.

For India, it may not, for India it is still favorable, demand is slightly exceeding supply. And for people like us, we are seeing a much better traction. So, we are not in a state where we can suddenly demand pricing, in which case the option or opportunity to diversify away from us continues to exist with the brands. So, our aim at the moment is to take the orders and keep it here and then wait for an opportune moment.

Bijal Shah: Last question. See, I mean this first year of consolidation and we are also getting to know what is Atraco and Matrix. So, on a QoQ basis, we have seen around 20% drop in revenues of subsidiaries put together . Now is this seasonal trend normal or is there something which is due to transition and goin g forward this kind of drop from Q1 to Q2 will not happen?

Sivaramakrishnan G.: No. So, usually Q2 is a weak quarter for the industry. For Gokaldas, we also used to have this about five years back. We have worked to remove the QoQ impact on us, because we work with the right product mix etc. So, we have a strong fall, winter program, which helps us in Q1 and Q2. So, we have a more balanced capacity utilization in Gokaldas. This is not the case for the acquired entities, which will be a work in progress goin g forward for us. So, historically Q2 has been weak quarters for both the entities. Q3 th ey will both come back up in revenue terms and we will have to work on fixing their Q2 for the year ahead, that is next financial year.

Bijal Shah: So, if I understood correctly, what has happened this year is not something that is normal, but in the future, will you fix the Q2 of acquired entity the way you fixed it fo r Gokaldas in probably couple of years?

Sivaramakrishnan G.: That is correct.



Moderator: Thank you. The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking. Please go ahead.

Bhavya Gandhi: On the data front, I just wanted to understand that, do we have any debtor financing, ECGC cover or any sort of guarantee in terms of paymen ts from them for export guarantees or any sort of guarantee?

Sivaramakrishnan G.: So, for Indian operations, we do have an ECGC cover as a guarantee which guarantees are receivables from our customers. I think ECGC cove rs to the extent of 90 % of the receivables.

Bhavya Gandhi: And for the other operations?

Sathyamurthy: For the international operations, for the specific customers, we have, to a limited extent, back-to-back cover with the early payment programs. offered by the customers with the supply chain finance program. With that, I would say at least about 50% of the receivables are covered.

Bhavya Gandhi: So, on our consol basis is roughly 60% to 70% is covered, right?

Sathyamurthy: Much more than that, you can take it around 80%.

Sivaramakrishnan G.: Atraco's revenue is 25% of the total revenue a nd half of it is covered. So, that is 12.5% not covered and for the balance 75%, 10% is not covered, 90% is covered. So, 10% of 75% is 7.5%, so 7.5% plus 12.5% that is 20% not covered.

Bhavya Gandhi: 80% covered. And do we resort to debtor financing, or do we not take any early payment?

Sathyamurthy: We take early payment. In India, we avail early payment. We rather prefer that, because we get early payment at better rates than Indian interest rate. Because typically, when we enter into early payment program we get financed basis the customers' interest rates.

Bhavya Gandhi: And are you sharing the number of total customers added in last three, four years new customers?

Sivaramakrishnan G: I think four or five.

Bhavya Gandhi: Four or five. And what would be their penetration in overall numbers right now?

Sivaramakrishnan G: Anywhere between about 17%, 18% maybe.

Bhavya Gandhi: 17%, 18% and this where do we intend to take it going forward?

Sivaramakrishnan G.: This will keep growing. So, we keep acquiri ng customers and we look at the right kind of customers so that we can also have the right amount of product diversification, customer diversification and all of that. So , this will keep growing as we ta ke the business forward. What we are seeing is that our existing customers also want to grow with us because we have hardly



scratched the surface with them, so there is a tremendous opportunity there. My intention is not to add a whole lot of customers. We have enough and more good customers that we work with. All the customers that we work with, our top tier, almost like the top 20 cu stomers of the retailers of the world. Our aim is to grow more with them. Also, what happens is if you start growing more with them, we become more strategic with them and that helps in pricing. If you have a customer who is only say Rs. 50 crores to Rs. 100 crores in revenue, frankly, our penetration in them is so low that we will only be used to reduce somebody else's prices. So, we do not want to be in that situation, we would rather be more strategic and have a meaningful engagement with the customers.

Bhavya Gandhi: And largely, I mean the industry is very cyc lical. It goes through two, three years of demand supply mismatch. Then suddenly the demand drops, and all those things happen, right? Either one loses customer or something of that sort. So, I mean, what is the risk element in our business and how do we try to mitigate it? I mean, what is your biggest fear when it comes to grow, right now you are growing, but in challenging times what is the biggest fear that you would like to address.

Sivaramakrishnan G.: So, we have to understand why is the cyclicality? S

o, the cyclicality happens for many reasons.

One is of course the retail indust ry itself can be cyclical because of economic changes etc., etc. We will also find that certain retailers, especially in a fashion business, certain retailers have a season they will tend to do very well. For example, Abercrombie & Fitch is flying high, they are doing exceedingly well. And certain retailers may be losing market share because their collections are not being appreciated by customers, etc. So, that also drives volatility into the supplier base. So, this is the root cause and the others is of course a huge amount of volatility induced by post COVID changes. So, during CO VID it fell, then post COVID there was the stimulus money which pumped up the demand. Then immediately excess inventory brought down the demand from the retail ers. So, there are a lot of pipe line related issues also which brings in cyclicality.

The good part is to avoid cyclicality or to mitiga te the cyclicality as a su pplier, what we do is we work with good qua lity customers. We work with customers where we believe that their financials for the next few years are not going to be weak. So, we track them very closely and we only work with good customers and if we do have a customer whose financials are not very strong, we then tend to slow down their business or pivot away from them and we have done that in many, many cases. Then, in fact, even last quarter we pivoted away from one customer because their financials were not good and we actually exited their business. So, we are very clear on some of these areas like again, the other thing that we look at to reduce this the cyclicality is being in the right location. So, our increased footprint in low cost regions etc. helps us make sure that we will get bu siness regardless of what happens to the rest of the world. And lastly, our ability to handle product diversity. So, if we are in one product then you are completely dependent on how that product does. If you are knit, for example, and if you are



doing commodity knit or something like, or if you are just in commodity bottoms, then all the inventory related ups and downs come and impact you. But if you have versatility in products, then one product type underperforming can be offset by going after some other product type. So, we have also built in enormous versatility in our business that we have insulated ourselves from some of these possible cyclicality is in the business. I hope I have answered your question.

Bhavya Gandhi: One more thing, if I can squeeze in is do we intend to be vertically integrated, I mean we have already reached to the fabric level. But do we intend to go further back? Because does that aid margin, and does it help in the longer run?

Sivaramakrishnan G.: This is my view currently and these views can change over a longer period of time but would not change in the shorter period of time. I believe that we have to be in those parts of the value chain where there is a lot of value addition. So, fabric processing again is made to order and there is a tremendous amount of value addition there and we have to be in that space. But when it comes to say going to weaving, weaving is highly fragmented. And unless we have a very, very specific kind of weaving capacity that we wa nt, we are not that keen, weaving or knitting. But if it goes to spinning, which is again a high CAPEX area and for the backward integration, I believe it is a commodity and there are enough players who can put in that capacity to provide commodity on. We are not that keen to go in those areas. So, we will stay for now in up to fabric processing. For now, there is no interest in going further backward.

Bhavya Gandhi: Just last one thing because before also you had mentioned, what would be the pecking order in the entire value chain in terms of EBITDA and ROCE?

Sivar

amakrishnan G.: So, ROCE will be highest in th e garment manufacturing, and it wi ll start going lower and lower as we go backwards. Because the capital employed and garment manufacturing is the least, it is the highest ROCE business in garment manufacturing. If you look at EBITDA margin, however, you may find that it may be higher in fabric processing or it may be higher in upstream. But that is only misleading because we do not only look at EBITDA margin, we look at ROCE as well.

Bhavya Gandhi: ROCE is I think the ma trix to look for.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to

the management for closing comments.
Sivaramakrishnan G.: Thank you so much. I think as I continue to maintain the business traction for India and even in a medium-term for Africa looks very strong. So, we are working to capitalize on it. We are working on capacity enhancements. We are also working at improving our productivity, which means increasing our operational efficiency, so that we can offset some of the cost increases. We are also working with customers to increase the share of business that we do with them. And we have seen good amount of progress that we have made from H2, which have been maintaining since long now, that H2 is looking promising. And we are seeing that the business



prospects turn from Q3 onwards. I feel that next year will be very strong given that how things are unfolding and business prospects ought to be good.
I do not see too many macroeconomic challenges, which will further worsen, except for one which is the US market. We do not know how the new regime w ill impact US from an inflation perspective etc. But at the surface, it looks very positive given that the Trump administration or the president-elect is more indi cating that he will go increa se tariffs on China and all those regions. So, all the guidance coming from there is positive, but we still have to look at how that economy will fare over a longer period of time. Bu t in the short to medium-term, it is going to be very, very strong and helpful for growth of sourcing from India. And regardless of any macroeconomics, at the end of the day it impacts all regions simultaneously. But in India, position will always be much better going forward, as we seem to be doing much better than all the other stronger garment manufacturing county. We also have a fairly good vertical ecosystem in our country, which we can leverage. So, all said, it is going to be a good set of years ahead for Gokaldas and the Indian industry.
Moderator: Thank you, sir. On behalf of Gokaldas Export s Limited, that conclude s this conference. Thank you for joining us and you may now disconnect your lines.

# Call: Feb 2025

GEL/SEC/2024-25/84

February 17, 2025

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers The Exchange Plaza
25th Floor, Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code – 532630 Scrip Code: GOKEX
Dear Sir / Madam,

Sub: Transcript of Q3 FY'25 earnings conference call Pursuant to Regulation 30 and Regulation 46(2) (oa) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, plea se find enclosed the transcript of Q3 FY'25
earnings conference call held on February 10, 2025. The Transcript is also available on the
Company's website at www.gokaldasexports.com .

Please take this in to your records.

Thanking you, Yours truly,
For Gokaldas Exports Limited

Gourish Hegde
Company Secretary & Compliance Officer

Encl: as above


"Gokaldas Exports Limited
3Q FY '25 Earnings Conference Call"
February 10, 2025

MANAGEMENT : M R. SIVARAMAKRISHNAN GANAPATHI – VICE
CHAIRMAN AND MANAGING DIRECTOR – GOKALDAS
EXPORTS LIMITED
MR. SATHYAMURTHY – CHIEF FINANCIAL OFFICER –
GOKALDAS EXPORTS LIMITED

MODERATOR : M R. BINAY SARDA – ERNST AND YOUNG



Moderator: Ladies and gentlemen, good day, and welcome to the Gokaldas Exports Limited 3Q FY '25 Earnings Conference Call. As a reminder, all part icipant lines will be in the listen-only mode and there will be an opportunity for you to ask qu estions after the presenta tion concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Binay Sarda from EY. Thank you, and over to you, sir.
Binay Sarda: Thank you, Darwin. Good morning. Before we proceed to the call, let me remind you that the discussion may contain forward-looking statemen ts that may involve known or unknown risk, uncertainties and other factors. It must be view ed in conjunction with our business risks that could cause future result performance or achievement to differ significantly from what is expressed or implied by such forward-looking statements. Please note that we have mailed the results and the presentation and the same are available on the company's website...
Moderator: Sorry to interrupt, sir, but your line seems to be breaking up in between.
Binay Sarda: In case if you have not received the same, you can write to us and we will be happy to send the

same over to you. To take us through the results and answer your questions today, we have the top management of Gokaldas Exports Limited, represented by Mr. Sivaramakrishnan Ganapathi,
Vice Chairman and Managing Director; and Mr. Sathyamurthy, Chief Financial Officer. We'll start the call with a brief overview of the quarter gone past and then conduct Q&A session.
With that said, I'll no w hand over the call to Mr. Siva. Over to you, sir.
S. Ganapathi: Thank you, Binay. Good morning, everyone. Happy to have you at our earnings call for the third quarter of FY '25. In the third qu arter of this year -- this financ ial year, Gokaldas Exports reported significant jump in total income, PAT and EBITDA. We have crossed the INR1,000 crores total income milestone for the firs t time this quarter. EBITDA margin improved sequentially,
indicating a healthy performance. In this quarter, our total income grew by 79% year-on-year and 6% sequentially.
The total income for the company, excluding acquired entities, grew by 19% year-on-year.
Consolidated EBITDA is up 66% and PAT is up 65% year-on-year. This indicates the resilience of the company. While there is improvement in the margin in acquired entities, overall margin has been slightly lower due to cost buildup in our Madhya Pradesh unit to meet the steep ramp-up of the facility based on new export orders executed in Q3 and subsequently in Q4 of FY '25.
U.S. retail apparel sales remained consistent, showing a 3% growth in calendar 2024. U.S. and EU apparel imports have picked up momentum since the second half of CY '24 on the strength of lower inventory with retailers. We see business volumes picking up with sustained stable performance of the company going forward. With this in mind, the company is planning to
expand its production capacity with ongoing inve stments in three facilitie s. The first one is a new facility in Madhya Pradesh.



This will increase the capacity by about 1,100 machines and is under construction. The second one is an additional unit in Karnataka, which will add about 750 machines, which is also under construction. The third incremental unit is expected in Ranchi leased premises. All these units
are expected to commence operations at different points in FY '26. The last factory that we set up in MP is producing at near full capacity ut ilization. The operating parameters there are now at par with other locations, providing the confidence to expand.
The company's order book remain strong, secur

ing robust n ear-term prospects. Fall/winter order
placements have been good, the production for which happens in Q1 and Q2. Early indications for spring/summer is also strong. All of our customers are seeing good business traction and we are engaging with them.
We are working on improving margins by better pricing and stronger operations management.
The longer-term outlook is favorable, supported by continued shift in global sourcing away from China, Vietnam and Bangladesh, a trend towards supplier consolidation amongst efficient, well-capitalized player and ongoing supply side instabilities in various countries.
Our company, Gokaldas Exports, is one of India's largest apparel makers exporting to over 50 countries. We employ about 54,000 people, a large proportion of whom are women. This is a sector that employs over 1 crore of people, has the potential to industrialize small towns, creates more jobs per unit investment as compared to any other industry and has a high share of revenue
disbursed as wages. In short, a highly desirable industry for social uplift ment and for growth in the country.
Thank you for listening, and I would be happy to address any questions that may you have.
Moderator: We have the first question from the line of Manish Ostwal from Nirmal Bang Securities Private Limited.
Manish Ostwal: I have a couple of questions on the macro as well as the company specifics. So first question on the -- your comment on the trade shift from the China, Vietnam and Bangladesh to India. So I just I wanted to see -- wanted to check with respect to Vietnam because what we are reading in the global news printer, the Ch ina trade is moving more Vietnam than Bangladesh. So we are
confused from that comment?
And the second is, if I look at your Slide nu mber 16, with showing the share of the various countries in export to U.S. and EU and the U.K., the Vietnam share actually increased, whereas India share is quite stable over this -- all the three regions. So can you explain your comment on
how the trade is shifting? And what are the factors will drive this shift much faster this time than the past?
S. Ganapathi: Sure. Thank you so much for your question. See, the cost in China, Vietnam are higher than India. If India is at $200 per month wage for the workers, the cost in Vietnam is in excess of $300. That's point number one. And most of the players in Vietnam are people who have moved their operations from China to Vietnam.

So with rising geopolitical tensi ons, trade sanctions being threatened, etcetera, there is a fear that
it may impact Vietnam also because there is a lot of dependence in Vietnam for fabric from China. So brands take a cautious approach and start diversifying. So these are some of the trends
we -- very early days and we may see some movement going forward to other regions just so
that there is a reasonable amount of diversification there.
Even if you look at trade balance between U.S. and some of these countries it is -- the trade
imbalance with Vietnam is also very high. Vietnam exports a fairly large -- Vietnam enjoys a
very large trade surplus with U.S. So all of this indicates that there is a little bit of a risk building
up and some amount of diversification can happen , will happen. So there are options that open
up for players like us.
The other factor is that we, unlike most other apparel manufacturers also specialize in outerwear
manufacturing, which is typically a product which gets produced in China and Vietnam. So we
have a natural advantage of taking over some of the businesses from that region as long as we are cost competitive.
Of course, we still secure fabrics from Far East, from Taiwan, Korea, Vietnam, etcetera. But
thanks to cost advantage, we are able to compet e but we will see growing traction from business
which were earlier denominated th ere, which will move to India

.
So that's as far as Vietnam is concerned, to your specific question. And as far as Bangladesh is
concerned, there has been, of course, political instability there, which is resulting in some supply
or some retailers or rather many retailers trying to diversify away from Bangladesh, not a whole
lot but at least to reduce the dependence or reduce incremental businesses being placed there and
they are seeking other alternative options and India is very much in the consideration. So overall,
I think from a Gokaldas standpoint, we are seeing some tailwind on account of all of these.
Manish Ostwal: Sure, sir. The second question on the overall outlook on the raw material prices. So our gross
margin, one is the factor is the acquired entity has some impact of lower margins. And now we
are ramping up that thing and the new facility, there is some cost over there. But so on a medium-term perspective, where do you see our gross margin, EBITDA margin settling down and your
outlook on the yarn, whether the yarn price and the cotton will remain range bound? And what is your sense on these two commodities?
S. Ganapathi: There is a slight downward pressure on the comm odity prices. So that will certainly help the
business in terms of being able to reduce the overall price of garments. Thanks to raw material
price reduction. Our business, if I look at only the garmenting business, which is bulk of our
business, is really a conversion business.
So we really do not -- our raw material prices are really a pass-through. So if there is a price
increase or price decrease, we te nd to pass it back th rough to our customers. Of course, if there
is a price decrease, then it allows us some incremental growth and maybe an ability to
incrementally improve our margin s, which we try to secure.
So the way I see cotton prices going forward it shou ld -- it has dropped a bit. It should remain -
- being agricultural product, there will be some degree of volatility, of course. But then I don't


see a rapid spike in those prices. And I think the raw material prices should be range bound,
which helps the business from a longer-term perspective.
Manish Ostwal: And sir, what is the volume growth in 9 months FY '25 compared to 9M F'24 in our business?
Sathyamurthy: 9M last year is 20.808 million and 9M this year is 50.395 million.
Moderator: We have the next question from the line of Depen Shah, an individual investor.
Depen Shah: I had a couple of questions on the macro side. Sir, you mentioned about improving demand and
destocking in the U.S. and Europe. Could you just give us some more color exactly on what actually is happening and whether the summer season, as you said, is picking up? And what
should it bore fore FY '26? That's the first question.
S. Ganapathi: From second half of calendar '24, we are seeing U.S. imports growing. Now the reason for that
is that most of the brands have reached a reason able level of inventory destocking. They all were
carrying or saddled with excess inventory in '23, and they were continuously getting rid of that.
U.S. retail sales has been under -- growing at a consistent clip of about 3% -- and with U.S.
purchases being down in '23 as well as first half of calendar '24, the inventory positions have reached an optimal level that now brands have started buying. So there has been a spurt of
imports into U.S. across all retailers, and this is also playing out in Europe, too. So that is aiding
demand bounce back.
Obviously, the supply-demand equation is being corrected. So we had a situation where there
was an excess supply over demand till middle of 2024 calendar year, and now that's changing.
So this is also helping us from a business growth standpoint apart from the fact that we are seeing
some business movement from the Far East as well as Bangladesh to India. So there is a double
movement in favor of India, and w

e seem to get that tailwind in our business.
I think this tailwind is here to sustain. If th ere are any tariff-related moves which U.S. imposes,
I don't see any discriminatory tariff relative to ot her countries over India. So overall, I think we
should be fine, and we should see some incremental business growth from demand from those -- from the primary importing countries for us.
Depen Shah: Okay. Sir, any geographical diversification or new markets which you are targeting post the
acquisitions, which we made last year?
S. Ganapathi: See, we have enough opportunities to expand in other territories. So we are focusing a little more
into Europe, though I would still say that the U.S. market is far more resilient and robust than
the European market. We have increased our share into U.K. by a few percentage points and are expanding our relationship there, but it's not that significant. U.S. still continues to be dominant
with over 75% of our exports into that region, while we continue to export about 50 country.
Moderator: The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking.
Bhavya Gandhi: Sir, I just wanted to understand on a macro level, globally, polyester is a major market and India
largely being a dominant in cotton market. So how do we intend to grow in the polyester because


I think we don't have a back-end ecosystem for polyester. So what is our thought process on
this?
S. Ganapathi: See polyester is about 60% of global fiber whereas cotton is say about 25%, 30%. So polyester
almost double that of cotton and India's strength is in cotton, thanks to the raw material being available in the country. People like us who also export a lot of outerwear and sportswear tend
to export a lot of garments, which has got a polyester content in it.
And the fact that we have operations in Afri ca where we enjoy a duty-free access to U.S. and
duties in synthetic being extrao rdinarily high in the U.S. we tend to have a little dominant
product mix in favor of polyester. So most of the polyester or synthetic fabric that we buy as raw
material comes from the Far East from various sources, various countries.
And since we have some of th ose technical capabilities and cost-efficient production, we are
seeing reasonable amount of traction in those spaces. Both athleisure is growing, some segments
in outerwear also, we are seeing now some growth after a lull for some time, primarily because there was an excess inventory in the system for the last 2 years.
So we are now seeing that traction coming back too. So we are seeing traction in the polyester
segment, but fabric depend ency is still on cotton.
Bhavya Gandhi: Got it. And unit economics wise, we are cost comp etitive, right, when it comes to polyester as a
product?
S. Ganapathi: Because we focus on highly technical products, yes, we are cost competitive.
Bhavya Gandhi: Okay. Got it. And just wanted to understand what would be the total capacity in terms of pieces
post all these MP, Karnataka, Ranchi expansion?
S. Ganapathi: Total capacity in three pieces?
Bhavya Gandhi: Pieces.
S. Ganapathi: We really do not measure our capacity in pieces because it's very product type dependent. So
Ranchi, we are expanding for knits, in Madhya Pradesh and Karnataka we are expanding for
wovens. In wovens, we do garments, which may -- which take anywhere from 18 minutes to 45,
50 minutes. And in the South, we make even garments, which take 200 minutes to make. So
really denominating capacity in pieces is hard.
But let me give you revenue-wise because at the end of the day, that's probably what you're
trying to look for. The incremental capacity in MP should net in about INR175 crores when it is
fully ramped up. I'm talking of the incremental new capacity. One in Karnataka would yield
about INR125 crores, INR130 crores. And the one in Ranchi would yield

about INR55 crores,
INR60 crores. So overall, I would say it's about INR300-odd crores.
Bhavya Gandhi: Got it. And have we got any firm commitment for the incremental capacity that we are putting
in? I mean, any visibility from the customer side?


S. Ganapathi: So at the moment, all our existing capacities are fully utilized. And there is a fair amount of
demand traction that we are seeing. Some of th ese capacities will come up towards the start of
Q3. So we are seeing a fair amount of demand traction building up in anticipation. So we don't
foresee a big challenge. In fact, we have enough of inquiries and we are turning down demand
because we don't have enough cap acity to serve. So I'm not so worried about the ability to fill
up these incremental capacities.
Bhavya Gandhi: Got it. And on the consol level, can you guide on the EBITDA margins?
S. Ganapathi: I'm sorry. Say it again.

Bhavya Gandhi: On the consol level, can you guide on the EBITDA margins post the capacity expansion and the Atraco and Matrix merger, I mean, on a full-scale basis?
S. Ganapathi: Keep in mind that whenever new capacity comes for a year, year and a half, the incremental capacities have a tendency to depress the earnings. In fact, our Madhya Pradesh unit tendency of reducing our EBITDA margin because it was on a serious ramp-up. We have now reached a manpower count of almost 2,200 there. And while we were ramping them up, training them, etcetera, we had far more people in training than we were -- we had people in production. So causing an overall cost being in excess of revenue. So, it takes a while before that normalizes. So keeping all of this in mind, we are still aiming for 1% improvement in EBITDA margin going forward at a consol level in the year and a half ahead.
Bhavya Gandhi: And just wanted to understand what would be the total depreciation for next 2 years, if you can provide some number on that?
Sathyamurthy: For the current year it is about INR125 crores. There are about 2 components, IND AS depreciation and regular deprecia tion. Going forward, for FY '26 and '27, the depreciation will increase by almost around INR15 crores to IN R17 crores, on an average. You can consider accordingly
Bhavya Gandhi: And if I can squeeze in one more question. Just wanted to understand on the Japanese FTA. Are we trying to tap into any of the Japanese customers? I believe the stickiness is much higher on the Japanese side. If you can throw some light on that as well.
S. Ganapathi: So we do have inquiries from that region. But at the moment, since our capacities are full, we are unable to open up any capacity for a new customer. So that's one of the reasons why we have not been able to bring in any customer from other regions for now.
Bhavya Gandhi: Are we trying Australia or any other region for that matter? Because I believe, again, you've signed an FTA with Australia as well?
S. Ganapathi: Not really because the volumes there aren't that large. And there are a few customers where the pricing may be very sharp. So we are not that aggressively looking at that region.
Moderator: The next question is from the line of Sundar from Avendus Spark.


Sundar: The first question is on the ma rgins of the acquired entities. So there's been a remarkable turnaround from what we had last quarter to this quarter. So can we assume that all the problems that we had in Atraco is behind us? And what is the impact of that Kenyan shilling position to dollar had in terms of margins?
S. Ganapathi: So I wouldn't say everything is behind us. It's a work in progress. And I think this work in progress will continue into Q4 as well and maybe even early Q1. The way we are combating that Kenyan shilling appreciation is by focusing on operational improvement. So there's a considerable movement in operation

al efficiencies in our African units, thanks to a good work done by the team there. And secondly, there has also been some amount of price increases that we managed to secure on the basis of an appreciating shilling. So this has helped us. I would say that some of these newer orders, which are at better pricing actually taken from Q1. So in Q4, there is some blended impact. So the real benefits will start flowing in the next financial year. In the meanwhile, we are trying to see all -- explore all avenues to improve the performance of that unit.
Sundar: I'm coming back to this because you had earlier guided that 10% is the sort of margins that we should look for Atraco. I believe given the blended number that you've disclosed you're far above that particular number. So do you want to revise the guidance as to what we can look in terms of margins for the acquired entities?
S. Ganapathi: So I would say Atraco, if I get about 10% EBITDA margin in the next year, I will be happy. We are working towards that for sure, and we will ho pefully even achieve it. For the other unit of Matrix, I think we will be at par or a notch ab ove Gokaldas Exports, pr imarily because we are not adding too much of new capacities there. So there is no drag on the P&L on account of new capacities in the -- in that entity.
Sundar: So if you can just help with the current quarter split between Atraco and Matrix ballpark number in terms of margins?
S. Ganapathi: So I think Matrix is at about 14-odd percent and Atraco is proportionately, I think 7% or thereabouts.
Sundar: Right. So Atraco 10% movement would be the trigger by Q1 is what we can expect?
S. Ganapathi: Well, we're trying. And I don't know whether it will be by Q1 or Q2, but the effort is on. Again, as I said, incremental orders will slowly nudge up the pricing and hence the margins. It takes time to build up. So overnight, we may not be able to move that much. Maybe if not Q1, by Q2, we are trying to do that.
Sundar: But my assumption is that by now, all the order booking is being done by you only. So there's no erstwhile orders to be executed as of today?
S. Ganapathi: That is by and large correct. Th ough in Africa, we tend to bo ok a little longer-term orders and

there are repeat orders, etcetera. So sometimes you may not be able to secure all the price increases in one go. But you're right. All the incremental orders are being secured by us now.


Sundar: Perfect sir. Just coming back to the standalone business, you indicated that there is some cost buildup on account of Madhya Pradesh. So are we referring this to Phase 2 buildup that we're trying to do for that INR175 crores incremental reve nues next year? Or is it referring to the Phase 1 cost that we had incurred?
S. Ganapathi: Phase 1 cost because what happe ned was we suddenly shot up to full capacity utilization in Phase 1 and bulk of that capacity ramp-up happened in Q3. So we went to full complement of workforce. Now the entire unit is working chock a block from a capacity utilization standpoint.
So that massive ramp-up, which we did in Q3 also caused a faster cost increase than revenue realization.
Sundar: But on a standalone basis, if I were to just look at MP on a standalone basis, what would be the standalone margins of that unit, sir?
S. Ganapathi: Standalone margin, which we will achieve in the future or standalone margin in Q3?
Sundar: Yes. In the future. What would be the potential of that unit MP given that we are also -- that is also PLI approved unit?
S. Ganapathi: My assessment is at least 2.5% to 3% over the Gokaldas standalone achievement.
Sundar: Yes. And this should be after Phase 2 also stabilizes?
S. Ganapathi: That's correct because while Phase 1 will stabilize starting Q1 onwards, I think Phase 2 will start having that impact. But Phase 2, we are expecting the construction to be over in May. So somewhere in June, July, we will start the manpower ramp-up.
Sundar: So the incremental training you would have already started for Phase 2?
S. Ganapathi: We will be starting not now. We'll be starting soon. I mean we'll be starting closer to end of Q1.
Sundar: And the Ranchi unit that you mentioned will be under Matrix or any kind of Gokaldas stand-alone?
S. Ganapathi: So now the integration of Matrix is strongly underway, operational integration, I'm saying. So there is hardly any difference between Matrix and Gokaldas. Yes, under -- as far as the legal entity is concerned, it will be under the Matrix subsidiary, the expansion in Ranchi.
Sundar: And one last question here is that I presume that you gave out the margin or the potential margins of MP without the inclusion of PLI or the DBT th at we were entitled to. Now what is the status update on both of that, sir?
S. Ganapathi: MP, PLI. So the PLI is dependent on a product type. And the product that we are currently manufacturing in MP does not qualify for PLI. PL I is restricted only to 40 specific HS codes.
And those HS codes, the order flow into India is not very high. So we are really at the end of the day, PLI is something where if you are able to secure it's great. But our focus is to make sure that the business runs with or without PLI, right?


Sundar: And on the DBT part, sir?
S. Ganapathi: DBT?
Sundar: The Direct Benefit Transfer that you had promised from the state government in Madhya Pradesh?
S. Ganapathi: That's continuing. So that is available in MP.
Sundar: Okay. So that numbers have started flowing is what I'm trying to understand.
S. Ganapathi: So, in terms of accounting we are taking and we are at -- we were told by the MP government that it would start flowing from the forthcoming fi nancial year and we should -- we should start seeing that. So, we are on track for it.
Sundar: All right, sir. Perfect. But can there be a lever to margin beyond the 250 basis points because of DBT coming through or is it already accounted for?
S. Ganapathi: So, I think there is a lever to margin improving over the 250 basis points. Yes, there is.
Sundar: Perfect. And one last one, if I may, please, as to the current status on the BTPL given the additional investment or the stake that you are be ginning to procure. What is the status now? Is that -- are we still going to go with that INR250 crores invest ment or where are we in that particular journey, sir?
S. Ganapathi: So, till this quarter that is quarte r ending December, we have invested INR110 crores in - BTPL and subsequently we have invested another INR65 crores. So, it amounts to about INR175 crores of investment till date. The unit from nearly no orders has reached to about 40% to 45% capacity utilization currently. Incrementally, we will not be able to pull up the capacity utilization until all the capex's which are underway are seen through to its fruition.
So, there is a lot of work going on which will continue through till April in terms of the debottle

necking capacity, repairs of machines, upgrade of the machines, etcetera, etcetera. So, in that
sense, we have taken up the capacity utilization pretty quickly and simply. So, obviously, this meant that the losses have started coming down.
There has been significant improvement in production quality also. So, for example, reprocess rates have come down. The quality of production has started improving. We are starting to nominate this mill with various br and. So, a lot of activities are going on as we speak and it's been only since July that we started engaging with it.
So, realistically we started -- the activity started only in August. So, the progress that we have made in the last 6 months has been pretty significant and that gives us the confidence and the encouragement to seriously consider merging this asset with us going forward at the op

portune
time.
Sundar: So, does the timeline change from what we had in itially indicated in terms of when this entity would be consolidated within this timeline?


S. Ganapathi: No, I think they -- at the moment, the thought pr ocess is to initiate this sometime in the month of June 2025 and go through an NCLT process fo r merger and hopefully that will take another 9 months or 12 months depending on how long that process takes.
Sundar: Sir, sorry to come back into th is, but what would be the total quantum of money that would be required from here to Ju ne 2025 for the acqu isition of this entire enti ty -- beyond the INR175 crores.
S. Ganapathi: Apart from the INR175 crores, I think it will be about -- we had earlier on indicated about INR 588 crores to acquire 100% of the asset. So, that's -- it will be -- it will be that amount adjusted for certain working capital and there are some financial terms and conditions in the agreement.
So, that's the amount that will be required as and when this event starts, it gets triggered.
Sundar: Perfect, sir. Sure, sir. Thank you and all the best, sir.
Moderator: The next question is from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.
Prerna Jhunjhunwala: Thank you for the opportunity. So, just for taking forward BTPL's discussion only, one last question on that front. At INR175 crores, our stake is 13%. Is my understanding correct?
S. Ganapathi: No. INR175 crores is invested only through OCD. So, we -- this is the investment into BTPL for its effects plans, for performance improvement and so on and so forth, working capital, some amount of loss funding, etc.
So, it's only that.
The 13% stake is in addition where we intend to buy some shareholders out in the in a process to kick start the consolidation of that entity with us.
Prerna Jhunjhunwala: Okay. So INR 175 crores does not include the 13% price cash consideration that you have mentioned in the press release?
S. Ganapathi: That is correct.
Prerna Jhunjhunwala: Okay. Understood. So, second question on Atraco. Is there any expansion in Atraco as well?
S. Ganapathi: So, as we speak, the 500 machine expansion has been initiated and we have spent about INR35 crores in Indian rupees for that.
Prerna Jhunjhunwala: And what will be the revenue potential for the same?
S. Ganapathi: The revenue potential will be about -- in my opinion about INR125 crores -INR130 crores.
Prerna Jhunjhunwala: Okay. And I missed the Ranchi machine number. Can you just help me with that as well?
S. Ganapathi: So, Ranchi is a leased facility. We have taken a 200-machine facil ity, but it will work in 2 shifts.
So, equivalent it is 400 machines.
Prerna Jhunjhunwala: Understood. So, sir, if I total, your total revenue would be around INR4,000 crores approx annualizing the 9-month numbers? And your total revenue potential that is getting added INR


350 INR300 crores plus INR100 crores for Atraco, INR130 crores, so around INR500 crores.
So, in the next 2 years, should we assume this INR500 crores additional revenue or how it should flow?
And how will growth pan out for the company to utilize the benefit from shift in supply chain?
Shouldn't we be growing a little higher growth rate? I mean, if I am missing some -- anything somewhere can you -- you can clarify. Thank you.
S. Ganapathi: Sure. So, these are units and expansions which are underway as we speak. This does not stop us from adding more capacity as we go along. So, at any point in time we are planning a lot of incremental capacities as well.
This is point number one. So, we -- in the next 2 years, we will
be adding more factories. And we are not going to stop at the factories that are work in progress as we speak.
Secondly, the existing units also do get de-bottlenecked. And we are continuously investing i

n
automation and productivity improvement. So, a 3% improvement in existing units per annum itself on a let's say, a INR4,000 crores revenue is additional, how much, about INR120 crores,
right? So, those kind of growth will also happen. And as I said, we will also look at newer facilities for growth.
Prerna Jhunjhunwala: Okay. So, should we -- should 10% plus growth rate, 10% to 15% should be a decent assumption for assuming over a longer term like 2 to 3 years time frame, medium term period?
S. Ganapathi: I think it's a very decent assumption. I would say that top end of that range will be a more reasonable decent assumption.
Prerna Jhunjhunwala: And that's great. And consolidated margins should be around 12 odd percent on expanded capacities?
S. Ganapathi: That is correct. Though we are trying to improve our margins also as we speak, as I said some of these growth in newer regions do tend to take longer before it stabilizes as we don't get access to train manpower. So, we have to work harder to train them and bring them up to speed in terms of productivity and quality, etc. But now that we have achieved it incremen tal factories in some of these newer regions like Madhya Pradesh and all will be -- will reach productivity and profitability sooner. So, Yes, despite all of that in the first year there will be a negative impact of new capacities. But we are l ooking to offset that and impr ove the EBITDA margin in the coming financial year.
Prerna Jhunjhunwala: Okay, sir. Thank you and all the best, sir.
Moderator: We have the next question from the line of Heet Vora from Guardian Capital Partners. Please go ahead.
Heet Vora: Good morning and congratulations on the set of numbers. I just had one question and that's per se to the tariffs. If we are going to see an increas e in tariffs, would Atraco be benefiting given it goes tax-free to the U.S.?


S. Ganapathi: So, you know, we don't know what is happening with tariff, right? There are so much of news coming from United States that it's hard to keep up. One doesn't know what exactly are the tariff plan. But the feeling one gets is that Africa may be spared tariffs and currently it enjoys a go-up
benefit of zero tariffs.
So, unless for some strange reasons it's pulled out, which I don't see any reason and there is no -- no competitive situation between U.S. and African countries, nor do they enjoy trade surplus. So, we don't believe that will change. And if there is a tariff increase from the regular exporting nation, then the tariff delta will widen, which will only ma ke Africa more attractive.
And that's one of the reasons why, customers who are hitherto also not very keen on Africa. So, there are some customers who are, are also talki ng about it, saying that maybe we should explore there -- at least we are having some conversation s around it. So, I feel that it's going to be beneficial for us from an African standpoint in the longer run if tariff goes up in other regions.
Moderator: The next question is from the line of Mithun Aswath from Kivah Advisors.
Mithun Aswath: I think you've answered a lot of the questions that I had. You mentioned about 15% kind of overall top-line growth. I just wanted to understand, you embarked on M&A as a strategy to grow. In the next couple of years, would you continue on that path? Are you seeing more
opportunities to consolidate? That was the first question. And the second question was more on the BTPL acquisition. How would that kind of change the contours for you in terms of size
because utilization is still low? What kind of revenues and profitability could that add to the company?
S. Ganapathi: So would we look at acquisitions probably in the short term, no. In the long term, yes. We are open to growth in any form. And again, we will not acquire a company just to bulk up or add revenue. Our intention is to acquire t

o get access to a low-cost geography, access to a new
customer, or access to a new product type. And it has to make strategic sense in addition to simply a revenue gather. So that's the strategy.
But in the short term, we are not looking at an acquisition. We want to consolidate what we have.
Remember, we have only taken up some of these acquisitio ns 9 months ago, and there is tons of work required to be done to bring them to where we would like them -- like to see them. So next year also, we'll be consumed in bringing those units up to speed with Gokaldas' operations. So
we won't be indulging in any acquisitions in the meanwhile. That's point number one.
And your next question was on BTPL or the fabric unit. See, the fabric unit is strategic. It helps us secure raw materials. It helps us turn things around much faster for our customers from a lead time standpoint and also improves our negotiating position with brands because the number of fabric mills are far fewer than the number of garment companies. So at the end of the day, if you do control fabric, you do have a better handle on specific orders and product types.
So with all of that in mind, we went investing in this asset. This asset is also has a great reputation from a technical capability standpoint, and we need to now bring back that capability to the customer, which is what the work in progress is.

So the impact of BTPL, if I look at it on a st and-alone basis, its peak revenue could be about INR1,500-plus crores. But then again, a lot of it could be bought internally. So once it is merged, some of those revenues will get knocked off in consolidation. But then obviously, it will it may have an EBITDA improvement benefit.

Mithun Aswath: Right, sir. What kind of impact could it have on the EBITDA on FY '27?

S. Ganapathi: So if I look at it as a stand-alone basis, the EBITDA of this unit should be about 12%, 13%, 14% going forward. So if it is more or less in line with the garment EBITDA, then again, if the revenue gets knocked off then obviously there will be some sort of an EBITDA benefit, which you can do your math. But then I don't see this consolidating before FY '26. So effectively, if at all it happens, it happens in FY '27 onwards.

Mithun Aswath: Correct. FY '27 is what I was asking you.

Moderator: We have the next question from the line of Raman KV from Sequent Investments.

Raman KV: Sir, can you again explain the cost buildup in the MP unit, which led to lower margins, that particular part of it?

S. Ganapathi: You are asking the cost buildup in the MP unit?

Raman KV: Yes, yes, yes. You said there was a cost buildup in the MP unit, which le d to lower margins. Can you explain that particular part?

S. Ganapathi: So the point here is that in the third quarter, we started adding people. We almost added about 1,200 people in the third quarter in MP. So now the manpower count has reached about 2,200 people. So most of them were under training during that period. And in the initial phase of production also, since they are trainees who have hit the production line, their productivity will be low.

So we incur the full complement of labor cost through training as well as early production. And then the corresponding revenue doesn't materialize because it comes with the same lag. So our incremental cost was about INR3 crores to INR4 crores on account of all of this, and it has not manifested in proportionate revenue. So that 's -- that was the po int I was referring to.

Moderator: The next question is from the line of Monish Ghodke from HDFC Mutual Fund.

Monish Ghodke: Sir, what would be the share of outerwear on an annualized basis in the revenue of each entity, that is Gokaldas Matrix and Atraco?

S. Ganapathi: So outerwear on a 9-month basis for Gokaldas was about 30%.

Monish Ghodke: Annualized basis would be how much?

S. Ganapathi: Yes. I mean it w

ill be around a similar percentage, 35% maybe. Okay, Matrix and Atraco is very less. It will be like a low single digit.



Monish Ghodke: Okay. So sir, this margin expa nsion, which we have got in acquired entities of 11.3% since Q3 and Q4 are generally summer-heavy. Do you expect this to continue in Q1, and Q2 as well, or there will be so me reduction?

S. Ganapathi: There could be some reduction, particularly Matrix is spring/summer heavy so where there could be some reduction in Q1 and Q2. But the aim is to offset that somehow by further improvement in Atraco as well. So there are a lot of countervailing forces as well, so we'll try our best.

Monish Ghodke: Okay. And sir, one more question. So in this budget, there was an increase in duty on knit fabric imports. Does it impact us in any way?

S. Ganapathi: No. Most of the knit fabric that we produce, we will -- we buy domestically. And even let us say, we buy fabric for export manufacturing, we buy it under advance license, so we don't pay duty on those. So we will secure the raw material at mill duty.

Moderator: We have the next question from the line of Manish Sehgal an individual investor.

Manish Sehgal: Just wanted to understand this purely from a production perspective, Q4 production, as you said is fully utilized. What would be the production in terms of revenue? And also, if you could give an update on the knitted unit that we had commercialized last year, that would be good, sir?

S. Ganapathi: So we don't give specific numbers or -- of revenu e going forward. So suffice to say that even Q3 was working at full capacity utilization. Of course, what happens in Q3 is that towards the end of December a lot of shipments get bunched up. They don't move out because of port congestion and other things. So typically, some of those revenues tend to spill over.

But currently the -- if you look at revenue standpoint, we are reaching that full capacity utilization across our units. And incremental unit s will come and de-bottleneck that and provide additional growth opportunities.

As far as the knit fabric unit is concerned, the knit fabric unit is producing. We are getting nominations from quite a few customers. In fact, at the moment, we have 2 or 3 customers who have approved that unit for fabric sourcing. We will be ramping it up through Q4 and Q1. And I feel that it will also reach a full

ca pacity utilization somewhere in Q2.
Manish Sehgal: And what would be the output there, sir, in terms of revenue? Of course, it will be sourced internally, the fabric, but should add EBITDA there, right?
S. Ganapathi: So exactly. So output will be about 400 tons a month. That is the expected output. And its revenue will be annually about INR150 crores to INR200 crores.
Manish Sehgal: Okay. Sir, you had a stated vision of moving towards $1 billion revenue, say, down the line in 3, 4 years. What do you feel now standing where we are on that vision?
S. Ganapathi: So I think that vision at the end of the day --that vision is quite attainable. The demand side, I don't see that as a bottleneck at all. There is enough opportunity coming India's way, and there are many customers who are increasingly trying to source more from India. So as long as we can


find lower cost manufacturing locations within India and are able to produce it at high productivity, achievin g that target should not be a problem.
Manish Sehgal: Any stated objective you have on this front? How many --much time you want to achieve this?
S. Ganapathi: Soonest I would say, but it will take a few years for sure.
Manish Sehgal: Okay. And lastly, sir, do you expect Q4 margins now given you have the bookings to be better than Q3, given the full ramp-up in MP has happened? And it's a seasonally good period for all the acquired entities as such?
S. Ganapat

hi: Yes. So see, Q4 is seasonally good. Directionally, it should happen. And again, let's not speculate on those margin number. But yes, directionally, we will be going in that -- on that trajectory.
Manish Sehgal: Lastly, sir, how will INR depreciation help going forward?
S. Ganapathi: So INR depreciation will not benefit in the immedi ate near future for us , primarily because we hedge most of our near-term receivables. So today for -- all the way up to Q1 and even partially to Q2, we have hedged all ou r receivables at old rates.
So -- but INR depreciation in the longer run always helps us because it allows us some flexibility to absorb costs and offset some of the inflationary trends in the -- on the cost side of the company.
So it augurs well for the next quarte rs ahead, and it will augur well for us.
Moderator: The next question is from the line of Bija l Jitendra Shah from RTL Investments.
Bijal Jitendra Shah: Congratulations on good set of numbers. I have two questions. One, we read a lot of news items saying that buyers in U.S. were increasing their purchases from across the world on account of expected tariffs. So I just want to understand that you have seen strong growth in Gokaldas.
Is there an element of preponement of purchase and which should reverse in the due course of time? That's question number one. And question number two is on the BTPL. Once it is fully operational and once you have done all the capex, will it reduce your dependence on imports from Southeast Asia?
S. Ganapathi: Okay. So regarding the first question, is your question on how is tariff going to play? I could not fully understand your question, the first question. I did understand your second one, and I can answer that subsequently. Can you restate very simply the first question?
Bijal Jitendra Shah: See, there was expectation that tariffs will come. So to avoid tariffs, there was a lot of news items saying that for buyers in U.S., U.S. is actually preponing all the imports, so building the inventory, so at least for a few months, but they are kind of protected from the tariff which probably Trump could announce. So during the December quarter and probably 4Q also, are you seeing that some of your buyers have actually preponed the purchases or the growth which you have seen is normal?
S. Ganapathi: See, the buying is very seasonal. So if I start advancing too much of my buy, these are all short-term play, which you can do for 15 days, 20 days. But every 3 months, say the American


customers or European customers buy products which are very specific to a particular season.
So they will not go and production also happens for that reason. So they are not going to go buy excess and then hold the inventory over 1 year and all of that.
So I'm not seeing much of that happen out of here. And also the worry on tariff is more on the Far East. So there may have been some degree of expediting of deliveries from China, maybe even Vietnam and all of that. But then as far as the India denominated sourcing is concerned, we are not seeing so much of that.
And as far as your second question on BTPL becoming an import substitute for us, the answer is no. Most of BTPL will still work on domestic fibers, and it will become a substitute for domestic mill, but not really -- and of course, growth, but not really a substitute for imported fabric. So synthetics, etcetera, will still continue to be dependent on imports.
Moderator: The next question is from the line of Avinash Nahata from Parami Financial Services.
Avinash Nahata: Okay. So the first question pertains to across our facilities, all -- everything put together. So

where is an opportunity wherein we can add additional shift and increase our production in terms
of -- I mean, at an aggregate level? And what is the practical difficulties you face when you move from shift 1 to shift 2, if you can spea

k about it?
S. Ganapathi: So all the units, except our Ranchi unit currently works on 1 shift operations. And particularly,
bulk of our units are in the South. And here, getting manpower for an odd shift is extremely
difficult simply because people are not available to work those late night shifts. You have to
transport women back to their homes.
We don't work on a model where people are housed near the -- in the factory campuses or there
are no dormitories that we build, etcetera. So we will have to pick up and drop from their homes,
which all adds to layers of complexity. So we've not been very successful at managing multi-shift operations.
However, in Ranchi, we have done that. Of course, it's a smaller unit, and we have done that
successfully. In Bhopal, the first shift operation works very early ours, giving us an opportunity to put in a second shift as and when we reach that phase. We have reached a full capacity utilization in Unit 1 to now.
So we will experiment with the second shift, and we will see how the labor market responds to
that going forward. But there is a theoretical opp ortunity there to explor e second shift. But in
most of our factories, it is not a possibility.
Avinash Nahata: Okay. And if you can provide the -- in absolute terms, women working at our facilities?
S. Ganapathi: It's about 78% to 80% of our labor force is women.
Sathyamurthy: Out of 55,000, almost 40,000 are women employees.
Avinash Nahata: Okay. And one more data point in terms of our permanent employee and which --


S. Ganapathi: All are permanent.
Avinash Nahata: Sorry?
S. Ganapathi: All are permanent.
Moderator: We have no further questions, ladies and gentlemen. I would now like to hand the conference
over to the management for closing comments. Over to you, sir.
S. Ganapathi: Thank you so much for asking the questions and giving us an opportunity to explain our position.
We continue to focus on growth. And with that intention, we have -- we are working with the acquired entities. We are backward integrated. We are setting up new capacities. We are also
working with many of our customers to expand our relationships.
We are seeing most of our customers experiencing reasonable growth, and they are doing well,
which would translate to incremen tal business if we continue to execute well for them. For us,
execution is the key mantra. And if we do execute well, obviously, business will come in a B2B business. We are focused on margin improvement along with revenue growth, and we will
continue to focus there.
As newer capacities come on board, it will have a downward pressure on margins, but we intend
to offset that and right size the growth metrics so that we are able to expand and seek improvements in EBITDA margins. We continue to be very focused on all the operational details
of the business. And hopefully, we will continue our growth journey. Thank you so much.
Moderator: On behalf of Gokaldas Exports Limited, that concludes this conference. Thank you all for joining
us. You may now disconnect your lines.

## Call: May 2025

GEL/SEC/2025-26/17

May 29, 2025

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers The Exchange Plaza
25th Floor, Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code – 532630 Scrip Code: GOKEX
Dear Sir / Madam,

Sub: Transcript of Q4 FY'25 earnings conference call Pursuant to Regulation 30 and Regulation 46(2) (oa) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, plea se find enclosed the transcript of Q4 FY'25 earnings conference call held on May 22, 20 25. The Transcript is also available on the Company's website at www.gokaldasexports.com .

Please take this in to your records.

Thanking you, Yours truly,
For Gokaldas Exports Limited

Gourish Hegde
Company Secretary & Compliance Officer

Encl: as above


"Gokaldas Exports Limited
Q4 FY '25 Earnings Conference Call"
May 22, 2025

MANAGEMENT : M R. SIVA GANAPATHI – VICE CHAIRMAN AND MANAGING DIRECTOR – GOKALDAS EXPORTS LIMITED
MR. SATHYAMURTHY – CHIEF FINANCIAL OFFICER – GOKALDAS EXPORTS LIMITED

MODERATOR : M R. DIWAKAR PINGLE – EY CAPITAL



Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY '25 Earnings Conference Call for Gokaldas Exports Limited. As a reminder, all pa rticipant lines will be in the listen-only mode and there will be an opportunity for you to ask qu estions after the presenta tion concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Diwakar Pingle from EY . Thank you, and over to you, sir.
Diwakar Pingle: Thank you. Good afternoon to all the participants on this call. Before we proceed on the call, let me remind you that the discussion may contai n forward-looking statements that may involve known and unknown risks, uncertainties and other factors. It must be viewed in conjunction with the business risks that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.
Please note that we've mailed the results and the presentation and the same also available on the

company's website. In case you've not received the same, you can write to us at the EY team or
Sharan at Gokaldas, and we'll be happy to send the same over to you.
To take us through the results and answer your questions today, we have the top management of
Gokaldas Exports Limited, represented by Mr. Siva Ganapathi, Vice Chairman and Managing Director; and Mr.
Sathyamurthy, the Chief Financial Officer. We'll start the call with a brief
overview of the quarter gone past and the full year and then conduct the Q&A session.
With that said, I'll now hand over the call to Siva. Over to you, Siva.
Siva Ganapathi: Thank you, Diwakar. Good afternoon, everyone. Happy to have you at our earnings call for the
financial year of FY '25. FY '25 marks the first full year of consolidation following the
acquisition of Atraco and Matrix Designs.
The consolidated total income stood at INR3,915 crores, reflecting a year-on-year growth of
63%, primarily driven by contributions from both the acquired entities. Excluding these, the company's total income registered
a healthy year-on-year growth of 19%, while Indian exports
during the same period grew at 10%, indicating a gain in export market share. EBITDA for the
year stood at INR424 crores, a growth of 49%.
In Q4 FY '25, the company delivered a total income of INR1,035 crores and an EBITDA margin
of 13.7%. The company has improved its performance across all business units, including
acquired entities and continues to focus on delivering exceptional value for its customers and all
stakeholders.
The year marked the beginning of recovery in global imports, particularly in the second half as
brands focused on reducing their inventory-to-sales ratio during the first half, a trend evident across US, EU and UK. At the
start of the year ,at the start of FY '26, the US announced steep


reciprocal tariffs on April 2, which were later paus ed for 90 days from Apri l 9. A 10% tariff still
applies despite the pa use, while China has a revised 30% tariff.
Now this presents a near-term challenge as higher tariffs may raise retail prices and dampen
demand, although many customers plan to absorb or share the cost. If the tariff is reinstated to earlier levels, this could
significantly impact the cost of goods in the United States and may
impact consumer demand in H2 CY 2025.
But this is yet to be played out, and we will have to see how all of this pans out. The immediate
impact of such an incremental tariff is the expect ation for the suppliers to absorb additional costs
imposed by the tariff and thus compromising profit margin.
The other near-term impact of tariff uncertainty is business uncertainty. US brands may

stay
cautious during this period with no clarity on the tariff after the end of 90-day pause, customers
are reluctant to build inventory at unknown costs. Short-term order placement is the first casualty
in such a scenario as any order placed now will land after the 90-day pause window.
India remains a key player in sourcing strategies for all customers. So higher tariff on China and
political uncertainties in Bangladesh contribute to overall attractiveness of the country as a
sourcing destination. The recently announced India-UK FTA offers a 12% duty advantage over
China and puts India on par with Bangladesh, creating a strong export potential.
This FTA has the potential to increase India's ex ports to UK by an additional $1 billion. With
China still accounting for 22% of US apparel imports and the reciprocal tariffs being high, India has a strategic opportunity
there.
Ongoing US, India and EU trade talks may be a hard rigor of better op portunities in the future.
Backed by a strong textile ecosystem, low la bor cost, supportive policies and geopolitical
stability, I think India is uniquely position ed to gain global apparel market share.
And within India, Gokaldas is strongly positioned to gain a disproportionate share. Strategically,
the company is expanding its European business. In Q4 of this year, the exports to EU reached
about 12%. We are stepping up our engagement with UK-based customers in preparation for
FTA.
Now all of these are the right move to diversify our business so that we are less exposed to any
tariff-related uncertainty, and we have a much wider exposure to di fferent markets. The
integration of Atraco and Matrix Designs has progressed well. Most legacy headwinds
associated with the acquisitions are now behind us.
Our strategic investment in BTPL, a fabric processing unit, which strengthens vertical
integration into critical raw materials, enabling faster, higher quality and cost-efficient delivery
is also progressing very well.
The company is expecting completion of the second unit in Madhya Pradesh as well as one
additional factory each in Karnataka and Jharkh and. The company is proceeding cautiously with

additional capex and we'll commit to incremental capex as more clarity emerges on tariff and its business impact.
The already committed capex itself will add substa ntial capacities to us in the middle of this financial year. And we are well geared to effect ively utilize those additiona l capacities that are coming our way. The company is focused on growth and views the macroeconomic factors aligning in favor of India, which makes the pros pects for apparel manufacturing industry looking very good.
Coming on the heels of the UK FTA if India manages to enter into an FTA with EU and sign a bilateral agreement with US, there's a strong poss ibility of business growin g manifold in India.
The short-term challenges of tariff-related uncerta inty, while it could impact margins in the near term, it should only be a hiccup along the way, in the longer run, the business prospects remain strong.
Notwithstanding such challenges, the business opportunities for Gokaldas remain robust. And we are confident that with some of the capacities coming up also, we should be able to deliver growth in the coming year and the years ahead.
I thank you for listening, and I would be happy to address any questions that you have. Moderator: The first question is from the line of Aashish from InvesQ PMS.
Aashish: Sir, firstly, I wanted to understand on the -- it's been a long-standing stance that because of the differential kind of taxes in EU mostly, we've not chased that business at all. We've been US focused. So now how do we plan to address the opportunity that the UK market presents for now? Have we already started building teams an d making efforts on that? And maybe one year
kind of what we plan to do i

n this geography?
Siva Ganapathi: So the UK FTA for it to take effect perhaps will take a whole year. That's the kind of current timeline indicated. It's up to the respective governments to speed up. But in the meanwhile, we do have a reasonable mix of strong UK-based customers. And what we are doing is stepping up the volumes of business that we do with them.
It was always in our hands to direct our capacities to the customers that we want to. And at the moment, strategically, we have taken a call to expand our business with UK and not just UK, but even with European customers, just so that there is a little bit of a diversification.
Historically, we have been very focused on United States for one simple reason that we did not want to compete with Bangladesh, which goe s duty-free into Europe and compromise our margins. US also being a large homogenous ma rket, gives longer runs , which is much better from a profitability standpoint.
But given current tariff situation and uncertainties, it's always prudent to have a little diversification of the market, and we have started that. In fact, we've started the endeavor very well and have moved significantly that already our European business is now moving into the double-digit realm, and we'll continue to increase our European business.


Remember, we are growing. So it's not like coming at the cost of American business or reduction in American business. On the contrary, that also is growing. It's just that the European business is growing at a much faster clip for now because we are reflecting it so.
Aashish: Okay. Sir, secondly, on this initial comment that you made, reading on to what the customers are kind of feeling there that because of the tariff situation. So would you say that first half of the year will be really very challenging that the routine pickup on the orders, that is also going to be hampered to a certain extent for maybe at least 6 months till the time this gets...
Siva Ganapathi: So it's yet to play out because Q1 order book is th ere, it's intact, it's strong, etc. Q2 order book, which is the winter session- the winter season orders. They're a little slow to come by because people are just -- customers are just unclear on what the tariff is. If you place an order today, by the time the goods land in the US and is custom cleared, it's outside the 90-day tariff window,
which expires July 9.
So what's the tariff at which you will clear th ose goods, right? and how much quantum should I place the order will depend on what is the cost of goods that I would incur when I place the order. So, there's a bit of uncertainty which most brands are facing, which is a global reality, right? So, we can't fight that.
But at the end of the day, I believe this is all short term. And eventually, no retailer would want their inventories to be depleted in their stores because that's even more detrimental. So they'll build it up cautiously. And hence, while there may be a little slowness in demand, I think Gokaldas should not have as much of a problem.
We will be able to fill up our cap acity. My worry is that there will be a twin issue of, a) a general softness of demand across the globe; b) American demand may be slow, so that also contributes to it. And c) The tariff itself means that at least in the early days, the supply chain may have to bear even a portion of it, a small portion of the 10 % to really give some offset or some relief to

the retailers.
So all of that means that there may be some degree of margin pressure in the early days. But we look at the business over a longer period of time, and we can't take decisions based on what happens in Q1, Q2, etc. And when we look at the business on a longer term, I feel that it's fairly bullish. There is a fair amount of order traction for us, even despite all these headwinds, we are seeing customers come to us a

nd place orders. So margin s notwithstanding, I thin k all of these can be recovered as we move forward. In the short term, there will be a pain in H1.
Aashish: Okay. Got it. Just one last thing. In BSE announcement, I could see that a reasonable part of the promoter holding is kind of pledged. So is there any comment that you would like to make on their behalf because it's reasonably significant to our understanding, clear with...
Siva Ganapathi: I don't have any comments to make on the behalf of any shareholders.


Aashish: That's true, but it's kind of an overhang in the minds of shareholders, why would the promoters pledge so much actually?
Siva Ganapathi: I think it may be in response to some short-term need. Again, I'm only speculating. I have no understanding of this. And this is really a questi on to be posed to the shareholders. But as far as the company is concerned, the company is Board managed professionally run, and it will have no impact whatsoever on the way it is run or th e business it will pursue or the aggressive growth that we target will not be impacted by any of these moves.
And I also know that the promoters are strongly behind the company and have solidly stood with the company even now. So whether the or how to read the pledge is something which I don't wish to get into or I don't know, but I don't think that's going to impact the company or their commitment to the business.
Moderator: The next question is from the line of Vishal Mehta from IIFL Securities.
Vishal Mehta: Congratulations on a decent set of numbers. Sir, so my question firstly is on your tax rate. The ETR for 4Q is around 33% and for full year is around 27%. And we've earlier said that actually, we are in a tax-free rate for Atraco acquisition an d also -- we also get a benefit on 80JJAA . So I just wanted your thoughts and how should we probably look at the tax rate going forward?
Sathyamurthy: No. As we had discussed last time also, Gokaldas, parent company is already into the effective tax rate of 25.17%. It's a combination of actual tax rate and the deferred tax rate and deferred tax is the reflection of whatever the carry forward balances of assets and liabilities at any given date and accordingly, the deferred tax credit or debit is considered.
At the FY '25 level, our tax rate is at 25% fo r Gokaldas stand alone entity. The issue is with reference to Atraco. Atraco, the tax-free profitability contribution did not happen effectively this year. And that's why you are not seeing any impact on the tax rate.
The other issue which we faced with reference to Gokaldas, the Sec 80 JJAA benefit was available last year. 80JJAA benefit is there for any incremental number of people employed, for a period of 3 years. The head count remained more or less the same except an increase to the extent of 1,000 to 1,500 people only, but it was not at a significant level of growth.
The other entity , which is at 15% of income tax rate did not contribute to the overall profitability, which also impacted the effective tax rate. But as the new units start contributing, Atraco business starts contributing the profitability, we should be able to see the real impact on the overall tax efficiency.
Vishal Mehta: Okay. Fair, sir. The other ques tion was Mr. Siva spoke about th e capacities which are probably coming by middle of FY '26. If you could give kind of some more exact time lines on these capacities. And also, there was probably in previous call, we were speaking about Atraco Africa expansion. So how about that?
Siva Ganapathi: Okay. So the Indian capacities, which are this unit in Madhya Pradesh as well as the units in Karnataka and Jharkhand, they are all timed to come on stream in Q3 of this financial year, that


is FY '26. And they will start th eir ramp-up during that period o

f time. At this moment, in 2 of those units in Karnataka and in Jharkhand, we have also started training in preparation for it. And in Madhya Pradesh, we will probably start th at in a couple of months. But all of them will start early contributions in Q3 and then will star t ramping up. So that's the kind of time line. And we are also aligning customers to these capacities. As far as Atraco is concerned, the expansion of 500 machines is done, and that expansion will st art playing out in this financial year -- in the coming financial year. That is FY '26.
Vishal Mehta: Okay. And sir, last one, volume breakup between Gokaldas standalone and acquired entities for 4Q and full year? That would be last question.

Sathyamurthy: For the full year, Gokaldas is 33. 22 million @ INR 693 is the rate. Atraco is at 27.68 million at INR 306. Matrix is 7.44 million at INR 573 . And in total, 68.34 million at INR 524 is the average realization. That is for full year.
Moderator: The next question is from the line of Palash Kawale from Nuvama Wealth.
Palash Kawale: Sir, my question is related to this reclassificati on of lease liabilities. So is there any change in rental agreements? Just if you could shed some light on this? And will this depreciation level will be like we can take this forward, the current depreciation? These are the 3 questions.
Siva Ganapathi: So what happened was in the current financial year, the assets in Africa, they are leased assets, by the way. And African regulations don't need to -- do not have this Ind AS like requirement of capitalizing leased assets and then depreciating it. So we had not done that. But in Q4, when we were consolidating all the results, we had to capitalize all the lease assets and then start depreciating.
So all the depreciation for the year was taken in Q4of this year. That's why you see an extraordinarily high depreciation number forQ4. So that's an aberration. You would have seen it move from, say, INR30 crores to INR42 crores. I think the go-forward impact of the Ind AS of our African units would be about INR2.5 crores a quarter. So the realistic depreciation levels would be about INR32.5 crores or thereabouts. Does that help you?
Palash Kawale: Yes, yes. That's really helpful, sir. And sir, my next question is on margins. Even if I take this INR9.9 crores effect out of the numbers and still margins and I'm talking excluding other income, are in double digits. So do you foresee these margins maintaining for the next year as well? And again, you have spoken about some softness in H1 and then ramp- up of capacities in H2 as well. So how do you see marg ins playing out for the full FY '26?
Siva Ganapathi: So if we didn't have all these tariff-related unce rtainties and these kinds of the impact which was unleashed in April, our margins would have grown in FY '26 versus FY '25 because we are driving higher efficiency in our factories. We are managing costs well. We are booking orders of the right kind and so on and so forth.
But with the tariff-related issues and customers now seeking some relief from the supply chain because they are unable to pass on all the cost increases back to their customers. There could be


some short-term impact on the margins. So instead of growing margins, we may have a few percentage points impact on the margins in the s hort run for a few quarters before this settles out.
Our endeavor, eventually, all the tariffs will get passed on to the end consumer. That's how it all happens. In the interim, the customer and the supplier will have to share some burden, and that's a short-term thing, which we may have to abso rb. We will also have to see how the bilateral trade agreement happens between India and the US.
So far, it looks encouraging. The India is fairly ahead in terms of its negotiations. And if we do get some overall tariff relief, then I think al

l of this will be behind us. On the contrary, we will have a fairly strong business traction, but we'll have to wait and see when that happens and when that takes effect.
In the short term, we may have, as I said, a margin overhang or a margin setback, but that's purely due to tariffs, nothing to do with Gokaldas' performance or underlying fundamentals or anything of that sort. And that will go away as and when the tariff gets pushed through back into pricing of the goods and back into the customers. So it's a short-term phenomenon, I believe.
Moderator: The next question is from the line of Kaustubh Pawaskar from ICICI Securities.
Kaustubh Pawaskar: Sir, my question is again on the capacity expansion. You have given an outlook that the UK FTA will have around additional textile exports of US $1 million plus we are hoping to have a trade agreement with EU soon. And also bilateral talks with US also will create an opportunity. So in that context, are we kind of on a back foot in terms of adding the capacity?
Does it not give us a vision or visibility or indica tion that maybe by FY '27, FY '28, we will start seeing some kind of uptick in terms of order and we should have adequate capacity to fulfill those orders?
Siva Ganapathi: 100%. I think we are thinking exactly like that. And that's why we are adding the capacity that we are adding here. So these 3 new factories, which will come in, in the second half of this year will realistically ramp up substantially next year and will contribute to a significant growth in the next year.
There will also be capacity unlock that we will do in our existing factories. So wherever we can, we will extract 3%, 4%, 5% incremental capacity from each factory, which we do every year.
So that kind of a capacity growth, we will constantly focus on to meet with customer and to meet with growth volumes.
We're also planning some incremental factories that we can take on lease and some of those have been planned and is in the works. Even the short term, whichever factories that we are building out, we are continuing with that as many of them will -- as all of them will come on stream in Q3 or almost at the beginning of Q3.

But as far as new capacity planning is concerned, we just want to wait un til we have a little better
clarity on the tariff since it's such a volatile subj ect, and it is not a subject which any one of us
have a clear understanding or a clarity on where we will land up eventually.
We would rather wait for a month or 2 or 3 as required to get absolute clarity before we continue
our journey of further capacity expansion. Having said all of this, we are building a data bank of
where all capacities can be created and even trying to set the grounds for building up incremental capacities while not really actionin g on it until we have a little bett er clarity on tariffs before we
action those.
Kaustubh Pawaskar: Sir, my second question is again on the margin fr ont. So I was assuming that your large part of capacity expansion is happening in the second half of the year. So prior to that, you start building up with your employees and workers, training and everything, which results into the incremental
cost, which we have seen last year as well.
So I was assuming that Q2 and Q3, we might see some decline in the margins. And once the
capacity starts operating at optimum level, the margins will improve by Q4. So now with this
tariff issue, I believe that the first 9 months, we might see a decl ine in the margin s and Q4 might
give us a better margin kind of a picture. So is it a fair assumption?
Siva Ganapathi: I think we may have some margin trouble in H1, given that, at the moment, 10% tariff applies
from 3 months starting April. So it's Q1, but it will spill over to Q2 as well. It's a very, very
reasonable assumption to make. Beyond that, if the bilateral tariff -- bilateral agreeme

nt
fructifies, then we may have a different story, right? So yes, it's uncertain as to the impact on
Q3.
I think we can be somewhat reas onably sure that there will be some impact in Q1 and Q2. We
should wait and watch before coming to any conclusion on Q3. At the moment, we are fairly
confident that Q3, we should get out of this marg in-related issues. By and large, the cost will get
absorbed either by the customers or the end consumer.
So should not have, but only time will tell because that depends on the quantum of the tariff that
will finally get imposed. We are in uncharted territory at the moment, right? We don't know the
tariff.
Kaustubh Pawaskar: Right. And do you expect any delay in shipments or something like that…
Moderator: Sorry to interrupt Mr. Kaustubh. May we request that you return to the question queue for a
follow-up?
Kaustubh Pawaskar: Sure.
Moderator: The next question is from the line of Bhavin Chheda from Enam Holdings.
Bhavin Chheda: Good set of numbers. Just a couple of questions. From your US imports slide, you have shown
that there was almost 11% growth in US apparel imports in Q1 to $20 billion. So does this
number and your interpretation looks that this was inventory rebuilding before the tariff got kick



in, in April and hence, the volumes in Q1 and Q2 of this year for a company as a whole or India
as a whole could be impacted?
Siva Ganapathi: So Q1, there was a surge in US imports primarily because they wanted to bring in a lot of imports
prior to the tariff kicking in. So there was a huge amount of goods movement, particularly in March, end March, even in the early April kind of time frame. So it partly reflects what you just
said.
Q2, there may be a little slowdown in imports -- US imports because it's coming at a higher
tariff. And Q3 -- I'm talking of calendar Q1, by the way, here. So financial Q1 and calendar Q2
and calendar Q3, there may be a little bit of a slowdown in US imports because of the tariffs.
Bhavin Chheda: Okay. So when they are slowing down because th ey are having obviously an inventory rollover
from the March and April strong imports, do you think India exports to them and for --
particularly for Gokaldas since North America is 77% of overall consolidated sales, your
volumes are also going to be impacted over first half?
Siva Ganapathi: So it's difficult to predict because Q1 volumes were already secured even before all these tariffs
came into play. And at the end of the day, the bu yers will also -- the customers will also need
inventory to sell. So they will need to buy and many of those orders will come probably closer
to date as opposed to early advanced buying.
So for instance, in Q2, the order book is filling at a slightly slower pace than we would have
normally anticipated simply because of the tariff-related uncertainty. Eventually, it will all get done.
Bhavin Chheda: One, volumes are not getting impacted only in terms of pricing, there would be some...
Siva Ganapathi: Pricing, definitely, it is getting impact ed because th ey are all demanding...
Bhavin Chheda: Volumes are not getting impacted?
Siva Ganapathi: Correct. At a global level, volumes are getting impacted. Let me put it that way. For Gokaldas,

we may still fill up the volumes, but everything comes at a price.
Bhavin Chheda: Sure. Again, my second question is on we are at 10% versus China at 30%. So that is a big 20% difference at least for next 90 days. And China is a very large number in terms of US market share, almost 22%. So for a client, obviously shifting a lot of China volumes to whatever possible, possibly to th e alternative countries.
So are you not -- or have you not seen this shift in the month of April and May because you are already on May 22. So you've already seen -- and I believe the China tariff was implemented from March 10 and not April 1.
So we are already 2 mo

nths into a very high China tariff regime in US. So what is your interpretation of the US market and your client s in these 2-month period when the China tariff was already implemented at a higher rate?


Siva Ganapathi: So what happens is when there's such a high tariff in China, the immediate port of call for them would be Vietnam because that's just from a proximity standpoint. And Chinese fabrics can enter Vietnam by road or it's a very short sea right away and then get converted in Vietnam and go with a 10% tariff, which is at par with India, right?
So Vietnam -- so it's important for tariff to be seen in clusters. So China's loss is moving to Vietnam. Having said all of that, we are seeing a good amount of business, which has come in the last 2 months from China. So some of those customers with products being manufactured there and even in Vietnam are looking at sourcing from us.
But for these to materialize, for example, even if an order is placed now, by the time the fabric is obtained, most of the orders which are placed on China-based suppliers are all synthetics. So the fabric ecosystem is there, not in India. So we let us still buy the fabric from there, bring it here and convert it. So all of this will show up in the months ahead, but we are seeing that traction for sure.
Bhavin Chheda: And the last one, sir, when you talk about the margin pressure at least for 1 or 2 quarters of the first half, that is 100, 200 basis points or it is much more,it's a larger number?
Siva Ganapathi: So it will be a few percentage points. I would say about 2% or maybe a little higher than that, but not much more than that.
Bhavin Chheda: And from the Q4 levels, right, and not as compared to last year Q1 level?
Siva Ganapathi: So again, product mix change, etc., may have an impact. So we'll have to factor in all of those. So it will be somewhere in between Q4 and Q1, yes.
Moderator: The next question is from the line of Pr erna Jhunjhunwala from Elara Capital.
Prerna Jhunjhunwala: Congratulations on good set of numbers. So Just wanted to understand, take forward Bhavin's question by previous participant. Have we, in any form, seen any increase of orders from the customers in light of uncertainty in tariff, but we know that there is 10% tariff today, and it is pretty much bearable. So in any rush of orders wherein they are preponing their purchases for Q2 into Q1 now?
Siva Ganapathi: No. No, we are not seeing that. No, not seeing that. No.
Prerna Jhunjhunwala:
Siva Ganapathi: Most of the buyers will be making an assumpti on saying that the same 10% or whatever will continue beyond the 90-day window. So they're not in a rush to take advantage thinking that 10% will be lower than what is going to come. So at the moment, we're not seeing that.
Prerna Jhunjhunwala: Okay. And in continuation with this, how much impact can we see in profitability in Q1? Because this is in Pandora's box where we don't know what is happening at the business end. So just wanted to have a gauge on what should we expect from Q1?


Siva Ganapathi: So unfortunately, right, at the end of the day, I think this is a problem which will be limited to Q1 and Q2, not just Q1. So let me reiterate and restate that, number one. Number two, what is the extent of a problem? It's a subject matter of negotiation. So see, all these orders are placed and we are working with the customers. The orders are being produced, orders are being shipped, etc. All these orders were placed well before this new tariff was known.
So Q1 orders were placed end of Q3 last year. So at that point in time, we had no understanding of this tariff as well. So now there is a negotiation saying, okay, since we have a 10% tariff, can the supply chain bear a portion of it. And when we say supply chain, it is not just a garment maker, i

t's also the fabric maker, etc.
So it goes down the value chain all the way to yarn. So there is a nego tiation across the value chain. And all these negotiations started from almost third week of April. It is not concluded as

yet. And it will take effect from April when th e tariff came in. But the percentage of who bears,
how much is all being negotiated as we speak.
So we don't know where we will land, right? Obviously, our hope and endeavor will be to
minimize the impact on us and put as much burden back on the customer so that they can in turn put it on the end consumer when they sell it. But at the moment, that end consumer, nobody is
willing to change the pric e tags, price tickets, etc.
So it's not getting passed on to the end customer. So it has to be absorbed by the retailer and the
supply chain. The relative allocation of the burden or the tariff burden is yet to play out. So it's
unclear at the moment. So I don't have a number because it's still under negotiation.
Prerna Jhunjhunwala: Okay. Understood. And sir, the marg ins that you would report for the year beyond FY '26, should we expect that it should continue forward, except FY '26? .
Siva Ganapathi: I am super confident of that. So I mean, if you keep the tariff-related chaos aside, the margins
will be on an upward trajectory. There is no challenge on that front, and it will keep improving.
So if you look at a period beyond FY '26, I don't see any problem whatsoever from a margin
standpoint.
Moderator: Sorry to interrupt, Ms. Prerna. Can we request y ou to return to the ques tion queue for a follow-
up?
Prerna Jhunjhunwala: Yes, sure.
Siva Ganapathi: I presume you ask me what is the quantum. I think we should -- it will be percentage...
Prerna Jhunjhunwala: No, I just wanted to ask that what would be the leverage we could get on subsidiary financials improvement on the current profitability?
Siva Ganapathi: I think we may have a good amount of leverage from the Africa side where we may see 2% to
3% improvement in EB ITDA margins there.
Prerna Jhunjhunwala: And Matrix?



Siva Ganapathi: Matrix may be 1%.
Moderator: The next question is from the line of Dhavan Shah from AlfAccurate Advisors.
Dhavan Shah: Yes, sir. So my question is on the subsidiaries front. If I look at this quarter EBITDA of
subsidiaries, consol minus standalone, so there is some reduction in the other cost from INR44-odd crores last quarter to INR20 crores in Q4 '25. So what was that related to the lower other
costs, which led to improvement in the subsidiaries operating margin?
Sathyamurthy: Sorry, can you repeat the question again? I'm sorry. We couldn't follow you fully.
Dhavan Shah: Yes, yes. So this Q4FY '25, we have seen the reduction in the other costs in the subsidiaries'
accounts. So what is that related to?
Sathyamurthy: It is a reclassification of the leased assets re ntal from other expenses getting regrouped into
depreciation and interest.
Dhavan Shah: Understood. So the entire INR20 crores on quarter-on-quarter basis, there is some improvement
of INR20-odd crores.
Sathyamurthy: No, it is for the quarter -per quarter, it should be INR2.5 crores per quarter.
Dhavan Shah: Okay. But still if I look at on quar ter-on-quarter basis also, if I ad just this INR10 crores, then the
other cost for this quarter is INR31-odd crores, which was roughly INR44 crores in Q3 FY '25.
So still there is a reduction of INR13-odd crores despite the revenues in subsidiaries is more or
less the same on a quarter-on-quarter basis.
Sathyamurthy: Okay. It was partially the air freight cost and also partially the costs which are associated with
material conversion charges in Matrix. i.e we buy the fabric and then we convert it, that expense
is being classified as other manufacturing expenses. Those expenses in the current year -- current
quarter, most of them have got reflected in the material c

ost itself. That's also one of the reasons. So may I request you to look at it at a total le vel, the total cost will make sense, except the
reclassification of the depreciation.
Dhavan Shah: Understood. And sir, on stand-alone basis plus the Atraco and Matrix, if you can share what
would be the volume growth guidance for '26 and the margin also, if you can share, stand-alone
plus Atraco plus Matrix?
Siva Ganapathi: See, it is very difficult for me to give a guidance in '26, both on margins and on revenue growth.
There will definitely be a revenue growth. Our revenue growth broadly at a consol basis, we are
still targeting 15% or in that ballpark. Difficult to put a margin number on it, primarily because
there is so much of uncertainties. We don't even know after this 10%, will the tariff blow back
to 26% or will it just stay put at 10%, will it go to 15%.
These are wild numbers, and we need some clarity before we have a clarity on how our margins
will pan out. But from a growth perspective, we ar e still at a consol level targeting at about 15%,
and we will continue on that trajectory. We will endeavor to do so. So the acquired entities also,
in my opinion, will approximately track this kind of growth, anywhere between 12% to 15%.

Moderator: The next question is from the lin e of Roshan from B&K Securities.
Roshan: Just wanted to understand that in relation to the subsidiaries, the African subsidiary, the AGOA is set to kind of expire in 2025. So what is your view that is building up? Will it be renewed? Or what is the view that you are having?
Siva Ganapathi: Very good question. So AGOA, which is Africa n Growth Opportunities Act allows Kenya to export duty-free into United States. So either it was going duty-free. It continues to go duty-free. This is the underlying tariff, which ranges anywhere between 14% to 32%, which we all pay when we enter United States.
And on top of it, there is a reciprocal tariff, wh ich is 10% for all countries, except China, which includes for Kenya as well. So Kenya currently goes at 10% tariff, but no underlying tariff that is thanks to AGOA. Now AGOA expires in September '25. So post September '25, any goods entering United States will go with normal tariff. That is 10% reciprocal tariff plus the underlying tariff, which is the ad valorem duty based on the HS code that United States will charge.
Now as far as the business flow is concerned, we are already booking orders beyond September in Africa, knowing fully well that AGOA may not be extended. So there is still a hope that AGOA will get extended. It was all set to get extended, but then Trump administration has put a pause on any move on the -- pertaining to tariff.
So AGOA also suffered a pause, which was supposed to get extended by another 10 years automatically. So in the interim, Kenya is negotiating a free trade agreement direct with US. There is a talk that AGOA -- until the negotiati ons are concluded, AGOA may get extended by 1 year so that it gives a window.
Africa traditionally enjoys a trade deficit with US. So US exports more to Africa than Africa exports to US. So the tariff regime to Africa should be looked at more favorably by the administration is the belief.
But having said all of this, even let's assume that AGOA benefit goes away and we are currently basing new business transactions on that assumption, we are not seeing any let up in the order flow or business flow, which means brands are still comfortable sourcing from that region and are not toning down their business volumes there.
Roshan: Okay. And just as an extension of that question , supposedly, if this do esn't get extended, what would be the potential impact that you could have on margins from...
Siva Ganapathi: At this point, we are not seeing that also becau se we are selling FOB. So the duty impact is on the brand. Some of the brands did

come and sort some negotiations on potential sharing of duty, etc., as and when we'll have a clarity on it. And we have said flat, no. And we still seem to be able to book orders. So I don't see this partic ular AGOA impacting our margins or ability to book business at the moment.
Roshan: Okay. And a final question from my side. What would be the capex...



Moderator: Sorry to interrupt Mr. Roshan. May we request yo u to return to the question queue for a follow-up question?
Roshan: Yes, sure.
Moderator: The next question is from the line of Varun Gajaria from Omkara Capital.
Varun Gajaria: So sir, just -- I'm not too sure if you've already addressed this. But on standalone levels, I can see that our margins have sort of dipped by around 300, 350 bps. Any particular reason for that?
Siva Ganapathi: Can you ask the question again? Your voice was muffled. Do you say standalone basis are -- what did you say, our margins are...
Varun Gajaria: I can see that the margins have dipped by around 300 bps. Can you cite the reason for that?
Siva Ganapathi: Our margins has not dipped unless you're looking at PAT margins, and that could have dipped because of deferred tax impact in Q4. So if you're looking at PAT margin, then you're right. There was a deferred tax impact of almost INR10 crores, INR11 crores or something. On a stand-alone, I think it was INR10 crores. So it could probably be that you're looking at. But otherwise, I think our margins have only improved.
Varun Gajaria: Okay. And so what is your view because I can see that Target and likes of Target and Walmart, they have revised their guidance for FY '26, probably accounting a little bit for recession also in the US at the same time. So if you can just give us some color on that? Because I can see that our contribution from in terms of ASP have sort of increased from less than INR450 in terms of sales contribution?
Siva Ganapathi: Okay. So the less than INR450 contribution ha s increased primarily because acquired entities have -- are selling more of those kinds of garments. Gokaldas per se, we have not seen that change. Coming back specifically on US recession or US market slowdown, that's a reality that we called out at the start itself,

and I addressed that in the opening remarks.
So we have to see how the market performs. At the moment, we haven't seen retail demand slow
down. So if I look at Q1 CY '25, retail sales has only gone up over Q1 CY '24. So we are seeing a positive growth. But we have to see how retail sales pans out in the quarters ahead, Q3 -- Q2,
Q3, Q4 of the calendar year.
At the moment, Q1 CY '25 versus Q1 CY '24, ther e's a 5% growth. So let us -- it's early to call
out as to what will happen. Will there be a re cession? Will there be a sl owdown in buying? Will
the tariff in turn induce recession? It's very diffi cult to predict. At one level, we are not in the
business of macroeconomics.
But it's prudent as business people to be prepared for it. And in the eventual ity of a little bit of a
slowdown in sales, how do we pivot our business? And that's the reason why we are also looking at other markets, diversifying ourselves into different customer bases and product segments so
that we continue our growth regardless of anything.


As far as Walmart, in particular, is concerned, we -- Walmart is a customer of ours. I have not
seen a slowdown so far in Walmart's order placement with us. On the contrary, they are coming in and honoring all their commitment and are placing orders as we speak. So they are not
showing any signs of slowdown. Probably they may be emphasizing more sourcing from India,
and they may be slowing down elsewhere, but at least India sourcing doesn't seem to have
impacted for now.
Varun Gajaria: And your view on the recent embargo of imports from Bangladesh that t

he Government of India
has put. How does that pan out for the Indian market for the domestic market?
Siva Ganapathi: We don't cater to domestic market. So those who are in the domestic market may benefit because domestic market also has a lot of made in Bangladesh goods coming in, which was coming in duty-free earlier. So there may be an uptick for those who are cate ring to the do mestic market.
Since we don't play that, it's irrelevant for us.
Moderator: The next question is from the line of Jenish Karia from Union AMC.
Jenish Karia: Sir, just one question. If you could just explain why the Q4 gross margins of around 50% are
lower than the 54%, 55% in last year and last quarter?
Sathyamurthy: As always we explained, it is the product mix which makes the difference, especially in terms
of material cost. That's why we recommend to look at both material costs and the employee cost
together, that constitutes almost 79% to 80%, and that is intact. In the current quarter, there was
a shift from, compared to the last quarter of last year, outerwear business, which is relatively less and more of casual wear was produced.
The material component is rela tively high for the products produced during the quarter. If you
compare at the EBITDA level, all this will get ev ened out and you will see that the margin being
reflected correctly. The material component and the manpower component, differs from product category to category. And depending upon the product mix, it gets reflected.
Jenish Karia: Sure, sir. That helps. And sir, just one last thing. If you could just explain why the stand-alone
other income of INR33 crores is higher than the consolidated other income of INR20 crores. So subsidiaries have a negative other income, how come that?
Sathyamurthy: The other income largely constitutes the interest income charged on the loans extended to the
subsidiaries. In the consolidated financials, all those gets knocked off, and you will see the
correct number, and that's why you see the difference.
Moderator: The next question is from the line of Niraj Mansingka from White Pine Investment Management
Private Limited.
Niraj Mansingka: I have 2 questions. One, what is the revenue capacity that will come up after the 3 locations are
up and operational by Q3?
Siva Ganapathi: You're saying what would be the revenue potential of the 3 new units? Is that the question?
Niraj Mansingka: The total revenue potential of the co mpany after the 3 new units come up?


Siva Ganapathi: So the 3 new units incrementally will contribute to about INR325 crores to INR350 crores
incrementally -- and so if you look at the current Q4, we were at about INR1,035 crores, right? That was the revenue. So that's the revenue potential of the company. These 3 new entities will
contribute incrementally by this level -- this amount. This is annual.
Niraj Mansingka: And other related question is in the scale-up of non-cotton side, do we have in India enough
designs and availability of fabric for us to scale up your non-cotton exports because what I thought was that, that was one of the bottlenecks of scale-up of non-cotton from India, obviously,
the -- and the costing as well for those non-cotton fabrics. So any comments on that? And also,
if you can address the Bombay Rayon, how it will help you in reducing cost and what is the

potential for that company for a slightly longer period of time?
Siva Ganapathi: So we do a lot of non-cotton garments, particularly outerwear with fabric from the Far East. So from Vietnam, Taiwan, Korea, even China and so on and so forth. So the -- do we have the capability? Absolutely, we do. The handicap that India has is that fabric is not locally available and so are several trims, which are not locally available.
So basing the business on shipping raw materials from other regions increases the lead time and increases the cost for us . So

while we're still competitive, if such raw materials were available locally, our competitive ability would have orour competitive advantage would be much, much higher.
If you look at the fiber content in global apparel trade, polyester itself contributes to 60%. And if you add other MMF man-made fibers to it, it goes almost to 67% to 70%. So at that staggering high level, India is virtually absent in global man-made fiber-based garment trade. And that's an opportunity for us.
But so far, it's an opportunity which has remained with China and the countries around China, like Vietnam, Cambodia, Indonesia, etc. So while we do it, it will take a while before it can expand. There are moves in India to expand the synthetic fabric ecosystem, but it's happening very slowly, and it will take a while before India ca n become competitive in the synthetic space.
Coming to the next question on BRFL. I think the asset is progressing well. We have made investment in the asset with a view to taking a call on acquiring it down the line. And so far, the progress made in mending the operations and taking up its capacity has been fairly strong. When we invested in it in the month of June- July, the capacity utilization was of the order of 15%, 20%.
Today, we are well crossing 50%. So that team has done a fantastic job of managing that asset and expanding it. So we are supporting that in vestment, supporting the management team there and helping that unit to turn around, which should happen soon in my opinion.
Niraj Mansingka: So last question, small question, that will your th en cotton exports scale up first, followed by the non-cotton is what you're saying? Or you would continue to import fabrics from Middle East and -- sorry, the Far East and then scale up here?


Siva Ganapathi: So our cotton-based exports are the highest. So 75% of what we do are cotton-based, and that will continue to grow. And the Far East-based supply chain, since we are competitive with respect to some of those countries because we are competitive more on the labor cost here, we will continue to explore growth avenues there as well. And that's an area where we do have a lot of technical capability. We'll conti nue to work in that space, too.
Niraj Mansingka: And the government has done a lot of imports of fabric, doesn't impact your imports or is it only for domestic usage?
Siva Ganapathi: We import for exports. So we clear our fabric on advanced licensing. So we don't have any of those related issues. We don't us e those fabrics in the domestic market. We just convert it and send it abroad.
Moderator: Ladies and gentlemen, due to time constraints, that was the last question. I now hand the conference over to the management for closing comments.
Siva Ganapathi: Thank you, everyone, for listening to us. The business has been growing, and there has been a tailwind accruing to India. The UK FTA was the first one in that direction, which, in my opinion, will bring incremental business of $1 billion as and when the UK FTA take s effect. I believe it will take at least a year, if not a little longer before it can take effect.
But directionally, it will bring in significant bu siness. There is a negotiation going on with EU as well as a bilateral agreemen t with the United States. As and when that happens, and apparel is high on the agenda because it's labor-oriented, manufacturing oriented and Government of India treats that with high priority.
So we feel confident that there will be a lot of manufacturing movement to Indian region from other areas. And this would also benefit Africa where we do have manufacturing setups. So we are very confident of the long-term business opportunity for us. We have a fairly good reputation with our customers, and we have a large number of customers w ith whom we will continue to grow.
In the short term, we will see some cha

llenges, particularly with respect to tariffs and the need to absorb some of the costs pertaining to the tariff because that's something which will impact the industry at large. And we may have to stay solidly with the supply chain there, supporting our customers, too, to make sure that we navi gate the tariff -- uncharted waters with tariff.
But my suspicion is that we will have more and more clarity as we go to the se cond half of this financial year. By then there would be a better understanding of specific agreements with

respective countries like India and US and so on and so forth. So these tariff-related challenges then soon will be behind us.
And then also brands are trying their best to explore ways to offset or pass on these costs back to the customers, and all that will happen, too. So I feel that short-term hiccups aside, the long-term growth prognosis is strong for the company. In the short term, there will be -- certainly, there will be challenges.


And those challenges will materialize in the form of margin impact, which is as yet unknown.
But I guess in a few quarters, we will overcome that as well and move forward. Overall, the business is trending in the righ t direction and looks forward to continued growth of the company.
Thank you.
Moderator: Thank you. On behalf of Gokaldas Exports Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: Aug 2025

GEL/SEC/2025-26/37

August 13, 2025

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers The Exchange Plaza
25th Floor, Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code – 532630 Scrip Code: GOKEX
Dear Sir / Madam,

Sub: Transcript of Q1 FY'26 earnings conference call Pursuant to Regulation 30 and Regulation 46(2) (oa) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, plea se find enclosed the transcript of Q1 FY'26
earnings conference call held on August 06, 2025. The Transcript is also available on the
Company's website at www.gokaldasexports.com .

Please take this in to your records.

Thanking you, Yours truly,
For Gokaldas Exports Limited

Gourish Hegde
Company Secretary & Compliance Officer

Encl: as above


"Gokaldas Exports Limited
Q1 FY '26 Earnings Conference Call"
August 06, 2025

MANAGEMENT : M R. SIVA GANAPATHI – CHAIRMAN AND MANAGING
DIRECTOR – GOKALDAS EXPORTS LIMITED
MR. A SATHYAMURTHY – CHIEF FINANCIAL OFFICER
– GOKALDAS EXPORTS LIMITED

MODERATOR : M R. DIWAKAR PINGLE – EY



Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of
Gokaldas Exports Limited. As a reminder, all pa rticipant lines will be in the listen-only mode
and there will be an opportunity for you to ask qu estions after the presenta tion concludes. Should
you need assistance during the conference call, please signal an operator by pressing star then
zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Diwakar Pingle from EY. Thank you, and over to you,
sir.
Diwakar Pingle: Thank you, Manav. Good morning to all the participants on this call. Before we proceed to the
call, let me remind you that the discussion may contain forward-looking statements that may
involve known or unknown risks, uncertainties and other factors. It must be viewed in
conjunction with the business that could cause future results, performance or achievement to
differ significantly from what is expressed or implied by such forward-looking statements.
Please note that we have mailed the results and the presentation, and the same are also available
on the company's website. In case you have not received the same, you can write to us, and we'll
be happy to send the same over to you.
To take us through the results and answer your questions today, we have the top management of

Gokaldas Exports Limited, represented by Mr. Siva Ganapathi, our Chairman and Managing
Director; and Mr. Sathyamurthy, the Chief Financial Officer. We'll start the call with a brief
overview of the quarter gone past and then conduct the Q&A session. With that said, I'll now hand over the call to Siva. Over to you Siva.
Siva Ganapathi: Thank you, Diwakar. Good morning, everyone. Happy to have you at our earnings call for the
first quarter of FY '26. The company registered a strong PAT growth of 53%, delivering INR41
crores for the quarter and improved its operating margin by 3.3% on a Y-o-Y basis, supported by productivity gains, cost management efforts, etc. The EBITDA margin stood at about 12.1%
compared to 8.8% for the same quarter last year. The profit was bolstered by receipt of some
investment incentives, but was also hit sizably on account of customer discounts related to tariffs
in this quarter.
The company reported a moderate income growth -- total income growth of 4% as the period
was impacted by tariff-led uncert ainties. Total income, excludin g both the acquired entities,
reported a 20% Y-o-Y growth, while Indian appa rel exports during the same period grew by
about 9%. The U.S. retail market remained resilient in the first half of 2025 calendar year.
During this period, retail sales in U.S. grew by about 5%, while in U.K., it grew by 6%. Most of
the growth has been volume led, while price has been flat. Retailers have already optimized their
inventory holding levels and need goods for the seasons ahead. Apparel imports in the first 5
months of the calendar year across U.S., EU, U.K. increased between 7% and 12%.
The recently revised reciprocal tariffs imposed by the U.S. on India is expected to pose a
challenge in the second half of this financial year as most of our order bookings for the second


quarter are already closed. Brands are cautious and want to know the tariff impact on various
geographies for committing their orders. India has a large export business of $16 million per
annum. It's impossible for any brand to find a lternative solutions for th is volume elsewhere in
the short run.
A clarity on the tariff imposed on India over the ne xt few months will allow this churn to settle.
In the meanwhile, a higher tariff from August across all regions would impact business volumes
in the short run. As you are aware, most of the countries which export apparel, barring China
and India ar

e tariff at about 20%. So that would ha ve a potential inflationary impact in the market
and could impact business volumes going forward. Brand strategies to address this remains to
be seen. That said, any positive outcome on the U.S.-India trade deal might provide a spike.
Amidst these challenges, our Africa business mi ght be at an advantageous position with 10%
U.S. reciprocal tariff on both Kenya and Ethi opia, and we are working towards an active
engagement with our clients there. We are combating these issues by focusing on cost
optimization and better productivity gains across the group.
Further, we are in dialogue with all customers to explore ways to manage the cost of goods for
them. Our strategic investments in BTPL, a fa bric processing unit strengthens vertical
integration into fabric requiremen ts, enabling faster, higher quality and cost-efficient deliveries.
This may also have the ability or bring in th e ability to improve our margins going forward.
In the longer term, sourcing diversification is a key theme for all customers, and India remains
one of the top contenders amongst its Asian peers. The recently announced India U.K. FTA
offers a 12% duty advantage of China and puts India on par with Bangladesh, creating a strong
export potential. India is also negotiating with EU for an FTA, which has a strong ability to
expand the industry in India.
In anticipation, we are stepping up our European business. Our share in Q1 FY '26 has increased
to over 13% from a 9% average in FY '25. We are actively engaging with customers in EU and
U.K. to diversify. We are closely working with all -- watching all the macro developments and
are ensuring that we have the ability to respond to situations decisively and effectively. I thank
you for listening and would be happy to address questions that you may have.
Moderator: Thank you very much. First question from the line of Rehan Saiyyed from Trinetra Asset
Managers. Please go ahead.
Rehan Saiyyed: I want some more clarification regarding the bu siness segments. First is the current utilisation
level across facilities including the new Acha rpura/Bhopalunit. Are we planning any fresh
capacities additions in FY’26 from this plant?
Siva Ganapathi: Okay. So if I look at the utilization levels for the first quarter, utilizations in India are well in the
90s. And in Africa, we would be closer to about 80%. And we are adding capacity in India,
where we are bringing up 3 factories. They will all come up in third quarter, one in Bhopal,

where we are adding the second factory. The first factory is fully utilized, and we are seeking
incremental capacity by adding one more unit in the same campus there.
We are adding one more factory in Karnataka in a place called Kolar Goldfield. And there's yet
another knit factory, a small one, which is coming up, which will be starting in Ranchi. So these
are capacities that we have talked about previously as well, and they have been work in progress
and would come on stream somewhere during the third quarter of this financial year.
We are also expanding in Africa by adding another 500 machines in one of our existing facilities
where there is a scope for further expansion. We are seeing the business traction for that starting Q3 in Africa. So we've
commenced that expansion process, which will get concluded by Q2.
It's a brownfield expansion within the same factory premises. And I think for now, we would
stop capex expenses. These are expansions which were started much earlier. We will wait and
watch and see how all of the tariff and geopolitical situations play out before taking further capital investment decisions.
Rehan Saiyyed: And second question is on the P&L side. The employee cost has been a substantial increase in
this quarter. Is it due to ramp-up in new facilities for wage inflatio n? Should we expect this trend
to s

ustain in the coming quarter? Can you put more light on this?
Siva Ganapathi: So every April, there is a reset of minimum wage, and we had a minimum wage growth of 5%
in the month of April for the based on CPI. So the wage inflation bakes in that component. We
have also increased our headcount by over 1,200 people, which has also resulted in the wage increase in anticipation of
volume growth. So all of this has contributed to incremental wage. I
think this would be the no rm for the rest of the financial year. I don't think you need to bake in
further increases. This will be the level at which we will operate by and large.
Rehan Saiyyed: And sir, like one more question regarding the outlo ok for Q2. Like what is the outlook for Q2 in
terms of seasonality and execution ti me lines for current orders as we ll paying the tariff? Like is
there any delay you're facing in the coming quarters for executing the orders?
Siva Ganapathi: So Q2 for Indian apparel industry is usually a lean season. But given that we have all the orders
booked for Q2 -- as I had indicated in my previous quarter's earnings call as well, we have had to do some burden share on
tariff for Q2 as well. So from an order booking perspective, while
we are in a good position, there would be some challenges just like quarter 1 on margins on
account of customer discounts that we had agreed for absorbing some of the tariff increases.
So we would see some dip in our Africa operations as well as Matrix operations, which we had
acquired earlier because for them also, it's a seasonal dip in Q2. But it should not be much. It should be marginal, I would say.
We would say most likely the volumes and the top line would
come in line with the current levels, by and large. So Q2 is not a source of worry for us. We have to still see how all the tariffs
will impact the quarters ahead because those are work in progress
as we speak.


Moderator: We have our next question from the line of Jignesh Kamani from Nippon Mutual Fund.
Jignesh Kamani: Just want to know on the BTPL side, how is your experience on ramping up any issue, I can say
on that part and thing? And second thing on the funding part. So if you take about -- we acquired
almost 16% stake, which if I do a value of close to around INR343 crores of the company, while
we earlier had a total acquisition cost will be close to around INR580 crores. So how much is
now a revised estimate on the estimate?
And how are you planning to fund it? Because earlier thought was we did a QIP in past and we
might need to take additional debt considering current situation where the margin revenue might
get some impacted. So any fresh though on the funding part, whether we are comfortable taking
additional debt or not?
Siva Ganapathi: Okay. Thank you, Jignesh. As far as BTPL performance is concerned, it has been steadily
improving its performance over the quarters. Since our acquisition, we have seen a substantial progress as far as BTPL's
quality of goods produced, its internal processes as well as its
profitability. So we've seen the business team there deliver a fairly strong performance, which
actually encouraged us to consider going forward with starting an acquisition or initiating an
amalgamation process. So that's where we stan d at the moment. We will be taking that decision
really very soon.
Now if we go ahead with this transaction, -- our intention is to acquire the balance of the
company. Our equity, we may have to pay cash to the extent of about INR70 crores to buy. And I think we have paid that
already. And the rest, we intend paying about INR490 crores. So it's
coming well within the INR588 crores that we had announced earlier.
Our intention is no t to fund it through further debt raising. We have the finances available to
manage it. And largely, it will be acquired by offering equity to the current shareholders rather

than

pay them in cash. So that's the intention. We want to not raise our debt levels from where
we are and would like to conserve cash for the business.
Jignesh Kamani: Understood. And second question on the margin front. We have a INR9 crores kind of export
capital incentive from the API unit. So it was for the particular quarter only or because of the
past 2 or 3 years? And what kind of run rate will be sustainable in future?
Siva Ganapathi: So it was for the previous year. It was for the last 1.5 years or 2 years incentive, which came
with a phase lag from there. Going forward, we should secure this for another 4 years or another 5 years at the rate of about
INR4 crores a year.
Moderator: We have a next question from the line of Monish Ghodke from HDFC Mutual Fund.
Monish Ghodke: Sir, I have a question on BTPL acquisition. So given the capacity which BTPL has in terms of
fabric, it's very outsized as far as our fabric requirements are concerned. And the return ratios of
fabric business are also not that attractive. And it also captures -- it also restricts our capital to
further invest in garmenting. So is there any relook on this? Or what's the strategy here currently?


Siva Ganapathi: See, once we grow to a certain size, having fabric allows us to further enhance the growth of our
apparel business vertical integration allows us faster turnaround, allows us access to business
which otherwise or either to we were not been able to take it, improve our downstream margins
as well as we have a vertical play. So there are certain advantages on the business side to having
a fabric unit. We can also align the fabric unit output to our garment production, thereby
maximizing the potential of the fabric unit.
The way I see the fabric unit at its peak of operations, we should be far in excess of 12% EBITDA
margin when we operate. And I think we should be probably 13% to 14% there. We have acquired it for a reasonable cost. So
we see that the return metrics are also good for the -- for a
unit of that size, which we will get. There are se veral other strategic benefits that we could see
with this unit going forward. So it's a strategic call. It also makes sense financially, which is why
we intend go ing forward.
Moderator: We have our next question from the line of Raman from Sequent Investments.
Raman: Sir, my question is with respect to BTPL as well. Sir, I just want to understand what is the current
utilization of the BTPL facility? And how much in crement if the acquisition is completed by the
end of this financial year, how much incrementa l EBITDA and PAT will it add to our existing
EBITDA and PAT numbers from the following year?
Siva Ganapathi: So currently, we are operating between 40% and 50 % of its capacity utilization. Its capacity is
400,000 meters a day. And currently, we are operating at about 1.8 lakh to 2 lakh meters a day capacity utilization. This is a
somewhat of a lean s eason for the fabric mills. I anticipate it going
to about 60% to 65% utilization by October of this year.
And then eventually, I think by early next financial year, we would be closer to 90% capacity
utilization. That's the trajectory that we are working towards. At full capacity, we anticipate the revenue to be of the order of
INR1,800 crores with an EBITDA in excess of INR200 crores
coming from that unit.
Keep in mind that to the extent that the fabric is consumed internally, which our intention is to
consume at least 35% of it, there will be a reve nue which will get knocked off internally because
it will be an internal consumption. And propor tionately, the EBITDA will anyway flow to the
business down the line.
Moderator: We have our next question from the line of Vishal Mehta from IIFL Capital.
Vishal Mehta: So my first question is that you mentioned in your presentation and release that the company
revenues ex of acquisitions have gro

wn 20% Y-o- Y, which implies that your acquisitions have
actually declined more than 20% Y-o-Y. So why would there be such a decline in acquisitions?
And also, if you can provide EBITDA and volume numbers including ex of acquisitions?
Siva Ganapathi: So acquired entities have not dec lined by more than 20%. It ha s declined because overall growth
has been 4%, while the erstwhile has grown by 20%. One of the reasons is that when we acquired


Atraco last year, we had a strike in the fourth quarter of FY '24. And a lot of those goods got
held up and bunched up and then dispatched in first quarter of FY '25.
So there was an artificial inflation of revenue in th at unit for first quarter of FY '25. So that is
the reason why Y-o-Y, you will see a dip in the revenue. What has happened this year is

somewhat of a steady-state revenue. So that has distorted the acquired entities revenue growth.
On the contrary, the acquired entities have actually improved their EBITDA margin and their EBITDA margins are growing Y-o-Y by the extent of about 2%, 2.5%. So there has been a considerable progress that we have made in the operating performance of these acquired entities. And we are confident that, that trajectory will continue in the quarters ahead.
Vishal Mehta: Okay. So can you provide EBITDA and volumes, including of acquisitions?
Siva Ganapathi: I'll just get back to you. Give me a few moments, I'll just pull that out and let you know.
Vishal Mehta: Sure. My second question till then was if you can elaborate on what has been the tariff impact in the current quarter and whether that has actually resulted in declining ASP or it has come as a separate customer claims and expense line item? And how do you see this going forward?
Siva Ganapathi: So just to answer your previous question, our revenue from acquired entities were INR282 crores and EBITDA was 11%. Coming back to the question that you raised of the customer claims.
Sathya, you want to answer that question?
A Sathyamurthy: The customer claims during the quarter, we had about INR15 crores is the total claim and we have taken a hit during the quarter . That is adjusted against the revenue because it's a drop in the realization. that is also one of the reasons why the revenue has come down by almost INR15 crores.
Moderator: We have our next question from the line of Anand S from Avendus Spark.
Sundar: This is Sundar from Avendus. Sir, a couple of questions, just continuing as to where Vishal left.
The first point is that we had indicated last quarte r, the tariff impact would be felt more in terms of margins. But as for the explanation, I understand it is having an impact in terms of revenues.
Is the understanding right, sir?
Siva Ganapathi: No, it is not. It is also in the margin.
Sundar: Okay. Absolute EBITDA might be down, but ma rgins will look optically higher given the numerator denominator effect will play out here?
Siva Ganapathi: No. So when numerator and denominator get hit by the same amount, the margins do get hit, right, Sundar?
Sundar: Right. We take that. Sir, the second question here is in terms of what should we look at the new levels of margins? Because if I were to take the average tariff that has been imposed by U.S. on


about the top 7, 8 countries that they import from, it's been to the tune of somewhere between 22% to 25%, right?
Now with this being at the regard and most of the retailers also indicating that they might have to take a price increase, which on a 3, 3.5x markup out to be about 3.5% inflation. What is the sort of that you're taking from the market is that even if India gets to a lower number, I have two questions. One, how long will the demand impact from the U.S. market Second one is that should we take the margin reset that has happened this quarter as a permanent eff

ect that is going to be below 10%.
Siva Ganapathi: Okay. So I don't see this as a permanent impact or margin impact. So let's understand this, right?
So the average tariff for most of these large exporting countries, and I'm keeping aside China for now, is about 20%, right? India may come at 25%. China is at 30%. Let's see where all of these finally land up.
So if that's the kind of tariff that has been imposed on apparel products, since apparel is also marked up by 3x, the impact that the end consumer will face will be to the extent of 1/3 of it, right? So if it's 20%, then we are talking of about 7%, 8%, plus some additional carrying cost and inventory costs, etc. So we can add a little bit on account of that as well. But that's kind of incremental tariff impact, tariff-related infl ationary impact that the market will face.
You should also see how the budget of U.S. government, the big beautiful budget, which is also put in -- which has also been fairly advantageous for many U.S. citizens. So there could be some extra tax breaks that many will get, et cetera, which may put some more disposable incomes in the hands of U.S. consumers, too. So we need to see how all of this will play out in terms of buying patterns over the quart ers ahead. Now in the Q3, we w ill be producing for spring '26.
And the Q4, we'll be producing for summer '26. If you look at summer '26, it's almost a year away from now.
My sense is that the tariff narrative will move on to something else in the U.S. I mean world is only talking of tariffs today. And I guess more an d more people will adju st themselves to tariff and tariff-related inflation. By then, most would ha ve baked it in, in the form of pricing or reduce the value of the product by DE specking the garments. So there are many ways in which you can still hold on to the price or pass on the price increase to the consumer by shrinkflation or price increases or a combination of both. And both of that is happening in the market as we speak.
So there are active considerations by all brands in all these areas. If you look at the luxury brands or the affordable luxury brands also, they have already passed on the price increases or have

started doing so. All of those big box retailers, typical fast fashion brands have held back yet.
And I think post the holiday season, which is this Christmas, they will also start either DE
specing or shrinkflation or increase the pricing. And eventually, my assessment is that it could get passed on back to the customer.
So long story short, the tariff impact on margins may go away from sometime next year. So
while I'm still saying that Q3 and Q4, we may have to absorb some amount of tariffs since the


tariff component is strong. I mean the end user price increase of 8% will be very high. So my
sense is it will get pass ed on eventually. And then from next financial year onwa rds, we should
see less and less impact of this on the supply chain.
Sundar: Just a follow-up to that is that even when there was a 10% base announced, we had a few brands
coming back in terms of asking the manufacturers to absorb some part of the tariff. Now that the
number has been much higher, have brands come back? What is the inventory policy correct
now? And how are they absorbing the tariffs in the meanwhile that at least over the next 6 to 9
months?
Siva Ganapathi: So the new tariff, when there was a 10% tariff imposed in April, there was no appetite to pass
on the cost back to the consumers. You are well aware that there was a lot of movement in the
U.S. not to pass on the price increases to the consumer to ensure that tariff is not inflationary for
their customer and the supply chain has to bear it. So largely, the 10% impact got borne by the
supply chain, includin g the retailers, right?
And there was also an uncertainty as to what will be the eventual tariff. So init

ially, the supply
chain absorbed, which is how usually it happens. Now that this whole number has ratcheted up
to 20%, that's a very high number for the supply chain to absorb. So there is a good chance that
either the brands will have to re-strategize as to where -- how do they want to deal with it.
At the moment, since this is early news, most of the brands have not come back with a clear idea
of how do they want to absorb it, how much do they want to pass back? How much do they want to combat through
shrinkflation and so on and so forth. So we will have to see how this unfolds
over this forthcoming season. Most of the brands had held back spring order placements in
anticipation of understanding the tariff clearly. No w that most of the tariff elements have come
through, the order placements have started flowing in.
For now, we are still in discussion with them as to how they propose to absorb. There is a limited
appetite in the supply chain to absorb any further margins. to defray the tariff cost. So clearly,
brands will have to find their ow n strategies to adopt, and there ar e several. So I think those will
-- we will come to know going forward, I guess.
Moderator: We have a next question from the line of Kaustubh Pawa skar from ICICI Securities.
Kaustubh Pawaskar: My question is on the Africa business or Atraco. There currently, we are under the Africa Growth
Opportunity Act, where we are having a free trade agreement with U.S. This is likely to end this year. And then under the new
tariff regime, we have to pay 10% tariff, both in Kenya and
Ethiopia, okay? But this 10% tariff is lesser than what the other Asian countries have in the range
of 20% to 30%?
So just wanted to understand, considering this as an opportunity for us, it is fair to assume that
most of our U.S. exports will happen from the Af rica region, considering the tariff rate is 10%
over there. And there, we've been scaling up the capacity largely to cater to the U.S. market.


And whatever opportunity we are expecting in U.K., Europe will cater through the Indian
capacities whatever we have. So I was just thinking from that perspective?
Siva Ganapathi: Okay. So one of the reasons wh y we acquired this entity in Africa is actually to provide a
diversity of production base to insulate ourselve s from vagaries in geopolitics, increase in costs
in different regions, etc. So even within India, we are highly diversified, and we have operations
across 6 states. So that state level minimum wage increases, etc, we are reasonably insulated.
And I think our geographical diversification as a strategy will continue.
If you look at Africa, the AGOA Act expires in September 2025. Usually, they extend it by 10
years, but this year so far, the administrati on has put a hold on Agoa increase, which was
internally approved by almost all the departments within the United States because they want to
cultivate Africa for strategic reasons. So there is still a jury which is out as far as the extension
of AGOA is concerned.
There are efforts being made to extend Agoa at least for a couple of years, which will allow

United States to enter into free trade agreements with respective countries. There's also a dialogue going on with Kenya for a free trade agreement and Kenya and America have a special relationship especially among the non-NATO nations, it's a favoured kind of relationship that Kenya has with America.
That said, we are working on an assumption th at AGOA will go away. If it comes in, it will be a bonus. And we will only get to know sometime in the month of September as to what will happen to AGOA. Notwithstanding that, Kenya and Ethiopia have a lower tariff vis-a-vis other countries. So that continues to bestow those co untries an advantageous position as far as tariff is concerned. Given that, we've already talked to several customers of ours and have e

ncouraged
them to go and seek Africa production.
Simultaneously, we are strengthening our Africa production through further efficiency improvements as well as capacity additions. We see the traction for our Africa business increasing from the th ird and the fourth quarter because we are seeing a huge amount of inquiries for that region -- proper production from that region from American customers. So it's clearly in anticipation of a lower tariff and the tariff arbitrage that is available there.
So we -- I feel confident that if we take a 3, 4, 5-year viewpoint, the contribution of Africa may be more substantial, and it will grow at a faster rate than our region perhaps. But as of now, despite AGOA, I can see that Africa will enjoy a tariff benefit. If AGOA comes in, that will be an added attractiveness.
Kaustubh Pawaskar: Sir, my second question is on the opportunity in U.K. because you alluded to the point in your earlier comments that now your EU contribution is increasing and it has gone up to 13%. So considering U.K. FTA trade deal, what kind of opportunity you foresee going ahead? And whether that again provides you an opportunity of diversification in terms of your revenue mix because currently, U.S. is higher contributing region for you. So over the next -- I'm not saying


immediately, but over the next 4 to 5 years, can we expect this geographical mix to improve U.K., Europe and some other geographies contributing higher to your revenue mix?
Siva Ganapathi: 100% -- so just to clarify, when I said average FY '25 European revenue for us was 9% and Q1 FY '26 was 13%, actually it's 13.4%. The reason is I included Europe as the EU 27 plus U.K. When I said Europe, I included all of the continent of Europe. So U.K. is very much part of it. And U.K.-based customers are growing very fast for us as well.
So if I look at some of the customers that we work with out of U.K., we are seeing a strong growth, almost like, of course, off a smaller base, but growth of the order of 80% Y-o-Y. One of the European customers is growing almost at 90% Y-o-Y. So we are actually stepping up growth of some of those customers because strate gically, we are diversifying back into Europe.
Historically, it was a conscious choice for us to go more and more U.S. heavy because it was a large homogenous market. We were not competin g with Bangladesh, which is going duty-free into Europe. So it made sense for us to be more U.S.-centric. Now we are remaking ourselves going forward and stepping up our business with European customers. It's a work in progress. It will take time, but we are trying to speed up as much as possible just to derisk ourselves from any of these tariff-related uncertainties, divers ify the market to the be st extent we could.
Moderator: We have a next question from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking.
Bhavya Gandhi: Sir, is it possible to say the current ROCE fo r the acquired entities and 2-3 years hence, what should be the ROCE that one should look at? And even for the acquired entities, what is the current ROCE and what would be the expected ROCE? And similarly for Bombay Rayon.
Siva Ganapathi: Acquired entities, ROCE is 12%. But if you look at the combin ed group ROCE for ourselves, say, in 2 years, say, FY '28 we should be closer to 16%, 17% by that period. We would like to do it even higher than that, but that's the trajectory that we are looking at by that period.
Bhavya Gandhi: And for Bombay Rayon, what is the expectation current as well.
Siva Ganapathi: When I say 16%, 17%, I'm including Bombay Rayon coming in by FY '27. So when I say FY '28, I've already included that in my assumption
Bhavya Gandhi: Yes. Sure. Sir, I just wanted to understand on the gross margin front, we've seen 500 basis point improvement. This is substantial. What has led to this improvement barring the acqui

red
entities? Is there any other r eason? Or if you can throw so me light on that as well.
Siva Ganapathi: No, it is primarily on account of the product mix what we explained. It is the material component and the employee labor cost component, you should look at it together. The last quarter, in Q1 last year, it was in Atraco, the material component was pretty high based on the product mix, what they were doing.

That has come down with our intervention and with the margin improvements we have brought it down. That's why you see the average coming down. So, when you look at both employee cost as well as the material component, we are at around 78% to 79%, and that's how we should look at it. But at a gross margin level, it is primar ily on account of the product mix, what you see.
Bhavya Gandhi: Fair enough, sir. Is it possible to guide on a full year, what is the revenue that we are targeting and EBITDA? I know there are new capex coming from Q3 plus some tariff sharing that we are looking. At least if you can quantify the tariff sharing number at least. So, if that 7%, 8% is the incremental cost to the end cons umer, what sort of burden can we expect on our books because we'll be squeezing our raw material suppliers as well. So net, what should be the impact?
Siva Ganapathi: So, we don't provide guidance. We are in volatile waters, but we are very, very smartly navigating some of those. As far as tariff burden management, the worst case, earlier, we had clearly restricted it to H1 only with no impact on H2. But now that a fairly steep tariff increase is being proposed, and it all depends on, right? At the moment, it looks like 25%. We don't even know whether it's going to go up, go down, etcetera.
So it's a bit hard for us to place a number. But my sense is that the burden that got placed on us in H1 could probably extend itself to H2 as well, which is about 2% to 2.5% of our revenue. But that's where most likely we will end up with. I don' t think large bulk of the tariffs can be absorbed by the supply chain, whether it is by us or our fabric suppliers or yarn suppliers. So, it's going to be difficult. All this will play out over the next several days.
Moderator: We have our next question from the line of Prerna Jhunjhunwala from Elara Capital.
Prerna Jhunjhunwala: First question is on capacity. Given that you have restricted any further announcements of capacity addition, I would like to know post this ex pansion, what will be our capacity, what will be revenue generation capacity of the total company? And what kind of volume impact are we foreseeing that we are halting any further announcements?
Siva Ganapathi: So, the revenue generation capacity of the Indian expansion will be to the tune of INR400 crores per annum. And the African expansion would be to the tune of about INR100 crores per annum.
So that's about INR500 crores. So, this is the expansion, which is already underway, that's the revenue that can come by. We also have usually a 3% to 4% productivity increase Y-o-Y on all our existing factories, thanks to automation, improved process, et cetera.
So that benefit will also kick in, in terms of incremental capacity, which we will unlock from our existing facilities, right? So that's an easy math you can do on a base of abou t INR3,500-odd INR3,000 crores- INR4,000 crores, 3% is also another about, INR100 crores, INR120 crores that we will get. So that's the kind of growth -- capacity growth that we've already baked into the system.
And rest, we will wait and see how to plan based on tariff, as well as the FTAs with U.K. once it kicks in early next year and EU FTA, which is work in progress. So we'll look at all of these and then take further calls on further capex expansion. We do have a strategic plan on capex


expansion. We've

just put it on hold. We have several opportunities in our hand, and we will take a call on some of those options as we go forward, looking at the market conditions.
Prerna Jhunjhunwala: Sir, my second question is on BT BRSL acquisition. Just wanted to understand what is the incremental cash outflow that will have to be done
Siva Ganapathi: We have already paid around INR73 crores for the equity purchase, including the one which we have communicated yesterday. And approximately another INR490 crores is the total requirement, which we may have to pay to complete the transaction.
Prerna Jhunjhunwala: But how much is the cash component...
Siva Ganapathi: The cash component, we expect around not more than INR70 crores, INR75 crores approximately, but these are subject to the scheme and whatever the work. It's work in progress, Prena, but we intend to keep it to as low as possible and the rest in equity.
Prerna Jhunjhunwala: Understood, sir. So just total acquisition cost would be around INR500 crores or INR600-odd crores. That is...
Siva Ganapathi: INR500 crores INR600 crores... Earlier, we had projected INR588 crores. It's coming down to about INR552 crores.
Moderator: We have our next question from the line of V.P. Rajesh from Banyan Capital Advisors.
V.P. Rajesh: So, my two questions are, one, you were talking about that most of the 10% hike was absorbed by the supply chain. So, if you can just break it down further as to what went into the fabric versus the spinning guys versus you, that will be helpful.

Siva Ganapathi: So at a broad level, so it all varied from customer to customer. So, if I have to average across all customers because that's the best way to look at it at the moment, it will be 5%, 2.5%, 2.5% - 5% at the retail level, 2.5% at the apparel level, 2.5% at the downstream supply chain, downstream to apparel -- rather Upstream to apparel. So, the fabric and this spin and everything, yes.
V.P. Rajesh: Right. And my second question is, and maybe this is too early, but as you see, assuming the rates are where they are for the tariffs, is there a particular geography that starts becoming more interesting for you to look at to acquire a manufacturing facility or sort of start thinking about greenfield operations?
Siva Ganapathi: For us, if you look at greenfield or I mean, incremental expansion, et cetera, prior to this round of 25% tariff, India was looking extremely attract ive. And why I'm saying this is all of this currently -- there are strong positions being taken on both sides, but we still have to wait where the tariff ends because even a month ago, we were hoping that our tariff would land at about 15% as opposed to rest of the world, which would be at around 20%.


So we were to have been in an advantageous position. This was a week ago or 10 days ago position. So, I still feel India is still an attrac tive geography, but let's wa it and watch as to see where we land finally. So, from a future perspective, I wouldn't rule out Bangladesh. I would certainly keep Africa and several other countries, including Egypt, in the equation for future growth.
Central America is not a bad deal, but there are a lot of constraints and a lot of countries which are not doing well or have high cost of operations. So, we are exploring the world for future possibilities and operations. We have even done some amount of groundwork on some of these things. But let's see how tariff will append everything as it has got a distortionary impact on relative country advantages. So, we'll wait to see how that settles down in the meanwhile. As far as Europe is concerned, Europe and U.K. is concerned, India is becoming very attractive. So, India will continue to be a focus area for us.
V.P. Rajesh: Right. And one quick question. What was the contribution from U.K. and EU in Q4?
Siva Ganapathi: Just give me a moment.
V.P. Rajesh

: No problem.
Siva Ganapathi: In Q4 is about 11.6%. 15%.
V.P. Rajesh: I'm sorry, say that number again, please?
Siva Ganapathi: 11.6% in Q4, which has gone to 13.4% in Q1.
Moderator: We have our next question from the line of Saumil Mehta from Kotak AMC.
Saumil Mehta: Sir, 2 questions from my side. First, in terms of you guided for INR500 crores of additional revenues, INR400 crores of which will come from India and INR100 crores from Africa. When do you start a high utilization? I m ean, will that be entirely FY '27 or part of that will come from second half FY '26 onwards?
Siva Ganapathi: .So most of these capacities come on stream in the third quarter of this financial year. not most of it, all of it are coming in the third quarter of this financial year. The ramp-up will start. And I think it will take a year before it yields that revenue. So, if I have to reach the INR500 crores run rate, I would be probably hitting that in the th ird quarter of next financial year. That is third quarter of FY '27. I will be at the run rate of INR500 crores. And between this third quarter and next third quarter, we'll be on a ramp there.
Saumil Mehta: Okay. And since the further capex at this point in time, you are kind of reevaluating, would it be a fair assumption that FY '28 re venues at this point in time will be fairly muted? Obviously, things will change. But based on the announcement today, what you have, FY '28 can be a kind of a weak revenue year for us?


Siva Ganapathi: I wouldn't characterize it that way because we have a strong plan for capacity addition. All the plans are with us. It's just that we are not acting on it. So, we're waiting for a month or so to understand how that settles down so that we have absolute clarity. We don't want to make mistakes in making our capex choices. So, we are waiting for clarity on some of these matters. Having said that, there are several ways in which we can address some of the capacity challenges. So apart from setting up greenfield units, which most of these new units are, with the exception of the African one, which is a brownfield. So, in Africa, we can continue to do more and more brownfield expansion since we have the capacity growth opportunity there in our existing factories.

In India, we also could look at leasing factories, buying factories, not acquiring, but like just buy a factory and start the facility. So there are severa l ways in which we can short circuit the process of setting up capacities, and we are open-minded about everything. So we will take a call as we go along. We don't want to jeopardize FY '28 growth. That's absolutely not the intent.
And we will be waiting for a few months before we get some clarity. I feel that 3 months from now, we should be in a much more clearer position as to where the tariffs are, how is it going to impact the business and hence, what's the growth strategy that we want to pursue.
V.P. Rajesh: Fair point. And my second and last question to Sathya, sir. He mentioned about a INR15 crores impact, which was netted from revenues. So fair to assume adjusted for that, the revenues would have been INR992 crores and the adjusted EBITDA would have been about INR134 crores.
A Sathyamurthy: Right.
V.P. Rajesh: Okay. So in that case, the nominative margins will be 13.5%, right?
Siva Ganapathi: Yes. But then you should also take out that one time INR9 crores we got as a capital incentive, right.
Moderator: We have our next question from the line of Aashish from InvesQ PMS.
Aashish: Yes Sir. So quite informative call till now, a lot of strategic questi ons get answered. So, sir, just to understand this correctly, if the settlement on the tariff front, whatever noise has to come and whatever increases have to happen, if it settles down in the next 3 months maybe. So should we assume that 6 months beyond that, whatever absorption on the

retailer end and the customer end,
and your suppliers and that should be a good time line to understand that things get settled down and probably business starts coming back to normalcy in terms of a real year-on-year kind of strategic priorities and profitability gets reinstat ed to the current profitability, which was there in last year. So, is that a good assumption to make?
Siva Ganapathi: I feel starting next financial year all this noise will be behind us. We would settle down into a new equilibrium and start working forward. These kind of disruptions can't last that long. So already, we are 6 months into it. And maybe this will -- maybe 4, 5 months into it, right -- started


in April, and tariff has been dominating the narrative from April all the way through to mid-August now.
So, I think by the end of this year, most of this will settle down at a certain level. And starting next financial year, we will be clear on how th ings are where the relative tariff across regions and what are the plans to absorb it, how much to pass on to the customer. See, at the end of the day, all of this will have to be borne by the system, right? I mean, by the customers.
There is only so much the supply chain can absorb either through efficiency or through onetime margin hits. So, this is all an adjustment process in the interim, but the tariff will get settled by next financial year.
Aashish: But we -- as Gokaldas, we are clear that geographical realignment if needed to bring in the ROIs which are justifiable by the busi ness which is turnover asset tu rns and the profitability. Based on that, the ROIs will be geographically, I mean, prioritized. I mean, how you do business beyond that, right? I mean I'm just trying to understand whether the business comes back to the similar ROIs as we were delivering in the normalcy before all this started.
Siva Ganapathi: So, the endeavour will clearly be that, right? So, we also hope that we will be able to do that.
Everything depends on what is the U.S. tariff, final tariff, correct? And our ability to ramp up in other non-Indian regions, which we at least have the potential to today, almost like 22%, 23% revenue comes from Africa, where I do see a good potential going forward. I also see a good potential for U.S. EU and U.K. And I somehow feel that at the end of the day, it's shown of all this big noise, eventually, the ta riff with U.S. will also settle down. So, we will get down into the normal rhythm of delivering ROIs, et cetera, for next financial year.
Aashish: One last thing. Since we are maybe 25% tariff now versus maybe Vietnam and Bangladesh, 20%. So, if this goes to maybe 30%, so how does the metre in terms of India's unattractiveness increase with this increase in tariffs? If it sett les at 25%, how are we supposed to compete? Are we competitive enough? Or if it goes to 30%, we have very less chance of competing? How does one read into that?
Siva Ganapathi: So, if I look at 25%, I would have preferred 20% to 25%, 15% to 25%, obviously, right? That goes without saying. But 25% is also not that bad, right -- because it's all relative. It's only 5% higher. It is something that we can deal with. 30% will certainly have certain disadvantage vis-a-vis some of these countries. So, we will have to deal with it. We'll have to see how do we combat that, how can we further reduce our costs to make our margins more sustainable because otherwise, there is a possibility that business may look for other destinations.
Even though I would say nobody is looking at in creasing further output from Bangladesh simply because of the geopolitical situation there. The cost of labor in Vietnam and all are increasing only. So it's not like you can add further capacity in that region. So I'm not seeing too many

options for brands coming out of all of this.


So what will happen if 25 goes to 30%, yes, I mean, the volumes may come down for India. So we may have to realign how do we see growth at least to the U.S. market. But at 25%, I don't see it that disruptive. At 30%, I see it disruptive. We'll have to see where it -- and again, it depends on how long it sustains there. So we'll have to see that.

There's another factor, I'm sorry, before the next question happens is that what -- how does this impact end consumer demand because the 20%, which I did allude to, right, even though it gets somewhat passed on to the customers, there could be some initial phase reaction from consumers slowing down purchases, et cetera, with some of the retailers may have to contend with.

So we will see that retailers like Walmart, et cetera, may thrive in such a market because they do have sharper pricing because the product profile is that. Fast fashion may also thrive, little premium product customers may have some challenges, especially with higher price points. So some amount of those pivoting also, those realignments will also have to be done. We are all working on that.

Moderator: We have our next question from the line of Sukh Patil from Fintrade.

Sukh Patil: First of all, I would like to cong ratulate you on doing superb business in these harsh conditions also. And my question is with Q1 with Q1 revenue growth moderating and global demand cycle remaining uneven, how is Gokaldas exports positioning itself for structural growth over the next 3 to 5 years? And are there specific plans around capacity expansion, client diversification or entry into new product that can -- that could drive scale and margin growth?

Siva Ganapathi: Thank you. So, I've answered many of your questions so far. So, in the interest of everybody, I don't want to repeat all of that. But broadly, what I'm saying is that, look, there are many countries to which we can export to, and we will continue to focus on that. There are countries like U.K. and maybe regions like EU where we may have a future FDA. We'll have to wait and watch for that. But if that happens, that opens up fairly attractive markets for us to also cater to over the next 3 to 5 years.

Our journey of capacity addition in low-cost re gions will continue. We also have the ability to produce out of low tariff regions, thanks to our diversification outside of India, and we will continue to work on that. So we do have the management bandwidth and the ability to expand elsewhere as well. So those are all under active considerations.

So we have to look at this as a global business, not just as an India business, India sourced business. We have to look at opportunities all over, and we will continue to find opportunities which will allow us to grow and deliver the EBITDA margins for ourselves over the next 5 years. So all the strategic investments are aligned with that.

Moderator: We have our next question from the line of Shubhkaran Gupta from Equity Capital.


Shubhkaran Gupta: Actually, my question was just around customer discounts. So can you explain like what is the range of customer discounts you've taken for the next quarter and for the current quarter? And then just probably with an example, if you can help us understand, that will be good?

Siva Ganapathi: So, our average -- so discounts vary from customer to customer. And our average -- and these discounts are only applicable to U.S. shipments. So, our discounts to U.S. shipments are of the order of about 2.5%. So that's how we have architected it for the second quarter as well. For third and fourth quarters, we don't know yet.

My earlier anticipation was that we will not pass on any further discounts from the third quarter onwards with the hope and expectation that globally, the tariff will settle down and the end consumers will start absorbing from '26 onwards because

that's what we will produce from Q3.

But given that the tariff is goin g up further, there's a possibility that this percentage may well continue into the second half of the year as well. But then we don't know how it's going to pan out. Those discussions are yet to happen as these tariff announcements are very new, the 20%, 25% tariffs. So, it has to settle down before we have absolute clarity on what are the discounts, if any, in Q3.

I feel that earlier, I was reasonably confident there won't be any discounts, but now I'm reasonably confident that there will be discounts given that the tariffs are coming in higher. But I guess from the next year onwards, they will go away. But in the second half, there could be --

at the moment, if you ask me to hazard a guess, it will be 2.5%, but it's my guess with very limited data points, things are changing every minute, so we will have to see.
Shubhkaran Gupta: Got it I have another question. So, you said that margins have increased by roughly 300 bps, right, 3% and then a customer discount of around 2.5%, which is roughly 550 bps. So just wanted to understand what has led to this roughly 5.5% of margin expansion?
Siva Ganapathi: I reiterate that there was a INR9 crores of capex incentive that we got. So, you could adjust that here as well. Some of this is coming from our acquired entities' better performance. We have been working on improving their operating performance, and that's on an upward trajectory as we speak. So, some of that is flowing through. And I think starting third quarter -- second quarter is generally traditionally weak for our industry. But starting third quarter, we will start seeing even more of this coming in.
Shubhkaran Gupta: I also just wanted to mention one more thing. The way you answer questions is really, really good, sir.
Moderator: We have our next question from the line of Pulkit Singhal from Dalmus Capital Management.
Pulkit Singhal: So, first question is on BTPL. By when do we expect the INR1,800 crores of turnover? And for any incremental, let's say, INR1,000 crores in that entity, how much capex is required?


Siva Ganapathi: I think BTPL, we would expect it in FY '28. I would say INR1,600 crores to INR1,800 crores. FY '29, we'll probably exceed that, but probably expecting it in FY '28. What was your second part to that question?
Pulkit Singhal: How much is the capex required for any, let's say, incremental INR500 crores in BTPL?
Siva Ganapathi: No, to hit INR1,800 crores, I don't think we will need more capex than probably INR100 crores. That's the max we would need.
Pulkit Singhal: I'm saying beyond that?
Siva Ganapathi: Beyond INR1,800 crores?
Pulkit Singhal: Yes.
Siva Ganapathi: Beyond INR1,800 crores again, it depends -- so for every INR500 crores, since it will be all a lot of debottlenecking, brownfield expansion, et cetera, et cetera, my sense is we should be at about INR150-odd crores or INR200 crores, not more than that.
Pulkit Singhal: Understood. Second question is purely on the capital structure. So far, we have funded all these acquisitions through equity, and we are keeping net debt at 0. We have close to INR2,000 crores now of equity on the books. Why are we hesitant on taking any kind of debt? We can easily take INR500 crores of debt and still be in well -- very low leverage ratios and it can help improve return on equity once we achieve double-digit ROCEs.
Siva Ganapathi: I'd like to differ with you on this, Pulkit. We are in geopolitically volatile times. And we need to conserve cash during such period. If it were a steady-state environment that we are in, where we have absolute clarity on the economic environment over the next 5 years, what you say makes absolute sense. But in an environment where there is policy announcements, which are all over the map, global situations which are way beyond our control, we woul

d rather conserve -- we are on a high-growth trajectory. And we can always use the excess cash that we have for capital growth because we want to put in capital for growth. For the mo ment, we are prioritizing this simply given the volatility that we see in the marketplace.
Pulkit Singhal: Right. So my question was not about the current situation. I think our decision has been like this for the last 4 years. And even for the next 3 years, whenever clarity emerges, some amount of that can only help improve return on equity share.
Siva Ganapathi: That for the last 3, 4 years, I don't know how y ou saw it, but I saw volati lity written all over the last 3 years. So we've seen the Ukraine war. We have seen post-COVID a surge in volume, drop in volume because of excess inventory with our retailers. We have seen supply chain getting frozen because of shipping challenges. We've seen undercutting by certain countries and so on and so forth. So, there's been lots of disturbances over the last 3 years. And that's been one of the reasons why we have been extremely conservative about some of our financing.


So, we were very aggressive when it came to growth and when it came to pursuing new opportunities or setting up capex. But we were extremely conservative when it came to financing it simply because we saw an extremely volatile world even 3 years back. And I think that's playing out even now.
Pulkit Singhal: Sure. No, I just want the return on capital and equity measures. I mean, they have almost halved...
Siva Ganapathi: My sense on this Pulkit is, I think there is -- obviously, we would also like to see a return on

capital of 20% because that's an internal goal that we are working with. And I think that's the
place we will reach probably by end of this decade for sure. Having said that, in a growth phase, we have to determine what is the priority?
Is ROCE the only priority or should we prior itize growth and let go some of the ROCE. So even
today, we have a lot of investments which are not yet contributing to revenue. So, some of the
investments in BTPL, which we have not even factored into our top line or because we are not amalgamating that entity. And as and when we take that final call and go through the process,
that will come in.
We also have a lot of capital work in progress, which are going on. Our net investments is yet
to fully play out, but it will play out over th e year. So there are several of those investments
which are not yielding returns, which are all depressing our ROCE. But again, it's a question of
prioritizing growth versus ROCE. It's a philosophy. I think we've taken a stance that, look, we
will prioritize growth for now.
We see opportunity for growth. And when we see an opportunity for growth, we will go for it
all out. It may come at the cost of ROCE for -- in the interim, but we will build back the ROCE. So it's not like we're taking our eyes off the ball. It's a conscious plan to let it slide a bit before
we pick it up while we prioritize other KPIs. All these KPIs don't move in tandem.
Some of them will move up, some of them will move down depending on the positions and
strategies we choose. So, we have -- this is what we have chosen for ourselves. And we are
hoping that once the tariff thing settles down and we get back into a growth rhythm, we will be
building up -- building back on the ROCE. Some of those investments w ill start playing out and
will yield disproportionate profits as well.
Moderator: We have our next question from the line of Palash Kawale from Nuvama Wealth.
Palash Kawale: This call has been helpful. Sir, my question is where do you see this contribution from Europe
and U.K. settling down in, let's say, by FY '27...
Siva Ganapathi: FY '27, I would like it to be in the 20s, if we can. We can't dial up that fast. So, it has to be a
progressive effort. We are at about 13%. W

e should see that growing. I would say in the 20s, mid-20s will be a great position in FY '27. Again, everything depends on how the U.S. tariff
comes in. If there is some adversity ther e, then we will probably do even more.


Palash Kawale: Yes. Okay, sir. And sir, possible to share the volume breakup of stand-alone and acquired
entities?
A. Sathyamurthy: It's 6.96 million in stand-alone and 3.7 million in Atraco, Matrix is about 2 million. Total about
12.6 million is the volume.
Moderator: We have our next question from the line of Yash Tanna from ithought PMS.
Yash Tanna: While a lot has been discussed on the U.S. tariff s, the question is again related to the earlier
participant who mentioned that currently, we are, let's say, at a 5% higher than the other competing nations, right. So, FY '26, you saw that impact and you will see that impact. But going
ahead, does the risk of India being not attractive become a big risk for you as a company? So
that was the first question.
Siva Ganapathi: Okay. So 20 days back, India was the most attractive country. And today, it looks like an
unattractive country. If I look at the 2024 calendar year, there was a survey done with all the U.S. retailers as to which are the countries where you will expand your sourcing from. This was
last year's survey done by a very credible source. And overwhelmingly, everybody said they want to step up India sourcing. And Bangladesh came number 2. China was negative.
They said we will reduce our sourcing. Vietnam was somewhere in the middle, and India was
the most favoured nation from a sourcing standpoint. So why I'm saying all of this is that things
can change on a dime. And at the moment, the tariff looks unattractive. So, we have to see how
all these things play out over a period of time. We will have to remain agile over how the
situation unfolds and where we will start expanding.
I don't see India's attractiveness going down, if you ask me. Short term, there could be various
scenarios playing out. Long term, our attractiveness is not changing. We have the labour. We
have the capacity. We have the fabrics. We have the infrastructure, the ports, et cetera, to continue to serve and $16 billion worth of exports cannot be yanked off and taken elsewhere.
That's too high a number to go to some other country.
So I don't see much changing for India. So, it will remain an attractive place. There could be
some loss of sheen. So, hitting a speed bump and reducing our speed in the interim, but we will
have to again catch up the speed going forward. So that's how I see it.
However, a prudent strategy demands that we look at more geographies for growth, which means
where else can I look at long-term growth? There could be opportunities in Bangladesh. We
were flirting with it. We put a stop to it when we saw geopolitical situation going against us. We

will wait until some of those elections are played out there.
We can look at options in Africa, which are all under active consideration. We can look at options in Central America. There are several other options which will come to play. And again, we will be open-minded about taking so me of those options as we go along.


Yash Tanna: Right, sir. But those will be for the incremental capital allocation, right? The current capital allocation that we have already done in India and we have used capacity. How do we plan to utilize that in case the tariffs go above, let's say, the 25% rate...
Siva Ganapathi: Again, it's very difficult to say because we are stil l discussing the hypotheticals, right? So if the tariff goes to 35%, 40%, 50%, that's a different story, right? I mean that makes it pretty much -- some of our capacities will be unviable, especially in high-cost regions like Bangalore. But our capacities in Bhopal, for instance, in

Ranchi, for instance, they are able to deliver Bangladesh like cost or near Bangladesh like cost.
They will remain very competitive even in those scenarios. So it all depends on where in India is, we will have to realign some capacities even within India to some of those newer geographies, which will yield a better margin to offset higher tariff.
So it depends on where the tariff lands. My suspicion is tariff will land at around 20% for everyone, which is the average for many of the supplier countries. But again, it's all a guess at the moment. We will see. We don't want to do anything in haste.
Obviously, depending on how the tariffs are, how the cost structures are, we will do some sort of realignment of capacity, which then brings its own set of challenges because bringing on new capacity while realigning some capacity from a high-cost region can have certain short-term impact. We'll go through that as and when we have the need to go through that. We don't believe that the time has come fo r that at the moment.
Yash Tanna: Sure, sir. Got it. So fair to as sume that if the tariff ranging from 20% to 25% for all the company or all the nation, then fair to assume that we won't be at a disadvantage. It is just a speed bump. And as that settles in, we'll be looking for growth and th ere will be no further problem.
Siva Ganapathi: Yes, with the caveat that 20% would be better than 25%. It gives a 25% is not as great. But having said that 20% to 25% would be okay. We can weather it. It's a speed bump, and we'll move along.
Moderator: We have our next question from the line of Bijal Shah from RTL Investments.
Bijal Shah: Congratulations on a commendable performance in Q1. I mean it was much better than what it could have been in such an environment. My first question is on BTPL. So just trying to understand that what will be to tal capital employed at BTPL when you acquire and when you reach the full capacity? Are you taking over any debt? And what kind of working capital investment eventually needs when you ramp up the capacity to 90%? That's question number one.
Siva Ganapathi: Should I answer that or wait for the next question as well?
Bijal Shah: Yes, yes. Okay. So next question is on, I mean, on e of the largest exporter is China. And till now you had a duty disadvantage vis-a-vis China, not disadvantage, but duties were same in. So right


now, it is at 30. So if you have some advantage over China, does it really help because China is the largest exporter. And as you me ntioned that people want to move out of China. So that itself could be a very enormous volume and even with 5% duty differential, can you really ramp up your capacity significantly maybe in 2 years' time?
Siva Ganapathi: So China exports about 150 billion. So that's no t a small change. They ar e pretty large in this business. But a 30% duty in China, which is on top of a 20% duty, which was imposed on them earlier, which they absorbed. So it's a high duty structure on China. Having said that, China is an opaque country. There are mechanisms which Chinese companies have to defray some of their costs. They get a lot of support from the local governments there to sustain operations.
They also prioritize scale quite a bit for their growth. And hence, they can -- their ability or wherewithal to absorb such tariff in the medium run is much higher than Indian companies. So would China remain a formidable competitor at 30% vis-a-vis India's 25%? Answer is yes, right? Chinese companies have a very different economic outlook when it comes to doing business. So I don't see us having a large advantage, 5% advantage can be offset in my opinion, with China. If we were at 20%, definitely, I would have said that we have a good advantage over China. So China will shed. China's shedding will go to Africa. I'm already seeing a lot of Chinese entities

setting up sh

op in Africa, and they will start growing in that region, just like we would. I'm also seeing China looking at other Asian countries for growth opportunities, even though many of
the Asian countries are becoming very expensive. So we will have to see how China pivots.
At 25%, there are still, as you said, with China, we will have some advantage in some areas.
China's labor cost is going up. Now it's almost to the extent of $525. So forget that we have a
labor cost advantage. So there are some levers which we have too, which we will have to play
to our advantage. And one of the disadvantage we have vis-a-vis China is lack of synthetic
ecosystem, which is one single biggest weakness India has. So China today dominates that space, China and Vietnam because they have the synthetic fabric ecosystem. So there are certain
advantages they have and certain advantages we have.
But the market is large, it's $500 billion. It 's still growing at about 2.5%- 3% CAGR. So every
year, there's a good chunk of $10 billion, $15 billion being added to the market. So there are opportunities coming our way and which we shoul d target. BTPL the capital employed is BTPL,
the total capital employed will be about INR1,000 crores to INR1050 crores in a steady state
with all the investments what we have planned and including the loan books what they are carrying at this point of time.
Bijal Shah: Okay. And that includes the working capital?
Siva Ganapathi: Yes.
Bijal Shah: Yes. And just last small bookkeeping. So when you are paying around INR575 crores, that is
the equity. Is there any debt being taken over along.


Siva Ganapathi: Is there a debt we will be taking along? Yes, they have a debt of close INR180 crores in working
capital debt and any other debt? Total INR220 crores...
Moderator: We have our next question from the line of Vishal Mehta from IIFL Capital.
Vishal Mehta: So, with the volume numbers that you just gave, the volume seems to be down almost like 25%
Y-o-Y. They are considerably down even if you probably consider 4Q FY '24 levels. So obviously, your realizations probably would have inched that much high given the flat revenue
growth. So is there such a drastic change in your product mix this quarter
Siva Ganapathi: What happens is in Q1 and Q2, we typically produce a fall and holiday season or fall and winter
season. So these are the times when we produc e outerwear and outerwear products have much
higher minutes required to produce one garment. So if you look at an outerwear jacket, which is a very complex garment as opposed to, let's say, a lady stock, which will make for spring or
summer, we can produce 4, 5 garments in the spring, which will take the same effort to produce 1 jacket.
So the number of garments that we produce in Q1 and Q2 usually tends to fall and FOB per
garment tends to go up in Q1 and Q2, which reverses in Q3, Q4 when we get to spring and
summer production. Average realization is INR692 as against INR510 last quarter.
Vishal Mehta: Sure. So when I'm comparing it with Y-o-Y, because you had this air freighting of Atraco
volumes in 1Q of last year, where you would have probably sent your summer production or
spring production. So that is the reason you r realizations were lo w in last quarter?
A Sathyamurthy: Realization is not impacted due to air freight. The sales realization is based on the product mix.
Air freight is reflected under the expenses. Yes, the mix of summer and spring volumes have lowered the re alizations.
Vishal Mehta: Yes. Okay. Okay. Fair. And next is one last question on your knits fabric external revenue this
quarter, what would it be? And how is the utilizati on currently trending in that unit? And what's
our internal consumption that's happening there?
Siva Ganapathi: I think the utilization is close to 20%- 25% only. It's on a ramp-up. It's largely internal
consumption that we ar

e we're using it for. We are not doing any substantive external revenue. So the contribution from that at the moment is negative. I think it will continue to remain
negative till third quarter of this financial year. It is on a ramp as we speak. And during this period, its contribution to the bottom line is actually negative and its external contribution from
a revenue perspective is not significant at all.
Vishal Mehta: Okay. And last question, if I may ask.
Siva Ganapathi: Yes.


Vishal Mehta: Yes. So just on BTPL, you probably said that the utilizations have been rising year-on-year. But
if I see your filing on BTPL that you have done, the revenues have actually fallen from INR635
crores in FY '23 to INR371 crores in FY '25. So that's solely to do with the commodity price ?

Siva Ganapathi: No, FY '25. So we have invested this in June effectively started really yielding the results from October onwards '24, right? So last year, the company actually before we invested, the underperformance had started pretty significantly. So in the H1 of FY '25, their revenues have fallen dramatically. And then we started building up and all that buildup came in the fourth quarter of FY '25. So yes, when you look at FY '25 full year, you will see the numbers to be actually pretty bad. Come FY '26, you will start seeing an uptick there.
Moderator: We have a follow-up question from the line of Raman from Sequent Investments.
Raman: I just wanted to understand what's our current U.S. market share from the revenue?
Siva Ganapathi: U.S. market share is about 72%...
Raman: 72%. And what was this in the last quarter?
Siva Ganapathi: Last you mean Q4?
Raman: Yes, sir.
Siva Ganapathi: Q4 U.S. was also in th e similar range, 72%...
Raman: And sir, by the end of this year, how much are you expecting this share to come down?
Siva Ganapathi: It all depends. As long as we are getting orders, we have no problem with U.S., right? If we do get margins, in fact, we like U.S. market more than any other market, simply because it's a homogenous market. We get good runs. We work with top customers there. We have a fairly good order book from U.S. customers at the moment.
So we don't have a problem with U.S. It all depends on tariff and margins. So we'll go purely from a financial standpoint. And if we find that tariff is high margins and consequently, we have to absorb some margin on account of that, then we may reduce our U.S. business in favor of European business.
So while our strategy is to increase European business, we are not consciously trying to knock off U.S. It will be a financial decision as we go forward depending on how all these things unfold. Where do I see at the end of this year, maybe 70%, maybe 65%, we don't know. It's very hard to speculate at the moment. And keep in mind that $100 million, which gets sent out of Atraco or the African unit, there, there will be no relative disadvantage. So that should continue to the U.S.



Raman: Yes. That was my follow-up question. Like 72% of the consolidated revenue is from U.S.A. How much out of that is the split between revenue from Africa entity and the revenue from Indian entity?
Siva Ganapathi: So Africa, 100% is to Unite d States. Then we can do the balance for India.
Moderator: We next have a follow-up question from the line of Bhavya Gandhi from Dalal & Broacha.
Bhavya Gandhi: Just wanted to understand on the Bombay Rayon, what would be the consolidated number that will get added for FY '26 and '27?
Siva Ganapathi: For FY '26, we anticipate nothing. If we go with the plan of acquis ition, then it will materialize only in FY '27 and most likely somewhere in Q2 FY '27, if things happen. So we may have a revenue of about INR800 crores, INR900 crores in FY '27. Everything depends on how the NCLT process go, if we de

cide to do the acquisition and all of that. And FY '28, as I said, we will be anywhere between 1,500 to 1,800 tops
Bhavya Gandhi: Perfect. Just on the EBITDA, if you can just help for Bombay Rayon addition
Siva Ganapathi: EBITDA should be of the order of 12% or north of 12%. For the purpose of this discussion, we could assume 12%...
Bhavya Gandhi: For '27 as well?
Siva Ganapathi: Correct.
Moderator: We have a follow-up question from the line of Prerna Jhunjhunwala from Elara Capital.
Prerna Jhunjhunwala: Just wanted to check with you on the tax rate that the U.S. government is asking if the value chain is not indigenous, so do we still benefit by sourcing from India vendors only while avoiding Bangladesh because Bangladesh supply chain is dependent on China?
Siva Ganapathi: So, the country of origin rules are a bit unclear at the moment because this tariff, they are also talking of transshipment. And they 're saying that, look, countries where they do transshipment, like Vietnam does a lot of transshipment from Chin a. So they're going to impose a heavy tariff, like 40% tariff or transshipment. So we don't know what the COO rules are.
So depending on -- if it's only 40% value addition rule, then many apparel manufacturing destinations can even get away with fabric bein g imported. But otherwise, imported fabric may attract some incremental duty, 40% duty. And if that negatively impacts Vietnam, there is an added advantage, which may come towards India because we still have a lot more fabric indigenously produced.
So almost like 67% of the fabric that we consume are all domestically produced. And we have the ability to pivot more and more to domestic fabric if required. So a little bit of lack of clarity on some of these rules of origin at the moment.

Prerna Jhunjhunwala: And sir, just one more clarity I wanted on margin impact. You are talking about 200 to 250 bps impact for the annual impact? Or is it for next 3 quarters on a Y-o-Y basis?
Siva Ganapathi: So earlier, I was thinking of that impact only on H1, but now I feel, but it's too early to comment because we don't know how the current tariff will play out in the H2 of this year, right? So I feel that if I have to hazard a guess, maybe take a 2.5% impact for this financial year FY '26. But everything is subject to how the U.S. tariff is implemented in the second half, what number we come up with finally.
Prerna Jhunjhunwala: Understood, sir. But is there any possibility of sharing any further cost with the U.S. Because this would -- at 10% also, as suppliers, the cost is too high. So further sharing of tariff, is it possible?
Siva Ganapathi: Difficult to say, but let's look at most of the countries, they have come at 20%, right? So when I'm saying this 2.5%, this is across the world. So even Vietnamese players, everybody has this. So now if somebody comes and ask for another 10% and how do you share that additional 10% between 10% and 20%, chances are that the supply chain may not have the wherewithal or the ability to handle this.
So that needs to be passed back to the consumer in some form or fashion, right, either spec down the garment, so bring the garment price down by 10% by de-specing it so that you're combating tariffs. So, give the same product at post tariff same price by reducing the value of the garment or pass on a price increase to the consumer or do a combination of both, which is what most retailers will end up doing.
So, chances are that the supply chain can absorb and will absorb on ly this level, and the rest will happen by modifying the product itself and changing the price tickets. Remember when the tariff was put in April, most of the brands did not have the ability to change the price tickets. Now that it's all part of norm, there is an ability to plan and do the pricing changes accordingly. So, some of this will play out as we s

peak.
Moderator: We have a next question from the line of Gunjan Kabra from Niveshaay Investments.
Gunjan Kabra: So, one thing which I wanted to understand is that, for example, we don't know what the tariff structure will be. So if it goes beyond the 25% or 30% or whatever number, then do you think that when the Bangladesh and Vietnam have a very competitive tariff rate with respect to us, then do you think the part of the value chain of yarn and the fabric players will stand to benefit and export more to Bangladesh and Vietnam from India or that should not be the case?
Siva Ganapathi: I think there is an export of raw materials from India to Bangladesh that is much higher. I don't think there's as much Vietnam. And Vietnam has got abundant supplies coming in from China.
So, I don't think are going to look at India as a source of fabric. Vietnam also does a lot more synthetics and which is not the strength of Indian fabric providers. So yes, to Bangladesh, will it increase exports? I think it -- Bangladesh is at 20%, we are at 25%. It doesn't move the needle



much. So yes, it may result in some movement, not a whole lot. It's -- I wouldn't call it a substantive change in that sense.
Gunjan Kabra: Okay. And what would be the proportion of goods that come in the transshipment category in Vietnam, for example, how much is that can garner 40% and a follow-up to what Prerna also asked. So how much is that getting done through transshipment, exports of garments done through transshipment and or the proportion that is being manufactured in Vietnam itself that can have 20%...
Siva Ganapathi: So, these are all opaque stuff, which we don't have visibility towards. At the moment, everything is denominated as country-of-origin Vietnam. As the rules are implemented, we will know how much of China product is actually flowing through Vietnam. Difficult to hazard a guess, Gunjan, so can't say. But what U.S. is saying is that they are going to be very strict about some of these checks -- we don't know what mechanisms they have put in place to check this. So, it's all difficult to say that.
Gunjan Kabra: Okay. Okay. Got it. And Sir, like just generally, what's the like average cost differential between the product that is being exported by Bangladesh and us. For example, initially, there was a 35% tariff and now it's 20%. So exactly between In dia and Bangladesh, what's the cost differential apart from whatever tariff is there for garment.
Siva Ganapathi: So, let me say that from pure cost, pricing is market determined. And pricing, people look at landed duty paid, what is the price based on tariff based on, et cetera, right? A retailer wouldn't care whether you're sourcing it from Bangladesh or India as long as the quality is the same,

where am I getting at a better price is all they look at. So, from a cost standpoint, Bangladesh retailers do enjoy a cost of labour advantage. Against our $200, they are at $150.
So that would disturb upon them, say, 6% EBITDA margin. But they do have a challenge in terms of infrastructure bottleneck, additional cost of fabrics coming from India, et cetera, which will offset about 1.5%, 2% out of that. So, they do enjoy a 4% cost advantage over India or a 4% incremental EBITDA, which a Bangladesh retailer can get over India. Does that help?
Gunjan Kabra: And with respect to Vietnam.
Siva Ganapathi: With respect to Vietnam, it's a little more comp licated because Vietnam cost of labour is much higher. It's close to $300, $320. And again, depending on where are. And the fabric prices, most Vietnamese companies, they get fabric from China. And many of the Vietnamese companies and companies are actually of China origin.
So, we don't even know what the transfer prices are there. So nominally, Vietnam should be more expensive. It's not like their productivity is 50% higher than India to offset their wage,

which is 50% or even more than India. So effectiv ely, it looks like there's some sort of a fabric subsidy baked into Vietnamese products.


So, if we look at some orders, for instance, that we have taken recently, we have taken a lot of Vietnamese orders and executed out of India. So obviously, which means that we are competitive vis-a-vis Vietnam. The challenge is that Vietnam does a large amount of synthetics for which the fabric ecosystem exists there.
So, it limits the number of products that we can do out of India, given the sheer fabric economics, which is stacked against us. So, we have to import fabric from Vietnam, Korea, Taiwan, etcetera, or China for onward conversion. So even with that, we seem to be competitive in many cases, and we have taken orders which were ex Vietnam earlier. So are we competitive in Vietnam -- answer is yes.
Vietnam's margins are coming down because of the higher and higher labour costs and the fact that Vietnam is switching to higher value-added industries as opposed to garments. They have a limited population, and they are switching to electronics and various other manufacturing, which is all moving away from China again to Vietnam.
Gunjan Kabra: So, 20% tariff also will be competitive that way? Just one question, sorry.
Siva Ganapathi: 20% is for everybody, right? So, then there is some relative competitiveness. So, there's 20% tariff on everybody. So, Indonesia, Vietnam, Bangladesh, Cambodia, everybody. So, 20% is the new normal. So, it's a new zero. So, when you look at our 25%, you should see it as 5%, not 25% because 20% is the new0, right? So 20% tariff is what is on everybody. So that 20% tariff initially, maybe the supply chain absorbs.
But that's what every country has to pay. So that's the new cost of doing business in U.S. or that's the price Americans will have to pay in some way. So it will be a combination of both. So we have to see how much above 20%. And if somebody is below 20%, they have an advantage.
Somebody is above 20%, they have a disadvantage to that extent.
Gunjan Kabra: And Sri Lanka and Africa, what would be the co mpetitive in terms of Bangladesh production?
Siva Ganapathi: More or less at par in terms of efficiencies, et cetera. The disadvantage is because Africa, the fabric moves from India, Pakistan, China, et cetera. So that makes it a tad uncompetitive or undercompetitive vis-a-vis Ba ngladesh. But now they have a 10% duty advantage over Bangladesh. See they're at 10% versus rest of th e world at 20% -- so Africa is 10% lower.
And if Agoa continues, that benefit goes even higher. But let's assume Agoa doesn't stay, which is a fair assumption or a reason able assumption to make, then they still have a 10% advantage, which will more than offset some of the addition al cost of moving good s into Africa. So Africa will continue to be at an advantageous position even over Bangladesh, I think.
Moderator: We have a last question from the line of Srinath an individual investor.


Srinath: You just mentioned that China and Vietnam have a robust synthetic ecosystem. So what policy measures or initiatives are needed to build a strong textile synthetic ecosystem in India comparable to those in China and Vietnam? And do you see that happening in the next decade?
Siva Ganapathi: It can happen in the next decade. There has to be a lot of investments happening in synthetic processing, a good quality synthetic fiber being av ailable, yarn being av ailable at a globally attractive price the quality standards to be at par globally. So that downstream industry has to develop. India is historically focused on cotton and have a fairly evolved cotton-based industry.
If you ask me from a technical standpoint, dye cotton, which has got its own big natural fiber, it

has got a lot of variability in

the raw material it self, which is cotton. Sy nthetic should be easier
to process. Having said that, we have not developed that industry, which is a handicap. For that
industry to develop, it may take about another 10 years perhaps.
China has got humongous capacity on the synthetic. So they have a scale to their advantage. So
they have synthetic yarn production, synthetic dye, fabric processing, et cetera. Those scales and
those qualities are missing and th at innovation is also missing in India. It will take, in my
opinion, 5 to 10 years.
Moderator: This was the last question for today. And I now hand the conference over to the management for
closing comments.
Siva Ganapathi: So thank you so much for patiently going through what we're seeing. We are in a scenario where
there's a lot of moving parts. And as a company, we are dealing with them as they come along.
We are hopeful that we will be able to combat some of those challenges that come our way. We
do have the ability to look at geographic diversificat ion, having done it already, and we will
continue to explore some of that. We will also continue to explore new markets for ourselves as
we deal with tariff.
Other than tariffs, I don't see too many headwinds for us. So we will continue to stay focused
and continue to do what is in our best interest for the shareholders and make sure that we continue
to deliver returns. As I had men tioned earlier, Q2 will continue to be as challenged as Q1. And
we were hoping that from Q3, Q4 onwards, we will see a stronger se t of performance from a
margin perspective.
But with tariff, we'll have to see how that plays out. I'm reasonably confident that FY '27
onwards, we should see some strong performan ce because by then, most of the tariff-related
impacts will be behind us, and we will be able to deal with the market conditions as it exists. So
thank you so much and look forward to the next meeting.
Moderator: Thank you. On behalf of Gokaldas Exports Limited, that concludes this conference. Thank you
for joining us, and you may now disconnect your lines.

# Call: Nov 2025

GEL/SEC/2025-26/59

November 19, 2025

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers The Exchange Plaza
25th Floor, Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code – 532630 Scrip Code: GOKEX
Dear Sir / Madam,

Sub: Transcript of Q2 FY'26 earnings conference call Pursuant to Regulation 30 and Regulation 46(2) (oa) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, plea se find enclosed the transcript of Q2 FY'26 earnings conference call held on November 12, 2025. The Transcript is also available on the Company's website at www.gokaldasexports.com .

Please take this in to your records.

Thanking you, Yours truly,
For Gokaldas Exports Limited

Gourish Hegde
Company Secretary & Compliance Officer

Encl: as above


"Gokaldas Exports Limited
Q2 FY '2 6 Earnings Conference Call"
November 12, 2025

MANAGEMENT : MR. SIVARAMAKRISHNAN GANAPATHI – VICE CHAIRMAN AND MANAGING DIRECTOR – GOKALDAS EXPORTS LIMITED
MR. SATHYAMURTHY – CHIEF FINANCIAL OFFICER – GOKALDAS EXPORTS LIMITED

MODERATOR : MS. KASTURI SHARMA – EY INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '26 Earnings Conference Call for Gokaldas Exports Limited. As a reminder, all participant lines will be in the listen -only



mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Kasturi Sharma from EY's Investor Relations team. Thank you, and over to you, Ms. Kasturi.

Kasturi Sharma : Thank you, Sarthak. Good morning to all the participants on the call. Before we proceed, let me remind you that the discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewe d in conjunction with the company's business risks that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such statements. Please note that the Q2 results and the investor p resentation have been e -mailed and the same are also available on the company's website.

In case you haven't received them, you can write to us, and we'll be happy to send them over to you. Moving on. To take us through the results and answer your questions today, we have the top management of Gokaldas Exports Limited, represented by Mr. Sivar amakrishnan Ganapathi, Vice Chairman and Managing Director; and Mr. Sathyamurthy, Chief Financial Officer. We'll start the call with a brief overview of the quarter gone by, post which we will open the floor for the Q&A session. With that, I'll hand over the call to Mr. Siva. Over to you, sir.

S. Ganapathi: Thank you, Kasturi. Good morning, everyone. Happy to have you at our earnings call for the second quarter of FY '26. In the quarter, the company registered a total income of INR1,003 crores, a growth of 7% over the previous year. India operations registered a strong growth of 14% year -on-year against a 2% decline in Indian apparel exports. This is primarily because of our continuous effort to grow organically in India, leveraging the company's expanded capacities. The imposition of a higher ta riff on India by the U.S. initially impacted the business momentum. There was a risk of orders moving to other favorable geographies.

However, through good relationship management and meaningful partnerships on tariff burden share, the company has retained its U.S. business and has managed to secure a strong order book from our existing customers for the near future. In addition, the com pany focused on diversifying more into U.K. and Europe, expanding its relationship with customers there.

The Africa operations declined by 24% year -on-year, primarily due to lower volumes resulting from delayed order placements amidst uncertainty surrounding AGOA rollover. As you may recall, AGOA, which stands for African Growth and Opportunity Act, confers d uty-free purchase of apparel from African countries by U.S. entities.

Orders for our Africa business are usually booked 6 months in advance. And with AGOA expiring on September 30, 2025, requiring goods to be in the U.S. by that date, there was consternation amongst customers to place orders at the same price, resulting in a weaker order book for Q2. Subsequent developments have reversed the sentiment on Africa as the region now enjoys a low reciprocal tariff of 10% and there is a considerable spur for renewal of AGOA. At the moment, without AGOA, Kenya enjoys a tariff delta of 10% vis -a-vis Bangladesh. However, if AGOA is restored, the tariff and duty differential with Bangladesh will widen to almost 30%.



This is reflecting in the order book for Africa in the quarters ahead. The company reported an EBITDA of INR84 crores with flat Y -o-Y growth after being impacted considerably by tariffs. Prudent cost control and productivity gains offset some o

f these effe cts. However, the PBT declined on account of higher finance and depreciation costs.

This is on account of new capex in factories, which are in a ramp -up stage and yet to yield returns and higher charges on account of Ind AS treatment of capitalized lease assets. On the demand front, apparel imports in the U.S. during the period January to July 2025 continue to witness a decent growth of 5%, while retail sales grew by 7%.

Imports from U.K. and EU continued to show higher growth of 8% and 9%, respectively, in the period January to August 2025. In the quarters ahead, the company has a strong order book visibility for both India and Africa business. If the U.S. penal tariff on India continues through the entire second half of this financial year, we could see some margin erosion. The company, like the rest of the industry, is hopeful of an early resolution of the tariff impact and could see ourselves tiding through this withou t much ramifications. Our Africa business is seeing a tailwind as the region now enjoys a relatively favorable tariff regime.

We intend to help through these challenges by focusing on a strong customer engagement, cost optimization and productivity gains across the group. Our strategic investment in BTPL, a fabric processing unit, positions us for future success. An integrated play enables a supe rior margin and provides access to a larger market opportunity.

In the longer term, sourcing diversification is a key theme for all customers, and with the likely tariff rationalization, India would remain one of the top contenders amongst its Asian peers. The recently announced India -U.K. FTA offers a 12% duty advanta ge over China and puts India on

par with Bangladesh, creating a strong export potential. The trade deal with EU could open significant opportunities for Indian apparel exporters.
I quote a stanza from Kahlil Gibran's poem,
Defeat, my defeat, my deathless courage, you and I shall laugh together with the storm. And together, we shall dig graves for all that die in us. And we shall stand in the sun with a will, and we shall be dangerous.
We are talking of a transformation from seeing tariff as an enemy out to defeat us to recognizing it as a source of power and knowledge that would make us a formidable and a dangerous force.
I thank you for listening and would be happy to address questions that you may have.
Moderator: Thank you very much. Our first question is from the line of Kishore Kumar from Unifi Capital. Please go ahead.
Kishore Kumar: Sir, my first question is on the tariff impact for the Indian business. I presume that much of the impact actually came to the Indian business. If we look at the tariff percentage post August 27, it's 50%. And could you please bifurcate how much was taken up by Gokaldas and some by the value chain? And how much was already passed on to the consumers by the retailers?


S. Ganapathi: So at a 50% tariff, there is practically no business possible. And that's why most customers came to us, had a long discussion, and we had a lot of bilateral discussions with customers on how do we split the tariff. So the 20% of tariff, which is generally applicable to most countries, if you look at Vietnam, Bangladesh, Indonesia, on all of these countries, they're all at 20% and ours is 50%. So ther e's a tariff delta of 30%.
But even the first 20%, which is applicable for sourcing from most parts of the world, there is some degree of burden share that brands sought partly from the supply chain, which includes manufacturers and their suppliers, i.e., fabric manufacturers, trims suppliers, etcetra as well as the brands themselves bearing some of it.
On top of it, for us in India, we had to contend with a 30% additional tariff for which w

e had to
do some partnerships with our customers. So the partnerships vary from customer to customer. At its highest, we have agreed to some tariff burden sh are of 15% with some customers. And there are some who are a lot lower than that as well. So it's bespoke kind of negotiations where each customer is at a different level. Some of that tariff burden share that we bore, which is up to 15%, we have passed on to our supply chain as well. So they have also been instrumental in sharing that. So all of this impacted.
However, it impacted only part of the quarter because the additional tariff or the penal tariff was imposed somewhere towards end of August. So it has impacted only part of the quarter. If this penal tariff continues through whole of Q3, the impact would b e a little higher. And again, it depends on when it is withdrawn, if it is withdrawn, when it is changed, etcetera . So that is the impact. In number terms, the impact came to about INR12 crores to INR15 crores here in India.
Kishore Kumar: Got it. And sir, just a follow -up on this. If we are taking 15% and passing some to our value chain, how much the brands took actually and passed on to the consumers?
S. Ganapathi: So in those cases, out of 50%, the brands bore most of the rest, right?
Kishore Kumar: Yes, they have to in that case.
S. Ganapathi: Yes. So which is pretty significant. We can't expect brands to bear more than that, much more than that. It will make their business unviable as well. So we did manage to secure businesses on this basis. See, the underlying assumption on both sides, on the U.S. side as well as India side is that this penal tariff is not going to last long.
And that is why we did what we did. –We prioritized holding business in India as opposed to letting it go to some other country. And then winning it back from the other country once it moves lock, stock, barrel with its supply chain would be very hard. So we prioritize sacrificing some bit of margin in the interim.
And all of these negotiations are very clear that it will be valid only till the date the penal tariff is enforced. The day the penal tariff is pulled out, which is the 25% out of 50%, all these discounts will fall away. So the idea is to hold the business , make sure that we continue to fill our capacities and even se ek some growth out of business.


As you saw in this quarter, of course, most of the quarter's business was booked before the tariff was announced. But even in the quarters ahead, we have a fairly robust order book, which signifies some degree of growth, which is primarily because of all o f these negotiations and our customer relations help secure it.
Kishore Kumar: Got it, sir. Sir, my second question is on the retail demand. So much of the 7% growth in the

U.S. retail stores, most probably based on the inventory that the brands held actually some time back and purchased before the tariff came into effect. And now ar e you seeing price hikes at the retailers? And will it actually dampen the sentiment in the U.S.? What do you think on that?
S. Ganapathi: Good question. So let's analyze this, right? While there is a 7% retail growth Y -o-Y, this has been somewhat front -loaded in H1, but still there is a growth every month. And if you look at U.S. imports, which signifies how the retailers are building up the ir inventory, that -- its growth has been 5%. So clearly, retailers are sensing that there could be a slight slowdown in demand. But if you look at the retail demand in the first half or at least almost till July, it's been spectacular. A 7% growth in the U.S. is very high. Historically, it has been at 2% or 3% growth. So it's kind of defying economists, defying gravity and U.S. still continues to show a robust consumption. Now partially, it could be because most of the goods or the inventory that they have are al

l pre -tariff or where tariff has been absorbed by the supp ly chain and not passed on to the consumers. So all of the time when we were at a 10% tariff from April through to nearly end of August, the supply chain, including the retailers absorbed the 10% tariff and the consumers did not see any impact whatsoever on price rises. So despite that, there has been a significant increase in purchases, it's stellar and stunning.
But going forward, there will be price increases, which will be passed on to the customers. Most of that will happen from spring '26. The inventory for holiday season, which is from Thanksgiving to December, that's the peak selling season in the States, ar e still at low tariff or the old price tickets and retailers don't intend to pass on much of the price increases to the consumers unless they miss out on the selling season.
Going forward, I think from early '26, you would see price increases, and that could have some bearing on demand. Demand is very price sensitive. And if there is a 4% to 6% price increase, which is passed on to the consumers, which is most likely to happen, I think there could be some degree of demand contraction.
Retailers are factoring that in and accordingly placing orders. The good news for us is that regardless of all of that, our order book seems to be still very full because we have better relations. Our product types are sophisticated that they still will ha ve to come and buy from us, and we have engaged well with customers.
So overall, there could be a bit of a slowdown in purchasing. But again, all that will be depending on how the holiday season sale goes. And since this will be one without too much of price rises or really no price increases, we will have to wait and watch as to how that takes off, how the holiday season sales takes off. So far, the indication seems to be good.
Moderator: Our next question comes from the line of Bhavin Chheda from Enam Holdings.


Bhavin Chheda: Decent results in challenging environment. Just a few questions. First, if you could share the volume data in pieces in quarter 2 and first half?
A Sathyamurthy : Sure, Bhavin. For the quarter 2, in total , in Gokaldas, it was 7.97 million and realization is at INR 826. Atraco delivered 3.29 million, @ INR 445 and Matrix with 1.7 million @INR 600. In total, for the Q2, we ended up with 12.97 million at n average realization of INR 700. For H1, it was 14.91 million in Gokaldas, 6.97 million by Atraco and 3.7 million in Matrix, total ling to 25.58 million for the company at a consolidated level. Realization for Gokaldas, it is @ INR 847, Atraco at INR 444 and Matrix is at INR 568. Overall average realisation is @ INR 697.
Bhavin Chheda: So basically, on the volume front, on a quarter -on-quarter basis is almost flattish, right? So if I total -- I think this quarter was also 12.8 million and last quarter , including all the 3 companies.
A Sathyamurthy : Yes.
Bhavin Chheda: Okay. Second question, I think your presentation doesn't mention the absolute order value. And as you said, the Africa order you have received. So can you break it up and give the order value?
S. Ganapathi: Is it for Q2? Or what are you asking?
Bhavin Chheda: Current order book in hand.
S. Ganapathi: So for Africa, I mean, you're asking for Africa, right?
Bhavin Chheda: I'm asking for the company as a whole and Africa separately, yes.
S. Ganapathi: So I mean, when I look at the order book for -- first of all, the order book stands full. So when I look at the order book for India, almost INR900-plus crores for India. And for Africa, it will be almost INR240 crores, INR250 crores.
Bhavin Chheda: And this has to be executed in next 6 months, right?
S. Ganapathi: So are all being built up. So this is like confirmed, but these are orders which are -- there are also constantly additions co

ming in.
Bhavin Chheda: Sure. And sir, my last question, have you also started importing cotton or other raw materials from U.S.? Because I believe the tariff is on the incremental portion over and above the...

S. Ganapathi: So case to case. Wherever there is a possibility of doing that, we have done that, where we've used imported cotton. Again, this is a decision that we have to take in conjunction with the brands as well that we work with. There is a price implication and a ll of that. So there are cases where we have done that, used imported cotton in our fabrics.
Bhavin Chheda: Is it substantial in quarter 2, sir?
S. Ganapathi: No, not substantial.
Moderator: Our next question comes from the line of Prerna Jhunjhunwala from Elara Securities.


Prerna Jhunjhunwala: Congratulations on a decent performance in challenging times. So just wanted to understand now you're saying that AGOA , Africa still has INR250 crores order book. So just wanted to check with you how much should we building for Africa going forward, at least in the next half, so that we know whether there is any decline like Q2 that came in?
S. Ganapathi: So I believe for next half, that is Q3 plus Q4, our Africa revenue should exceed USD 50 million. I'm saying exceed. So this is the base level, and we could do better than that. The reason I'm saying that is multifold. A, there is a tariff advantage even wi thout AGOA for Africa; B, there is a strong conviction amongst all players that AGOA will get restored for a year or 2. And that period would allow Kenya to strike an FTA with the U.S. So that's also work in progress as we speak.
And with AGOA coming in, the tariff delta widens even more, which is why there is a lot of interest amongst U.S. brands to source more business from Africa. And three, we have added a few customers in Africa, we were not working with them, which will -- who will come up -- one of them has already come up and the others will be coming on in H2. So all of that will lead to growth. And I can see that we may well, well exceed that $50 million top line in H2. And that would set the stage for a stronger growth i n next FY.
Prerna Jhunjhunwala: Understood, sir. And sir, what will be the geographical mix of revenues as you were taking efforts to add new countries and new geographies to your customer base? So first, some highlights over there would help.
S. Ganapathi: So currently, Africa could be about 20 -odd percent, 22%. But in my assessment, if we look at the years ahead, we would see international revenue probably grow faster than India and would contribute to as much as 30%, just given the traction that we are see ing across the different geographies.
Prerna Jhunjhunwala: Sorry, sir, I was asking from U.S., non -U.S
S. Ganapathi: U.S., non -U.S. Okay. I'm so sorry. So if you look at U.S., non -U.S., currently, we are at 70%. And regardless of tariff, this is being maintained. I am sensing our U.K. plus Europe, which was at about 13%, 14% can grow, and it will grow by, say, in 1 year, it may grow by another 4%, 5% in terms of overall contribution. The U.S. is also growing. So our contribution could grow higher from U.K. and Europe. That is primarily because our current business volumes there are small and they are growing at a very fast clip.
In fact, we are prioritizing business opportunities from there. So some of those customers that we are working with in U.K. and in Europe are growing at a fast clip. The other thing is that we are also seeing a lot more discussions going on with customers that we have not worked with in U.K. in the past. They are coming and discussing with us in anticipation of FTA. So that business is expected to grow.
Prerna Jhunjhunwala: And sir, lastly, on the capex plan, you have spent around INR110 crores in first half. So could you just help us understand where t

he capacities are coming? And for the second half also, there is INR40 crores odd capex lined up. So where the new capacities are coming up? And how do


you see capacity additions for FY '27 and '28 as well, given that there could be a resolution to this macro headwind that we are in right now as well as opportunities for U.K. and Europe?
A Sathyamurthy : Yes. Out of INR110 crores, the INR75 crores is for the new capacity additions. There are 3 new facilities. One is in Madhya Pradesh in Bhopal Unit -2, which the work is in progress. The other one, is a new plant coming up in Bangalore and one more unit in Jharkhand. All -- these put togethe r in India, we have invested close to INR50 crores for the new capacity additions. And about INR20 crores is the investment which we have made in Kenya for capacity expansion, We are ramping up the capacity to take care of the incremental flow of orders .
So about INR70 crores - INR75 crores is total we have invested, another INR 5 crores is in Matrix for any additional capex for the existing capacity expansion. So totally INR75 crores for capacity expansion, balance INR35 crores is for the modernization and upgrade. Now with reference to H2, whatever we have already committed, especially for the new units which are in

the final stage of completion , we shall ensure the same is completed. .
Our investment focus is more in Kenya because of the incremental order flow anticipated . That's the plan for now , but we will be spending it very judiciously . Depending upon further visibility about tariff and other factors , we shall increase our capex plan .
S. Ganapathi: That said, if the tariff is rationalized in India, we will continue to push for more growth. We don't have any constraint on getting business from our customers. So there is -- we seem to be in that position where we can get more orders. At the moment, we have held back on incremental capex in India, barring whatever is happening on the textile side, on the fabric side. But once the tariff resolution happens, we should be back on looking for growth avenues here too. So when you look at FY 2028, I think we should be looking at a capex in the region of about INR150-odd crores to sustain our growth.
Moderator: Our next question comes from the line of Kaustubh Pawaskar from ICICI Direct.
Kaustubh Pawaskar: Congrats on a good set of numbers, sir. Sir, I just have one question. Just if we build up a few scenarios, first scenario, if this tariff negotiation continues and we don't have any deal till end of this fiscal, then should we expect Q3 to be much, much w eaker compared to Q2 in terms of margins? Because in Q2, you have done extremely well in terms of EBITDA margins because of your cost -saving initiatives and maybe 45 days of the business were good.
But Q3 scenario might not be similar, and we might see further dip in terms of realization and that might have an impact on the margins. So this is the first scenario. Second scenario, if we are able to crack a deal, maybe in another 15 days or maybe by en d of the November, then should we expect Q3 to bottom out and then from Q4, things should be improved in terms of profitability? Just an understanding from your end, sir.
S. Ganapathi: Sure. To answer your first question, I think if you look at Q2, the incremental tariff or the penal tariff came from August 27 or thereabouts. So it was not half, but less than half of that period, which got impacted with this. So naturally, with this tari ff support that we are extending, Q3 could be a little worse than Q2 if the penal tariff continues all the way through to end of Q3,


right? Having said that, Africa will kick in with a better performance in Q3. So there will be some offset from there.
But all things considered,

Q3, if the 50% tariff continues through Q3, the performance at the bottom line level may be top line may grow -- will grow over Q2 levels, but bottom line may show a lower performance than Q2 level. And if it continues in Q4, I t hink Q4 and Q3, Q4 may be better than Q3, even if tariff continues all the way till Q4, simply because Africa will come in aga in more stronger in Q4 over Q3.
Now if the tariff corrects somewhere in this quarter, that is the third quarter, then definitely, we have bottomed out in Q3 and Q4 onwards, we should see growth in margins. Growth in revenue anyway will continue, but there will be a flip to growth in both top line and margins after Q3.
Kaustubh Pawaskar: And just an addition to it, sir, as you said that Africa will come back in quarter 3 because there were delayed in orders, and you are seeing a strong order book in the second half of the year. So second half revenue should be much better compared to H1 be cause Q3 operations did 14% growth. Africa, there was declining. But Africa coming back in second -- quarter 3, I think the revenue growth should also be much, much better. And that might provide some lever in terms of margins supporting ...
Moderator: Kaustubh sir, sorry to interrupt your question, but your line doesn't seem to be clear. Can you please move to a quieter area while asking the question?
S. Ganapathi: So Kaustubh, I heard your question, even though there was a lot of background noise. And answer is yes, there will be revenue growth. Keep in mind that some of the burden share that we are doing with the customer hits the top line as well because it's a di rect discount to FOB. So to that extent, there will be a reduction in top line, which will effectively hit the India business.
Having said all of that, despite everything, the revenue will be -- in H2 will be above H1.
Moderator: Our next question comes from the line of Ankit Gupta from Bamboo Capital.
Ankit Gupta: Very good in the initial commentary, you had given a very good indication how this tariff thing is panning out. Sir, in the initial commentary, you also talked about some of the countries -- some of the companies in the countries like Vietnam and Banglades h, etcetera , sharing the tariff burden of, let's say, 15% to 20%, whatever the rate is for that particular country. So let's say, in India's case, hopefully, the trade negotiations happen and our rate settles anywhere between 15% to 20%. So h ow will the tariff sharing happen with customers in this case?
S. Ganapathi: So the penal burden is what we are sharing. So that will go away once the penal tariff goes away and our tariff comes in the range of 20%. So that's what it is. Having said that, since there is -- even then, there will be generally a 20% tariff on -- most of the Asian countries, there is going to be a pricing pressure as brands will seek to get some price benefits or cost burden share with all the suppliers. So there's generally a tendency to operate at a lower -- to source at a lower price

point. So there is a pressure across the ecosystem. I'm saying globally. This is not at all pertaining to India, globally on sourcing at a lower cost.


Some of that could -- the suppliers respond by passing on some cost increases to -- or margin challenges back to fabric suppliers and suppliers. Some of it is by becoming a little more efficient and also de -specing the product where possible. So all of the se things are going on. Brands are also absorbing some of that 20% cost. And over a period of time, I can see that all this will get passed back to the consumer.
So, a 20% price increase in sourcing cost for the brand effectively translates to 7 - 8% or thereabouts in the cost increase to end consumer. Why? Because they mark up the price by almost 3x to account for their overheads and discounting in the future, etcetera . So, a $10

garment going at $30 with a 20% tariff, let us sa y, there is a $2 tariff impact.
On a $30, the impact is 8%, right? So if, let's say, 5%, 6% or 4%, 5% is passed on to the consumer, then only the other half is being absorbed by the value chain. And over a period of time, I believe all of it will get passed on to the consumer. We have to wait and see how that pans out, but that's the general feeling that ultimately, it will get passed back to the consumer.
Ankit Gupta: Sure, sure. And let's say, if this -- at least for the time being, we come to 20% and some of the tariff burden we have to share, how much of that is passed on to our suppliers as well and how much we have to absorb? As of now, let's say, for the month of September and October, how much would we have absorbed and how much is passed on to our suppliers?
S. Ganapathi: September, October, in this quarter, we have been paying a much higher tariff. We are sharing a much higher tariff burden because we are at 50%. So , when we are at 50%, that's why I said initially that we are sharing up to 15% with some brands. So that is the impact. But once the 50% comes to somewhere in the range of 20%, then the cost impact on us will be sub -5%. And that -- again, part of that will be pushed back to the fabric suppliers, part of that, we will absorb. But that remains to be seen. My sense is, first and foremost, once it comes down to 20%, the tariff burden share goes down to 0. The rest will be absorbed in terms of lower cost of sourcing, which means it's already reflected in price reductions from the b rands because this is a global pricing reset, which happened with the 20% tariff. And that pricing reduction amounts to about anywhere between 2% to 5%. Will that impact the margins by that equivalent amount? Answer is no because there will be pushback in to your supply chain, into cost management, etcetera .
Ankit Gupta: Sure, sure. And second question was on the opportunity that we see in the U.K. as well as hopefully in the EU market with the FTAs kicking in. So what kind of opportunities does it open for Indian suppliers like us?
S. Ganapathi: So I think it opens huge opportunities, but more so with U.K. than with EU, right? EU has -- EU will wait and watch until the FTA with EU comes into place. And the timeline is, in my opinion, at least we have another 6 months or even longer for that. And t hen by the time it takes effect, it will be another 1 year because it requires ratification from European Union countries. So that is a 2027 story. But EU in the meanwhile has already signed an FTA with Indonesia, and they are now favo uring I ndonesia as a sourcing region.
We will see a lot more business coming from U.K. We are -- at least Gokaldas is seeing European companies talking to us in anticipation of tariffs later on, right? So , prepping themselves slowly


seeing to increase the business volume with us in preparation for an FTA regime. So , our European to a lesser extent and U.K. to a larger extent, business is seeing double -digit or even in some cases, triple -digit growth in the initial phase of a small base.
Moderator: Our next question is from the line of Rohit Maheshwari from Tata AIG.
Rohit Maheshwari: Congratulations for a very good set of numbers in difficult times. Sir, just to clarify, out of the 50% tariff, 15% is shared by you and 35% is shared by brands and their given nominated supplier, correct?
S. Ganapathi: Yes.
Rohit Maheshwari: So -- and out of the 15%, what has been shared by Gokaldas, some are shared by your supplier. And of that 15%, we had an impact of INR16 crores in the current quarter?
S. Ganapathi: Yes, about INR15-odd crores -- up to INR15 crores, yes.
Rohit Maheshwari: So but -- and -- but when I see your consolidated number is INR25-odd crores is the tariff, that INR9-odd crores will be of Africa busin

ess?
S. Ganapathi: Correct.

Rohit Maheshwari: So this -- if the tariff does not get sorted out in November, so I guess then in the month of -- in quarter 3, the impact should be -- roughly would be close to INR40 crores, INR45 crores?
S. Ganapathi: Could be. The Africa portion will come down, but the India portion will grow.
Rohit Maheshwari: On an average, can we -- to just be -- like you have INR15 crores, INR16 crores impact per month if you want to maintain a run rate of INR300-odd crores?
S. Ganapathi: Yes, yes, you're right. If it continues till end of December, you're right.
Rohit Maheshwari: Okay. But what you're saying seems to me like because you would be discussing with your brands and all that. Because I guess, they would be also running low on the inventory, yes...
S. Ganapathi: So imagine the brands' predicament, right? They are bearing a much higher than this number on their side. And if they are continuing to do business, it shows volumes for the relationship that we have and the need of us for them. Having said all of this, if this continues in perpetuity, then obviously, business will go out of India. But the general assumption across United States, and I'm talking of all the top brands that I'm in discussions with , that this tariff -- the penal tariff should not continue for long.
That's also the feelers that we are getting from statements from White House. So the general impression is that the penal tariff at least should fall off pretty quickly. And if that happens, most of the discounts that we discussed will go away to zero. So, we are back to normal from the day that penal tariff is gone. So , we feel that we are better off holding on to the business, sustaining the business by offering some of these constructs to ensure that the business is kept in country and not really worrying about letting it go and then trying to pull it back subsequently .


Rohit Maheshwari: Okay. But -- and see -- so basically, I mean, textile is a very labo ur-intensive industry and you being Gokaldas and you being associated with various bigger brands, so you can have an impact of like, I mean, INR40 crores, INR45-odd crores. But a smaller industry would have been hard -- hit hard at this point of time. So , we -- are you not seeing any incentive of the government to just keep this industry alive?
S. Ganapathi: Not yet. So , we have been in discussions. Probably the government is also thinking -- I'm purely speculating here, so pardon me for that. Government may be thinking that maybe this tariff is going to go away, so they may not be coming with something. But if not, there has to be some support, particularly to help the smaller scale industry. F or now, there is no government support whatsoever, and we have not baked anything from the government as a relief or a support measure in this. If somethin g comes in, that could help in the future. But at the moment, we have not factored...
Rohit Maheshwari: Okay. And the last question is, sir, this capex on the new capacity and new projects of INR100 crores in this year and henceforth in FY '27, what will be the top line addition because of this new capex ?
S. Ganapathi: About INR400-plus crores. And then in Africa also, we are doing some capex where there could be another INR150-odd crores.
Rohit Maheshwari: And currently, you will be working on a capacity utilization of 80%, 85%?
S. Ganapathi: At the moment, we are almost like 90 -plus percent, 95%.
Rohit Maheshwari: But sir, then why your operating margins was down in quarter 2?
S. Ganapathi: Wait a minute, barring some of the new capacities because some of the new capacities which came in just this quarter, those are operating at much lower. So , I have not factored that in the denominator or the numerator. So . if I factor that in, the capacity utilization will be in the 80 %.

3 new factories which have come up, one in Bhopal, one in Kolar Gold Fields, which is in Karnataka and one in Ranchi.
These facilities are at early stage of manpower filling, and they will go through a ramp -up period. This ramp -up will take almost a year before the factory reaches its full potential of its workforce because filling the workforce by recruiting them, traini ng them and putting them on the production floor takes time. So , it's going to be a ramp -up over the next 4 quarters.
Rohit Maheshwari: So, can I say that 280 basis points, the margin -- adjusted EBITDA margin impact in the current quarter is because of -- largely because of the 3 new factories, which has come up?
S. Ganapathi: No. That has no impact in Q2. So , some of that margin impact is not because of these 3 factories because they have come on board in Q3 and maybe towards the end of Q2. So , they'll be very, very marginal there. It is also because our knit fabric mill, which is on a ramp -up as we speak, which is in need of a 20 ton per day knit fabric mill and some earlier capacities were on a ramp -up, our first phase of MP, which is now at f ull capacity.


So some of those were the reasons. Now that will get -- that will be generating higher margins

in the quarters ahead, while new factories will come in and may have an impact of 1% or thereabouts in terms of margin. But again, the older ones will contribute more positively offsetting it.
Rohit Maheshwari: So why I'm asking this question is because in quarter 1, we had an adjusted EBITDA margin of 13.6% and while in quarter 2, we have an adjusted EBITDA margin of 10.8%. And vis -a-vis if I see your realization was better in quarter 2 versus quarter 1. So , if 280 basis point means 280 basis point...
S. Ganapathi: Let me explain that. That is primarily because of Africa business. Our Africa business has fallen by about 25% in Q2, which is correcting itself in Q3 and Q4. So that drop results in operational deleverage, right? So , when the revenue falls, there is -- your cost does not fall in proportion as there is a lot of fixed costs we carry.
So, on account of AGOA going away, when we booked the business 6 months prior to Q2, that is last December, January, we had a struggle. Unless we gave them a price break, customers wouldn't come in fearing that goods have to be in the U.S. before September 30 , which means it impacted half of Q2. So that is why you saw a margin drop in the second quarter of this year. Africa contributed to a good chunk of that delta, which you are seeing.
Rohit Maheshwari: Just taking my follow -up on the last kind of question. So , then it is a clear case that quarter 2 should be a bottom out of your margin because if your margin gets recovered due to Africa, so whatever the additional margins is coming from Africa business, it can take care of your additional impact if the penal ta riff stays till quarter 3?
S. Ganapathi: Right. So that's the point. So , if, let us say, the penal tariff continues through entirety of Q3, there will be an impact on the India side of the business. Africa will offset some of it, but India side will take a higher hit.
Moderator: Our next question comes from the line of Vishal Mehta from IIFL Capital.
Vishal Mehta: So, the first question is our volumes probably on consol level were down Y -o-Y, but our realization was up quite a bit Y -o-Y again. So , is it the same continuation like last quarter where we had probably high spring/summer shipments in quarter last year and which is not there probably this quarter?
S. Ganapathi: That is always the case. In fact, Q2 will always be -- is a seasonally weak quarter.
Vishal Mehta: No, no. I'm comparing quarter -- year-on-year, Q2 last year to Q2 this year.
A Sathyamurthy : Vishal, this is largely contributed by Atraco. Last year, Atraco was 5.2 million, and t

his year, it is 3.2 million. When you look at the numbers and volume, that is the reason why the volume is less...
Vishal Mehta: And we did that air freighting in Atraco that time, right? So that's the reason or...


A Sathyamurthy : No, no. You're talking about volume, right, in Q2 Y -o-Y basis? Atraco last year, we did 5.2 million. For the current year, we sold 3.29 million. That is the reason ,for reduction in terms of pieces. The drop in volume at Atraco, was partly offset by Gokaldas, with a higher value. That's why you the number of pieces is lower compared to PY But in terms of the value, we could maintain at the same level.
Vishal Mehta: And these number of pieces have majorly been down Y -o-Y because of this AGOA issue?
S. Ganapathi: Correct. Correct. Correct. AGOA expects the goods to be in the country, in U.S. before September 30. So effectively, shipments from end of July itself got impacted. So that is why when we booked an order, the order book which was built many quarters ago, w e saw softness at that point in time in anticipation of AGOA going away. But subsequent tariff imposition across the world has changed the scenario for Africa again and made it favo urable. So now the order book from Q3 onwards looks better, s tronger.
Vishal Mehta: Okay. And secondly, on depreciation, you've given the reason that probably lease and start -up cost has resulted in increase in depreciation. So , this lease pertains to what? Because we've probably seen an increase in depreciation in 4Q of last year as well, which was mainly attributed to Africa lease being reinstated. So , what has happened this quarter in lease? And what are the start-up? So , is it your new factories of Bhopal, Ranchi, which you've capitalized?
A Sathyamurthy : Some of them, the new facilities. Other one, any existing lease, when it is renewed every time for a period of 5 years, then in the year in which it is renewed, then you have to really reclass or you have to capitalize as the lease asset and then you charg e off the depreciation and interest as per the Ind AS treatment. And that is the reason you see that increase happening over there and the depreciation across.
Vishal Mehta: Okay. Fair. And just last one, if you can just give us the subsidiary total income and EBITDA, which you used to probably give before.
A Sathyamurthy : I'll tell you. For Q2, the subsidiary total income is INR250 crores and EBITDA is around 3.4%.
Moderator: Our next question comes from the line of Monish Ghodke from HDFC Mutual Fund.
Monish Ghodke: Sir, my question is partially answered, but I wanted revenue of Atraco and Matrix separately as

well as EBITDA for Q2 of this year and Q2 of last year.
S. Ganapathi: We normally don't split -- we have already started consolidating Matrix and Gokaldas together because there's a lot of business which we have cross -fertilized, put factories, merged all of them.
So we are not really tracking it between Matrix anymore. So I can give you Atraco and then we can give India. Will that be okay?
Monish Ghodke: Yes.
S. Ganapathi: INR148 crores is sales value from Atraco this quarter. And last year, it was INR192 crores.
Monish Ghodke: And sir, EBITDA?


S. Ganapathi: EBITDA last year, it was breakeven. And this year, they had close to 4.5%, 5% was a negative margin.
Monish Ghodke: Okay. And India?
S. Ganapathi: India is the rest of the v alue, you can take it.
Monish Ghodke: Okay. Okay. And sir, do we have any state incentives in Africa?
S. Ganapathi: No, no.
Moderator: Our next question comes from the line of Bijal Shah from RTL Investments.
Bijal Shah: Congratulations on very good performance in challenging environment and very commendable outlook also. So my question is, if we assume that all the tariff -related is

sues are sorted and if you look at F '27, so what kind of margin we should think of? Becaus e all said and done that there might be 15% to 20% tariff and which you might be required to share over a period -- I mean, for at least for some time. So what kind of margin should we look at for the business?
S. Ganapathi: What kind of margin for which period you're saying? For...
Bijal Shah: Yes, F '27, assuming the tariff goes to 20% and...
S. Ganapathi: So if you're talking of FY '27, let me reiterate your question, and please correct me if I'm -- please let me know if I'm correct. Your ask is what is the margin in FY '27 if the tariff in India goes back to 20%? Is that the question?
Bijal Shah: Yes, yes. Absolutely, sir.
S. Ganapathi: It will be over 12% EBITDA margin.
Bijal Shah: Including other income or without other income because at operating level or...
S. Ganapathi: No, the way we are reporting, the way we are reporting.
Bijal Shah: The way you are reporting. Okay. Okay. And assuming -- I mean, continuing on the same assumption, if we -- I mean, what kind of -- after all the capex is done during the year, what kind of revenue capacity at a consolidated levels would you have? And would you be able to fill like -- I mean, as you are saying, the order books even with the current tariff issue remains very good.
So would it be okay to a ssume 90%, 95% kind of utilization for the coming years?
S. Ganapathi: So if we are at that level, I think we should be looking at a top line of about 4,500 or thereabouts.
Bijal Shah: And sir, sorry, I'm just squeezing in last question. How do you see with U.K. FTA happening?
How do you see over next probably 3 to 5 years? Do you have some target to reduce dependence on U.S.? And I mean, if you have some thoughts on that?
S. Ganapathi: Correct. So our aim is to bring the U.S. side of business to -- currently from -- it is about 70 %.
We will like to bring it to about 60% or under. And we will see that U.K. and Europe will grow.


U.K. is growing, and we are also -- we have 3 strong customers that we work with in U.K., and we are also in discussions with a few more.
And we feel that some of those businesses which are growing at a super fast clip will continue to place this momentum. So the U.K. plus EU contribution to our revenue, which is currently at about 13%, 14 % will probably approach 20% in the foreseeable future.
Moderator: Our next question comes from the line of Dheeraj Thakur from Elara Capital. Mr. Dheeraj Thakur, are you on the line with us?
As there is no response from the line of Dheeraj Thakur, we will move on to the next participant.
The next question comes from the line of Chirag Jain from Catamaran.
Chirag Jain: So just a couple of clarifications. Just first on the AGOA piece, which impacted this quarter. Is it fair to assume that it was a known problem, say, 3 months back where you would have been sitting?
S. Ganapathi: Yes, yes, it was a known problem. Again, the exact quantum of problem may not be known because people -- the brands may push back taking deliveries. So all of those happened. Like there was a news around AGOA getting renewed and that got delayed. And then U.S. Congress shut down. There was a bipartisan support for it. So some of the shipments, the brand said, you hold back, I will take it once the AGOA is reinstated. So that -- to that extent, you can't predict

upfront in the future. These are more dynamic happening through the quarter when there is
mutual negotiations to hold back some business or hold back orders to ship later.
So it was evident, but the exact quantum was not fully evident because there were some of these
impacts. The whole point was when we were booking in Q2 itself for Q2, which was almost like
in January or December of previous year, we saw a very soft Q2 prim arily because of AGOA
uncerta

inties. Later on, AGOA, there was a lot of positivity around AGOA getting renewed in
anticipation of a tariff negotiation or FTA negotiation with Kenya. So that is what helped build
the business for subsequent period, but Q2 g ot impacted there.
Chirag Jain: Got it. Got it. Understood, sir. And second, on the depreciation piece, I know you answered to a
certain extent, but on both stand -alone and consol, so for stand -alone, our depreciation used to
be around the INR20 crores mark, which rose to INR26 crores this year -- this quarter. Is this
largely lease renegotiation which has happened? Or -- because if I understand right, the Bhopal
and the Jharkhand expansion is happening in different entities, which should not impact stand -
alone depreciation, right?
A Sathyamurthy : Yes. A significant portion of it are on the lease assets, yes, on the stand -alone basis.
Chirag Jain: Okay. And then on the consol piece, in Q4, sir, you had highlighted that there was a full
renegotiation done and the entire impact was taken in Q4 for the consol. And you had highlighted
that it should be INR32.5 crores or INR33 crores thereabouts going forward. But again, it's
reaching the INR40 crores, INR43 crores mark. So just trying to understand what is happening
on that piece also.


A Sathyamurthy : Primarily on account of the fresh leases whenever -- there are 2 new leases we have taken for
the new facilities, whatever we have now going ahead in this quarter, the current new
installations, whatever is happening, some of the new leases are also coming in. That is where
the lease assets are capitalized, point number one. And second, some of the existing leases for -
- the lease agreement for the existing properties got renewed in this financial year for a fresh 5
years.
So whenever you renew the leases, then you capitalize that lease asset in that year of renewal
and then charge the depreciation over the period of the balance tenure of the lease. So as the
tenure ends up in the fag-end of the lease period, normally, it gets reclassified as a normal rent.
But whenever the lease renewed, it gets back to the lease assets and then the depreciation and
interest get charged.
Chirag Jain: Got it. That's understood, sir. Is it fair to assume that the current quarter's depreciation is what
should be looked at going forward?
A Sathyamurthy : The current run rate of depreciation, INR23 crores is on account of normal depreciation at a
consol level. Another INR20 crores is Ind AS depreciation.
Moderator: The next question comes from the line of Dheeraj Thakur from Elara Capital.
Dheeraj Thakur : I wanted to understand the accounting treatment of the U.S. tariff in our financials. As I noticed
that the other expenses have declined by around 6% Q -on-Q and remains flat Y -o-Y. So could
you please help us understand the key drivers behind the reduction despite the U.S. tariff?
A Sathyamurthy : The U.S. tariff impact is normally -- it is taken -- adjusted against our top line itself because it's
a discount offered on the FOB.
Dheeraj Thakur : Okay. Got it. So no tariff close to the other expenses?
S. Ganapathi: Correct.
Moderator: As there are no further questions, I would now like to hand the conference over to the
management of Gokaldas Exports Limited for closing comments.
S. Ganapathi: Thank you so much. Thank you for patiently listening through our explanation, and thank you
for asking all the questions. As I said, we remain focused on maintaining and growing the
business momentum. We are -- we were on an expansion spree, and we want to maintain that
momentum going forward as well.
That's why when -- with the capacity increases that we had planned, we wanted to ensure that
our customers stay with us, even though the tariff is very high and nearly impossible to do
business at 50%. We are hopeful that there will be a tari

ff rationaliza tion sometime soon and
really look forward to it.
And once that happens, I think the business momentum will get a further boost. Until then, we
will be very focused on protecting the margins, very focused on being prudent with our capex

as well. We have to be prepared for the worst case, and we will be mindful of that. And we will keep a close eye on how the tariff negotiations are going on.
In the meanwhile, we will continue to explore growth avenues with European and U.K. customers as well as in Africa because it will have a different tariff regime for United States. Anyway, we will continue to look for growth and continue to look to defend our margins. Thank you so much.
Moderator: On behalf of Gokaldas Exports Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

# Call: Feb 2026

GEL/SEC/2025-26/68

February 09, 2026

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers The Exchange Plaza
25th Floor, Dalal Street, Bandra-Kurla Complex, Bandra (E),
Mumbai – 400 001 Mumbai – 400 051
Scrip Code – 532630 Scrip Code: GOKEX
Dear Sir / Madam,

Sub: Transcript of Q3 FY'26 earnings conference call Pursuant to Regulation 30 and Regulation 46(2) (oa) of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, plea se find enclosed the transcript of Q3 FY'26 earnings conference call held on February 02, 2026. The Transcript is also available on the Company's website at www.gokaldasexports.com .

Please take this in to your records.

Thanking you, Yours truly,
For Gokaldas Exports Limited

Gourish Hegde
Company Secretary & Compliance Officer

Encl: as above


"Gokaldas Exports Limited
Q3 & 9 Months FY '2 6 Earnings Conference Call"
February 02, 202 6

MANAGEMENT : MR. SIVARAMAKRISHNAN GANAPATHI – VICE CHAIRMAN AND MANAGING DIRECTOR – GOKALDAS EXPORTS LIMITED
MR. SATHYAMURTHY – CHIEF FINANCIAL OFFICER GOKALDAS EXPORTS LIMITED

MODERATOR : MS. KASTURI SHARMA – EY CAPITAL



Moderator: Ladies and gentlemen, good morning, and welcome to the Q3 and 9 Month FY '26 Earnings Conference Call for Gokaldas Exports Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchscreen phone. Please note that this conference is being

recorded.
I now hand the conference over to Ms. Kasturi Sharma from EY's Investor Relations team.
Thank you, and over to you, Ms. Kasturi.
Kasturi Sharma: Thank you, Swapnali . Good morning to all the participants on the call. Before we proceed, let me remind you that the discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause future resul ts, performance or achievement to differ significantly from what is expressed or implied by such forward -looking statements.
Please note that the results and presentation have been shared on e -mail and the same are also available on the company's website. In case you haven't received the same, you can write to us, and we'll be happy to send them over to you.
To take us through the results and answer your questions today, we have the top management of Gokaldas Exports Limited, represented by Mr. Sivaramakrishnan Ganapathi, Vice Chairman and Managing Director; and Mr. Sathyamurthy, the Chief Financial Officer. W e'll start the call with a brief overview of the quarter gone past, followed by the Q&A session.
With that, I'll now hand over the call to Siva sir. Over to you, sir.
S. Ganapathi: Thank you so much. Good morning, everyone. Happy to have you at our earnings call for the third quarter of FY '26. This was the first full quarter impacted by the steep 50% U.S. tariff on India and the expiry of AGOA, which provided duty -free access from A frica to the U.S. The U.K. FTA signed in July 2025 has still not taken effect. In the meanwhile, many competing countries in Asia had a relatively advantageous 20% reciprocal tariffs to the U.S. and duty -free access to EU and U.K.
To combat this, we initiated several measures like securing our U.S. business by strengthening our relationship with customers and offering discounts on U.S. shipments from India to part offset the steep tariffs. Secondly, streamlining operations across In dia and Africa to extract further efficiencies to reduce unit cost of operations; and thirdly, striving to increase business from Europe by increasing volumes with existing customers. We've also initiated the onboarding of a new customer from EU.
The expiry of AGOA impacted the order book for Africa in Q3, resulting in a dip in revenue from the region. Further, there were some supply chain disruptions in Africa, which impacted


the business in the region. Imposition of incremental reciprocal tariff on Asian countries from August '25 resulted in Africa regaining its tariff advantage. There is a reasonable possibility of AGOA getting extended soon. This has allowed us to rebuild th e Africa order book for future periods.
During the previous call, I had talked about a transformation from seeing tariff as an enemy out to defeat us to recognizing it as a source of power and knowledge that would make us formidable. We continue to seek ways to invent ourselves and leverage our strength to deal with demanding externalities.
In the quarter, we reported a total income of INR998 crores, a flat year -on-year performance. Our India operations continue to maintain its growth momentum, registering a growth of 8% Y -o-Y, despite being impacted by the steep U.S. ta

riff for the entire quarter. We reported an
EBITDA of INR96 crores, a decline of 18% year -on-year. This was primarily due to sharing a considerable portion of the U.S. tariff burden with our key customers. Adjusting for the burden share, our EBITDA should have grown by 17%.
On the demand front, apparel exports into the U.S. witnessed a continuous decline since July 2025, despite retail sales posting a stronger growth during that period. Most U.S. retailers have so far not increased the prices for their customers. This is like ly to change in 2026 as retailers are seeking to pass on some of the cost increases to their customers.
Clearly, brands in the U.S. are hesitating to build inventory at higher tariffs and/or may be anticipating flagging sales in '26. Imports from EU and U.K. showed a higher growth in the period January to November 2025 over the same period previous year.
For the quarters ahead, the company has the visibility of a good order book for both India and Africa business. On the margin front, we anticipate U.S. reciprocal tariff on India to continue to impact the next quarter.
Any positive outcome on U.S. India trade deal would, of course, offset this impact. Africa business is seeing some tailwind. Our strategic investments in BTPL, which is a fabric processing unit strengthens vertical integration, enabling better customer ser vice, faster delivery and creates an opportunity to improve margins.
Our fabric investments and diversification into Africa will support our ability to somewhat deal with a steep U.S. tariff burden. Significant progress is being made in these areas. We are also directing capital expenditure into areas that will support our future growth.

In the long -term, the recently announced India -EU FTA will open access to a significant market, placing Indian exporters at par with key competing countries like Bangladesh, Vietnam and a 12% duty advantage with China. This, along with India -U.K. FTA would accelerate sourcing from India. High U.S. tariff continues to remain a source of concern.

Thank you for listening. I would be happy to address any questions that you may have.

Moderator: We have the first question from the line of Rehan Saiyyed from Trinetra Asset Managers.



Rehan Saiyyed : While your investor presentation explains that immediate cost pressure, so if we strip out explicitly disclosed one -off, sir, do you believe the current gross margin profile reflects a new base? or is there any embedded operating leverage that is not visible at the current inflation level?

Sathyamurthy: Apart from the tariff effect, whatever we have disclosed, we have also incurred -- taken a hit of INR3.4 crores on account of our gratuity restatement because of the New Labour Wage Code . So other than that, there is no one -off items .

Rehan Saiyyed : Yes, that was my question that I'm asking apart from the disclosed one -offs, is there any other one-off that we have to consider in the current margin level?

S. Ganapathi: No. As Satya said, barring that Labour Code -related gratuity provision, which was mandated by the New Labour Code , that was a onetime to an extent of INR3.5 crores. There is no other onetime. The whole U.S. tariff burden is that is the burden that we -- is the impact that we've had during this quarter. And that amounts to about INR40 crores, INR40.2 crores. That's the net cost of tariff burden that we shared with our customers.

Rehan Saiyyed : Okay. Okay. And my second and last question is around, just wanted to understand regarding the product mix as a margin lever. So, what proportion of current revenue comes from program -based or repeat orders versus seasonal or specialty orders? And how does this mix impact margin stability across cycles?

S. Ganapathi: So almost all our business comes from fashion orders. We don't do large program -based orders a

s yet. In the future, we may be doing it, but most of the orders are sought and won on a seasonal basis. We do get usually a year -round visibility from our custo mers at a macro level and then specific style -wise orders come at the beginning of each of the fashion season, primarily to allow us to buy the fabric and convert them. The reason why we focus on such programs are that they are better margins as opposed to year -round programs where we end up competing with Bangladesh or other low -cost regions who may also play the tariff game.

Moderator: We have the next question from the line of Kaustubh Pawaskar from ICICI Securities.

Kaustubh Pawaskar : Sir, my question is again on the margins. I just want to understand that this quarter, we have seen full impact of U.S. tariff. And despite that, on a sequential basis, if you see excluding the other income, you were able to maintain the margins at around 8% if you exclude the other income on a consolidated basis.

And again, in this quarter, we have seen the Africa utilizations were quite lower considering the AGOA effect and there was some supply disruption. So I believe that the A TRACO margins would also be at the lower end.

So considering that, in quarter 3, should we expect the margins to remain at this level or better off considering the fact that we might see some utilization level improving in Africa. India is doing reasonably well despite the fact that the U.S. tariff continues to hit the margins, we have done well. So just an understanding from your end ?



S. Ganapathi: Sure. So AGOA impact, while AGOA's full brunt was faced in Q3, we also had some issues in Q2 because AGOA expired on 30th September 2025, and that is for shipments landing in the U.S. is on or before 30th September. So even second quarter was impacted. In fact, we did have an improvement in EBITDA margin in Q3 in Africa, thanks to a lot of operational initiatives we took. And that will continue to sustain in the quarters ahead.

In Africa, we would see a margin improvement, a good margin improvement, primarily because from Q4, we have built a solid order book, primarily because in the month of August, we saw Asian countries see their reciprocal tariffs go up to 20%, while Africa r emained at 10%. So even without AGOA, Africa enjoying a superior tariff regime as far as U.S. is concerned. So that has also helped us to build the business in Africa.

There is a likelihood of AGOA getting restored likely with retrospective effect. That's work in progress, and we will have to wait and watch when that happens. But if that happens, then there will be further business flip to Africa. So with that in mind, we are strengthening the business prospects in Africa. In fact, operations are more or less well set. We will see some good EBITDA

contribution going forward.
So in some ways, you could say that region has bottomed out and performance will improve from Q4 onwards. India, our performance will really depend on when the U.S. reciprocal tariff gets corrected. Until then, we will continue to seek operational improvem ents to offset the steep reciprocal tariffs that we are facing, any ways to reduce costs, take out inefficiencies, etcetera, is on the cards, and we are working on it. That partially explains why this Q3, we were able to pull some good performance out of India, and we will continue to seek that going forward.
So I would think that Africa, we see business prospects improving because of macroeconomic improvement. India, until the U.S. tariff corrects, the macroeconomics will remain what they are. In the longer run, EU FTA will kick in and so will U.K. FTA. But un til that happens, we may see some degree of status quo with improvements only coming in from internal improvements that we will usher in.
Kaustubh Pawaskar : Sir, my second question is understanding on the India b

usiness. So this quarter, we have seen
6% growth. And in your initial comment, you mentioned that you are seeing an uptick in volumes from EU and U.K., where you are trying to increase the orders for y our existing clients and you're trying for the new customers as well.
Is that helping us to achieve this growth? Because U.S., I believe there might be some decline in sales for this quarter considering the overall decline whether you were able to maintain whatever sales, or the order was on a year -on-year basis?
S. Ganapathi: So we have managed to protect ourselves from an order perspective, protect our business from U.S. tariffs. We have maintained our business volumes. If you look at our revenues for Q3, which is more or less flat with Q3 of last year, this is after accounting for discounts for U.S. customers. So in some ways, we have actually grown the business Y -o-Y.
And that is because we continue to serve our customers well. We continue to keep the business within our business fold and ensure that we deliver well. So, U.S. consumers are continuing to


report faith in Gokaldas in India. In fact, adjusting for discounts, in fact, there has been a minor growth. And I look at our order book for Q4 and Q1 of next financial year, we have a decent robust order book for both the quarters.
So, we are holding on to the business. The concern remains that if the U.S. reciprocal tariff remains or the incremental penal tariff remains for a long -term, then what happens. We will have to wait and watch how that unfolds. But for now, we are holding on to business. We have, in fact, minorly increased our business with U.S. customers.
With European customers, we are growing very fast. We continue to do that. We have also, as I said in my opening remarks, we have added one more customer whom we will onboard in the next 1 or 2 months. So that will also give a further incremental growth fr om European business side.
So we are seeking ways to derisk ourselves. This is a journey that we will go through in the next several quarters where we will rebalance at least out of India, the business between U.S. and Europe. European customers generally are smaller in size compare d to U.S. customers. So it takes a bit more time, but we are working aggressively on that strategy to balance our revenue between these 2 regions going forward. I hope that clarifies.
Kaustubh Pawaskar : Yes, sir. Sir, last one, in earlier call, you mentioned that diversification is one of the strategy we are looking in terms of the production base. So you were looking at Bangladesh as one of the option if this tariff issue continues for another quarter or so. So any comment on that front, whether you are looking to shift some of the base or production base to Bangladesh from where the tariff rate is around 20% and you can benefit from there?
S. Ganapathi: So we do have some subcontract relationships in Bangladesh and we exercise that option all the time. And even now, we do use those capacities for our benefit. Any investment in Bangladesh would be considered only after some clarity on the macroeconomic sit uation in Bangladesh.
There is an election supposed to happen sometime in February, and we will take a call post that, looking at how Bangladesh shapes up.
In the meanwhile, we are also open to looking at other geographies. So all those are work in progress. It may take time. It all depends on what our final conclusion is on relative attractiveness of those regions as well as how the tariff situation plays out in India.
So we are working on it. Bangladesh at the moment is only a subcon kind of arrangement.
Making investments in Bangladesh, we will wait and watch until there is more clarity on geopolitics in that region.
Moderator: We have the next question from the line of Vishal Mehta from IIFL Capital.
Vishal Mehta : I would say a resil

ient performance in the tough times. Just to start with a clarification, these tariffs also have bearing on your revenues, right? So adjusted for these, your revenues also would have been up INR40 crores?
S. Ganapathi: Yes.


Vishal Mehta : Okay. And I wanted to understand on AGOA and Africa operations. Apart from AGOA, you called out there were some supply chain challenges there. So what are these? And is the AGOA impact now behind us in Africa? Would it be safe to say that?
S. Ganapathi: Sure. So the supply chain challenges were -- actually, there was a port congestion in Mombasa port. And that meant that a lot of fabric, which w e were importing from China, et c., got held up for over 25 days, sometimes even 30 days, which resulted in operations getting impacted there. All that is behind us.
There was also this AGOA impact and AGOA impact was primarily because in the early phase of AGOA, when the U.S. let it expire in September 2025, we had only 10% tariff in rest of Asia. But since then, U.S. has now imposed 20% tariff on rest of Asia, while Africa continues to have a 10% reciprocal tariff, destroying Africa a 10% advantage vis -a-vis rest of Asia and a 40% advantage vis -a-vis India.
Now there is a talk of AGOA being reinstated. Now we will wait and watch as to when it happens. It's going through the U.S. Congress. House of Representatives have already passed the bill, but it has to go through Senate and the President. So let's wait until that happens. But if AGOA is restored, then we will see a massive tailwind for Africa, primarily because the duty delta between Africa and rest of Asia will widen even more. It will widen by another 20 - odd percent. So we'll wait for that. In the meanwhile, even without AGOA, we are seeing a fairly good traction build -up for that region.
Vishal Mehta : Okay. So just a follow -up here because last quarter, probably we were expecting that there was a challange in Africa order execution, and we faced challenges there, and then we were expecting it to pick up this quarter, but still, we continue to see challenges. So now for the upcoming quarter, do you see order book all healthy and we should probably see better growth, better margins there?
S. Ganapathi: Yes. So when I say last quarter, there was a problem. I had said that last quarter and that will spill over to this quarter as well. So this was expected that even this quarter will get impacted because the impact started from October. So this quarter did get imp acted. The subsequent 20% tariff for rest of Asia obviously helps Africa. Do I see improvement going forward? Absolutely, yes.
Moderator: We have the next question from the line of Ronak Shah from Equirus Securities Private Limited.
Ronak Shah : Yes, sir. So sir, a larger part of the margin benefit is coming from the gross margin expansion. So despite we have passed on certain discounts to the end consumers. So can you make us understand what has led to this? Is it because of the realization mix r elated gains? Or is there something different in between?
S. Ganapathi: The gross margin improvement happened because of more productivity gains and also product mix changes. Usually in spring, summer, we do have a lot of India -based fabric that we use. And we also did a strong negotiation with fabric suppliers given the tariff -related challenges that we had. So all of that also helped us.


Ronak Shah : Yes, sir. So as per our earlier understanding within the tariff part, larger part of the penal portion, which is 25 -odd percent is absorbed by the manufacturers. So is there any change in that part? Or is it still continue d?
S. Ganapathi: It is still continuing. So penal tariff, a large portion we are absorbing. We are trying our best to pass on some of the cost increases t

o our suppliers as well. So we do that too. So trying to recover some of those additional burdens from our supply chain .
Ronak Shah : Got it. And sir, lastly, from the volumes front, can you call out separately what is the Indian business and African business volumes in the third quarter as well as 9 months?
A. Sathyamurthy : Okay. I'll give the total volume is 15.53 million pcs, INR572/pcs is the realization. And for stand alone...
S. Ganapathi: For India.
A. Sathyamurthy : I have separately for Africa. Africa 3.68 million pcs, INR402/pcs crores is the realization. The differential is Indian operations.
Ronak Shah : Okay. Got it.
A. Sathyamurthy : For 9 months, Africa volume is 10.65 million pcs at INR428/pcs.

Ronak Shah : Okay.
A. Sathyamurthy : And the total volume is 41.13 million pcs, INR648/pcs .
Ronak Shah : Okay. Okay. Got it.
Moderator: We have the next question from the line of Rohit Maheshwari from Tata AIG.
Rohit Maheshwari : Congratulations for a good set of numbers in these difficult times. Sir, my first question is out of the INR40 crores, which you have taken, what was the total impact of the penal tariff?
S. Ganapathi: The total impact of the penal tariff was closer to INR60 crores, and we set off about INR20 crores of it from our supply chain.
Rohit Maheshwari : Okay. And do you -- or like if this penal tariff does not go for next 2 or 3 quarters, do you think this INR40 crores will be there till the time this penal tariff do not get solved?
S. Ganapathi: Of course, yes.
Rohit Maheshwari : Okay. And because now it has been more than -- like 5, 5.5 months we have been talking about, are you finding any different attitude of U.S. buyer towards now negotiating new deals with them? Or do you -- because you don't want to lose a customer, you have been negotiating the way it to just customer stays with you?


S. Ganapathi: No. So we have been negotiating with the customers so that we can ensure and assure our customers to stay with us. So that's going on. We are hoping that there should be some resolution to the U.S. tariff sometime in the near future. We're waiting for it so that the playing field gets leveled up between India and rest of Asia. Until then, th ese discounts are the panacea for the situation that we have, and that's the best we could do.
I think in the longer run, we need to see a more equalized tariff between ourselves and the rest of Asia. So the other option for us is actually to increase our business from Africa as well as increase European business in India, both of which we are doing to combat this.
Rohit Maheshwari : Okay. The last question is, do you -- it's an interrelated. One is, can you call quarter 3 as a bottom out for Gokaldas in terms of margin, in terms of growth? And second is, when you're looking for European business, because the order quantities are small, the margin profile will be better than the U.S. customer, correct?
S. Ganapathi: So to answer your first question, is this a bottom out performance? From an India perspective, while it is a bottomed out performance, we will see that Q4 also somewhat similar because the tariff regime is not changing. So any improvement will only come th rough operational improvements from an India business standpoint.
So yes, we have bottomed out. And hopefully, once the tariff situation changes or improves, we'll see improvements. But as far as Africa is concerned, we have bottomed out, and we should start seeing improvements going forward. So on a consol basis, I thin k we can say it firmly that this is a bottomed out performance. And going forward, things should better from here on, primarily led by international operations. What was the next question?
Rohit Maheshwari : Second question is when you are getting additional business from the European customers, so the margin profile will be be

tter than the U.S. customer?
S. Ganapathi: The margin profile is better than U.S. now because we are in that regime of penal tariff and we are offering some discounts to U.S. customers, the European customer margin in these circumstances are better. But if you look at it from a pre -U.S. penal tarif f standpoint, U.S. businesses are much better than Europe simply because of the size of the relationship, the scale of operations, etc ., that we get from U.S. customers.
So European businesses, given that the retailers are a bit smaller, we tend to have a little sharper margins. Also, Europe gets duty -free access from Bangladesh, Pakistan, Sri Lanka, Vietnam, so many places.
So they tend to squeeze us and compare us with landed duty -free price points that they get from other regions. That can only be set off once the European FTA kicks in somewhere in 2027.
Once that happens, European margins will also improve.
Moderator: We have the next question from the line of Ashutosh Nemani from JM Financial Family Office.


Ashutosh Nemani : My first question is, could you please walk through the BRFL acquisition, like by when it will be fully integrated? And how much do we currently hold it? And how much we have to spend more in the expected cash outflow?
S. Ganapathi: So the BRFL business, if all goes as planned, it should happen sometime in the second quarter of next financial year. The exact timing cannot be stated here because it depends on the NCLT process and the regulatory process. So as and when it happens, it wi ll -- our expectation is that it should happen sometime in Q2 of FY '27.

As far as BRFL's performance goes, I think we have been investing in that entity through OCDs and extending support by buying fabric from them and connecting them to customers, etc. But we have been seeing some business traction growth for BRFL. There has been a continuous improvement in its performance.
So far, I think we have invested in OCD to the extent of about INR175 crores in BRFL. We've also bought 19% stake in the company, paying about INR72 crores. The rest of the stake -- equity stake will be bought as and when the regulatory approvals come in, in Q2 of next financial year. And the business will get consolidated as and when that happens.
Ashutosh Nemani : And second question is regarding your capacity expansion plan. Out of the INR105 crores planned for FY '26 new capacity, could you please tell where is this deployed and what are the time lines? And how ramp -up of this would impact our margin profile going forward?
A. Sathyamurthy : So there are 2 units in India, one in Bhopal, the second phase is coming up. The other unit in Karnataka. These 2 units are in advanced stages of execution completion, and we expect the commercial production to happen in the next financial year.
Apart from that, we have expanded the capacity in Kenya. That's a substantial portion. We are installing new machineries and expanding the capacity, bringing up another unit additionally in the existing premises itself. That will also come on stream in the next financial year in Q1 FY '27.
Ashutosh Nemani : Sir, and -- the second part of the question, how it could impact the margin profile? Like the ramp -up usually what you have seen historically, whenever there's a ramp -up, there is a margin impact we face. So what we will expect?
S. Ganapathi: Most of the ramp -up related challenges have already been absorbed as currently expansions are all happening in the units, which -- where we have operations. So we don't anticipate a significant margin setback on account of this.
Moderator: We have the next question from the line of Ankit from Anand Rathi Limited.
Ankit: So I want to be a little bit negative on this side that if trade deal does not happen, so how it will impact our top line as well as margin? And will we take a

price hike? And what's our strategy going ahead?
S. Ganapathi: You're saying if the tariff deal doesn't –happen is that the question?


Ankit: Yes, if it does not happen.
S. Ganapathi: If the penal tariff does not get corrected, right? So see, we are working on that assumption, right? Unless there is a clarity on penal tariff, we have to work with the assumption that the Indian tariff will be 50%. And our order booking for Q4 and Q1 is on that basis. And we have already booked orders accor dingly. So -- and at the moment, we are working on Q2 orders as well, which is also going in the right direction.
So from an order booking standpoint, we are not seeing so much of challenges. We are pursuing as much business growth as possible and trying to keep our factories full. Having said that, the margins will stay impacted until the penal tariff is in place on account of the tariff -related discount that we may still have to extend to American customers.
I don't see any ability for us to increase prices in the interim, with high tariffs as well as the expec tation of inflation in U.S., et c., our ability to increase prices is next to zero. So we will have to continue to seek ways to improve margins by operational improvements, supply chain - related cost savings as well as continue to book business by giving tariff -related burden share or tariff -related discounts.
Ankit: Okay. And if we are diversifying our U.S. operation to Europe , so how it has performed like in last 6, 7 months?
S. Ganapathi: So our European revenue is constantly increasing quarter -on-quarter. We were at about 13%. Now we are further increasing it going forward, about -- we'll be about 16%, 17%. We are constantly increasing our European business going forward. That journey will continue for us as we progress.
We will be adding also European customers. So that -- this is the way we will combat that. The other thing is we are also looking at pushing more American business into Kenya where there is a duty advantage. And that region will also possibly grow faster w ith the American business.
Ankit : Okay. And AGOA, th at is likely to be extended. So when there will be a clear idea about that?
S. Ganapathi: So it's going through the US Congress. My sense is it will -- we will get to know within a month as to the status of AGOA. Month of February, we will have a clarity.
Ankit : Okay. Thank you. Thank you so much. That's it from me.
S. Ganapathi: Thank you.
Moderator: Thank you. We have the next question from the line of Samay Sabnis from Helios Capital. Please go ahead.
Samay Sabnis : Yeah. Good afternoon. Thanks for the opportunity. Sir, my question is -- so you just mentioned

that despite the discounts that were given in Q3, your gross margins have improved because the benefits of like Indian -based fabric that was used and strong negotiations that we did with the fabric suppliers. So I just want to understand, is this benefit like a one -off that will go in Q3? Or



could we see this benefit in Q4 as well? So basically, I want to understand the trend of the gross margin.

S. Ganapathi: So, you know, the gross margin is also a function of product mix . And product mix in Q3 and Q4 favo urs India. So we usually have a little better gross margin during this period. Having said that, we will continue to seek gross margin improvements wherever possible.

It will be possible through better negotiations with the supply chain, better product mix that suit our margins, gross margins, etcetera. And we'll continue to seek it. Would there be a further gross margin improvement in the quarters ahead? It's not that easy. We will continue our endeavo ur, but it's going to be difficult to further improve it. We will keep trying.

Moderator: Samay, your line is

unmuted. Please go ahead with your question.

Samay Sabnis : Yes. So what I was saying is the gross margins in Q3, you mentioned that despite the discounts given in Q3, they improved because the benefits of Indian fabric that was used as well as strong negotiations that we did with the fabric suppliers. So what I want to understand is, was this benefit like a onetime that you had in Q3? Or do you see this benefit in Q4 as well? So basically, I want to understand, will the gross margins improve in Q4 or they like remain steady?

S. Ganapathi: See, again, as I said, the vendor negotiations have happened in Q3, and that benefit will continue as long as the tariff -related pressure remains on us. So will the gross margin improve in the quarters ahead? Or how will the gross margin change? I think it will remain steady on account of all the purchasing -related benefits that we have driven in as long as the US tariff continues. But it will vary based on the product mix ; product mix to product mix, there are some gross margin variations tha t we will see.

For now, I think the product mix, we're always trying to optimize the product mix so that we can drive up our gross margins. When we get into Q1 and Q2, the profile may slightly change because we switch to autumn -winter wear where the gross margin profile is slightly different. And the fabric becomes more imported, so there will be a little higher cost of fabric that we will incur. So the re gross margins may drop.

But during those times, we get a better realization from cost of manufacturing. So we tend to retain our EBITDA margin nevertheless. So there are nuances in the business, which sometimes swings between gross margin to cost of manufacturing. Effectively, we tend to protect our EBITDA margins all the time.

Coming back to your specific question on is there any onetime benefit that we got? The only onetime benefit we got was our negotiations with supply chain as far as raw material is concerned, which is linked to US tariffs staying high. So as long as that re mains, that benefit will continue as well.

Samay Sabnis : Okay. Thank you for this. That was really helpful.

Moderator: Thank you. We have the next question from the line of Prerna Jhunjhunwala from Elara Securities. Please go ahead.



Prerna Jhunjhunwala : Thank you for the opportunity, sir and congratulations on a resilient set of numbers. Just wanted to understand your revenue and profitability between stand -alone Africa and Matrix businesses?

A. Sathyamurthy : The EBITDA margin from Atraco is about 1.5%. And between Matrix and the India operations is more or less in the same range.

Prerna Jhunjhunwala : Sorry, sir. I didn't get your number?

A. Sathyamurthy : EBITDA margin from Atraco is 1.5%. While the EBITDA margin for the India operations remains at the same level, at the average of around 11%

Prerna Jhunjhunwala : Okay.

A. Sathyamurthy : Yes.

Prerna Jhunjhunwala : Okay. Sir, you said 1.5% in Africa ?

A. Sathyamurthy : Correct. For Q3. For this quarter, yes.

Prerna Jhunjhunwala : Okay. And what would that be for 9 months?

A. Sathyamurthy : I'll let you know.

Prerna Jhunjhunwala : So sir, why is this so low for Africa and with AGOA agreement?

S. Ganapathi: Because the business volumes went down in Africa, we were unwilling to extend discounts in Africa to offset the loss of AGOA. And these decisions were taken in January -February of 2025 because we tend to book orders for Africa well in advance, and we could see that AGOA could be allowed to expire by the current administration , and we were not willing to hold on to the business just by giving discounts. We wanted to also take some business corrections. Most of that is done.

And as I said, once the volume kicks back in, and in Africa, we tend to do over 25 US$ million a quarter. So once that kind of volume kicks ba

ck in to Africa, which will happen from Q4, we will see a surge in EBITDA margin because the fixed cost gets amortized over a bigger business volume. So EBITDA margins will swing back from the fourth quarter onwards.

A. Sathyamurthy : And in the 9 -month period, we did a breakeven, hardly about INR1 crore s loss, but we did good numbers in Q1, but Q2 had the real impact.

Prerna Jhunjhunwala : Understood, sir. So sir, how do we see the margins going forward in India and Africa businesses? And how are you treating the Europe orders, whether it is more from India or from Africa right now?

S. Ganapathi: So my India business, if the reciprocal tariff remains at 50%, the India business margins will remain where they are. We will continue to seek improvement on the margin side by improving operational efficiencies, but that's only how the margin improvement may happen. But in Africa, we could pro bably see a good improvement.



I am expecting Africa's EBITDA margin for next financial year, that is FY '27, by the second half of that year, cross 10% easily, maybe even stay at an average of about 10% in '27 based on the order volumes that we anticipate.

Prerna Jhunjhunwala : Understood. So sir, if your Africa business is 1.5%, that means your India business would be more than 10% in this quarter?

A. Sathyamurthy : Yes.

Prerna Jhunjhunwala : Yes. Understood, sir. Yes. Okay. Thank you so much, sir and all the best.

Moderator: Thank you. We have the next question from the line of Harsh Mittal from Emkay Global. Please go ahead.

Harsh Mittal : Yeah. Thank you for the opportunity and congratulations to the management for a decent set of results, despite the challenging environment. My first question, sir, is that UK F TA has been signed for the past 5 months. So how has been your interaction with your clients in UK? And do you see some uptick in business from the UK region? So that is my first question.

S. Ganapathi: Okay. So UK F TA was signed in July 2025. However, we have not seen the benefit of FTA flow through. It is awaiting implementation. So at the moment, the exports to UK are still tariff rated, and we have not seen zero tariff benefit flow through as yet.

So the challenge with such a situation is that businesses take commercial decisions, they would like to see a zero-rated tariff before moving significant volumes to India else they tend to lose an opportunity of curing the tariff benefit. And moving the volumes from Bangladesh to India won't happen until the tariff regime actually kicks in.

So directionally, many UK customers are talking to us exploring stepping up the business volumes, etcetera. But the real benefit of all of that will happen once the UK FTA comes into effect. It is awaiting parliament ratification. It is awaiting implementa tion. We are waiting to see how soon that will happen.

Harsh Mittal : Sure, sir. Sir, secondly, on the EU FTA, do you see any non -tariff barriers, which may impact India similar to what UK FTA is there in terms of compliance cost, product mix? Do you see the same thing?

S. Ganapathi: So whatever non -tariff barriers exist, exists even today. , and we are able to address those. From a compliance standpoint, etcetera, we are very high up there compared to most Indian suppliers are, whether it is an environmental compliance, social compliance, etcetera, we have zero liquid discharge, zero hazardous chemicals discharge , we have renewable power in most of our factories.

Our labo ur compliances are one of the best in the country or best among the suppliers. So we don't see any non -tariff barriers impacting Gokaldas. From an actual tariff implementation perspective, that's the only one. So when European countries start importing at zero duty, which



is when the implementation starts, m

aybe it will happen sometime in 2027, we will start seeing a good amount of business flow coming to India.

In the meanwhile, we have to seek business by continuing to have tariff disadvantage vis -a-vis Bangladesh, Sri Lanka or other regions. And we are still getting that kind of business growth from Europe. It will accelerate once the FTA comes into effect.

Moderator: Thank you very much. We have the next question from the line of Bhavin Chheda from Enam Holdings. Please go ahead.

Bhavin Chheda : Yes, sir, congratulations on maintaining good numbers in a very difficult environment. A couple of questions. Main, as you said, sir, your order book, you must have already filled up for this quarter as well as you're saying for next year, first and second quarter also, mainly US client. So what my question was, I understand the tariff is implem ented when the goods land in US? So whenever there is a reversal of tariff, any goods landing there after that date, the incremental benefit starts coming to us because I believe there is a 3 -way sharing - clients are sharing some part of the tariff, you are sharing some part of the tarif f. So whenever that reverse goes, we don't wait until next order and the reversal starts coming from that day onwards?

S. Ganapathi: Good question. Just to clarify, we have secured business until Q1. Q2 is work in progress and so far, it's directionally going well. As far as the penal tariffs and the tariff -related burden share, it will reverse the day the penal tariff goes away. So tha t incremental 25%, if it is reversed, then we will have our discounts being adjusted from the next shipment onwards and not necessarily from the next or new orders that we booked.

Bhavin Chheda : No, my question was -- so basically, it happens even if your shipment has gone from India, normally, it's a 20 -, 25-day cycle. So even when it lands in US, that benefit starts coming in, right?

S. Ganapathi: Yes. Yes, it will. So if our customer is able to take the goods at less than 50% tariff, let's say, the penal tariff of 25% goes away on a certain date, 1st of May, then any goods which they are able to clear customs in US at 25%, not 50%, our burden share stops from those shipments onwards.

Bhavin Chheda : Sure. Sir, my second question, I understand is tariff is on incremental portion over raw material and any goods which are imported from US. So in any part of your business overall, you have imports from US where already you are getting some benefit or ther e isn't much imports from US into your company?

S. Ganapathi: Yes, of course. So if I use US cotton, for instance, and as long as the component of US source is greater than or equal to 20%, we can get a set off for that amount in the reciprocal tariffs. So we are using US cotton as much as possible in our raw materia ls because we can get that 50% offset on US -based raw materials. So we are using all those tools available at our disposal to minimize or reduce the burden.

Bhavin Chheda : Have you maximized it or this keeps on increasing US cotton imports every quarter?



S. Ganapathi: This is a function of product mix. Wherever we are able to use US cotton, we will.

Bhavin Chheda : Sir, how much percentage of cotton is US cotton right now in your portfolio?

S. Ganapathi: Yes. So I think we should have about 20 , a little above closer to 25% of the FOB in cotton -based garments as US cotton.

Bhavin Chheda : Yes. And sir, my last question, sorry, the third one...

S. Ganapathi: And what will happen in the first quarter is that we will be switching more to synthetics. So that is when some of these benefits may come down because then we will be using synthetic fabric from the Far East.

Bhavin Chheda : Sure. And my last question, sir, as UK, it would be signed any time, but the announcement happened a year back and India -EU announceme

nt has just happened. So just taking example from UK announcement, which happened last year, I'm sure you would be seeding that market because whenever the parliamentary approval comes directly benefits on margins and overall business comes in. So obviously, the players will seed the market much ahead of actual tariff implementation.

Can you give some example of how UK business has been performing and how many clients you must have added in the last 1 -year or so? And how experience has been from the announcement till date in the UK market? Because I believe the similar pattern will follow in the India -EU also ?

S. Ganapathi: Right. UK is a much smaller market compared to EU, and we have three customers from UK that we are supplying to. We are seeing a fair amount of growth in the revenue from these customers. However, at the moment, the growth is coming without any tariff -related benefit accruing to the customer or to us. So the growth will ge t expedited once the tariff kicks in. Until then, it's about onboarding a customer and preparing ourselves for a duty -free future. As and when that kicks in, that's when the real transaction will happen.

See, customers are also commercially oriented. If they get zero duty imports from Bangladesh and it is still charged from India, they will not move significant volumes. There will be testing, preparing the grounds, etcetera, which has all happened. Now we are waiting for the actual tariff to get rerated before real vo lumes will flow.

Bhavin Chheda : Okay, thank you, sir. Thank you.
Moderator: Thank you. We have the next question from the line of Varun Gajaria from Omkara Capital. Please go ahead.
Varun Gajaria: Congratulations on a good set. So I just wanted to understand, we have seen some media commotion on Bangladesh facing some kind of internal crisis and also the factory shutting down probably in February. So is there any substance to this? And if there is t hen what kind of impact are we seeing on overall supply chain in terms of competition?


S. Ganapathi: While there are issues in Bangladesh, the production volumes from Bangladesh has not really fallen. So factories are working and factories are continuing to export from Bangladesh. So while there are some challenges brewing in that country on account of factor costs going up, on ac count of geopolitical situation, we have not yet seen an impact on Bangladesh till date.
Having said all of this, brands with whom we keep having conversations are also concerned about how the elections will play out, what kind of situation will be there on the ground. Now that visas for Indians are also restricted in Bangladesh, movement of p eople between these 2 countries have become a challenge. So a lot of brand people also are not able to visit.
So some of these challenges are becoming significant from a ease of doing business perspective, this may have some impact going forward. We will also have to see how elections play out in Bangladesh and how the factory operations are, whether they are impa cted or not. It really needs to play out for now in the next few months.
Varun Gajaria: Okay. And the INR60 crore s impact, I mean, net INR40 crore s impact, is this the stable state tariff impact that we are expecting as long as the U.S. tariff stays?
S. Ganapathi: Yes.
Varun Gajaria: Okay. And in terms of European Union, whenever the FTA comes on board, what is the opportunity size for our company considering the products we are in?
S. Ganapathi: When the European FTA kicks in?
Varun Gajaria: Yes.
S. Ganapathi: So it's a very significant opportunity. It is an immense opportunity, I would say. Europe buys about 75 -80 Euro billion of goods. And once we get a 0 tariff from India, that's a very large opportunity, even though European retail is more fragmented than U.S. is. So we would see a lot more v

olumes move to India once that happens. Of course, these things take time to build up.
And I would anticipate that European FTA by the time it kicks in itself will be 1.5 years. I would think that the opport unity scale can be massive.
Varun Gajaria: Okay. And sorry, sir, earlier, I did not really get the number on the margins in India and in Africa , if you coul d just spell that out once more? The expectations.
S. Ganapathi: So, Africa for next financial year, we are anticipating at least in the second half going to 10% in the first half, staying at between 7% and 8% EBITDA margin. Our endeavo ur will be to see if we can get there faster, but that's the expectation going forward.
Varun Gajaria: Okay. So 1.5% to 7.5% to 10%...
Moderator: Sorry to interrupt you between Varun. I will request you kindly rejoin the queue again as there are participants waiting for their turn.
S. Ganapathi: I'm sorry, let me just answer that question. That improvement will happen primarily because the order book is going to swell and that itself results in better capacity utilization. See, in the


immediate wake of AGOA pull out that we did not deliberately step in with business discounts, et cetera, primarily because the African margins were also low, and we really did not want to go down that path.
We were reasonably confident that AGOA will get restored. And we did not want to participate with discounts and then get into a long -term margin decline kind of situation in Africa. So we took a conscious decision not to go down that path there. While in India, we did take a conscious decision to quickly participate in tariff -related discounts to hold the business in India. So in Africa, we saw a business dip in Q3 and Q2, which is wh ere we got impacted on account of fixed costs, which will get reversed sta rting Q4.
Varun Gajaria: And India margins stay at 8% currently?
S. Ganapathi: India margins will stay where they are until the U.S. tariff remains.
Moderator: We have the next question from the line of Jayesh Shah from Ohm Portfolio Equi Research.
Jayesh Shah : My question again is related to the tariffs and the sharing of the tariff burden. How does rupee depreciation play out since we have seen a very aggressive rupee depreciation against Euro as well and GBP in the last 6 months besides U.S. dollars. And the related question here is that if I

look at the sharing formula that you've been talking about, is my thinking correct that your U.S. business is in very low single -digit EBITDA, while Europe actually could be higher than double digit for overall com pany bal ance, company EBITDA to come at around 9%?
S. Ganapathi: Yes, you're right. And in terms of currency, we hedge our receivables. So while the currency may have depreciated sharply to about INR91 to U.S. dollar, our realized currency will be a lot different depending on what we hedge. So currently, our hedge rate for Q3 was about INR88.5 or thereabouts.
So that prevents us from currency volatility in either direction. At the moment, we are at the receiving end of currency volatility. If we had not hedged; it would have helped us. But we adopt a very prudent currency policy and hedge all our receivables for the next 2 quarters and most of the receivables for third and fourth quarter at any point in time. So we have a 1 -year forward cover pro gram that we closely implement.
So from a currency standpoint, eventually, the benefits will come through. Customers will also come in and try to take advantage of the situation. Otherwise, the competition may end up giving some bit of it. As long as the steep U.S. tariff remains, since we are bearing a significant burden, we may tend to hold on to some of those currency -related benefits for now. But eventually, in the longer run, those do get shared.
Jayesh Shah : And a related thing is as and when the

panel tariffs come down, is there a waterfall where the suppliers will get the first benefit and then you would get the benefit in terms of sharing of the penal tariff burden?
S. Ganapathi: No, no, no. So as soon as the penal tariff is brought down, the benefit has to flow through the supply chain. So from the orders that do not get impacted by penal tariff, we will save the


discounts. And our supply chain also, we will tend to give them the benefit of that. So while we are imposing certain costs on our supply chain, that also will be taken off from that point.
Jayesh Shah : Best wishes.
Moderator: We have the next question from the line of Sahil Sharma from Dalmus Capital Management.
Sahil Sharma : Sir, on the Africa business, I just wanted to understand that we discussed the tariff advantage over other Asian counterparts, but there is a related logistic cost with respect to raw material availability, etcetera. So if we consider all these factors, ho w does Africa stack up against countries like Bangladesh, Vietnam with and without AGOA?
S. Ganapathi: So today, Africa has a 10% tariff delta with Bangladesh. So the reciprocal tariff in Africa is 10%, Bangladesh is 20%, right? Now if AGOA is restored if you look at cotton garments, the average duty is about 18%. And if you look at synthetics, it's about 2 8%. So if AGOA is restored, the underlying dut y gets weighted to 0.
So then for cotton garments at 18 % plus 10 % the delta will be 28%. And for synthetic governments, it will be 28 % plus 10 %, 38% delta vis -a-vis Bangladesh. That is when Africa power comes to play if AGOA gets restored. At the moment, we do not have the AGOA benefit, which means the delta vis -a-vis Bangladesh is 10%. Does that clarify?
Sahil Sharma : Yes. Understood. If, say, the penal tariffs go away, so would we still continue on the strategy of diversifying customers and supply base? Or would be more comfortable with the U.S. focused operations that we have currently?
S. Ganapathi: No, if the penal tariff goes away, we will be very comfortable doing U.S. business. U.S. retailers are large. U.S. retailers have longer run sizes, which allows us to operate efficiently. And it's a very good market. It's a high consumption market. So we w ould be very keen on continuing our U.S. business. And we have very good relationships with the US -based customers. So that goes without saying that U.S. will become a dominant buyer from us if the penal tariffs goes away.
Sahil Sharma : Okay. So if the penal tariffs go away, so we'll continue with this strategy of focusing on the U.S. and...
S. Ganapathi: Right. But having seen tariff volatility, diversification will continue to remain a thesis for us. But that doesn't mean that we will pivot out of U.S. We will take on more of Europe. And if the European business gets FTA benefit, we will see a lot more gr owth happening on the European side. So the portfolio may get rebalanced a bit, for sure. But that wouldn't mean that we will significantly reduce our exposure to U.S. If the penal tariff goes away, U.S. will also have its reasonable share in the business.
Moderator: We have the next question from the line of Raman KV from Sequent Investments.
Raman KV : Sir, I just have one doubt with respect to the African operations. Sir, given that you are confident that 25 US$ million quarterly volumes will come from Q4 with respect to the African business, if we shift a majority of our U.S. shipment to Africa, our tariff burden will also reduce as well

as the African business will ramp up, which will help in getting 10% margin from African business. Is my understanding right?
S. Ganapathi: No, it is not. Because Africa also has capacity constraints. Our endeavo ur for next financial year is to try to push African reven

ues to 120 US$ million, 125 US$ million or thereabouts next financial year. And India's revenues are much higher than that. So we cannot move garment or reroute it through Africa. Whatever is produced in India will get tariff based on the tariff applicable for India. And whatever is prod uced in Africa will get tariffs based on that region. So the amount of orders that we can shift from India to Africa will depend on how much capacities we have there, and we will tend to maximize that going forward. But since Indian volumes are pretty significant, close to about 350 US$ million to 375 US$ million, and of which about 70% is to the U.S., we will continue to see that, that is being impacted here. We cannot reroute it to Africa. That is not an option.
Raman KV : No, no. I didn't mean reroute it, but just to increase the capacity in the African entity and then try to bring down the orders from India to U.S.A. and replace those from African entity. That was my question.
S. Ganapathi: Yes. So at the moment, our aim will be to push as much business from India to Africa, fill more India with European business as far as possible. We don't intend dropping India volumes at all and grow our revenues from Africa. That's the plan going forward. And we may be able to bring onboard going forward.
Raman KV : Understood, sir. And sir, just a last question. With respect to Indian entity, what is the total capacity in India? And how much is the current utilization?
A. Sathyamurthy : Our current utilization in Q3 is full, the manpower and machine power capacity, it's almost going full. So at the current run rate in Indian operation, we should be able to do the top line in the range of INR750 crores to INR800 crores. This is without considering the new capacity which is coming onboard.
Raman KV : And the volumes figure, sir? Like what's the quarterly volume from Indian entity approx?
A. Sathyamurthy : Sorry, sorry, the current capacity in India is around INR850 crores.
S. Ganapathi: And I think we will be able to add more because we have one more factory in Bhopal and an underutilized factory in Karnataka, plus the unit in Jharkhand. So I think Indian capacity can be increased, in my opinion, by another INR200-odd crores further from where we are.
We have not fully allowed those capacities to be staffed with people looking at how the tariff is playing out. And we wanted to see if we can get more European business or the right kind of business to expand. But I still see with the kind of capex that we have done in the past, we should be able to push up additional revenue annually to the extent of about INR200-odd crores.
Raman KV : And how much is this Bhopal, Jharkhand and Karnataka additional volume comes from, these 3 entities?


S. Ganapathi: So these 3 entities put together can contribute about INR500 crores annually. Having said that, we are already utilizing a portion of those capacit ies, but very small. And we will probably ramp up by another INR200-odd crores going forward. But the real test for that will be how the tariff plays out, - when will the European FTA kick in, that is when all these capacities, we will tend to start utilizing more of.
At the moment, we have not started ramping up people there while the factories have been built out because these decisions were taken pre -penal tariffs. And once penal tariffs has come onboard, we are going slow on onboarding these capacities. As I said, w e will have the potential to up our revenue annually by about INR500 crores. But we will wait for the right timing before we bring the necessary staffing and ramping up the capacity decision is taken place.
Moderator: We have the next question from the line of Niraj from White Pine Investment Management.
Niraj : Sir, just wanted to clarify again that you have a run rate of almost INR2,600 crores on the stand - alo

ne entity on the India side. So is it fully utilized? Or what's the revenue capacity? If you run full, what can be the revenues for this?
S. Ganapathi: As I said, the additional revenue that we can drive from India is to the extent of INR500 crores. We do have the physical capacity. We are not really putting the workers there because we want to wait and watch as to how the tariff situation unfolds and whe n the European FTA and all kicks in, right ! So we will have to build up that volume for this additional incremental capacity that we have available at our disposal, but we have not ramped up the people there. So we will be doing it.
Since these factories are already in the region where we are operational, our ramp -up costs will not be high. We will be able to ramp them up faster. So when we ramped up Bhopal first unit, it

took us 2 years before we started breaking even and contributin g to profits. But the newer units will probably start contributing much faster given that we have an installed base in all these regions. We have primed ourselves up for all of those.
Having said that, this incremental INR500 crores, I don't think will happen soon and getting additional business at these kind of tariffs will take time. We may also be cautious in building up additional revenues in these times. We will wait and see how al l of these unfold in the months ahead.
Niraj: And sir, on the Atraco side including Europe, Kenya and one of Ethiopia, you said 150 US$ million is the revenue potential from that. What is the current run rate / revenue?
S. Ganapathi: US$120 million to US$125 million.
Niraj: Okay. What is the current revenue right now?
S. Ganapathi: Current revenue, we will be at around US$90 million to US$100 million.
Niraj: And sir, last question. On the margins of India, can you just put the numbers, please? I think if you remove that Atraco margin, how would be the margins from India manufacturing?


A. Sathyamurthy: We are around 10% level in India at the operati ng margin level.
Niraj: Is there a breakup you can give us? How much percentage you would get on exports to Europe, higher versus Europe versus U.S.? Is there a breakup... ?
A. Sathyamurthy: Africa operation is only 1.5%. The remaining amount, you can arrive at it. That is for India operation...
Niraj: Sir, I was asking from India if you are exporting to US or Europe , what is the difference in the margin today?
S. Ganapathi: So US, Europe. See, US margins will be in the low single digits post tariff discounts. Whereas European margins are in the region of about 11%, 12.5% or thereabouts.
Niraj: And can you see further scope of increase in the Europe on this... ?
S. Ganapathi: Yes. So our aim is to increase the European business. We will continue to endeavor doing that. The question is how do we rationalize the capacity between US and Europe? And what is the timing after which this penal tariff will remain? So we like to take a balanced call on some of these. We also have booked revenue from our US customers all the way to Q1 and including Q2. So we'll have to balance all of these capacity. So some of these capacity allocations will unfold in the quarters ahead. We cannot pivot in the short run as we do book orders well in advance.
Moderator: We have the next question from the line of Saurabh Shrivastava from Arista Consulting.
Saurabh Shrivastava: Sir, am I audible?
S. Ganapathi: You are.
Saurabh Shrivastava : Sir, just now you said that the European and this India FTA deal is going to be a great opportunity. My first question is that how do you plan to navigate it? And we will be taking some leased out facilities or we'll be expanding?
And second question is regarding the African operations. Africa sits in a very sweet spot given the tariff structure. So how do you plan to expand there, especially vis -a-vis t

he US business?
And third, if you can give me some idea about the US and Europea n mix going forward vis -a-vis share of customer base
S. Ganapathi: So, if European business comes, we will have incremental capacity in our system itself. So we will onboard some new factories and take on additional European business. So we're not going to cannibalize US business at all. In fact, those capacities are given a nd we will continue to hold on to our US business.
So as far as Africa is concerned, while most of the business in Africa are American, we are also onboarding some European clients now as Africa goes duty -free to Europe as well. So we did not have European customers there. But for now, we are actually addi ng European customers into Africa as well. So that's an incremental opportunity that we're looking at in Africa.


As far as the US -Africa mix is concerned, today, European business is closer to about 14% - 15%, 16 -odd percent of our total revenues. Intention is to take it up to 20%, 25%. But these things do take time. These things take several quarters before the percentage of the revenue for Europe gets built up. Keep in mind that either for U.K. or for Eu rope, we still don't have a 0 - rated tariff.
We are paying full tariffs. Unlike Bangladesh, Vietnam, Sri Lanka, Pakistan and all these other competing countries enter Europe with 0 tariffs. So some of those European growth, while it is happening, will only get accelerated or the ratios will get rebalanced only when actually thes e FTAs kick in with its zero -rated tariff.

Saurabh Shrivastava : And there has been some GSP withdrawal from European Union with Indian operation as well as the Kenyan ones. Will it have some impact?
S. Ganapathi: No. That's 20% GSP discount on 12%. That's 2.4%. That is operating in the margins that it doesn't make an impact at the moment.
Moderator: We have the next question from the line of Gunjan Kabra from Niveshaay .
Gunjan Kabra: Always a great insight on the sector and how the company is moving towards those dynamics. So one thing which I wanted to understand is that since the tariff has been imposed since long now and it's not in our hands that when the resolution will come in, a nd for the brands also, the inven tory was also on the lower side.
So when you talk to the players in the US and the brands in the US basically then, is there an inclination towards supply chain shifts? I know it takes a lot of time, but is there an inclination towards that, that you should shift the supply chain a bit?
S. Ganapathi: See, if the high tariff continues on India, right, then anything is possible, right? At 50% tariff, it's like everybody is bearing a pain. The supplier is bearing the pain. The buyer or the retailer is bearing the pain. So if 50% tariff remains for the lon g run, then there will be concerns. We are hoping that some resolution can be found or people like us will give some options of parts sourcing from other countries so that we can bring the tariff burden on our customers.
But India operations, if 50% tariff doesn't change soon, change in the next several months, we may have brands looking at options to diversify their sourcing. So these are early days. We don't exactly know how brands are thinking because they are also find ing it difficult to onboard capable suppliers in other regions. So they're continuing to buy from India. We are continuing to explore how we can support them and minimize their tariff burden. So all of those are going on. But as I said, these things will p lay out in the next several quarters depending on how the tariff regime unfolds.
Gunjan Kabra: Got it. And with respect to the EU FTA, I mean, the opportunity size is very large and it's huge, that's there. But considering the players that are already there in the EU market, like how the brands are sourcing from Bangladesh

or Vietnam. So that share is also pretty huge. So basically for us as a country, how easy it is for us to compete in that market once the tariff is also resolved? So how are the brands thinking in terms of sourcing from India and not from other countries?


And how is the onboarding cycle of customers in the EU considering the market is very fragmented and small order sizes?
S. Ganapathi: Okay. So most Europeans are buying a lot from Bangladesh. They're seeing geopolitical concerns in Bangladesh on one hand. They're also seeing an advantage of buying from India given that prospectively our tariffs will go down. So many of them are actively present in India trying to onboard suppliers in India, looking at options to buy from India, even for retailers who are either to not buying from India, buy only from Bangladesh and other duty -free regions. So there are a lot of retailers who are now actively considering India. So that's the good news. And that will play out incrementally going forward as India -EU FTA comes to fruition.
Moderator: The next question is from the line of Bijal Shah from RTL Investments.
Bijal Shah: Congratulations on good set of numbers in challenging times. I have 2 questions, one is on margin and another is on Europe, I mean, diversification strategy. So first, on margin. See, if I look at INR40 crores of one -off, which is on account of tariffs, an d if I adjust for that, the India margin looks really, really good. I mean, it just goes above 13%, that we have not seen even in the years when there was no tariff and we were running at a high capacity. So is there something I'm missing here or not? And secondly, within that, that when tariff goes away, can we really go to 13% kind of margin? That's my question one.
Question two is with respect to tariffs. So tariffs, despite tariff impact, so you have 25% disadvantage when it comes to US. Now despite that, you are able to make some positive margins. In Europe, your disadvantage is much lesser. So why not think of onboarding Europe and UK clients starting now itself and give them the discount and ramp up the capacity utilization and improve overall EBITDA, though margins would be lesser, but overall, EBITDA can go up even if you give like 10%, 12% discount because the 20%, 25% kind of discounts you are still making positive margin in the U.S. So these are the 2 questions.
S. Ganapathi: Okay. So yes, adjusting for margins, the India margins are strong and will continue to remain. This is primarily because we have also unleashed a lot of operational improvements and some significant cost management here and efficiency management here, that 's one of the reasons. As far as rebalancing US, Europe, while that continues some of these orders are booked in the long term. We also have strong relationships with customers. Our US customers are also persevering with us in the hope that t he penal tariff will go away.
So we don't also want to reduce their business volumes, keeping a lot of short -term considerations in mind and then hoping that once penal tariff goes away, trying to build back the

business. US businesses are generally a little more profitable than E uropean given business volumes.
So we also have to balance some of these considerations when we look at the portfolio between US and European customers. We will walk that path very carefully. While we will expand the European business, that's clearly an intent, we do not want to contract US business. As i f the penal tariff is removed, we will see ourselves to be in an advantageous position with those US customers. And we don't want to lose that.


Moderator: We have the next question from the line of Shradha Agrawal from Asian Market Securities.
Shradha Agrawal: Sir, congratulations on a great quarter despite difficult times. And two questions. First is, could you give the split between India and -- sorry, between US and Europe exports from India?
S. Ganapathi: From India?
Shradha Agrawal: Yes.
S. Ganapathi: US and Europe only from India. Can you ask the next question while we give you that answer?
Shradha Agrawal: It was a related question because to my understanding, US exports from India would be still at a higher number. And despite making low margins in the US exports from India, we are still at a blended 11%, 12% margin in India. So I didn't get the math well here?
A. Sathyamurthy: So from India, we are doing almost around 70%. 70% was revenue from India.
S. Ganapathi: And Europe?
A. Sathyamurthy: Europe was the balance...
S. Ganapathi: Yes. So a pretty significant part, almost 17%, 18% will be Europe. But rest of non -US business will be at higher margins anyway, yes.
Shradha Agrawal: Yes. So Europe, you're saying, margin of 11%, 12%. And US margin is mid -single digit. And India blended margin is 11%, 12% -- is 10%. So despite 70% of your business coming in at low single -digit margin, how is India blended margins so high at 10%?
A. Sathyamurthy: I'm sorry. India business is around 62% blended because I have to include the other operation from Matrix also. Sorry about it. It is 62%.
S. Ganapathi: 62% is US...
A. Sathyamurthy: 62% is US, from India operations.
Shradha Agrawal: Yes. So sir, the question still remains, right? 60% of the business operates at low single -digit margins even then on a bl ended basis, you're getting 10%?
S. Ganapathi: Yes, correct. So when we say single -digit margins, when I look at EBITDA margin for US, it is in the order of 6%, 7% for US. And European margin or non -US margins have actually kicked up because of the cost efficiencies that we drove. So that is at a blend ed region of about 13.5% or thereabouts. So that gives you the average, whatever average you have.
Shradha Agrawal: Got it. And sir, just another clarification. So you mentioned that you could negotiate with your vendors because you had a higher proportion of India -based raw material in the product this time. And I think on one of the questions, you also mentioned that you had a higher proportion of US imported cotton, which might come off in the next season when you have a higher portion of synthetic, which will be supplied from Far East. So I mean, was it more of India -based raw


material? Or was it more of US based content? And how do we see margins then progressing from here on?
S. Ganapathi: So again, when we look at Q1 onwards, when possibly, we have to look at the supply chain and we look at what is the US component in the supply chain, but we may not have as much of US cotton in Q1 , we may see some amount of tariff burden slightly increasing on that count. It may not impact margins much. It may affect us at about 1%, 1.5%.
But my sense is we will continue to look for ways to improve our margins in terms of either operating efficiency or supply chain sourcing, how much of that we push back to our suppliers. All of that will have to play out. We will try to protect our margins as far as possible in that period.
Moderator: We have the n ext question from the line of Nitin Bharat Shah, an Individual Investor.
Nitin Bharat Shah : Okay. So the first question I wanted to ask is, I presume the US customers who have reduced buying from us or some of them would have stopped buying from us. In that case, where are they buying from?
S. Ganapathi: They have not. They have not. They continued buying from us.
Nitin Bharat Shah : None of them?
S. Ganapathi: Correct.
Nitin Bharat Shah : And does the present numbers include the Labor Code cost through?

S. Ganapathi: Yes.
Moderator: We have the next question from the line of Bharat Agnihotri, an Individual Investor.
Bhara

t Agnihotri : Sir, my question is, so there is some examination that the US Supreme Court is making on the legality of these tariffs and they might announce the results this month. So is there a possibility that your customers get back the tariffs that they have paid? A nd since most of the tariff has been absorbed by the company, is there a possibility that they pass on that recoup tariff from the US government to you in the form of special income?
S. Ganapathi: It's a very good question. At the moment, it looks unlikely because they have also borne the cost of all those litigations, et cetera, and that's a refund at risk. It's highly unlikely that, that benefit will accrue down to the supply chain. So it will be unfortunate, but our retailers will get a windfall gain if that happens.
Bharat Agnihotri: Okay. And my second question is on the India business. When I say India business, I mean, you selling to customers in India. Like what's the volume on that? And is there a strategy to improve the volumes and the geography?


S. Ganapathi: At the moment, when we look at India business, it's largely to the international brands operating out of India that we supply. We do not cater to domestic Indian customers at all. What is the strategy for India -based revenue at the moment, we're not purs uing India retail as an option. We want to see how the U.S. tariff plays out, how the European and U.K. tariff plays out because that brings in a new opportunity. We find margins supplying to India retail is low given that we will be competing with a lot of smaller suppliers whose compli ance costs and all of those will be a lot less. So we're not focusing on India retail at the moment.
Moderator: We have the next question from the line of Manjubhashini from Ask Wealth Advisory.
Manjubhashini: Yes. Sir, just one question on yesterday's budget announcement. Are there any changes on the export incentive schemes that have come through in the budget? And anything that you would like to explain to us on that, please?
S. Ganapathi: So there are no changes to the scheme. However, the allocation to RoSCTL and duty drawback has reduced compared to the actual spend in 2025 - '26. So I don't know how that's going to play out, unless the budget allocation is increased going forward, we are finding actually that the export incentives that we get and the budget allocated for that seems to have changed. But in terms of actual pron ouncements, we have not seen any change. So we'll have to see how that unfolds.
A. Sathyamurthy : Even in the past, we observed that the allocation at the budget level was lower, and then subsequently it was corrected. We hope that it will be done in that similar way. Otherwise, we don't have any specific information at this point of time.
Moderator: We have the next question from the line of Harsh Mittal from Emkay Global.
Harsh Mittal : Sir, just one question. In the starting of your call, you have mentioned that there has been a lot of cost efficiencies, which has led to the margin expansion or the improvement. So do you see any further cost efficiency or headroom left for the FY '27?
S. Ganapathi: So some of the efficiencies may come from a depreciated rupee, right? We normally don't take currency benefits to our advantage when we look at the internal EBITDA margins, et cetera, at the customer level. So some of that can also help us.
As I said, since we hedge and currently, our hedge rates for USD receivables is close to 88.5 or 89, and while the real currency is operating at closer to 91, there may be some upside sitting there. But it also gets eventually competed out in the longer ru n. But in the shorter run, we may see some upside.
Any product portfolio, product mix change, et cetera, can also have a negative effect. All of these do tend to sometimes cancel off each of them, but there's

small upside in terms of currency
sitting there. We'll have to see how that actually plays. I wouldn't go and take that benefit much as eventually these do get leveled out.
Moderator: We have the next question from the line of Riddhesh Gandhi from Discover Cap Capital.


Riddhesh Gandhi : I just had a question. Even if we lose the Russian oil extra penal tariffs that are there, the other tariffs also India is, I mean, disadvantaged compared to Bangladesh , Vietnam, Pakistan, Turkey, etc. So do we see any implications actually longer term even if this is 25% goes away?
S. Ganapathi: India is higher by 5%, are you saying that? No, if India's tariff is 25% while Bangladesh is 20%, will that impact us? The answer is not much. We are assuming a 5% delta. It may impact

partially. We may have to give some degree of offset to customers for t hat 5%. But since we are
currently talking about a 50% versus 20% delta, that is not becoming a discus sion point.
But once the penal tariff goes away, that may come in as a discussion point, and maybe we'll
have to partially support the customers for that 5% delta. Will that impact business volumes
much? The answer is no.
Riddhesh Gandhi : Got it. And the other question was that when we look overall at our margins historically, we
haven't had really this extra 25% to really give back to the customers, yet we are ending up being
profitable. I just wanted to understand how that's actually play ing out if we are passing on a lot
of this.
And specifically, for the American orders, are they at breakeven levels? Are we making a small
amount? Are we like losing? And how long can we actually hold up and actually continue to
subsidize 25% penal tariffs?
S. Ganapathi: See, the U.S. customers EBITDA margins have come down primarily because of the tariff
burden that we're sharing. Depending on the customer, the tariff burden share is different, and
we keep negotiating with our customers. We get some offsets from our suppl iers as well because
some of that tariff burden we, in turn, pu sh it back to our supply chain.
And then we get some credit on account of depreciating rupee. So we should not forget that.
Internally, we don't consider rupee depreciation for our calculations because that's an externality
from our standpoint. But at a P&L level, it does play out and we do get some offsets there.
So our U.S. EBITDA margin, after factoring in some of those rupee depreciation benefits also
goes from low single digits to mid - to high single digits because that benefit also kicks in. But
then these kind of situations do tend to benefit us for now. But when the tariff burden goes away,
we will of course claw back on the burden share.
But then the rupee depreciation might then come back for discussion on sharing with customers.
So all of these will play out. Let it play out when it has to happen. There are too many moving
parts in the business, some to our favor, some to our disadvantag e. And what you see is the net
result. What we can focus on is to ensure that we execute well. We try to drive out cost as much
as possible and which is in our control, and that's what we do.
Moderato r: We have the n ext question from the line of Hitaindra Pradhan from Maximal Capital.
Hitaindra Pradhan: Sir, my question is related to the other income. So sir, what does the other income constitute
here?


A. Sathyamurthy : Other income at the consolidated income level you are looking at, right?
Hitaindra Pradhan: Yes, yes.
A. Sathyamurthy : One is the interest income ,the interest from the OCD, wh ich we have classified it separately.
Other than that, income earned from the mutual fund investments, is reflected under the other
income .
Hitaindra Pradhan: It doesn't take into account the currency impact and the...

A. Sathyamurthy : So the currency impact is shown separately as a separate line item, right? That is the forex impact
gain or loss on account of foreign exchange fluctuation, we have shown it separately.
Hitaindra Pradhan: Which is not part of our like EBITDA margin? Or it is part of our EBITDA margin that we are
reporting?
A. Sathyamurthy : It is part of the EBITDA margin.
Hitaindra Pradhan: Okay. Okay, sir. So sir, if like the tariff situation reverses, so we can expect that the U.S. business
to again generate like, say, 12%, 13% of EBITDA margin from the current low single digits?
A. Sathyamurthy : Yes.
Hitaindra Pradhan: And this is like on the inventory, you made a comment earlier that the retailers are also not
stocking up because the prices are elevated and/or probably they are anticipating some kind of
slowdown. So if you can give some clue to who are the customers, like are they in the p remium
segment, mid -premium or value segment? And what are the demand scenarios at the U.S.
customer side?
S. Ganapathi: So when you look at the aggregate macro data, if you look at the retail sales, retail sales for
calendar '25, now we have data even till November. And we are seeing it go up a little above
4%. And U.S. imports are down by 1%. So there is a delta there, rig ht? U.S. retailers are
importing less even though the retail sales are going up, which clearly indicates that they are not
allowi ng their inventory to build up.
And on the contrary, they are allowing inventory destocking to happen. People are not wanting
to buy at 20% to 50% reciprocal tariff regime or are looking to build up inventory at these levels.
They may be waiting for the Supreme Court order to see if there is a tariff reversal before they
start coming back for buying more.
So we'll have to see how this plays out. They may also be worried about how inflation plays up
in the next calendar year, that is 2026 in which we are, and see how price increases, which will

go into effect this year will also impact U.S. retail demand. So b asis that, they will probably start building up inventory.
But for now, U.S. imports are trending below U.S. retail sales. And that's interesting to see because then there is an incremental tightness in inventory that you will see happen in the U.S., which may reverse.


Now how does this play out at an individual retailer level? I think at the moment, it's across all segments that we are seeing it, including mid -premium, premium to mass market. Mass market retailers are where bulk of them are. We will have to see how they will play going forward.
Mid-premium and above are actually trying to pass on more and more price increases back to their customers. Whereas all the others are holding back as much as possible or passing on very marginal pri ce increase to their customers.
So it will depend on how that strategy plays out in spring 2026, which is yet to happen. The extended winter continues. U.S. is seeing a brutal winter as we speak. So we will have to see from spring '26 onwards how the retail market unfolds.
Moderator: We have the n ext question from the line of Sagar Makwana from M.A.G. Securities
Sagar Makwana: Sir, my first question is a little bit long term. As we scale our presence in EU and U.K., sir, do we anticipate any shift in working capital days and margins, as you said, in Europe, they are higher. And also, sir, please correct me if I'm wrong.
Since sportswear typically delivers higher margins, do we see any opportunity to meaningfully scale this segment to enhance overall margins over medium term? Or this category likely to remain low and structurally dominated by China and Taiwan?
S. Ganapathi: So to answer your second question, our European customer is sportswear dominant. And in fact, that is one of the reasons why we were able to expand our margins also. So w

e are continuing to
push most sportswear -related business to offset some of the margin challenges that we have. Are we pushing up European busin ess, keeping long term in mind?
Absolutely. Given tha t FTA is coming into effect, et c., we are pushing that European business up, and we will continue to do that. Once U.S. penal tariff goes away, we will see some U.S. business growth as well. So we're not wanting to let go that opportunity. We are continuing to engage with U.S. as well.
So in terms of customer portfolio perspective, we are calibrating it very closely. We are allowing European business to grow faster for now given that there is a tariff benefit for us serving Europe.
How are we looking at sportswear? We are looking at it f avourably. We are trying to expand that business.
And we are seeing good traction coming in from sportswear business. Even though the natural home for sportswear is Vietnam and those regions, we are seeing a good amount of traction coming in that space for us.
Sagar Makwana: Sir, and my second question is, will -- ASP will get lower as we enter into the Knits and due to Atraco heavy casual wear?
S. Ganapathi: Yes. If Atraco's growth happens at a faster rate than India, definitely, ASP -- average selling price will come down. Yes.


Sagar Makwana: Okay. And sir, my last question, sir, if this AGOA get restored, sir, is there any duty refunds we can get as a one time gain?
S. Ganapathi: AGOA, no, no, no. So all that will be prospect. I don't think we'll get a duty refund for past, yes.
Moderator: We have the next follow -up question from the line of Prerna Jhunjhunwala from Elara Securities.
Prerna Jhunjhunwala : Just wanted to understand with so many cost control measures undertaken internally and externally, how do we see our sustainable margins once this U.S. trade deal settles and we enter into high -growth period wherein FTA with U.K. and Europe are also signed ? So just wanted to understand how things will move. And how do you see business?
S. Ganapathi: So in the long run, there are many moving parts. One is trade deal -- U.S. tariff, at what level will it settle? Will it settle at 25%? Will it remain at 50%? Will it come down to 25%? Will it come down to 20%, which is equivalent to other competing countr ies, right? And the marg ins will depend on all of that.
So let's assume that the penal tariff goes away, comes down to 25%, at that moment, U.S. customers may come in and start negotiating on that 5% delta with other regions, which at the moment is being ignored given that the delta is so wide between 50% and 2 0%.
What will be our margins at that point in time? I'm sure we'll be in 12% to 13% India margin for all businesses, including U.S. Our advantage, if we merge BTPL, which is the fabric unit with

us, will also help us nudge up our margins by a few percentage po ints becau se fabric will become internal.
So that's another dynamic that we will see in the longer run. European business will probably also help -- will also come in at good margins, primarily because in the long run there will be a European FTA in place. So that will help.
For the moment, we do have some currency -related benefits coming into us. If the currency strengthens, it may have a deleterious impact on the margins. We will have to see how that plays out. So th ere are all these moving parts.
Your guess is as good as mine. But on an average, if you have to ask me, if, let's say, currency strengthens or part of the currency benefit goes back to our customers, while U.S. tariff comes down to 25%, European FTA kicks in, we should be able to operat e at 12% to 13% EBITDA margin in India and about 10% to 11% in Africa.
Moderator: We have the next follow -up question from the line of Riddhesh Gandhi from Discover y Capital.
Riddhesh Gandhi : Yes. Sir, so just wanted to und

erstand that you had highlighted earlier when I asked you regarding that the impact of a 4 %, 5% percentage of reciprocal tariff benefits, which may be Bangladesh, Turkey, etc ., might have over us won't be that much of an impact. But I understand it won't be that much o f an impact in view of the 25%. But I mean, absolutely wouldn't this be at risk of our bigger customers looking to potentially diversify away from India?


S. Ganapathi: Will they diversify away from India between 25% and 20%? Answer is no. Because in India, they do get some specific capabilities, etcetera, that is very difficult for them to replicate elsewhere. People also want a diversified sourcing these days given that tariff for any region can change anytime. You saw how South Korean tariffs suddenly go up based on some announcement by the administration. So people will stay diversified.
Globally, U.S. tariffs are super volatile across regions and will stay volatile. And that really means that U.S. customers will stay as diversified as possible. We, as suppliers, also should stay as diversified as possible and hence look at sourcing from o r supplying from other regions just to deal with this volatile tariff situation that we find ourselves in.
Riddhesh Gandhi : Got it. And just the last question I had was, I would assume, just given all the ambiguity, are these inventory levels at our clients are reasonably low? And how is end market demand looking like? So just to know that in case we do see a reversal of 25%, do we also see an uptick in demand and orders relatively?
S. Ganapathi: No. So I would say I'm a bit cautious there. I'm worried about U.S. U.S. inflation -- everything depends on U.S. interest rates, etcetera, going forward. But if U.S. demand slows in 2026, either due to price increases being passed onto customers or due to tariff -related price increases impacting U.S. customers, we may see some U.S. demand coming down. We also don't know how geopolitics are going to impact us as there is enough on the boil globally and how consumers tend to react to that situat ion in '26.
So I wouldn't say there is going to be a demand upswing. On the contrary, demand growth will stay muted till this geopolitics plays out in 2026. We will have to ensure that we consolidate the supplier base, which we always do whenever there are some such d ifficult situations . And hold on to our business or try to get business in lieu of other suppliers. And we will continue to focus on that or will think about that.
Moderator: Thank you very much. As there are no further questions from the participants, that concludes the question -and-answer session. I now hand the conference over to the management of Gokaldas Exports Limited for the closing comments. Thank you, and over to you, sir.
S. Ganapathi: So I've elaborated a lot during the call as we will stay focused on trying to improve our cost as much as possible, look at our supply chain wherever there is a possibility to extract more margins or optimize margins. The macroeconomic situation is still v olatile. The only benefit that I see in all of this is a weaker rupee, which will help from an export standpoint. The tariff regime, we hope will settle down soon. It is required as U.S. continues to be one of the largest markets and one of t he most consumption -driven markets for us.
European FTA and U.K. FTA needs to come home as fast as possible. So while the announcements have had a positive effect from a brand standpoint looking at India sourcing, for it to take effect and business volumes to go up, we need to see the FTA being ope rational, which is some time away.
But once all of those happens, the long -term benefit for India will be immense as Europe is a fairly large market, almost as big as U.S. is. And if U.S. tariff comes down, I think it will be

good for operations out of India. In the meanwhile, we will continue to diversify. We will continue to expand out of Africa. And we'll continue to expand out of other regions and seek margin improvements wherever possible. Thank you.
Moderator: Thank you very much, sir. On behalf of Gokaldas Exports Limited, that concludes this conference. Thank you for joining with us today . And you may now disconnect your lines.

# Call: Jun 2026

GEL/SEC/2026-27/13

June 02, 2026

Dear Sir / Madam,

Sub: Transcript of Q4 FY' 26 earnings conference call

Pursuant to Regulation 30 and Regulation 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find en closed the transcript of Q4 FY'26 earnings conference call held on May 25, 2026. The Transcript is also avai lable on the Company’s website at www.gokaldasexports.com .

Please take this into your records.

Thanking you,

Yours truly,
For Gokaldas Exports Limited

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“Gokaldas Exports Limited
Q4 & Full Year 26 Earnings Conference Call”
May 25, 2026

MANAGEMENT : M R. SIVARAMAKRISHNAN GANAPATHI – VICE CHAIRMAN AND MANAGING DIRECTOR – GOKALDAS EXPORTS LIMITED
MR. SATHYAMURTHY – CHIEF FINANCIAL OFFICER – GOKALDAS EXPORTS LIMITED

MODERATOR : M S. KASTURI SHARMA – EY LLP





Moderator: Ladies and gentlemen, good day, and welcome to the Gokaldas Exports Limited Q4 and Full Year FY '26 Earnings Conference Call hosted by EY. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Ms. Kasturi Sharma from EY. Thank you, and over to you, Ms. Sharma.

Kasturi Sharma: Thank you so much, Michelle. Good morning to all of you on the call. Before we proceed, let me quickly remind you that the discussions here may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause future results, perform ance or achievements to differ significantly from what is expressed or implied by these forward-looking statements.

Please note that we have mailed the results and earnings collaterals and the same are also available on the company's website. In case you have not received these, you can write to us, and we will be happy to send them over to you.

To take us through the results and answer your questions today, we have the management of Gokaldas Exports Limited, represented by Mr. Sivaramakrishnan Ganapathi, Vice Chairman and Managing Director; and Mr. Sathyamurthy, Chief Financial Officer. We will begin this call with a brief overview of the quarter and highlights for the year, followed by the Q&A session.

With that said, I'll now hand over the call to Mr. Siva. Over to you, sir.

S. Ganapathi: Thank you, Kasturi. Good morning, everyone. Happy to have you at our earnings call for the financial year of 2026. FY '26 marks a year of spectacular disruptions with the year beginning with the imposition of reciprocal tariff, which went through multiple iterations throughout the year. For a significant part of the year, the recipr ocal tariff, which is in addition to the already high MFN tariffs imposed by the U.S. on apparel imports remained at a staggering 50% that was way higher than most countries, including China.

The later part of the year also saw a war in the Middle East, which imposed an upward pressure on cost of raw materials. The war in Ukraine continued to keep pressure on EU markets. In Q4 FY '26, India business operations for Gokaldas Exports grew by 2% despite the prevalence of steep tariff and the Africa business supported by an extension of AGOA expanded by 17% Y-o-Y. During this period, Indian apparel exports declined by 10%.

In FY '26, India operations grew by 10% Y-o- Y despite U.S. tariff-related uncertainties, while Indian apparel exports witnessed a decline of 1.4%. The company offered a net discount of over INR90 crores for the year to its customers to offset the tariff burden. This is tariff discount passed on to customers, net of discounts imposed on the supply chain of ours.



Africa business declined by 19%, primarily impacted in the period up to Q3 due to AGOA uncertainties, leading to a reduced order book for that period, resulting in a revenue drop of about INR180 crores. Despite these headwinds, the company delivered a total income of INR4,065 crores, a 4% growth over the previous year. Indian apparel exports witnessed a decline during this period. The EBITDA margin was sustained at previous year's level, absorbing a severe financial setback in terms of tariff burden share.

The company had booked most of H1 FY '27 orders during the prevalence of penal tariff regime. The company had offered discounts on U.S. shipments to offset the penal tariff. After normalization of the pena l tariff, there has been a reset of pricing to its customers, le

ading to margin improvement. Africa business witnessed a healthy growth and will continue its growth momentum in FY '27 post the renewal of AGOA.

The company continued the committed capital expenditure in creating newer capacities and upgrading its existing machinery and equipment to support future growth. During the year, the company spent about INR170 crores towards new capacity creation, which will pay out in the years ahead. Net debt has increased by INR395 crores, primarily driven by capex investments for incremental capacity expansion, additional investment s in BTPL and increased working capital on account of volume increase.

The withdrawal of penal 25% tariff in February and the subsequent U.S. Supreme Court ruling against the tariffs led to a 10% tariff being imposed until July 24, 2026. AGOA got restored till December 2026. With the competitiveness of these main production centres of the company restored, the revenue and margin outlook for FY '27 has improved.

Tariff has showed the resilience of the company as its entire operations were severely impacted on account of surge in tariff for both India an d Africa. The company used this opportunity to strengthen its leadership team, build durable processes and expand its customer outreach to secure the company from fu ture shocks. It looks like the worst is behind us. Even if tariff is reimposed under Section 301, there is a strong li kelihood that it will be somewhat similar to most competing nations from Asia. Africa is not un der Section 301 investigation, giving further comfort.

The company signed up two new premium customers in FY '26 for its India operations, one American and one European that will begin yielding revenue from FY '27. There is a good momentum from existing customers as well. Growth of revenue from European customers continues to be strong. Similarly, for its Africa operations as well, the company has onboarded

two new customers, one American and European that will begin operations in FY '27.
On demand front, U.S. and U.K. retail sales witnessed a strong growth of 8% and 6%, respectively, for CY '25. U.S. sales continue to remain strong in early 2026 as well, while U.K. is showing signs of waning. Despite such strong sales, retailers in U.S. have started paring down their imports from second half of calendar 2025, owing to market and ta riff-related uncertainties.
This means that their inventory may be paring down and could provide us some cushion for growth in the future.


The U.S./Iran war has impacted textile value chain with increased cost of raw materials like fuel, packaging, polyester and trims. Cotton prices have also risen due to a combination of higher yarn exports to China and substitution from MMF to natural fibers, weather-related disruptions, etcetera. Shipping costs have increased as well. Inflation across economies on account of higher fuel prices could impact consumer spending.
Most U.S. retailers and many EU retailers continue to diversify away from China-based suppliers. This helps growth of other regions. India remains a strong long-term prospect for sourcing. The trend of consolidating in favor of stronger suppliers also continues. FTAs with European region could help in strengthening the prospects of the industry.
The company is expected to continue its grow th trajectory in FY '27, delivering strong performance across its business. The company ha s initiated merger of BTPL subject to NCLT approval. This is expected to conclude in the third quarter of FY '27. There has been steady progress of operational improvement there. It is expected to turn in operating profits in the second half of the financial year.
The capacity utilization at BTPL is approaching nearly 50 lakh meters per month, and the mill has currently a capacity of 70 lakh meters a month and can be raised to 100 lakh meters per month with an additional cap

ital expenditure of about INR50 crores to INR60 crores.
I thank you for listening and I would be happy to address any questions that you may have.
Moderator: The first question is from the line of Kaustubh Pawaskar from ICICI Direct.
Kaustubh Pawaskar: Sir, my first question is on the profitability. We have seen in this quarter stand-alone business Operating EBITDA margins improving to 12%. And if we just minus -- console minus standalone, which is largely subsidiaries, there the EBITDA margin stood at around 5.9%. So we have seen substantial improv ement in the standalone margins, which is largely related to India business margins, while subsidiaries margins are yet -- so considering your outlook in the initial comment and the way we look at the cotton prices.
And the other prices have also gone up because of the other commodity prices have also gone up because of the India -- sorry, Iran war. So in that context, should we expect this 12% kind of range for India business to sustain? And what is your outlook on the Africa business margins because that is currently lower. But considering the fact that the business will improve in that region, should we expect margins over there also to improve in the quarters ahead? So this is my first question?
S. Ganapathi: Okay. Thank you, Kaustubhr. You're right. The Africa business had seen some ______ challenges but we are anticipating that in the quarters ahead business flow is strong and we should have a continuous improvement of EBITDA margin in Africa. I anticipate that in the second half of FY '27, Africa business would have an EBITDA margin of somewhere between 8% and 10%, and we are working towards that.
The order flow is also moving in the direction where our operating leverage will also kick in, allowing us to improve our EBITDA margin subs tantially. The other Indian subsidiaries, which


is non-Gokaldas Exports, which are matrix and others, have also had some minor setbacks in the fourth quarter, particularly because the tariff continued to be high in Q3 and Q4 at about 50%.
And some of the customers there, instead of asking for discounts, just pivoted to other regions for business. This also is reversing back in FY27 because the tariffs have normalized. So there is an upsurge that we will see in India, than ks to tariff blowing away, the 50% penal tariff blowing away somewhere in the middle of February 2026. And going forward, India business margins will improve as well as Africa business margins will also improve.
Kaustubh Pawaskar: Sir my second question is on the working capital. So this year, our work ing capital days have gone up and we can understand because of the inventory days have gone up. But now since the tariff issues are receding and if things are good going ahead, so should we expect working capital to improve from here? And on the other hand, the working capital loan al so will get reduced maybe in FY '27 or 28. So your outlook on the same?

S. Ganapathi: So I'll give you a high level. We are, of course, working towards reducing working capital in the apparel business. The working cap ital deployed in the business has slightly increased in Africa because of the customer mix that we had in Q4. There was also a year-end factor where certain receivables took time to mature and hence working capital balloon towards the end of the year.
We also had some fabric-related working capital increases in our business. But overall, I feel that in FY27, the working capital should taper down. There will be an increase in working capital as and when BTPL merges into Gokaldas because that entity's working capital will also come in. But obviously, it will also come in with it s own revenue stream, etcetera. But I feel that the year ahead, Gokaldas working capital should moderate down or temper down a bit. Sathya, you want to add more colour to this?
Sathyamurthy: Yes. So –

in addition to the point whatever Mr. Siva has mentioned, we have had to advance the raw material import to take care of the order execution in Q1 FY27, because of the Chinese holidays. We had to additionally invest close to about INR50 crores to INR60 crores, in Inventory in Gokaldas Exports. We are working as to how do we improve the Inventory holding days.
So, one is the inventory buildup, which has incrementally happened to take care of the volume increase in Gokaldas apart from the incremental volume buildup in Atraco.
Other one is on the customer mix, what he has talked about, that is on the receivables. We are working with the customers closely on the early payment program and other initiatives. So, there is an overall increase of almost INR200 crores in working capital.
Our intention is to work and bring down the work ing capital, by at leas t about INR75 crores to INR100 crores in this financial year in Gokaldas operations, that is in Gokaldas and Atraco operations. Obviously, there will be incremental working capital required when BTPL gets merged with Gokaldas. But at the current level of operation, our intention is to bring down our working capital to the extent of INR75 crores du ring this year from where we are at this point of time.


Kaustubh Pawaskar: And one last, if I can. In our outlook for FY27, have we considered the incremental benefit, what we will be getting from U.K., India FTA, so are we considering that in terms of any incremental revenues from the customers what we already have in the U.K. or -- is any new customer we will be adding in the quarters ahead?
S. Ganapathi: No, we are not considering. We do not consider until and unless the FTA actually fructifies. So an impending FTA with U.K. sometime this year and probably an EU FTA sometime next year could help further fuel the momentum on the business. However, we have not factored in any of these. The U.K. FTA itself has been delayed. It was supposed to come by April, May, but now it's further delayed and we are awaiting the date when it will get implemented. So we don't factor in till some of these things actually materialize.
Kaustubh Pawaskar: So excluding that, should we expect around 10 % to 12% kind of revenue growth considering that things have improved -- will be improving in Africa and there is a stable environment in the standalone business?
S. Ganapathi: I would probably reckon it will be much more than that.
Kaustubh Pawaskar: Okay. Thank you. Thanks for the answers.
Moderator: The next question is from the line of Jagmohan Singh from Master Portfolio Services Limited.
Please go ahead. As there's no response we will move on to the next question from the line of Gunjan Kabra from Niveshaay. Please go ahead.
Gunjan Kabra: Hi sir. Thank you so much for the opportunity. First is right now our currency has depreciated a lot with respect to the other countries where U.S. exports the most as well, like Bangladesh or any other currency as well. Plus, demand traction like you said. So, if you can understand that how is the demand shaping up considering in the U.S. because for 1.5 or 2 years, U.S. will be the dominant market for us.
With respect to now the raw material & logistics cost, everything has also increased. So how is right now the demand traction in the U.S. for us, whether we are becoming much more competitive with respect to currency as well and is it like the most exciting times right now for us because of all this?
S. Ganapathi: Thank you Gunjan, we have the hedging policy where we hedge the receivables for the quarters ahead. And for two quarters ahead, we hedge almost 80% of the revenues and the subsequent two quarters, that is third and the fourth quarter, we hedged to the extent of 50%. So our hedging principle means that almost for 80% of the revenue for -- up to Q2, we have hedged at prices ranging from INR87 to

a dollar to about INR91 to a dollar.
So we are not really seeing the advantage of a weaker rupee because of the hedges that we have.
You will appreciate that the rupee weakened so fast in the last few months that hedges have proven to be counterproductive for us, but that's the policy that we have. We don't speculate on

the rupee. It's movement in either direction. So that means that the rupee depreciation advantage is not baked into our numbers and will probably only flow in H2.

Having said this, your question was mainly from a demand perspective. And once the U.S. tariff or the penal tariff went down from 50% to 25% initially and then immediately after the Supreme Court order went down to 10%, we got a level playing field with the rest of the world.

You will see that our revenues never dipped even during 50% tariff regime. We maintained our revenue, even though we gave discounts, etcetera, we maintained our revenue. In fact, we slightly grew our revenue even after giving discounts. That shows that how strong Gokaldas relationship with its customers that are with a substantial American customer base, we still managed to grow the business.

So, our feeling is that now that the tariff has leveled off, there is a global equal tariff across the board. And the prognosis is that even if Section 301 tariff is imposed going forward from end of July, it should bring India nearly at about nearly at par with the rest of Asia in that 20%-odd range.

And again, this is speculative. We have to see wh ere we land at that point in time. We will still have a level playing field, which really means that our competitive advantage is sustained. A weaker rupee will obviously add to the competit ive advantage, which we have not yet seen, but we will see going forward in the future.

So overall, I don't see any problem from a demand standpoint. And U.S. retail sales is also going strong. We are watching how U.S. retail sales will pan out in the second half of calendar '26 and early '27. At the moment, we are booking orders for spring '27. And while the order flow is good, there may be some apprehensions with respect to in flation in the U.S., higher gas prices, etcetera.

So we'll have to see how it actually pans out. While the customers are being conservative in placing orders and will come closer to date with additional orders, we seem to find that our order book is relatively very robust and strong. So, we 're confident that India's competitive advantage is restored. We're confident that our customer relations and our business model will be able to attract a fairly strong business flow in the quarters ahead.

Gunjan Kabra: And what's the inquiries in terms of new customers coming to Gokaldas reaching or we reaching out to them? How is that order inquiry order flow right now?

S. Ganapathi: That's good. So, we are being selective. We just don't want to go add several new customers, as the overhead of managing multiple new customers actual ly brings down the profit in the initial period. So, we are selective. We have added two customers, which will materialize in FY27.

Both are premium customers.

And we may choose to add one or two more with whom discussions are ongoing. And again, these are all top-class customers, customers who are doing exceedingly well in the market and whose brand names are also pretty strong and performance are strong. So, we are very selective in adding customers.



We will also be selective in growing with them . We want to make sure that our execution is perfect before we start ramping up. So the contribution from these new customers in the first year will be of the order of single-digit percentage of total revenue, maybe more like 5%. The idea is that they will scale up in the years ahead pretty smartly. We have enough order flow from our existin

g customers to absorb additional capaci ty. So, there's no dearth of business that we feel confident that we can continue to sustain our growth momentum.

Gunjan Kabra: Might be a small portion, but is there any incremental tactical demand that can come in the U.S. because of the adoption of GLP-1 as well?

S. Ganapathi: Can you repeat that question?

Gunjan Kabra: This might be a little smaller proportion, but since the inventory there is low. So can there be an incremental tactical demand for the apparels because of the GLP-1 adoption as the size reduces, so the demand for apparels might increase. So, are we seeing some short- term apparel demand increasing because of that?

S. Ganapathi: I am not seeing any short-term apparel increase. All this will ha ve to pan out to see. We are seeing a growth. And because of inventory related issues, I've not seen any short tactical advantage. We'll have to wait and see.

Gunjan Kabra: And are we planning any new capex as well that we had kept on hold?

S. Ganapathi: We will do some capex selectively. We will al so watch and see how the markets react to how the tariff regime unfolds in July. But to sustain our at least 15% kind of growth, we will definitely

work on the capex that is required to manage that an d to deliver that growth.
Gunjan Kabra: Got it. And sir, what would be the major reason fo r India's yarn exports to China in the cotton segment increasing a lot and how sustainable does this look like?
S. Ganapathi: I mean, at the end of the day, China is buying a lot of Indian yarn because they tend to operate with a herd mentality. Their own market is also ve ry large. And if they want to export, then they may have to also tap into Indian market. So, these are all trade movements. It could sustain.
It could slow down going forward. I think cotton prices depending on cotton yields may probably ease off starting October, November this year. But at the end of the day, from a pure apparel standpoint, cotton and raw material prices eventu ally will become a pass-through for us. So, if the cotton prices go up and hence, fabric prices go up, we will tend to factor that in the pricing of the goods that we produce.
Gunjan Kabra: Got it. And sir, AGOA also, the agreement will get expired in December '26. So, probability of renewal and how will that ta ke time, how will that be?
S. Ganapathi: So, if you recall, in the Congress for the AGOA the House of Representatives approved a 3-year AGOA renewal. Usually, AGOA gets renewed for every 10 years. U.S. wants Africa on account of its mineral presence, etcetera. But the current U.S. administration also thinks that they want to enter into country-by-country deals rather than a pan-Africa deal.


When the Congress approved let us say when the House of Representatives approved a 3-year AGOA deal, the administration brought it down to 1 year. The belief is that AGOA may get further extended towards the end of this year by another 1 year or 2 years, which will allow U.S. to enter into agreements with individual countries.
There's an ongoing FTA discussion with Kenya, which is a bulk of our operations are. I'm not confident that it will happen by end of this year. I get a feeling that AGOA may get extended and that may continue to provide relief. The other topic is that Section 301 tariffs from July where tariffs may go up to 20%-odd for rest of the world.
Kenya will continue to remain at 10% because there is no Section 301 investigation for African countries. So their tariff will con tinue to remain at 10%, which it was even earlier. So the tariff advantage for Kenya will c ontinue to remain, which will probab ly give that region a sustainable advantage going forward, AGOA or no AGOA.
If AGOA comes through or AGOA extension comes through, then the story for that region becomes even more compelling. When I look at our order book, it seems to

be pretty strong. At this moment, we are working on third quarter and fourth quarter orders there. And the initial impression that I get is that there is a fairly strong amount of traction for continued business there.
Gunjan Kabra: Perfect. Thank you, so much and good luck, always great talking to you.
S. Ganapathi: Thanks, Gunjan.
Moderator: We'll take the next question from the line of Vishal Mehta from IIFL Capital. Please go ahead.
Vishal Mehta: Hi. Thanks for the opportunity and congratulation s on a resilient set. My first question, just continuing on the AGOA expiry topic. If the AGOA renewal announcement is delayed, like in the case it was done last time an d just hypothe tically assuming that 301 tariff stays at 10% globally, what prevents a situation same like last time to happen as in the customers again start delaying their orders or probably expecting that there's probably a renewal of AGOA in the annual, etc. So just wanted that.
S. Ganapathi: Sure. So when AGOA was expired and the renewal was delayed, some of the customers came and asked us for sharing of the burden, etcetera, and we flatly refused because we did not believe that our Africa business was resilient at that tim e for us to share any business discounts or anything to go and give an artificial support to offset AGOA. And at that point in time, in anticipation of all of this, there was a business drop, which we let happen and try to curtail our margins, our costs rather than simply go book business without AGOA.
This time around, I feel that Section 301 tariff is more real, and it's quite likely that post July 24, there is going to be a reset of tariff back to 20-odd-percent for rest of the world, barring Africa, which may remain at 10% because that's not covered under that. The administration is quite intent in achieving that and all signs are pointing in that direction. AGOA renewal is still to be decided. And my sense says that it may come towards the end of the year. It may get extended


by a year and getting extended by increments of 1 year going forward until individual FTAs are worked on.

But assuming that none of this materializes, what is our confidence? We have expanded our customer base so that we have now many more customers in Africa. We have had multiple conversations with customers with whom we are working in Africa to ensure that come AGOA or no AGOA, we should see business flows. We are now open a little bit if we have to address AGOA-related tariff, we have the size, scale and the volumes to address some AGOA-related issues if we need to.

So, I feel confident that the revenue-fall this time may not be happening given the diversity of customer base, given the discussions that we have had and some of the external indicators that I'm seeing, which may not be as dire as the scenario we just discussed.

Vishal Mehta: Sure. My second question was just wanted to check on the timelines for capacity commissioning on India and Africa. Africa, is the expansion -- is the new capacity commissioned already? And what kind of revenue capacity are we currently at there? And what will it be after the expansion?

And similarly in India over 1Q and 2Q, what sort of revenue capac ity additions are we expecting? So just timelines on these?

S. Ganapathi: So, capacity expansion in Africa has already happened last year. And we anticipate that in FY27, we should at least target approximately $115 milli on, $120 million in revenue regardless of what the AGOA status is. I feel $115 million is the worst case. We could even do $120 million in top line in FY27. This is in compar ison in FY26, we did about $80-od d million or in that region. So, there is a huge growth, which we will see in Africa, and that growth will also bring with it some margin improvement.

The operations and the factories are completely a ligned. If there is an additional tailwin

d, we do have the prospects of opening up second shift operations. So we don't want to add a lot of further physical capex. We can probably see some incremental growth by operating two shifts. We've already started 2 shift operations in one of the factories in Africa. And we have about 20%, 25% of that factory's capacity running on 2 shifts, and it's working successfully. So there is -- and the workers are available.

Unlike India, it's much more easier to recruit second shift operations in Africa given the need for jobs. So there is a further opportunity for us to increase capacity without putting too much of capital here, which is an advantage. As far as India is concerned from a capacity growth standpoint, we do have capacity in our existing facilities. For example, the facility in Karnataka in Kolar Gold Fields, where we still have half a factory yet to ramp up which is on the ramp as we speak. So, it will ramp up in Q1 and Q2, an d we'll take it to full capacity utilization.

The second unit in Madhya Pradesh is getting commissioned, and we have started expanding the lines as we speak, and it will reach full capaci ty utilization by third quarter of FY27. So, from September-October onwards that 1,000 machines wi ll operate at full capacity, which at the end of March, those 1,000 machines were non-operational. Now 2-3 lines have started getting operational and it will continue to expand.



In addition, we have an option to commission 2 new factories, the call for which we will take in the next quarter or so, depending on if there is any new tariff or geopolitical situation that we need to deal with. But most likely, given how th e customer tractions are and business tractions are, we may have to press that button and go ahead and add those incremental capacities for sustaining growth towards latter half of FY27, but more particularly in FY28.

Vishal Mehta: So the Karnataka and Bhopal additionally adds around INR400 crores, INR500 crores to the revenue capacity?

S. Ganapathi: For FY27, you mean?

Vishal Mehta: At full capacity.

Sathyamurthy: INR175 crores. Bhopal will add up INR175 cror es and another INR125 crores in a steady state from the Karnataka Unit.

S. Ganapathi: The two capacities that we are talking about that can always bring in incremental revenue. That also at steady state will bring in another INR300-odd crores of revenue. But that will take a little longer because those are just in planning at the moment.

Vishal Mehta: Okay. Actually, your voice was breaking when you were answering. So INR400 crores is a reasonable...

S. Ganapathi: Just the Karnataka and Bhopal units will add at steady state INR300 crores of top line. And then we have two other units which are in the planning stage. Those 2 units at its steady state, which will not be in FY27, but which will probably be in FY28 or even later, can add another INR300 crores. This is apart from whatever debottlenecki ng capacities that we w ill continue to do in our -- all our existing facilities.

Vishal Mehta: Sure. Just last question on margins. Given the input cost inflation that we've already seen, are we kind of when we are now probably finalizing our orders for say, second half, are we probably seeing customer accepting that pass-through of increased input inflation as in -- are we increasing our pricing?

S. Ganapathi: The second half orders are yet to be closed. Obviously, we are eating up some of those margins in the first half. Orders were bo oked long back. And those first half orders were booked even when the tariff was 50%. It was booked pre-February. And obviously, there were a lot of price pressures and order pressures, etcetera, etcetera.

But in the second half, our endeavor is to try to push back as much of these price increases back to the customer. There is obviously a resistance back from the customers as well because they are also a

nticipating inflation-led demand cha llenges from the U.S. Everything depends on the Iran war and the continuance of it. If the hiatus that has been obtained there continues and if the oil prices cool off, I think both demand and price pressures will ease off, but that time will tell.

At the moment, our endeavor is to push back on that price increase. We may succeed in partially passing it on, not passing everything on in full, primarily because I'm also seeing Southeast



Asian players and Chinese players quite happy to absorb some of these cost increases as a strategic move because many of them ar e sitting on under-capacity utilization.

So there is going to be all those global geopolitical capacity demand fights that will happen. But nevertheless, in the long run, I guess all of this will get pushed back in the short run, particularly in second half, we may recover a portion of it. I also feel that some of the pricing pressure may also ease off. We'll wait and watch.

Vishal Mehta: Okay. Just a follow-up on this one. You said that you negotiated first half orders when the tariffs were still there. So, does that mean that we'll still see some tariff rebate -related pressures in 1H?

S. Ganapathi: Our tariff rebate was clear that as long as the penal tariff was there, the rebate was an add-on. So as long as the penal tariff was there, there was this rebate. When the penal tariff went, the rebate also went out. So the impact that we took in Q3 and partly in Q4 would not be there going forward.

Having said that, apart from the rebate, there were sharper prices that we gave in Q1 and Q2 because we wanted to maintain the business in country as opposed to allow it to drift out of India, keeping longer-term business interest in mind.

So to that extent, the small sharper prices that we gave for Q1, excluding the rebate, I'm saying, is something that we may have to absorb in Q1 and Q2. Those sharper prices are also being taken off in Q3 and Q4. So when we are pricing Q3 orders, we are not even giving the sharp pricing that we gave in Q3 and Q4. Certainly, there is no rebate on top of it at all for the year. Does that clarify?

Vishal Mehta: Yes.

S. Ganapathi: Rebates were to the order of up to 15%, part of it which we clawed back by asking rebates from our supply chain. The sharper pricing was to the extent of 3%, which continues in H1. But in H2, that also goes away. The tariff burden share of 15% went away from mid-February onwards.

Does that give you a better color now?

Vishal Mehta: Yes. Thanks a lot for patiently answering and much appreciated. Thank you. All the best.

Moderator: Thank you. We'll take the next question from the line of Amey Chheda from Banyan Capital. Please go ahead.

Amey Chheda: Hi. I just had two questions. You spoke about the two new capacities that you are planning. Although it's too soon, but what would be an approximate capex for these two factors?

S. Ganapathi: The capex should be for both of them put together should be of the order of INR80 crores to INR100 crores. Probably it w ill get spread over 2 years.

Amey Chheda: Okay. Spread over 2 years. But if I'm not wr ong, you said that FY28, you will start seeing revenues.



S. Ganapathi: That is correct. So as we keep putting the line s, we'll incur additional capex in FY28. It will come towards the end of second half of FY27 if we decide to bring it on board and some portion of it may fructify in the early part of FY28.

Amey Chheda: Okay. Understood. And if you can just share the revenue of BTPL for Q4?

S. Ganapathi: Q4 of FY 2026?

Amey Chheda: Yes.

S. Ganapathi: Q4 FY26, the revenue of that entity was INR190 crores.

Amey Chheda: Sorry, INR190 crores?
S. Ganapathi: Yes.
Amey Chheda: Okay. And what was the margins?
S. Ganapathi: At an EBITDA level, I think th e company lost

about 4% to 5%.
Amey Chheda: What is the revenue that we are expecting in FY27 with the ramp-up in BRFL?
S. Ganapathi: The revenue for FY27 for that company should be in excess of INR1,000 crores based on the momentum that it is going.
Amey Chheda: Thank you so much.
Moderator: Thank you. We'll take the next question from the line of Sidd hant Mantri from InvesQ. Please go ahead.
Siddhant Mantri: Hi, sir. Thanks for the opportunity. So most of my questions have been answered. I would like to know, given our recent acquisitions, how are we looking at those ramp-up? And are these up to our internal targets or expectations, if you could give us some color on that side?
S. Ganapathi: So short answer, no, they are not up to our targets. And the reason for that is we went through an extraordinary level of disruption in terms of tariffs. All the businesses and locations that we have, whether it is India or Africa, both suffered extreme tariff situation. AGOA went away in Africa taking away MFN tariff anywhere between 20% to 32%.
If you look at the underlying apparel tariff, that ranges from 14% to 32% and most of Africa was doing synthetics where the duty differential is the highest, which was between 25% and 32%.
So to that extent, the tariff bumped up, which then again went back when AGOA was reinstated.
And India tariff went up to 50% at 30% tariff delta vis-a-vis rest of Asia.
So we did have huge disruption, which impacted business. Different customers reacted differently, some asked for discounts, some took the business away to other regions or some toned down the business, some pivoted their U.S. sourcing from India to European sourcing


from India if they had operations elsewhere. Bu t all of this meant that the business volumes partly shrunk or the marg ins took a hit last year.
Having said that, overall, we actually delivered a higher revenue despite all these challenges because we made sure that all our capacities go t fully utilized, and our te ams went and sold the capacity in its entirety and more. So now going forward in the year FY27, the expectation is that all these acquired entities will pe rform as per plan in that year.
Siddhant Mantri: Okay. And sir, also on the margin side, so we've seen a lot of volatility given tariffs, given government incentives and as well as integration of these acquisitions. So, could you guide us on the margin side, what is the view for the current year?
S. Ganapathi: When you say current you mean FY27?
Siddhant Mantri: Yes, FY27.
S. Ganapathi: So, the margin should improve, of course, FY26 was impacted due to US reciprocal tariffs and hopefully, that's behind us and we need to see what kind of tariff disruptions we will see going forward. So everything gets subject to that. So come July, there could be a Section 301 tariff, which may get imposed. But otherwise, I feel that there will be a couple of percentage point improvement in margins Y-o-Y on account of the disruptions being behind us. Our endeavor will be to try to do better than that. What we don't know is what kind of disruptions will be unleashed in the year ahead. So, everything is subject to that.
Moderator: We'll take the next question from the line of Chirag Jain from Catamaran.
Chirag Jain: Congratulations on a very resilient performance during a very challenging year. So just one question on the Q4 numbers, specifically in the stand-alone. I'm not sure if you addressed it earlier, I missed the starting point. The margins expanded Q-o-Q and Y-o-Y by around 200 to 400 basis points, right?
So just wanted to understand what led to that ? Was it just that tariff reversal which happened?
Or there was one ruling which said that the U.S. Supreme Court ruling that the U.S. has to refund the tariff. So, was any of those bookings also incorporated into this? Just want to understand where did that gross margin benefit

came from in the specifically Q4 quarter in the stand-alone operations?
S. Ganapathi: Okay. So largely, it is because of the sheer volume, the revenue growth that we had. So, the operating leverage helped. There has been no tariff reversals being factored in anywhere. The tariff reversal portal has opened in the U.S. Many brands have started applying for tariff refunds.
But it's unknown whether some of those tariff refunds will be passed back to the supply chain.
There have been instances where customers of those brands have also sought tariff refunds. Nike has seen a class action suit, all the tariff increases were passed on to the customers and hence, the tariff reversals, which accrue to the company should be -- which is, in this case, the retailer

should be passed back to the customer.


So, this opens the Pandora's box of how it will all be dealt with. There is enough confusion out there. So, we don't know whether the supply chain will receive any benefit out of tariff reversals. That's yet to be seen out there in the future, and we're not even counting on it.
But going forward, the tariff burden that we shared with the customers are no longer going to be there. So that margin inflation will certainly happen. As far as Q4 stand-alone performance is concerned, the half of the quarter was impacted with the Penal tariff 50%. It got withdrawn mid-February. So, post that shipments we have not factored in the tariff discounts that we offered until middle of February. So that also helped us in some margin improvement.
Chirag Jain: So basically, as you rightly mentioned, only half of the quarter was impacted by tariffs. So, if I assume the number which you mentioned in your notes that around INR18 crores tariff impact was taken this quarter. Technically, if I add that back, that should be the normalized margin running forward given the scale of revenue?
S. Ganapathi: For the stand-alone year.
Chirag Jain: For the stand-alone, year. So sir, when you mentioned 200 basis points of margin expansion for the full year, it should be much higher, right, given the Q4's performance, especially in the India stand-alone business. And then you are mentioning that Africa will go by almost 50%. So obviously, that will also see a big margin bump up.
S. Ganapathi: Yes, that's my point. we booked our business at a little sharper pricing because we were booking H1 business when the tariff was insanely high on India, and we wanted to keep the revenue rather than let it go out because at some point when the tariff reverses, we didn't want to see business vaporize from the region.
So, this effect will get reversed into Q3 and Q4. So, there is a lit tle bit of that. And I'm factoring in some levels of unknowns, which who knows what will be unleashed during this year. We all know that we are living in an extraordinarily vola tile time. So, I'm factoring in all of that when I say 2%.
Moderator: The next question is from the line of Akashdeep Singh from Master Capital Services Limited.
Akashdeep Singh: Sir, could you please share where the capacity stands today in terms of million pieces both in India and Africa? And what capacity does manageme nt desires to reach in India and Africa in coming years? And sir, what EBITDA margins we could expect for acquisition BTPL in FY27?
S. Ganapathi: Thank you, Akashdeep. I'll let Sathya answer this question.
Sathyamurthy: The capacity numbers in terms of number of pi eces, will be misleading, however, I'll give the numbers. As far as India operations is concerned, it is 52 million and Africa operation is 40 million. This you have to look at it in context wi th what is the realization we get in each of the region . When we say 40 million pieces in Atraco , it is at the average realization of $2.5 per piece.


When the realization goes up, the n

umber of pieces what we may achieve will change because we produce multiproduct. That's why we prefer to give the numbers on the overall value basis what we can drive from each of the capacity.
And in terms of the new addition of the capacity during the year and including the projects in the pipeline, we added another 12 million pieces in total, in India, it is about 7.5 million and Africa is about 4.5 million.
So, in total, with the new capacities coming on board, our capacity in terms of pieces will reach 104 million, but it comes with a caveat for India you should consider the average realization at the rate of INR500 and in case of Africa, you please take $2.5 average realization per piece.
Akashdeep Singh: And sir, for the second question, what margin we should expect for BTPL in FY27?
Sathyamurthy: In FY27, the company is aiming at, at least EBITDA breakeven in H1, and they intend to achieve EBITDA positive in H2. We can expect EBITDA around 6% to 7% in H2.
Moderator: The next question is from the line of Niraj Mansingka from White Pine Investment Management.
Niraj Mansingka I had two questions. One, can you clarify that the stand-alone EBITDA margin for the Q4 was between 14% and 16%, because the numbers look heightening?
Sathyamurthy: During the quarter, in Q4, it's at 16% if you add back the tariff impact. But remember, normally, in Q4, whatever the provision we make for all the statutory requirements will be reviewed during audit and there will be some reversals of excess provisions if any.
This happens every year. So that's why in Q4 relatively, the performance, I mean, EBITDA

numbers look relatively higher. At least you need to factor in 1% to 1.5% on account of that. But for that, rest of things flow through on account of operations, what Mr. Siva has explained
because of the volume and the scale benefit.
Niraj Mansingka: If I remove the impact of reversals, it can go to 15.5%, and this happened because of operating leverage in the Q4?
Sathyamurthy: Correct.
Niraj Mansingka: But next year, you're talking of higher volumes. So should we expect the EBITDA from the year to go up by another 200 bps on an average because of the operating leverage. Is it right, sir?
Sathyamurthy: Mr. Siva has responded to one of the earlier questions, There are other challenges which you may have to factor as far as Q1, even H1 is concerned because already the sharper pricing has been given to the customers on the backdrop of tariff. That's the point he has highlighted apart from if there are any unknown contingencies and hence you cannot extrapolate the same way.
Maybe for Q4 FY27 probably there could be a possi bility. But on a full year basis, whatever Mr. Siva has given the guidance, will hold good.



Niraj Mansingka: So question to Shiva. If you look at in the same like-for-like condition, what margin would you expect on a stable state in FY '28 then if you remove all the one-offs here because that would explain us where your margins are heading on long term.
S. Ganapathi: You're talking of FY '28, right?
Niraj Mansingka Yes.
S. Ganapathi: This is an estimation because this has to be caveated with any geopolitical events or any disruptions. We don't know what all can. But let's assume that FY28 somewhat of a steady state year, let's say, right, except for the fact we may add some new capacities which are always coming on board, which may have some negative EBITDA contribution because every new capacity in the initial 2 years tend to depress the earnings from that capacity.
So, if we look at it from that standpoint, and there's no externalities or external disruptions of a significant nature, then I think the India EBITDA margin should be of the order of 13%to 13.5%, whereas the Africa EBITDA margin should be about 10% to 10.5% for that year. And the ratio between India and Africa from a revenue standpoint should b

e about 75%to 25% or anywhere
between 80% to 20%.
Niraj Mansingka: And you're not talking of the Bombay Rayon including in that?
S. Ganapathi: Bombay Rayon in FY '28 also should be contributing an EBITDA margin of anywhere,I would say in FY '28, perhaps more closer to 12%. But if I, let's say, take an FY '29 view, it should also be of the order of 14%.
Niraj Mansingka: Got it. Got it. Last question on the Bangladesh, can you tell us how the customers are looking at Bangladesh versus India? And some anecdotal evidence would be useful.
S. Ganapathi: Sure, sure. So, Bangladesh, during its peak disruption when there was a regime change from Awami League to an interim government and all the problems, there were a lot of concerns and people wanted to diversify out. European customer s still consider that they have overinvested in Bangladesh. And thanks to good solid commercial reason be cause Bangladesh was duty-free to Europe. And once FTA comes, they are very, very clear that they want to diversify out of Bangladesh to an extent because now they'll get a level playing field as far as tariff is concerned
between India and Europe.
As far as American customers are concerned, the general impression is that Bangladesh is now somewhat stable with the new government in place from BNP. The impression is that Bangladesh continues to be a low-cost region. So, the importance of Bangladesh will continue
in the global apparel manufacturing space.
The only concern is that with high oil prices, et cetera, many retailers also, when they look at Bangladesh, feel that their ability to withstand oil shocks, etcetera, because they are very import-dependent countries. And all of these smaller countries will have low BoPs Balance of Payment


Surpluses or dollar surplu ses that there is a risk that some of these countries may find local inflation galloping as energy costs go up and all the imported goods costs go up.
So, there is a fear that we are better off diversif ying. So, net-net, if we synthesize all of this, the impression is that its cost-effective location. It is -- it has got now a stable government. But let's not put all eggs in Bangladesh

basket, let's diversify. And when they look at diversifying, India
stands out as a very viable option for them to diversify.
Moderator: We'll take the next question from the line of Janhavi Jain from Axia India.
Janhavi Jain: I just have a bookkeeping question. If you could just tell the volume for Gokaldas stand-alone unit?
S. Ganapathi: Sathyamurthy, over to you.
Sathyamurthy: For India operations, I'll give the number. For India operations, it's 10.19 million for the quarter at the rate of INR742.
Janhavi Jain: No, for the full year, just for the stand-alone Gokaldas entity ex of Matrix?
Sathyamurthy: For stand-alone, it is 33.627 million and at the rate of INR765.
Moderator: The next question is from the line of Heet Vora from Guardian Capital Partners.
Heet Vora: Congratulations on a very strong sequential recovery. Sir, just picking you up from the previous comments that you made on Bangladesh. So, one thing that at least we've been reading is that there are a lot of power cuts happening in Bangladesh. Most of the times, Bangladesh textile companies, they run on generators, which run on diesel.
But in current situation, even that is difficult because diesel availability is an issue. So, are you seeing any orders maybe now or any additional inquiries moving from Bangladesh to maybe India given the current situation?
S. Ganapathi: So, see at the end of the day, from a customer stan dpoint, they will look at what is the net cost and disruption. So, most Bangladesh operators somehow manage to ensure deliveries do happen regardless of all the energy disruptions. That's why I indicated that customers are wary of putting more business there simply because of volatility disruptions on account of

energy and various other reasons.
But from a political stability standpoint, Bangladesh seems to have become better. It all depends on what is the cost economics and cost economics, at least for now from a European standpoint, Bangladesh scores very well. From an American standpoint as well, their costs are lower because their labor costs are lower. But as I said, again, nobody is going to expand aggressively there.
They will continue to expand modestly there.
Heet Vora: And just one more addition on this is that I think the LDC status is also about to end. And I mean, there's no clarity whether it gets extended. So, in an event that does not happen, do you see any advantage for India? I mean in U.S., I think everyone goes at a similar rate, but maybe


ex of U.S., do you foresee a sizable windfall for maybe India from that standpoint? Or do you think they'll maybe agree on an FTA before that?
S. Ganapathi: So, their LDC status moved -- was extended from 2026 to 2029. So, it's highly likely that post 2029, the LDC status still will ge t removed. Would Bangladesh en ter into an FTA with Europe?
There is a likelihood. Is Europe going to perceive Bangladesh as a big enough market to enter into an FTA with Bangladesh, that is something which is a big question because FTAs are always reciprocal.
And if Europe finds Bangladesh market being large enough, then only an FTA may happen. So, it's probably unlikely or probably challenging. We got to see. Would that result in a windfall opportunity? Bangladeshi labor cost continues to remain low. However, it is also increasing as we speak. So, I feel that it is definitely an opportunity for India. And if India secures an FTA, it is a massive windfall for India.
Heet Vora: Understood. And just the last question was actually on Africa bit, sir. So, we are quite confident on our operations improving there. Do you see any sort of impact on your operations largely on account of the current riots that we're hearing about largely on account of this entire petroleum price hike happening there? And is there any issue on power availability in the African operations? I mean, just wanted to understand that.
S. Ganapathi: Answer is no disruptions whatsoever. We are in Mombasa where there are absolutely no problems. We are right at the port. We've had no issues either from power, labor disruption, civil disruptions, nothing ever.
Moderator: The next question is from the line of Abhishek Shankar from ICICI Direct.
Abhishek Shankar: Congrats on a good set of results. So, I just wanted to know that you mentioned in the PPT that the rise in tax expense is mainly belonging to the stand-alone entity. So, what is the reason for the tax expense in the stand-alone entity?
Sathyamurthy: When you look at the consolidated tax expenses, it is the tax expense incurred by various entities including overseas entities. Because of the underperformance of overseas entities Atraco, due to the reasons Mr. Siva has explained, we couldn't achieve the profitability what we originally envisaged. We do not account for any tax credit in the books for the losses.
And similarly, for some of the new investments, we made in fabric business, though at the EBITDA level, achieved break even in the quarter, but there has been carryforward loss due to interest and depreciation expenses.
So, to that extent, the losses, incurred by these subsidiaries overseas and Indian subsidiaries, we

are not getting any set- off in the current year. Hence, the total tax incurred by the taxpaying
entities in India, when it is consolidated, looks hi gh at a gross PBT level and relatively higher as
a percentage. Otherwise, at the individual entity level, the tax percentage is normal at the rate of 25.17%.


Abhishek Shankar: Okay. Just another question. So, you mentioned the volum

es for the Gokaldas stand-alone that
is 10.19 million for Q4, right?
Sathyamurthy: 10.19 million pieces is for the India operations. If you want the India operations excluding matrix
for the quarter only, it is 8.6 million at INR773.
Abhishek Shankar: Okay. And what are the volumes for Matrix and Atraco?
Sathyamurthy: Atraco is 5.63 million pieces for Q4 at INR405 . And similarly, for the full year, it is 16.27
million pieces for INR420. For Matrix, you can derive it. We have given the Indian operations
number, so you can derive that.
Moderator: The next question is from the line of Bijal Shah from RTL Investments.
Bijal Shah: Congratulations on very good numbers. So, I have 2 questions. Number one on Africa. When
you say Africa– will go to 115 m illion to 120 million, should we see that coming from Q1 itself,
but that is also going to be back-ended and...
S. Ganapathi: Sorry. So, I think from a Q1, Q2 standpoint, we should be at a revenue run rate of about 24
million, 25 million. And second part of the year, it will catch up to go to that 115 million to 120
million revenue.
Bijal Shah: Got it. So, I mean the remaining -- the next 2 quarters should be like 35 million kind of a number.
So, it will ramp up significantly in...
S. Ganapathi: So, it will be about 3 million, 32 million, 33 million.
Bijal Shah: Okay. Got it. Sir, secondly, can you give us what is the interest and de preciation as BTPL? And
I'm talking about interest, excluding what they are paying on the investment which you have
made?
Sathyamurthy: Depreciation is around INR50 crores to INR54 crores and interest on the debt component is
around INR25 crores.
Bijal Shah: That is excluding what you have in vested, right? That is excluding...
Sathyamurthy: Correct.
Moderator: The next question is from the line of Ravi Dutta Mishra from the Indian Express. As there is no
response, we will move on to the next question from Avinash Nahata from Parami Financial
Services.
Avinash Nahata: My question pertains to the FTA, U.K. and EU. So, what is the legislative or executive action,
which is pending from both the sides? If you can just explain?



S. Ganapathi: So, to start with FTA Europe, there has been an announcement that an FTA will be entered into
between India. This is between the European administration and Government of India. They're
working on it. And what they said was that th ey will work out on al l the legalese and the
documentation by middle of calendar 2026. So, June, July '26, they should come to some sort of
an agreement on all the nitty-gritty issues of the FTA.
And then it will require ratification by the individual 27 countries in Europe, which itself can be
a long-winded process, and it will require ratification from all the countries. So European administration in Brussels will have
to get that done with individual countries.
So, it's a long-winded process. We anticipate it to happen in 2027. The whole process has been
gone through by Indonesia as well, which is way ahead in this, and they have, I think, gotten an
FTA with Europe. So, India should also provide, we have a meeting of the minds, on all the
various points that may arise from FTA. As far as U.K. is concerned, all of that is done, and it requires ratification by U.K.
Parliament. In India, there is no parliament ratification required. It's
an executive order.
And the U.K. Parliament ratification has not yet happened. I think it is probably due to political
events happening in U.K., which is probably delaying it. There are a few other issues which have since then cropped up on
steel, etcetera, which is going back and forth between India.
Directionally, while there is an understanding that an FTA should commence soon. I think we
are seeing some delays on account of political issues as far as U.K. FTA is concerned. Most of

the documentation or rather all of the documentatio

n for U.K. has been done. Does that clarify?
Avinash Nahata: Yes. Just a follow-up on this is as far as 27 co untries of EU is concerned, for them also, they have to go through the parliamentary process or it's an executive decision for them?
S. Ganapathi: I think it's a parliamentary process in those countries.
Avinash Nahata: Okay. And just if you can briefly talk about the labor availability and labor inflation in our country. That's all from my side.
S. Ganapathi: Labor availability is different in different parts of India. So, we have operations, for example, in Central India and Madhya Pradesh. We have operations in Ranchi. Labor availability is strong in these regions. In the South and in and around NCR, labor availability is a challenge. We also depend on migrant labors in these regions.
And all the time, we tend to encourage migrant labors to come in and settle and work with us.
So incremental expansion, we are going into rural areas, hinterland, etcetera, so that we can tap into labor availability. Even in the South, when we go into deep rural regions, we may be able to tap into certain labor pockets there.
As far as labor cost is concerned, which is a ve ry important point, there is labor cost inflation happening. For example, recently in NCR, part icularly in Haryana, the state government



announced a 35% wage increase from April 1. So that was in response to labor unrest, high cost of fuels, etcetera, for migrant labor force in Gurgaon-Manesar Belt. UP responded with a 25% increase because what happened in Gurgaon, Faridabad spilled over to Noida and UP increased.
So, these kind of moves can happen in multiple parts of the country, and there could be some labor cost pressures. We will have to deal with these as they come by. An offsetting factor here could be India's rupee depreciation. We will have to continue to explore ways to improve our labor efficiencies or productivities, etcetera.
Some amount of labor cost inflation does bring stability in labor force because we will see less amount of attrition and absenteeism, which may also help drive productivity. But these are challenges that we will grapple with over the next 1 or 2 years in India. This is a challenge which will happen across the world as well, even if it is in Bangladesh, we have seen labor cost pressures continue to mount.
If I look at Vietnam, China, etcetera, their labor costs are of the order of $300-plus. India is still at about $210. So, there is still some headroom for us as far as labor cost is concerned. It has to be offset with labor productivity, which is always a challenge, but that's what we let you ensure that we get.
Avinash Nahata: And across the 3 states, you mentioned Central In dia, MP, Bihar and Karnataka. Is there any possibility of operatin g a second shift?
S. Ganapathi: So, in some regions, in Ranchi, we are operating 2 shifts. In Madhya Pradesh, there is a possibility of operating 2 shifts, but it's not the entire factory. We are operating 2 shifts in part of the factory. So, we're experimenting with it in Indian labor force, particularly women labor, are very family oriented, etcetera, are not very supportive of working in the second shift.
We have been far more successful in Ranchi because the labor force there are far more amenable to work in the second shift. They're far more open. That we are not finding that level of flexibility in rest of India, but definitely not possible in the South. We do have some success in Central India.
Avinash Nahata: Thanks a lot. All the very best.
Moderator: Thank you. The next question is from the line of Bhavika Singhvi from Niveshaay. Please go ahead.
Bhavika Singhvi: So basically, I want to understand from the Vietnam point of view, like as we see the region is doing good in the textile segment and the imports in U.S. have increased from Vietnam. So, can you make us

understand what's the reason behind it? How Vietnam is gaining share from other nations?
S. Ganapathi: Okay. What China is losing, Vietna m is gaining. It's clearly a sh ift from China to Vietnam. Many Vietnamese players are basically China-based who are moving their factories or setting up incremental factories in Vietnam, leveraging Chinese supply chain. So, the way the world works is that it's a competitive world of supply chains, not just between apparel companies.



So, China has very large-scale fiber and yarn and fabric ecosystems, which gives a very competitively priced raw materials to their apparel manufacturing units. That's why despite their labor costs being high, and apparel is labor cost labor-intensive, they are offset with a lower cost of raw materials, fabric, even lowe r utility costs, etcetera, etcetera.

Now what happens is when the units are set up in Vietnam, due to proximity, the raw materials flow easily between China and Vietnam and then get shipped out of Vietnam. So that partly explains why Vietnam is growing. Having said all of this, Vietnam is also growing in electronics exports, automobile exports and so on and so forth.

So, they are a country with limited population and the labor costs are increasing in the Ho Chi Minh region or Hanoi region, an d that will continue to exert pressure on apparel industry.

Apparel industry has not been really able to leverage Cambodia, Laos, etcetera, because of political challenges in those regions.

Unlike Vietnam, those countries are not that productive for -- from a China standpoint. So, there is a limit or a ceiling up to which Vietnam can gr ow. But until then, Vietna m will continue to be cost effective, thanks to the value chain that Vietnam has. The labor cost in Vietnam in and around large cities are growing or galloping. Around the big cities, it's moving closer to $400, but lower -- the hinterland has lower cost of about $250 to $300-plus. That's more expensive than India, but the value chain benefit continues to provide them that benefit.

And lastly, you have to keep in mind that when you look at global trade in apparel, almost two-third are synthetic based, which is polyester and nylon. And in polyester and nylon, China has global quality and global capacities, which India doesn't have. So, for synthetic garments, which are usually preferred in the fall-winter times, these countries do tend to dominate because of their quality of fabric that they have access to.

Bhavika Singhvi: And sir, like maybe the synthetic demand is going to Vietnam, but what about cotton? Like is it may be coming to India, if you can say that?

S. Ganapathi: Cotton, of course, India, Bangladesh, all these regions have cotton. It's not like Vietnam does not do cotton, but they will have to rely on impo rted cotton fabrics from China, of course. So yes, from a cotton standpoint India does have its strength. Cotton fabric s-based garments are often used in spring-summer. That's why in the second half of the year, we tend to have seasonality favoring Indian apparel manufacturers.

Bhavika Singhvi: Okay. But as of now, just to summarize, we can say that the shift of -- like the production that is decreasing in China is maybe shifting to Vietnam. But in the medium term, we can see that shift can happen to India from Vietnam as well, just to summarize…

S. Ganapathi: And if you look at Vardhman, right, they have set up a synthetic fabric mill. If you look at India's synthetic garment production is also increasing. Gokaldas leads in synthetic manufacturing in India. And we are doing a lot of synthetic fabrics -- synthetic garment production, mainly in outerwear, etcetera, which is growing leaps and bounds for us.



And the fabric for those are still dependent on China, Vietnam, Taiw an, Korea and all these places

. So increasingly with domestic fabric coming in, with the likes of Vardhman setting up their units, we will see some additional traction coming for synthetic garments out of India, too.

Bhavika Singhvi: It will be tough for us to compete in terms of price for synthetic like they will be more competitive in terms of price, right, in synthetic?

S. Ganapathi: Because China is far more competitive in term s of innovation, price, quality, etcetera.

Moderator: The next question is from the line of Sagar Makwana fro m MAG Securities.

Sagar Makwana: Am I audible?

S. Ganapathi: Yes.

Sagar Makwana: Sir, my first question is from current 50 lakh meters per month of capacity of BTPL. Sir what's the captive fabric consumption by Gokaldas?

S. Ganapathi: I think the captive fabric consumption will be to the extent of about 30%, 35% of BTPL.

Sagar Makwana: Okay, sir. And sir, my second question is, sir, is there any di fference in margins for European customer? Like as you mentioned in your last con call that your largest customer is in sportswear segment in EU and margins are generally higher in sportswear segment.

S. Ganapathi: See, on an average, American customers give better margins than European simply because of being volumes being larger, etcetera, and American retailers are larger. This particular European customer is a large European customer, so we do get our run sizes and volumes.

But in general, American margins are better as long as there is a level playing field on tariff.

When India was on 50% tariff, we lost a lot of margins in America. But as long as the tariff is normalized, we find American customers better from a simple standpoint that the order sizes are bigger.

American retailers are much larger. Europe has a more fragmented retail base. So, to get the same revenue as an American customer, I may need 2 or 3 European customers. Europe is also more fashion-oriented, which really means that the run sizes are smaller. So, there are those factors which impact cost margin equations.

Sagar Makwana: Okay, sir. And sir, what's the difference between current war and the Russia-Ukraine war from Gokaldas' exports perspective?

S. Ganapathi: I think the only current war has really resulted in oil prices going up, which means polyester, polybags, all of those things have gone up. LPG shortages meant that some of the ovens, which we use, which are run on LPG had utilization challenges. We had to switch to electric components, which took time to make it effective.



So, the disruptions on account of the Middle Eastern war has been much more than Russia-Ukraine war, which really impacted European demand, but did not impact supply chains. Here, some supply chain has been impacted. That's the difference.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the Gokaldas Exports Limited management for closing comments. Thank you, and over to you, sir.

S. Ganapathi: Thank you so much. I think we continue to take every global shocks seriously. We continue to work diligently with our customers. We continue to work to strengthen our leadership team and strengthen our operational performance at every step in order to be resilient to external shocks.

We believe that the worst is behind us, and that has tested us and proved to us that we are capable of handling anything that comes our way. Most of our operations were severely disrupted because we had bulk of our manufacturing in India or in Africa. And both regions got the worst end of tariff, 50% of penal tariff in India, AGOA abolishing or AGOA being taken out in Africa, which also changed the tariff by almost 20%, 25% or 30%.

So, some of these are behind us, and we feel that we are resilient. It proves that a strong team can handle any situation. We believe that the years ahead will benefit from the le

arnings that we have had and from the operational improvements that we effected in our business now, and we should reap that benefit in the years ahead.

I see demand not to be a challenge, except for occasional blips here and there based on geopolitics. And if that is the case, then we should be able to capitalize on the productivity improvements and the automations that we have done for delivering continued growth in both revenue and margins. Thank you so much.

Moderator: Thank you, members of the management. On behalf of Gokaldas Exports Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.